

Info Edge (India) Ltd. (NAUKRI)

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Call: Aug 2022

Date: August 19 , 2022

1. The Manager - Listing
National Stock Exchange of India Limited
(Scrip Code: NAUKRI)

2. The Manager - Listing
BSE Limited
(Scrip Code: 532777)

Sub.: Transcript of Q1 FY 20 22-23 Post Result Conference Call

Dear Sir/Madam,

In furtherance to our letter dated August 13, 2022 and pursuant to Regulation 30 of the SEBI (Listing Obligations & Disclosure Requirements) Regulations, 2015, given below is the link of the transcript of the Conference Call on the Financial Results for the Quarter ended June 30 , 2022, held on Friday, August 12, 2022 at 5:30 pm , post declaration of results. The same has been updated on the website of the Company

Link: <http://www.infoedge.in/pdfs/investor-concall-transcript-18aug2022.pdf> .

A copy of the transcript of the Conference Call is enclosed herewith.

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Request you to take the same on record.

Thanking you,

Yours faithfully,
For Info Edge (India) Ltd.

Chintan Thakkar
Whole-time Director & CFO

"Info Edge Q1 FY 2022-23 Results Conference Call"

August 12, 2022

MANAGEMENT : MR. SANJEEV BIKHCHANDANI – FOUNDER & VICE
CHAIRMAN, INFO EDGE (INDIA) LIMITED
MR. HITESH OBEROI-CO-PROMOTER & MANAGING
DIRECTOR, INFO EDGE (INDIA) LIMITED
MR. CHINTAN THAKKAR – CHIEF FINANCIAL OFFICER,
INFO EDGE (INDIA) LIMITED

Moderator: Hi, everyone. Good evening, and welcome to Info Edge India Limited Q1 '23 Financial Results Conference Call.

As a reminder, all participants line will be in listen-only mode, and there will be an opportunity for you to ask question after the presentation concludes. Should you need any assistance during the call, kindly raise your hand on the screen. Please note that this conference is being recorded.

Joining us today from the management side, we have Mr. Sanjeev Bikhchandani – Founder & Vice Chairman, Mr. Hitesh Oberoi - Co-Promoter & Managing Director, and Mr. Chintan Thakkar – CFO. Before we begin today, I would like to remind you that some of the statements made in today's conference call will be forward-looking in nature and may involve risks and uncertainties. Kindly refer to slide number two of investor presentations for detailed disclaimer.

Now, I would hand over the call to Mr. Hitesh for his opening remarks. Thank you, and over to you, Hitesh.

Hitesh Oberoi: Thank you, Vivek, and good evening everyone, and welcome to our first quarter earnings call. As always, we will start with an update on standalone financials, market conditions for each of our operating verticals, and then cover each business financials in more detail to be followed

by Q&A. The audited financial statements and other schedules on segmental billing, revenues et cetera, along with the data sheet have been uploaded on our website infoedge.in.

Talking about our Q1 standalone financials, overall billings in Q1 grew to Rs. 524.2 crores, up 62.4% over Q1 of last year. Revenue in Q1 stood at Rs. 507.7 crores of 54.6% from Q1 of last year. Billing and revenues along with acquired businesses like Zwayam and Do Select stood at Rs. 537 crores and Rs. 521 crores respectively.

Operating expenses for the quarter excluding depreciation and amortization were Rs. 344.5 crores, up 53.6% over Q1 of last year. And operating EBITDA for the quarter stood at Rs. 163.1 crore versus Rs. 104 crores last year, a growth of 56.8 % over Q1 of last year.

And operating EBITDA margin for the quarter stood at 32.1 % compared to 31.7% for the same quarter last year. And operating EBITDA for Info Edge including acquired businesses stood at 165.4 crores, a year-on-year growth of 59%. Cash from operations for standalone business for the quarter stood at Rs. 164.5 crores compared to 110.4 crores for Q1 of last year.

Deferred sales revenue grew to 825.4 crores as of June 30th 2022 versus Rs. 506.9 crores as of June 30, 2021, a year-on-year growth of 62.8%, and the cash balance of Info Edge including the wholly-owned subsidiaries stands at Rs. 3,439 crores as of June 30th 2022 versus Rs. 3561 crore as of June 30th 2021.

Talking about the recruitment space, hiring sentiment across sectors remained strong. The Naukri JobSpeak index of the quarter was up 32%. Amongst the IT clients, we continue to see strong momentum. High attrition and a strong pipeline continue to drive recruitment into this vertical. Increased focused on fresher hiring was also noticed during the quarter.

As far as non-IT customers go, we saw a revival of hiring in sectors like retail, education, insurance, real estate, travel and tourism in the last two quarters. There seems to be a strong manpower demand across sectors, and that is also driving up engagement of headhunters on the platform. The demand for talent continues to be high in both the metros and non-metros across scale levels.

Moving on to the real estate vertical, we witness a good momentum in new home sales across top cities in Q1. While home prices saw an upward trend in most markets, affordability continues to be solid. We expect reasonable number of new launches to continue in the residential buyer segment despite a recent increase in repo/home loan rates.

Rental supply also saw fast uptake in the market as more offices opened up to work from office or hybrid working models. Comm

ercial spaces also sort of saw faster uptake with negligible/no impact of the third wave of COVID.

The matchmaking category recovered from last year's slowdown caused by multiple sort of COVID waves. Users are back and engagement levels are up, you know, higher than what sort of they were during pre-COVID times. We also experienced a change in our target sort of audience in the last couple of quarters with the more prospects now increasingly taking a charge of the matrimony search process instead of their parents or guardians. This is more prevalent in the top metro cities where high intent dating space is also fast emerging.

Moving on to the quarterly financial of the recruitment business in Q1 of 2022-23, the recruitment segment billings were Rs. 415 crores, up 64.6% from Q1 of last year, while revenues were Rs. 387.1 crores, up 67.5% from Q1 of last year.

Operating EBITDA stood at Rs. 230.6 crores, up 80.2% from Q1 of last year. Margins stood at 59.6% versus 55.4% in Q1 of last year. Cash from operations for the recruitment vertical during the quarters stood at Rs. 235.4 crores, up from Rs. 148 crores reported in Q1 of last year. Billings for Naukri India for the quarter stood at Rs. 354 crores, up 72.3% year-on-year, while revenue for the quarter for Naukri India stood at Rs. 326.8 crores, up 76.3% year-on-year.

Recruitment segment billings including acquired businesses like Zwayam and Do Select stood at Rs. 427.9 crores, a growth of 69.7% year-on-year for this quarter. iimjobs and Hirist also has reported strong 64.8% YoY growth in their billing numbers, closing at 15.3 crores, up from 9.3 crores reported in Q1 of last year. A well integrated gtm, a go-to-market with Naukri India team worked well for Zwayam and Do Select with both these businesses closing the quarter with billings of Rs. 6.25 and Rs. 6.59 crores respectively.

The Naukri business, as you can see, continues to sort of grow strongly, and it's been now six quarters. Naukri India witnessed higher recruiter and job seeker activity during the quarter. On the job seeker side, we saw 23,365 new registrations per day last quarter, and we cross 10 million plus active install base on the Android app.

Our sales strategy for the quarter focused on creating awareness of value proposition of our products to drive value optimization with our customers. The quarter also witnessed 49% year-on-year growth in new client acquisition.

The other sort of vertical we have Ambition Box, which is our play in the career sort of reviews and rating space, grew handsomely to overtake our sort of the leading competitor in its space, and Ambition Box reported 6.29 million unique visitors in Q1 2023, making it the largest sort of careers and review and ratings platform in India.

Our marketing team recently launched a series of new digital video campaigns #mykindofNaukri targeting the Gen Z audience. This would further cement Naukri's leadership in traffic share and

improve its top of mind recall amongst new generations of job seekers. That's the idea.

Moving on to the Shiksha business, in Q1, Shiksha billings grows 30.7% year-on-year and stood at Rs. 30.4 crores while revenue grew 37.4% year-on-year to Rs. 31.3 crores. The Shiksha business made an EBITDA of Rs. 6.2 crores during the quarter versus Rs. 7.7 crores in Q1 of last year. Cash from operations for the quarter stood at Rs. 5.3 crores against Rs. 8 crore reported in Q1 of last year.

The Shiksha business has now delivered strong and consistent revenue growth for the last seven quarters and has been generating cash. The delayed closure of academy year 2022 had an impact on new students registering on the platform. As a concerns regarding COVID subscribe, we expect the trend to normalize in a few quarters.

The new sort of private universities in India, we believe will offer an option to Shiksha to expand its footprint further. We also straw our study abroad business, which is relati

vely new, straw strong

recovery in students opting to study in the UK and the US, and we continue to invest in making our content more comprehensive and more student-friendly and in building deep domain expertise in this space.

Moving on to the 99acres business, billings in 99acres grew 173.2% year-on-year on a COVID impacted Q1 and stood at Rs. 61.1 crore while revenue grew from Rs. 49.2 crores in Q1 of last year to 66.3 crores in Q1 of this year. The operating loss for the quarter stood at Rs. 35.4 crores against a profit of Rs. 10 lakh reported in Q1 of last year. The business reported a cash outflow from operations of Rs. 46.6 crores for the quarter against a cash outflow of Rs. 36.4 crores in the same quarter of last year.

In 99acres, we recorded revenue growth across all major categories, resale, rental, commercial, and new homes. Concerted efforts were put in during the quarter to increase improve the quality of listings on the platform. The owner listings grew 7% year-on-year while broker listings grew 9% year-on-year. Premium listings continued to see good adoption from brokers. The review from the residents and recent transaction prices were further scaled up to help buyers and owners get more insights about the real estate market on the platform, and we continue to invest on platform content, client delivery, and marketing in this business.

Moving on to the matrimony business, due to certain free offerings launched in March 2022, billings in Q1 declined by 29.8% year-on-year to Rs. 17.6 crores and revenue declined 9.1% year-on-year to Rs. 22.9 crores. The operating EBITDA loss stood at 27.6 crores for the quarter against a loss of Rs. 23.2 crores in the same quarter of last year. Cash outflow from operations for the quarter stood at Rs. 49.8 crores against an outflow of Rs. 18.4 crores in Q1 of last year.

As we discussed in our last call, Jeevansathi has made chat for users free on the platform. The platform is seeing a strong traction in this feature resulting in more chats engagement on the platform. In addition, several TV celebrities and influencers across communities were opted in to drive the chat and is free on Jeevansathi message to our users. In addition to this, the business had continued to focus on pulling the platform experience and building brand salience in the year ahead.

As far as consolidated financial highlights of the company go, at the consolidated level, the net sales of the company stood at Rs. 547.3 crores during Q1 versus 328.6 crores for Q1 of last year. For the consolidated entity at the total comprehensive income level, there is a loss of Rs. 3,342 crores versus an income of Rs. 158.2 crore for the corresponding previous year quarter ending June 30, 2021.

Adjusted for the exceptional items, PBT stood at the profit of Rs. 339.4 crores in Q1 '23 versus Rs. 45 crores in Q1 of last year.

Thank you. That's all from us. We are now happy to take questions.

Vivek: Thank you, Hitesh. We'll now move to begin our Q&A session. Anyone who wishes to ask question may raise your hand on the screen. We'll take your name and announce your turn in the question queue.

Moderator: Thank you, Vivek. So we have first question from Vivekanand from Ambit Capital. Vivek, go ahead and ask your question.

Vivekanand: Hello. Thank you very much for the opportunity. Sanjeev, now that we have instituted a clear-cut structure of making financial investments via AIF and the Zomato lock-in is now behind us, why not recycle capital by monetizing your stay? I mean, we've taken great pride in being early stage investors and having a solid track record of great returns there. So that's question one. Second one is for Hitesh. You now had a chance to work with strategic investments like NoPaperForms, Univarsity for several years now, three years almost. So did these investments contribute to Shiksha's revenue scale up almost 2x of, I mean, more than 2x of pre-COVID levels? Yo

u know, this question is more in the context of investments made in the last 12 to 18 months like Zwayam, Do Select and more recently 4B Networks and Aisle Network? Thank you.

Sanjeev Bikhchandani: Yeah. Shall I answer Zomato question first, Hitesh?

Hitesh Oberoi: Yeah. Please.

Sanjeev Bikhchandani: So look, we don't need to sell Zomato stock in order to invest in start-ups. We have a fund in place. We have enough money on the balance sheet to put into those funds. We have half the money come from Temasek. And you know, the truth is that it's not easy to sort of find the Zomato or a PolicyBazaar, right? You invest today. Hopefully, five, seven years, one or two become

highly successful. And while we can exit from these investments from both Zomato and PolicyBazaar, maybe Policybazaar a couple of months later, the truth is if you ask us to deploy that amount of money productively into early stage companies within two, three years, we will end up making some optimal investments in all likelihood, right.

Now we could sell and keep cash. We could sell and give cash back to shareholders. But you know, what I like to believe is that if the business has got legs, why not stay for a while? Now this is just my sort of belief. Obviously, the Board will decide. So we are in no caring hurry to sell those stocks. But you know, it's not as if we sort of vowed to sell a company the moment it goes public. If the business has got legs, perhaps we should hold on. And there's an ongoing conversation report all the time. It's not written in stone. It's up for review periodically.

But you know, what I also believe is that if the business has got legs and you hold on, you have a future, right. If you sell, you only have cash, and cash is valued at 1x. Future is valued at a multiple of whatever the future is. Yeah. So we'd like to hold on if you believe the business has got legs. Yeah. Hitesh, you want to answer second question?

Hitesh Oberoi: Yeah. You know, I guess your question was around whether the strategic investments we made in companies like Univariety and NoPaperForms helped us sort of scale up the Shiksha business over the last two years. Is that correct?

Vivekanand: Yes. And the extension to that was the aspiration that you have across your operating businesses to make strategic investments and either, you know, either to enhance your revenue or bring down costs, right.

Hitesh Oberoi: So, listen. So there are, you know, two or three types of strategic investments we are sort of making. One is, of course, outright acquisition. So Ambition Box, which I sort of spoke about, was an acquisition we made a few years ago. iimjobs is a company we acquired 100% a few years ago. Zwayam is a 100% acquisition. So, you know, Do Select is 100% acquisition.

Now in these cases, of course, we are deriving tremendous value from the Naukri network because we are taking these businesses in and the hope is that we scale them up massively because of our distribution and other capabilities. Now, then there are companies where we are, you know, investors, but we don't really run the operation, you know, like Univariety, like NoPaperForms, like Greythr.

Now here right now it's not as if our internal businesses are cooperating or collaborating with these companies, you know, on a regular basis. There is periodically exchange ideas, but there is no sort of business cooperation between these businesses. The idea here is that, you know, we are in these companies. We like them and if they continue to scale up, we would like to invest. If they continue to scale and perform, then we would like to sort of own more and more of these companies over time if the entrepreneurs are okay with it. So that's the nature of these sort of investments.

Now, so let's see how this plays out, because now Aisle is somewhere in the middle now where in Aisle we own 76% now, and there is a path to getting to 100%. But we want the entrepre

neur to run

the show for some time because we believe that's the best way to scale the business, and we don't think we can take on that business internally and do a better job of what maybe that team can do right now.

So that's the third type of, you know, investment sort of we made where we own majority. We are working very closely with the entrepreneur. Ultimately, we would want to go to 100%, but we would like the entrepreneurs to run the show for some time. I don't know whether I was able to answer your question.

Vivekanand: No, no. This made a lot of sense. I guess, what you are saying is Shiksha scale-up versus pre-COVID levels primarily happened internally rather than collaborating with these start-ups.

Hitesh Oberoi: Yes.

Vivekanand: So Sanjeev, just one small follow-up. So you said that, sure, you can exit Zomato, PB, but deploying money, this kind of money in startups may lead you to not be that prudent if it has to be done internally.

Sanjeev Bikhchandani: Almost certainly will lead us to be not so prudent.

Vivekanand: So is that because of the perhaps the shallow nature of the startup universe still in India or is it something else? I'm just trying to understand this better.

Sanjeev Bikhchandani: No, let me put it this way. See, typically when you have a fund, right, you will say okay, find from three years of close of the fund, you will need to write all your first checks. Now if you are going to invest 10,000 crores, let's say, which if you exit from both these companies, you want to invest 10,000 crores, right. You are talking of investing 3,000 crores within three years, right, as first checks, and the remaining business follow-on checks. Now that's a tough ask, you know, because we like to go in early stage. Early stage if you want to invest 3,000 crores as the first institution check into a company with the average check size say of 10 crores, you're talking about 300 investments.

Now 300 investments is a lot from a team management perspective, right, and sooner or later you will slip up, or you have to have a very large number of people working with you. And they are tough things to manage and 10,000 crores on early stage companies perhaps the risk level is also be different.

Vivekanand: Understood. Thank you and all the best.

Moderator: The next question is from Ruchi Mukhija from Elara Capital. Ruchi, go ahead and ask your question. Ruchi, you are there? We'll go to the next person. The next question is from Jaydeep

Choraria, CIO from Advent securities. Jaideep, go ahead and ask your question.

Jaydeep Choraria: So Hitesh, my question was specific to 99acres. So 99acres we have mentioned in our investor deck saying that owing to hire A&P spends for this quarter, EBITDA loss is 35 crores. So I want to know if this is a one-off, will this sustain in Q2 of this year. And hence, this is the going forward trajectory of this business. We are burning close to 50 crores of cash per quarter here. So want to know how long will this sustain? And if it were not for this A&P spend, what would this number be for? This 35 crores of EBITDA loss?

Hitesh Oberoi: So, see, right now actually for a while now, this space will be very competitive and a lot of our competitors have been spending a lot of money, and there's a lot of new money which is coming to the space. And therefore, we've been forced to respond and also we've been out of media for a while last year because we were post-COVID we didn't spend as much money as we spent normally. Now going forward, you know, the A&P spend will continue. It might moderate a little if the competitive intensity eases. And hopefully, our revenue will also look up over time. Our billings will sort of hopefully increase over time, but it's hard to say how this would play out at this point in time. I mean, of course, internally we will target to sort of reduce our burn in the coming quarters, but one can't be sure. So I c

an't give you a number and say, listen, this is what burn is likely to be going forward.

All I can say is we will try and optimize our costs, and we will try and grow revenue, and hopefully the burn will sort of overtime go down. But you know, if competitive intensity increase and all hell breaks loose, then we'll be forced to sort of respond to maintain our share.

The space has become a lot more competitive than it was, you know, a couple of years ago. At the same time, the real estate market is also bouncing back. So the market was in the dumps for many years for various reasons, but for the first time, you know, it looks like the real estate is sort of back. Prices are going up. You know, number of transactions have gone up in the last few quarters. So we're hoping that the real estate market will continue to be buoying for some more time.

Jaydeep Choraria: That's helpful. Only point that I wanted to have a follow-up on was what was the absolute marketing spend that we incurred for this campaign that we have been doing for quite some time? I've been seeing the ads coming on CNBC and all of that.

Hitesh Oberoi: So it's good to hear that you've been seeing this ad because you are our TG. But how much do we exactly spend? Chintan, do we give out that break up?

Chintan Thakkar: I don't think we don't give out at the business segment level.

Hitesh Oberoi: Well, it was substantially higher than--

Jaydeep Choraria: See, the idea is just to know how much of this will wither away with time. So how do I look at this business going forward in terms of EBITDA and all of that?

Hitesh Oberoi: See, whether it will wither away with time, I don't know. You know, because we, like I said, we continue to, we intend to continue to spend on advertising and promotion at least for some more time, right? And then a lot will depend on what sort of competition does in this space. But just to give you a sense, this number will be at least in around 30-35 crores a quarter.

Jaydeep Choraria: That's very helpful. And did we see any tangible impact on sales because of the campaign because it's been going around for quite some time?

Hitesh Oberoi: See like I said earlier, see, we're seeing a lot of competition in the space. So our competitors are spending a lot of money and that was beginning to hurt us. And you know, we had to respond to get our traffic share back. Now sales will follow, you know, over time. Sales don't, you know, because we sell subscriptions and, you know, clients sort of like to watch respond and see what happens to the response and then the basis the response they get on the platform, they sort of, you know, renew and upgrade over time. So whether this will result in more sale or not will be known to us only after a couple of quarters.

Jaydeep Choraria: Thanks Hitesh

Moderator: Thanks, Jaydeep. Next question is from Mohit Motwani from Edelweiss. Mohit, go ahead and ask your question.

Mohit Motwani: Thanks for the opportunity and congratulations for the great set of numbers. My first question is on the ad spends for Jeevansathi. So we have seen a quarter-on-quarter decline in ad spends and you have mentioned that, you know, you will maintain high expense because the competitive intensity is quite high. So does this decline in quarterly ad spend aligned with the fact that you are providing most of the services in Jeevansathi for free?

Hitesh Oberoi: You're right. So we have changed the model in Jeevansathi and we're experimenting with the new model. We've gone free on, you know, a lot of services which were paid earlier are now available for free, and that's helping us acquire more users. Our Hope in the long run is that if this model works for us, then we will not have to spend as much money on marketing as we used to spend earlier, right. And that's the goal.

Of course, you know, revenue is going to take a beating, but we believe that if we are able to get more traffic and if we ar

e able to make more matches and have more marriages happening through the platform, ultimately, we'll be able to figure out a way to monetize their traffic. But for a few quarters, you know, revenue will go down, and it's already down 30% over last year. But the hope is that, you

know, our spend will also go down over time and after a few quarters, we should be in a much healthier position with a lot more users, a lot more traffic, and a lot more engagement on the platform. And then, hopefully, we'll figure out a way to monetize at some point in time.

Mohit Motwani: So how long do you plan to continue this premium model for Jeevansathi and you know, what leads us to believe that, you know, once we start monetizing this after the free service when we start charging, they will stick with the platform? What leads us to believe that? Is it because they would be well accustomed with the features and what is the thought behind that?

Hitesh Oberoi: So this model as far as we are concerned at this point in time, this model is here to stay. We are looking to stay free for a long time, and then when we start charging, it is not as if we will sort of go paid again. We will probably figure out other services to charge for and other features and functionalities to charge for over time. But like I said, it's early days. Our hope right now is that this change in strategy will help us get more traffic, more engagement, will enable us to sort of, you know, get the network effect going for us, and will hopefully make us a largest player in this space after a while in terms of users and traffic and engagement. And once that happens, then, you know, monetization will follow.

Mohit Motwani: That's helpful. One other question on recruitment, right. So we are clocking a great set of numbers on growth front, and this is definitely because of how digitization has become a must today for the enterprises, right. So you're normalized in the last 10 years, if I see it has grown at 16, 17% of, you know, compounded annual growth rate. So do you expect this, you know, the current high growth phase to normalize in the next few years or you expect this to continue, high growth levels to continue for a foreseeable future?

Hitesh Oberoi: See, it's very hard to say. Depend on two, three things. One, of course, you know, the IT market. So IT is in our sense now close to more than half our sort of revenue, and if the IT market continues to do well, then the business will continue to grow fast with that part of the business. And right now, you know, IT sort of drove our growth, was responsible for our high growth rates last year and continues to be, I mean, IT hiring has slowed down a little bit in the last one or two quarters, but it continues to be strong. So that's one.

The second, of course, thing which impacts our growth is, you know, the economy and how fast the economy grows. Now when we went into COVID, the economy had started slowing down for the last couple of years before COVID and during COVID also. You know, we didn't see much growth because the economy was growing at 4, 5% per annum.

So right now we are seeing a, you know, surge in growth in non-IT as well because the market is opening up. The businesses were shut because of COVID. Now they're back to sort of operating like they used to earlier, but if the economy starts growing faster than it was growing earlier, then that should also help.

The third thing, of course, you know, like which I spoke about is that we are driving better price realization for ourselves, because we are sort of, you know, helping our clients understand the value that we're delivering to them. And that is helping us realize better prices. And also because the economy is sort of doing well and you mentioned digitization, everybody's going digital. We are adding more customers than we were adding earlier.

Lastly we, you know, got these new sort of set of products, you know, like

I mentioned, you know,

Zwayam, Do Select, iimjobs, Hirist. So we have a much bigger portfolio of products today than we had earlier. And we are hoping and expecting that these new products in our portfolio will continue to grow at a fast rate going forward. Today, they're, of course, a very tiny proportion of our business. But hopefully, they'll grow much faster than the rest of the business even if there is a slowdown tomorrow.

Mohit Motwani: That's all helpful. Thank you for taking my questions.

Moderator: Thank you, Mohit. Next question is from Srinath from Bellwether. Srinath, go ahead and ask your question.

Srinath: Hi, Sanjeev, just wanted to, you know, ask you what are your views on the ESOPs that have been issued by the newer tech companies in and around listing? And subsequently these ESOPs have, you know, seen large write-offs that kick in. Of course, there's an accounting angle to it, but they're front-ended. But from a good governance practice, in the context of good governance practice and in the context of, you know, our ownership in this space, you know, how should one look at these large ESOP issuances?

Sanjeev Bikhchandani: Yeah. So I think it's important to look at each case separately. Okay. Because each case is individual. I would not like to generalize. But a couple of things. See, first of all was the disclosure prior to the IPO or during the IPO document and the road shows, they're different. This is the situation. This is going to happen or this has happened, has been. It's a prior disclosure. It's one thing. There's no prior disclosure. It's quite another. And no prior disclosure is a problem. Okay.

The second thing I'd like to point out is that if founders have been diluted too much, right, will they have an incentive to stay for three, five years post the IPO, seven years post the IPO to at least run the ship? And if they have incentive, but maybe some amount of ESOP is justified, and this may not be just in, you know, tens of thousands. It could run into 1, 2, 3, 4% of the company. And if the dilution was forced upon them simply because of the competitive environment and, you know, competition raising too much money, and you have to raise in response, then perhaps a more sympathetic view can be

taken, which is what has happened in a couple of cases that we were involved in.

The third is was the right process followed in granting the ESOP? Did the founder grant himself the ESOP or herself the ESOP? Or was there an NRC accomplishing committee where there were no Executive Directors involved and it was either independents or investor directors, but the NEDs who were involved and not related to the promoter? Now those are the touchstones I would use to determine what is excessive and what is not.

Srinath: Thanks, Sanjeev. That was really useful given the, you know, confusion as in the listed analysts are finding it a bit difficult to make the bridge because of the concept of adjusted EBITDA is kind of new to us. So, you know, it's nice of you to share your view. Hitesh, wanted to kind of get an understanding of impact of the tech sector to us now including, you know, tech hiring by tech companies as well as tech hiring by non-tech companies like banks and so on. So where is that now? And you know, how is that broadly growing?

Hitesh Oberoi: So you see tech hiring was on fire for the last four or five quarters. And you know, attrition rates at most companies peaked, and talent is hard to get. You know, offers are getting rejected left, right, center, all kinds of stories around people getting double, triple the salary they were getting earlier.

So now, of course, the startup hiring market has slowed down because of what we're seeing around us, but startups are not a big part of our revenue sort of stream. Now are we anecdotally, what we are hearing from our sales team etc., is that, you know, tech hiring has slowed down a little bit. Having said so, at

trition rates are still reasonably high at most companies and talent is still hard to get, right.

So it's not as crazy as it was maybe three quarters back where companies were, you know, attrition rates were running at 40, 50% in most companies and offer sort of rejection rates were 70%, 80%, 90%. But it's still very, very hard to hire in tech. And there are still enough jobs in the market for people who are looking. But has it slowed down over the last two, three, four months? Maybe it has a little bit. Is it likely to slow down further going forward?

I suspect it's going to be a function of what happens in the US. There was some talk of a recession in the US and companies became cautious as a result. I don't know whether they are seeing business slow down. But you know, because of the talk sort of companies have become a little careful. If, you know, the US market turns and if, you know, the US starts growing once again, then perhaps who knows? I mean, you know, we may go back to the market we had two quarters back. Very difficult to say what is going to happen going forward. Clearly, in the US, there's no slowdown in hiring on the non-tech side, you know.

So I was in the US for a couple of weeks, and there are so many people who I've met who sort of been previous recently. There's a huge shortage of talent in at least, you know, areas like retail, hospitality, travel. You know, there's a complete shortage. IT hiring did slow down. I mean, there was some talk of a recession and because, you know, the NASDAQ went down with 30% and startups correct for 70, 80%, there was this sort of whole thing around tech hiring slowing down.

But my sense is that if the US goes back to sort of growing like it was growing earlier, then this talk will go away and, you know, companies which have become careful will start hiring once again as aggressive. But even right now like I said, you know, it's not as if hiring in tech is easy. It's still very, very hard.

Srinath: Got it, and it's still about 60 % of our revenues in tech and in non-tech also?

Hitesh Oberoi: If you include the tech guys who are getting hired in non-tech companies.

Srinath: It's still over about 60%.

Hitesh Oberoi: Yes, it's still about 60% if you include the tech guys who are getting hired in non-tech companies.

Srinath: Got it. My last question is on 99acres. So after, you know, some understanding of the Policybazaar business model, won't a business model similar to that, you know, how do you see that kind of fitting in the real estate space where there's a lead generation, and then subsequently a call center offline, you know, feet on street where we do our own kind of, you know, transactions, subsequently build an ancillary landscape in real estate with other tech products that we could sell builders and kind of take a much more ecosystem approach to this? Of course, you know, the burns will be significantly probably 5x, 6x higher than where it is now, but would that also translate into us kind of having a significant better pie of the real estate space? You know, any idea on how one should kind of look at a completely holistic approach of, you know, working on the industry or just looking at a listings platform, Hitesh, Sanjeev whoever, you know? I was just curious.

Hitesh Oberoi: very good question and you see there are all kinds of players who exist in the real estate space overseas and in India as well. There are brokerages. There are, you know, marketplaces like ours. We've invested in a company called 4B Networks. They are trying the aggregation model, which is very different from any of these models.

See, we've tied, you know, we actually experimented with a brokerage model many years ago. We had set up a company called All Check Deals and we ran that business for a while and then we shut it down. While you are right in saying that, you know, if we go end-to-end and sort of do the transaction, we can monetize a

lot better. But then it's also more expensive, you know, if you go down that path.

You have to invest in a sales team. You have to do transactions. You have to sort of, you know, so it's a different business, a different model.

Our belief so far has been that perhaps it is possible to create more value in the marketplace model, but then the thing with these models and especially marketplace models is that, you know, you have to be the number one player. You have to sort of, you know, be a leader in the market. You know, if you're a number three player, you don't create value. And you know, so you have to break away from the rest of the pack to be able to create disproportionate value.

As a brokerage perhaps many brokers can survive in the market and do well. But if you are, you know, if you want to be a marketplace, then you can create disproportionate value, but then you have to be a leader, like we are in Naukri. So, also the two models compete with each other. So it's very difficult to do both. So, for example, if we become a brokerage ourselves, you know, our clients may sort of not like it, and they may not want to advertise with us. So it's a choice.

So far, you know, we are of the view that we should perhaps continue to sort of invest behind the model. We have sort of, you know, sort of been working on for the last few years. So we could make investments in sort of other models, like we have investment in 4B Networks, but inside the company, we would like to persist with what we will be doing for years. It may not be a good idea now to sort of give up on this model and start something from scratch. And I mean, we do believe that it's going to be very difficult to be able to do both.

Srinath: Got it. Thanks, Hitesh and thanks, Sanjeev for taking your time off and giving a very detailed answer to all my questions. Thanks a lot.

Moderator: Thank you, Srinath. The next question we have Aditya Suresh from Macquarie. Aditya, go ahead and ask your question.

Aditya Suresh: Thank you so much for the presentation for your candid responses and also the great numbers this quarter. So I had two questions. So first was on the Naukri business, and I guess the question really is about the sustenance of the strong growth, right, and based on kind of what you're showing as billings and deferred revenue and the likes, would be fair to conclude that what you're showing as sales that momentum probably sustains at least for the next few quarters. And if so, therefore, your margins also kind of sustain. And I guess the context of what the question really is that your EBITDA margin is really been between 50% to 60%, and today we're closer to the peak of your Naukri business. And so I'm just wondering about the sustenance of that EBITDA margin in response to where you're seeing revenues at? That's the first question and the second question as well.

Hitesh Oberoi: So listen, we've had a great six quarters in Naukri. Last year it was primarily because of IT hiring. This year what we have, I mean, in Q1 of this year, our Naukri India b2b business billings grew by 80% actually, right? So even the billing growth has accelerated. You know, we were growing at 60, 70%, and now last quarter we grew at 80%. Will this sustain? I don't know.

See, what we are seeing is a non-it hiring pick up, but there are some murmurs around IT hiring slowing down. In Q1, we saw IT hiring also peak, non-IT hiring also peak, which is why our billings grew by 80%. I don't know what is going to happen to IT hiring going forward. If IT hiring sustains, if it continues to be as strong as it was last year, then, well, maybe we can maintain these growth rates. But it's a wait and watch situation.

So margins, you know, a lot will depend on how much we want to, so, you know, given that we're making so much money in Naukri, I mean, last to last quarter, we generated about 300 crores of cash in the Naukri business last quarter, which

is our weakest quarter actually, our smallest quarter, we

generated 230 crores of cash in the Naukri business. So, clearly, we can invest a lot more in Naukri. We are, for example, you know, back in media after a long time, not because we have to be in media, but we think it's a good idea to sort of, you know, be in media and sort of continue to be top of mind in the market.

We're investing behind new verticals like JobHai and Big Shift, which we're building in-house. These verticals don't make any money. Ambition Box, we're investing in Ambition Box, does not make any money. We are investing behind Zwayam. We are investing behind FirstNaukri. We are investing behind Do Select. These are tiny businesses right now. We're investing in Hirst, again a tiny business. So there are lots of new sort of verticals, you know, adjacent verticals we are investing behind inside Info Edge so that when the market slows down, you continue to sort of and these new products continue to sort of get us growth going forward.

So the margins, you know, we can improve our margin substantially. We can go to even 70% EBITDA margin if we stop investing in these businesses. But we've taken a call to invest more, but at the same time we don't want to sort of compromise too much on margin. We would like to maintain the margin in a certain range so that, you know, so that we are sort of disciplined about it also.

Aditya Suresh: Thanks, Hitesh. That's very clear. And I guess, in terms of the other verticals, do you have any updated kind of plan in terms of is any kind of upper limit in terms of the amount of losses you might be able to fund here? Or does the position remain that, I guess, we'll see how it goes and we kind of wait for the consolidation to happen?

Hitesh Oberoi: So I think we should, let's take the Jeevansathi business. So I think we should give it another two, three quarters to play out because we've just changed our model. You know, if this model succeeds, if this model succeeds, then our take on the business is that it may not require the

kind of marketing spend, you know, we've been doing in, you know, in this space going forward. But it's a wait and watch. I mean, we don't know whether this is going to succeed or not. We'll have to give another two quarters to see how it goes. You know, we are okay with the losing revenue, sacrificing revenue. As long as we get the net effect going, we get traffic, we get engagement on the platform, we'll figure out a way to monetize later. So we're trying to change the game here, but a lot will depend on how competition responds, what happens over the next two, three quarters. So let's wait and watch. Clearly, we don't want to invest much more than what we were investing last year, right? So the idea here is to change the game so that we don't have to make those kind of investments in the business to prove it. So that's the Jeevansathi vertical.

Now 99acres, see, the truth is we lost some ground in 99acres over the last two years because of COVID and we want to regain that ground. The space has become a lot more competitive. There are many new players in the space. There's NoBroker. There's Housing. There's SquareYards. There are a bunch of other people who are trying. The market is looking good after a long time. So, you know, and we've got some things we're working on and with those, if some of those sort of things work out as planned, then we are hoping that our burn will go down with every sort of passing quarter, but those things have to work out. So, again, I think, we'll have a much clearer answer on what will happen in this business perhaps maybe three quarters from now.

Aditya Suresh: Thanks, Hitesh, to your candid responses. Much appreciated. Thank you.

Moderator: Thank you, Aditya. Next, we have Vivekanand from Ambit Capital. Vivek, go ahead and ask your question.

Vivekanand: Yeah. Thank you for the follow up. So, Hitesh, you said that you w

ill persist with this

strategy in Jeevansathi. So what's your take on the time it takes for this model to scale up traffic without the kind of intensity of A&P that you were doing in the past? I'm asking this question in the context of, you know, similar web traffic data which doesn't really indicate that much of a change in the Jeevansathi domain? I understand that the mobile app data isn't captured here, but if you could just help us understand, you know, how patient you will be with respect to this?

Hitesh Oberoi: You're from Aventus, right?

Vivekanand: No, no. I'm from Ambit.

Hitesh Oberoi: Ambit. Sorry. Okay. So listen, so 90% of the traffic in Jeevansathi is on the app. So the similar web data has no relevance. So now we went free about three months, three-and-a-half, four months back, and we have seen an increase in traffic on the app. We are seeing more registrations. There is reasonably good word of mouth around the fact that we are free. We are seeing more matches happen on the platform. Now is it enough to change the game? It's hard for me to say. It's only been three, four months? Have we cut down our ad spend? A little bit, right, from where we were a few months ago. But we want to give it a good shot. You know, we want to sort of keep ad spend high for a while. We want to sort of be free for a while, and we want to see what happens.

Now this may never work out, right. This could just this could fail. So, you know, there's a caveat. It's not as if we are sort of 100% sure that this model is going to succeed. It could fail, but we want to give it a good shot. If it starts to succeed, you know, at least on the traffic front, we'll have a clearer answer two quarters from now, right? On the revenue front, it could take longer, because we will have to figure out new ways of monetizing this traffic because, you know, if it starts to succeed, we would not want to go paid once again. We would like to keep the chat free.

Vivekanand: That's pretty useful. Just one additional question in this context. So till now we have only explored a model of subscription for this service. Is it possible to, you know, think about say alternative, perhaps advertising or transaction business models here? Or is it too early to even talk about these things?

Hitesh Oberoi: See, our team has started thinking about it and there are sort of, you know, other models around. You know, if you sort of look at what's happening in China and sort of other markets, there are some other models. So we are studying those models, and we are trying to figure out what we can do here. But like I said, see, the short-term focus, the focus of the next two, three quarters is traffic growth, more engagement, more matches, more registrations, more monthly active users on the platform. The idea is that so and like I said we'll start worrying about, you know, revenue later. And the hope is that once we get to that point, we won't have to spend as much money on marketing as we are spending right now.

Vivekanand: Okay. That part is clear. So just to understand this better, you know, you think that you will reach a stage where you will not have to spend as much in advertising on a sustainable basis. Is that what you mean when you say?

Hitesh Oberoi: That's a hope. That's a hope. If we are free that's a strong value proposition, and that should drive a lot of sort of, you know, traffic on the platform once there is word of mouth, right? So we have to get the word of mouth going. We have to have, you know, get more traffic, get more matches happening through our platform. You know, then that creates word of mouth and that automatically gets more users.

So now whether that will play out like they are expected to play out, and whether it will play out in one quarter or three or six is hard for me to say right now. What I can tell you is that we are seeing more traction than we were seeing three months back, and we don't

have, and we are not spending as much money as we were spending earlier already.

Vivekanand: Okay, understood. Thank you very much for the detailed explanation.

Moderator: Thank you, Vivek. The next question is from Vijit Jain from Citi. Vijit, go ahead and ask your question.

Vijit Jain: Hi. Thank you for the opportunity, and my question is on the education business. Just trying to understand, you know, with this new business model that you are trying in there, is there going to be a lot of seasonality here around college recruitment seasons and, you know, overall, you know, your two cents on how that is evolving?

Hitesh Oberoi: So there's no new business model in Shiksha. We are following the same model we had, you know, we were following earlier. It's just that because of COVID, the education sort of seasons have changed, you know, so because of delayed sort of Board exams and delayed JEE exams and, you know, and so many other things have been happening. The seasonality has shifted a little bit, right? And hopefully, I think things will be back to normal by next year on that front.

What has changed a little bit in the Shiksha business is that we are, you know, slowly and steadily scaling up our study abroad business, which was a tiny part of our business till some time back. And we are investing a lot more behind that sort of vertical, and in that vertical, the model is end-to-end transaction, right. So we actually counsel students and we sort of send them overseas. We handhold them and send them overseas, unlike the Shiksha domestic business, which is primarily a lead gen business where we sort of generate leads and sell them to customers, and then the customers sort of close on their own with like the 99acres business. So I hope that answers your question.

Vijit Jain: Yeah, sure. Thanks, Hitesh. Hitesh, my second question is in the recruitment business, you know, you did mention, you know, the non-IT sectors are starting to, you know, come back mean the contact-based services post opening up. I'm just wondering among the bigger non-IT sectors, non-tech hiring, which are the ones where you think the momentum is fairly strong even when you are just for, you know, the low base of last few years? So is it financial services? Is it infrastructure services? Which are the categories where you're seeing growth, you know, even versus say an FY19 or FY20?

Hitesh Oberoi: So some non-IT sectors have done really well over the last few years for us, but tiny sectors on our platform to start with. But I don't know whether it's because the sectors are doing well or because there's more digitization and more and more people are moving online are sectors like education, sectors like health services, you know. So these two sectors, for example, you know, our JobSpeak Index, you know, has gone through the roof over the last two, three years, right? There are some other sectors also which are doing okay like banking, financial services, insurance, but you know, they're not like on fire. And if you adjust for COVID etc., maybe they're okay. They're like they were earlier, but some of these sectors have done really well over the last two, three years.

Vijit Jain: Thanks, Hitesh. Those were my questions.

Moderator: So we are done with the questions so far. We may wait couple of more for 30, 40 seconds. If there are more questions, please raise your hand. Vivek, that was the last question we had.

Vivek: Thanks everyone. On behalf of Info Edge, we conclude this call. Thanks. You may disconnect the call now.

Call: Nov 2022

Date: November 19 , 2022

1. The Manager- Listing
National Stock Exchange of India Limited
(Scrip Code: NAUKRI)

2. The Manager- Listing
BSE Limited
(Scrip Code: 532777)

Sub.: Transcript of Q 2 FY 20 22-23 Post Result Conference Call

Dear Sir/Madam,

In furtherance to our letter dated November 15, 2022 and pursuant to Regulation 30 of the SEBI (Listing Obligations & Disclosure Requirements) Regulations, 2015, given below is the link of the transcript of the Conference Call on the Financial Results for the Q uarter and Half year ended September 30, 2022, held on Monday , November 14, 2022 at 06:30 PM (IST) , post declaration of results. The same has been updated on the website of the Company

Link: https://www.infoedge.in/pdfs/financial_pdfs/f_Earnings/investor -concall -transcript -14nov2022.pdf

A copy of the transcript of the Conference C all is enclosed herewith.

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Request you to take the same on record.
Thanking you,

Yours faithfully,
For Info Edge (India) Ltd.

Chintan Thakkar
Whole -time Director & CFO

"Info Edge (India) Limited Q2 FY '22-23
Results Conference Call"

November 14, 2022

MANAGEMENT : MR. SANJEEV BIKHCHANDANI -- VICE CHAIRMAN , INFO EDGE
(INDIA) LIMITED
MR. HITESH OBEROI -- MANAGING DIRECTOR & CHIEF
EXECUTIVE OFFICER, INFO EDGE (INDIA) LIMITED

MR. CHINTAN THAKKAR – CHIEF FINANCIAL OFFICER, INFO
EDGE (INDIA) LIMITED

Operator : Hi everyone. Good evening, and welcome to Info Edge India Limited Q2 '23 Financial Results Conference Call. As a reminder, all participant's line will be in listen-only mode, and there will be an opportunity for you to ask question after the presentation concludes. Should you need any assistance during the conference call, please raise your hand on the screen. Please note that this conference is being recorded. Joining us today from the management side, we have Mr. Sanjeev Bikhchandani, Founder & Vice Chairman, Mr. Hitesh Oberoi, Co-Promoter & Managing Director, and Mr. Chintan Thakkar, CFO. Before we begin today, I would like to remind you that some of the statements made in today's conference call will be forward-looking in nature and may involve some risks and uncertainties. Kindly refer slide number two of investor presentations for detailed disclaimer. Now, I would like to hand over the call to Mr. Hitesh Oberoi for his opening remarks. Thank you, and over to you, Hitesh.

Hitesh Oberoi : Thank you, Vivek. And good evening, everyone. Hope you're all doing well. And welcome once again to our second quarter earnings call. As always, we will start with an update on standalone financials, and we'll talk about the market conditions in each of our operating verticals, and then cover the financials of each business in more detail. And then of course, we'll have time for Q&A in the end. The audited financial statements and other schedules on segmental billing, revenues, etc, along with the data sheet have been uploaded on our website infoedge.in. Overall billing since Q2 grew to rupees INR542.9 crores up by 31.4% from Q2 of last year. Billing for H1 '23 stood at INR1067Cr growths and year-on-year growth of 45%. Revenue in Q2 stood at INR531.8 crores up by 46.7% from Q2 of last year. Revenues for H1 '23 stood at INR1039.5 crores and year-on-year growth of 50.5%. And billings and revenues along with acquired businesses like Zwayam and DoSelect stood at INR539.5 and INR549.5 crores respectively. Operating expenses for the quarter, excluding depreciation and amortization were INR347.8 crores up by 38.2% from Q2 of 2022. And operating EBITDA for the quarter stood at INR184 crores versus INR110.8 crores last year, an increase of 66.1% from Q2 of last year. And EBITDA for H1 '23 stood at 347 crores. Operating EBITDA margins for the quarter stood at 34.6% compared to 30.6% for the same quarter last year. And EBITDA margin for H1 stood 33.4%. And operating EBITDA including acquired businesses stood at INR189.6 crores a year-on-year increase of 79%.

Cash from operations for the quarter stood at INR299.9 crores compared to INR171 crores last year for the same quarter. And the business generated INR383.8 crores of cash from operations in H1 '23. Deferred sales revenue stood at INR840.9 crores as of September 30th, 2022 versus INR562 crores as of September 30th, 2021 and increase of 49.6% year-on-year. And the cash balance of Info Edge, including the wholly-owned subsidiaries stand at INR3250 crores as of September 30, 2022. It stood at INR3880 crores as of September 30th, 2021.

The JobSpeak index for the month of September was up 12%. However, hiring slowed down in IT and IT segments September onwards. This trend continued in the month of October with a negative growth of 18% in IT and telecom sector. However, an early festive season also impacted the index for the month of October as it closed 3%, down 3% year-on-year.

However, in hiring in Q2 remained upbeat with high growth and non IT sectors like banking, real estate, insurance, travel, tourism, hospitality, retail, etc.

The quarter saw demand for low to mid management profiles gaining momentum across industries.

We also experienced a vibrant real estate market during the last quarter. Strong momentum and new growth sales continued across top cities in Q2. We noticed an upward trend in property prices. We expect the unit s

ales

momentum to continue in near term despite the hike in home loan interest rates announced recently. We also expect builder clients to launch more new residential projects in the second half of the current financial year.

University and college admissions are a little delayed this year. We expect the academic season to return to normal from next year.

Moving onto our financials for the recruitment business. In Q2 '23, the recruitment segment billings were INR425.6 crores up 41% from Q2 of '22. While revenues were INR418.1 crores up 56.4% from Q2 of 2022. Billing for H1 '23 stood at INR840.6 crores, a year-on-year growth of 51.7%. While revenue stood at INR805.2 crores for H1, a growth of 61.5%.

Operating EBITDA stood at INR2, for the recruitment business stood at INR254 crores up INR61.3 crores, up 61.3% from Q2 of last year. Margins stood at 60.8% versus 58.9% in Q2 of last year. EBITDA margins for H1 '23 stood at 60.2%. Cash from operations for the recruitment business during the quarter stood at INR280.4 crores up from INR201.6 crores in Q2 of last year. The business generated INR515.8 crores of cash from operations in H1 '23. Cash from operations as a percentage of billing from the business stood 66% for the quarter.

Billings for Naukri India for the quarter stood at INR356.2 crores, up 46.3% year-on-year. While revenues for the quarter stood at INR352 crores, up 63.6% year-on-year.

Recruitment selling segment billing, including acquired businesses like Zwayam and DoSelect stood at INR442.3 crores, a growth of 44.8% YOY for this quarter.

IIMjobs and hirist year-on-year growth of 47.3% in their billing numbers for this quarter. And Zwayam and DoSelect also reported serious growth in Q2 of this year over Q2 of last year.

The Naukri business continued its growth momentum on the platform. Site registered increased job seeker traffic and recruiter actions during the quarter, around 22,000 new CV's were registered per day during the quarter, a

year-on-year growth of 12%.

The active base for our mobile app also continues to increase significantly month on month.

The sales team continued with their strategy of creating more awareness around the value generated from our products to drive deeper value realization during the quarter. We increased our marketing expense during the quarter as we continue to invest behind our recently launched "My Kind of Naukri" campaign, which targets the Gen Z audience.

We also upped our stake in Coding Ninjas from 26.1% to 51% this quarter. We invested INR135 crores. The investment shall help our recruitment business to explore and maximize business energies in the learning space and take us towards our long term goal of transforming Naukri from a jobs portal into a careers platform. The AmbitionBox platform launched its second edition of AmbitionBox best place to work in India in Q2.

In the education business Shiksha, Q2 billings grew 31.3% year-on-year and stood at INR24.8 crores. While revenue grew 20.1% to INR25.9 crores.

Billings for H1 '23 stood at INR55.1 crores, a year-on-year growth of 30.9%, while revenue stood at INR57.2 crores with a year-on-year growth of 29%.

The Shiksha business made an EBITDA loss of INR1.8 crores in the quarter versus a profit of INR5.1 crores in Q2 of '22. Cash outflow from operations for the quarter stood at INR1.7 crores against INR1.4 crores in Q2 of '22.

Moving on to the 99acres business, billings in Q2 grew by 11.1% year-on-year and stood at INR75.7 crores, while revenue grew from INR48.3 crores in Q2 of 2022 to INR69.7 in Q2 of '23.

Billing for H1'23 stood at INR136.8 crores, year-on-year growth of 51.2%, while revenues stood at INR136.1 crores, a year-on-year growth of 39.6%. The operating loss for the quarter in 99acres stood at INR29.6 crores against the loss of INR21.9 crores in Q2 of last year. And the business reported a cash outflow from operations of INR19.1 crores for the quarter against th

e cash inflow of INR4.4 crores in the same quarter of last year.

In 99acres, we are seeing revenue growth across all categories, resale, rentals, commercial, new homes. Responses from the platform continue to grow year-on-year. We were able to increase inquiries for our clients with both, with increasing traffic growth and other multiple client delivery initiatives. We further increased our focus to improve reviews from residents and to get more transaction prices on the platform to help buyers and owners get more insights about the real estate market. We will continue to invest on platform content, client delivery and marketing in the months ahead as well.

Moving onto the matrimony business Jeevansathi, billings in Q2 decline by 30%, 30.4% year-on-year to INR16.9 crores and revenue declined by 28.7% year-on-year to INR18.1 crores.

Billing for H1 of '23 stood at 34.5 crores, a year-on-year decline of 30.1%, while revenue stood at INR41 crores, a year-on-year decline of 18.9%.

Operating EBITDA losses for the quarter stood at INR26.6 crores for the quarter against the loss of INR21.2 crores in the same quarter of last year.

Cash outflow from operations for the quarter stood at INR29.8 crores against an outflow INR27.7 crores in Q2 of last year.

The Jeevansathi's, the chat for free model has helped us in accelerated growth of platform engagement metrics. The growth and billings bottomed out in July and since then has been steadily improved. Jeevansathi team has continued to focus on improving the recommendation experience of the platform in addition to building brand salience in the category.

Our dating platform Aisle witnessed a growth of 152.5% during the quarter and registered revenues of INR7.9 crores. The business continues to value new growth paths and accordingly, all four vernacular apps, redesign to make them more user friendly.

At the consolidated level for the company as a whole, net sales for the company stood at INR604.1 crores versus INR366.1 crores in Q2 of last year. For the consolidated entity at the total comprehensive income level, there is a gain of INR470.7 against INR13,808.5 crores for the corresponding quarter in the previous year. The gain for Q2 FY23 includes marketed to market gain of INR394.5 crores on investments held in Zomato and Policybazaar, our Listed companies, being the difference between share price as it end and beginning of the quarter. The gain of Q2 FY22 had included INR13607.9 crores arising from the listing of Zomato in that quarter and the marked-to-market gain therefore on the share price at that quarter end. Adjusted for the exceptional items, PBT stood at profit of INR148.7 crores in Q2 of '23 versus INR69.9 crores in Q2 of '22. Thank you. We are now ready to take any questions that you may have.

Questions and Answers:

Operator : Thanks Hitesh. We'll now begin the Q&A session. Anyone who wishes to ask a question may raise your hand on the screen. We'll take your name and announce your turn in the question queue.

The first question is from Deep from B&K. You can go ahead and ask question Deep.

Deep: Yeah, hi. Thanks for the opportunity. So Hitesh, first question is actually around 99acres. So what we've seen is there is a mixed trend there. Billings have only grown 11% at the same time our losses have remained. So

if we could just help us understand better what's happening in that segment and how should we think about this segment going forward, especially that we are investing a lot more for brokers now. How should we think about 99acres as a whole?

Hitesh Oberoi : What we are seeing in the market is that the real estate segment is back, property prices going up, more real estates have been bought and sold than was a case earlier. The real estate market was in doldrums for many years, but it's now sort of slowly and steadily bouncing back. There seems to be a shortage of supply because not enough projects were launched

over the last couple of years due to COVID. Same time demand is picked up, so therefore prices are going up in several pockets. As far as our business is concerned, our business was hit very badly because of COVID last year, which is why you are seeing solid growth in the first half in terms of revenue because of the low base. But I think the way to look at 99acres is how are we trending month-on-month, quarter-on-quarter. So we are now at a point where we hit a monthly run rate of about INR25 crores a month. And yes, our losses have gone up because we are investing a lot more in product development. We are investing a lot more in marketing than was the case earlier. And partly it's also because of the increase in comparative intensity in the space. There are many more players who are active and they're spending a ton of money right now, and therefore we are sort of being forced to respond to keep our share. How will things shape up going forward will, to a large extent depend on how well we execute on the ground, number one. And so it'll depend on how fast and how well we are able to execute as a team on some of the initiatives that we are pursuing inside the company. And two, it'll depend on how competition sort of behaves in the market. If they continue to invest aggressively, then for a while, you know, we may be forced to up our marketing investments to counter them. On the other hand, if competitive intensity starts to decrease, then you know, that'll be a different ballgame. But the overall market looks decent. Now, we don't want the market to, you know, become unaffordable for real estate buyers. We don't want prices to go through the roof also. We don't want it to be a market where people launch projects and they get sold immediately because of sudden surge in activity. Because then we may not be required. At the same time, we don't want a very poor market also where nothing sells, so fingers crossed. But after a long time it looks like, you know, there is a buoyancy in the market and that should be good news in the medium term at least.

Deep: Right. Thanks for that. Also, if you could help us understand a bit more about Broker Network, I see we invest a lot of money there. So, you know, if you can help understand what is it and any chance we are getting back into transactions or that is still not a place we want to explore?

Hitesh Oberoi : Yeah. So Broker Network and investment, you know, we don't run the company. But yes, we've invested in the company and the company was pursuing a very aggressive model, you know, till recently. You know, they're basically in two different businesses. They enable site visits for new projects for developers and they charge for site visit. So that's one model. And then they also sort of help, you know, organize home loans and they take a cut on that. So that's the second model, you know, sort of the second business they are in. They want to make a transaction cut from developers, you know, they've launched something in that area, early days still.

Deep: Right. Perfect. That's it from my side. Thank you so much.

Hitesh Oberoi: Thanks. Vivek you are not audible.

Operator: Sorry. Next question is from Jay, she's from Julius Baer. Jay, you can go ahead and ask your question, please. Jay, you're on mute right now.

Jay: Hi, am I audible?

Hitesh Oberoi: Yes.

Operator: Yes, yes you are.

Jay: Yeah. Hi. Hi Hitesh. A quick question, could you comment on the IT sector and the demand in that space, please?

Hitesh Oberoi: Yeah. See, for the last seven quarters, you know, the IT sector was on fire, attrition rates are very high. It was massive inflation, tremendous hiring, again, mismatch of supply and demand, not enough supply, you know, certain surge in demand. And that is great for our business. Now anecdotally, what we are hearing from people in the market right now, and what we are witnessing in our company also is that attrition

rates have come

down a bit and things are normalizing. And therefore I suspect, you know, growth in IT hiring will moderate going forward. And now how much will it slow down by, very hard for me to say at this stage. Will it slow down, definitely? Will it crash, I don't know. For how long will it slow down? No idea. Again, it might depend on what happens in the US because the IT sector is more index what happens in the US and to what happens in India. So that's where we are with as far as IT is concerned at this point in time.

Jay: Thanks Hitesh, got it. Thanks.

Operator: Next question is from Raghav. Raghav is from Citi. Raghav, please go ahead. Raghav, you're not audible.

Vijit Jain: Hey hi.

Operator: Yeah, you are audible now.

Vijit Jain: Hello? Can you hear me?

Operator: Yes, we can.

Vijit Jain: Oh, sorry. This is Vijit. So my question is first off on IT hiring Hitesh when you said also in the TV and in the press release that IT hiring is now normalizing. Just wondering, A) does normalizing mean back to pre-COVID kind of levels? Is that the definition of normalizing here at the moment? And related question in the overall recruitment space, can you talk about any future investment plans in the other company that you invested in there, right? Coding Ninjas, that's a learning space, right? So how should we think about that going forward?

Hitesh Oberoi: Yeah. So again, very, you know, early days, too early for me to comment on how this IT hiring will sort of shape up going forward. And, you know, October was, is also misleading because of the festival season. Many companies sort of slow down their operation in the festival season, But what I said earlier on the, in the call that, you know, certainly attrition rates are trending south in IT, it was a crazy market until some time back. It is a more normal market now. Now that may not be the case with all companies. Okay. You know, maybe some companies are doing better than others, some are not. Now so that's what I meant by things are beginning to normalize. It's not as if IT companies are laying off workers. We haven't have come across any such sort of case at this point in time. But certainly they're negotiating harder that it'll take more time. You know, they're not under as much pressure as they were earlier at least some of them. And, you know, attrition rates seem to be slowing down by how much, I guess, depends on the company.

Vijit Jain: Got it. Thanks Hitesh. And my second question was on Coding Ninjas investment plans there, how should we think about that going forward from both cash bank perspective?

Hitesh Oberoi: Yeah. So we've been invested in Coding Ninjas for a while and they've made good progress, and which is why we've increased our stake from, you know, 25%, 26% earlier to now, 51%. And the idea is to sort of deeply integrate with Naukri going forward. Till now they were mostly focused on, you know, providing, you know, education solutions to students in campus, i.e. undergrad students. But increasingly they're looking to offer more and more courses, up-scaling courses for working professionals as well. And over time we will sort of integrate their offerings with the Naukri platform. It is part of our overall sort of vision, long term vision, you know, to transform Naukri from just being a job board into a more sort of holistic careers platform where sort of, you know, we help people not just find jobs, but we also help prepare them to sort of find the right jobs for themselves. We inform them and prepare them and sort of teach them as well. So that's the long term game plan. Of course, a lot will depend on how the business sort of shapes up over time.

Vijit Jain: Right. So Hitesh, I guess, so sorry, one last question around that. Is that more around the lines of online learning or there's offline learning component there as well?

Hitesh Oberoi: No, it's more, it's like right now it's purely online learning.

Vijit Jain: Got it. Great, thanks. Sorry, if I can have one last question from my side, just on the recruitment side the non IT recruitment sector, you've called out as some of those spaces are picking up pace. From a more, you know, removing the whole low base of the last few years perspective, how do you think that non IT sector shaping up from here given that IT sector is normalizing? Should you, or do you think the share of non IT goes up from whatever, 40% odd of your billings or revenues to somewhere more closer to 50 plus or how should one think about that?

Hitesh Oberoi: Well, you know, see, the non IT hiring is more index to the Indian economy and how the, you know, how GDP growth in India. Now, partly what we are seeing is a surge in hiring on the non IT side because non IT companies are pretty much, you know, sort of because of COVID, they were shot for business for some time. They had laid off workers, their business had contracted, now they're bouncing back, you know, revenge travel, revenge shopping, revenge, everything, right? And therefore we are seeing a massive surge in demand for talent in spaces like retail, travel, hospitality, you know, banking, financial services, insurance, telecom because of IT sort of, and so on and so forth. So we are seeing the, so there's more demand for sales professionals, finance professionals, marketing professionals, customer service reps, and, you know, and so now what had happened over the last seven quarters was, or at least for the last four or five quarters was that IT demand had picked up and there was

a surge in demand and which is why the share of IT in our overall mix perhaps went up by about 5%, 7%. Now, if IT hiring slows down and non IT companies continue to ramp up, then of course, you know, we might go back to how things used to be pre-COVID for us. But that will depend on whether this IT, boom in the non IT space is sustainable and how sustainable it is. So if it's going to be like this for a while, then of course, you know, the share of non IT and total hiring will pick up.

Vijit Jain: Got it. Thanks. Thanks a lot Hitesh.

Operator: You have someone from Laburnum Capital who had raise their hand, I would request them to please ask the question.

Amit Khetan: Yeah. Hi, this is Amit Khetan from Laburnum Capital. Good evening, and thanks for the opportunity. So I had a question on the matrimony business. So we've had a change in strategy, I guess, over the last six months or so, if I'm not wrong. How is that playing out? Can you share some metrics either in terms of market share or traffic share, like you do for other verticals? Because otherwise we cannot make sense of what's really going on here. And second just related to that is how much are we spending on marketing on a quarterly basis? And has that gone down post on new strategy or gone up? Just some numbers, broad numbers would be really helpful.

Hitesh Oberoi: Yeah, yeah. No, no. So I can't share all the metrics for competitive reasons, but we are very happy with the progress that we are making. We have gained substantial traffic share in our view over the last few quarters is, you know, especially in the communities where we are reasonable players, you know, people are, more people are registering with us, people are spending more time on the platform. We are enabling more matches, and hopefully more and more managers are also happening to us. And, you know, so we are very happy with, you know, gains and traffic share. And this is despite us slowly, you know, we've cut down marketing spends also, so it's not as if we are spending crazy money on marketing. Our revenues down 30%, you know, our collection is around 30%, billing is around 30%. But despite that, we are perhaps losing only as much money as we were losing earlier. And if the numbers continue to trend in the right direction, then losses in the matrimony business goin

g forward will be much lower than what losses were in Q3 and Q4 of last year. So in Q3 and Q4 of last year, we are up to spend on marketing significantly in our matrimony vertical. And since then, the marketing spend has been slowly trending down. Now we don't want to, you know, sort of cut marketing overnight also because we need to sort of get the word out that we are free, right? Because people need to know that we are free. So for some time this marketing spending, spending will continue. At the same time, we are working on new models and new ways and means to monetize our audiences. But, you know, early days on, on that front, so wait and watch for the next few months. Let's see how it goes.

Amit Khetan: Got it. Any sense of, have we lost, have we gained market share in terms of number of users?

Hitesh Oberoi: Yeah, absolutely. Like I said, we've been gaining traffic share on the user side in all the communities where we are present. So while we have lost market share as an revenue market share, we have certainly gained on user market share.

Amit Khetan: Got it. Thank you.

Operator: We have next question from the line of Vimal Gohil. Vimal, can you go ahead and ask your question, please?

Vimal Gohil: Yeah. Thanks. Thank you for the opportunity, sir. My first question was on our Naukri business. I just wanted to get a sense on, you know, the slowness that we've seen in the unique user. I do understand that partly it is because of the IT hiring slowing down. But should that essentially lead to a decline in user base for us? That is point number one. And the related point would be that you have more than made it up by increasing the revenue per unique user.

Hitesh Oberoi: Unique user by you mean what? I mean customer or on the recruitment side or on the job side?

Vimal Gohil: Yeah. On the recruitment side, on the unique, number of unique users, unique customer.

Hitesh Oberoi: Customer side.

Vimal Gohil: Yeah.

Hitesh Oberoi: Which number are you referring? Because as far as we are concerned, we're not seeing any decline in unique customer, quarter-on-quarter or year on year?

Vimal Gohil: Yeah. It's a sequential decline on the unique customer side.

Hitesh Oberoi: You know, I would say a lot of these customers are at the bottom, you know, so they don't generate too much revenue for us. And often it's a function of how many holidays fall in that quarter, you know, etcetera, etcetera. So I will not read too much into that. But in general, you know, when the market slows down, then new customer addition does go down a bit.

Vimal Gohil: Got it, sir. And just wanted to get again, you know, you sort of more than made up on the average revenue that you've generated for unique user. That was my second point. I mean, how much of that would you relate to, you know, more a better mix and the addition of your other services like DoSelect, Zwayam, etcetera?

Hitesh Oberoi: So you don't give the breakup, but you know, when we sort of build more from a customer, it's mostly an account of one, you know, sometimes buying more services, as in, we have launched so many new products and services, so a lot of customers end up buying some of these new services that we've taken to market. Two, you know we've seen serious good pricing gains over the last few years, last few quarters, you know, and so that's been across the board. We realized better prices than we realized earlier. We went into COVID, we were discounting heavily, you know, because the economy was slowing down and after, during COVID also, we had to discount heavily to sort of retain, because companies were not hiring. But therefore our pricing had gone down substantially over the last, you know, two, three years. So that has now gone back to normal levels. In fact, we are working hard to sort of customers see the value that we are creating for them through some of the tools we've launched sales analytics

tools and customer analytics tools. And so that's helping us realize better prices. And thirdly, also what happens in a good market is, you know, customers need to hire more people so they buy more volume. So it's perhaps, you know, so ARPU has gone up, it's a mix of all three.

Vimal Gohil: Right, right. Just to understand that, you made a pertinent point that and how many, what is the share of our customers who are using these add-on services that we have? Is the penetration up there? I mean, do we have some low-hanging fruit there? Or you have almost most of your large customers using your services already?

Hitesh Oberoi: No, no, no. So we have a long way to go. Of course, there is more competition in some of these new spaces, and there are other players you're competing with. But penetration levels are nowhere close to even 20%, 30%, 40% in different products, but they are very low. But there is more competition as well.

Vimal Gohil: Understood. And lastly, sir, just one question on Coding Ninjas. I think you made, you made a point on finding some synergies with the core Naukri platform. My belief is that Coding Ninjas would be a direct B2C sort of a model and our platform is more B2B. How are you sort of looking at synergies then are you looking to sort of cross-sell Coding Ninjas to your existing enterprise customers? Or how will that transition happen?

Hitesh Oberoi: Firstly, our platform is not B2B. Our revenue is mostly B2B, right? We have a B2C part of the business. So we have millions of job seekers who visit our platform every month. They spend a lot of time on the platform. They register on the platform, they apply for jobs on the platform. So there's a shortage of users on the platform. Revenue generation is mostly on the B2B side. About 7%, 8% of our revenue comes from job seekers segment even today, we have this fast-forward business where we sell services to jobseekers that's not the primary focus. But we get about 7%, 8% of revenue or 5%, 6% of our revenue from the jobseekers today. You are right, Coding Ninjas is a B2C offering right now. There is no plan of taking Coding Ninjas to recruiters at the moment. And therefore, what we will do is integrate the Coding Ninjas offerings with our Naukri platform more and more going forward. And in the process, hopefully, we will break down the cost of customer acquisition for Coding Ninjas.

Vimal Gohil : Got it, sir. Sounds interesting. Thank you so much. And all the very best.

Hitesh Oberoi: Thanks.

Operator: Next question is from Vivekanand from AMBIT Capital.

Vivekanand Subbaraman: Yeah. Thank you for the opportunity. Hitesh, you said that the increased billing, you highlighted the three factors. Were they in order of importance in terms of contribution to the increased billing? Or was it just in no specific sequence?

Hitesh Oberoi: No specific sequence.

Vivekanand Subbaraman: Okay. And as far as the commentary on IT is concerned, you did mention that things are now normalizing. So would a sharp decline in attrition rate meaningfully weigh on the volumes right now? And is there a possibility that we might be looking at a potential decline in billing for recruitment if this were to play out, let's say, attrition declines by say 5% industry-wide, would this meaningfully result in a sharp cut in the billing? Or are we looking at a situation where things, this is like the new base where all the discounts have been withdrawn and all the pricing is back to normal levels.

Hitesh Oberoi: It's really hard for me to say, I don't know how it's going to play out. We don't know for sure whether there is slightly, I mean, there is a fall in attrition, but how much a attrition fall by is hard for me to say whether attrition fall for one quarter or whether this will be a sustained slowdown unclear at this point in time, have companies over-hired a lot to depend on that also, right? Or what we're still scrambling

g to get talent and

suddenly now things are getting better. I guess the situation will be different for different companies. So it's very hard for me to say. What I can tell you for sure is that attrition rate seem to be trending south. Now how much South god knows. And where will this finally stabilize, unclear to me. We have seen a sharp fall in attrition in our company, but that's because many of our employees to deeply join start-ups and start-ups, as you know, are in big trouble. But we don't make a lot of revenue from startups. We may mostly sort of make our money from IT services companies and from captives. In the past, we have also seen that whenever there is a slowdown or a recession in the U.S., the Indian IT industry gets hit for a quarter or 2. But in the end, the benefit because a lot of jobs, more and more jobs are outsourced to India. I don't know whether that will happen this time around. But if that to happen, then business will start picking up again in a couple of quarters. The demand should for IT services companies should start picking up again. So early days, it's very difficult for me to say how it's going to play out.

Vivekanand Subbaraman: Okay. Just one follow-up with respect to the billing trends. So when we look at the growth today, right, the Naukri India 46% year-on-year billing growth, is this trend meaningfully different for IT versus non-IT? And secondly, on the billing side, would the segments of IT hiring, which is IT services, captives and, let's say, the domestic firms hiring for their IT needs. Is the billing trend very different on that count also?

Hitesh Oberoi: Not very different for Q2, right? But what I said is that, listen, what they're picking up is some stories around IT hiring slowing down going forward. So it could change going forward, right, but not very different for Q2.

Vivekanand Subbaraman: Okay. You are saying that even this quarter, the billing growth for IT versus non-IT was on a similar tangent, is it?

Hitesh Oberoi: Yes, even IT hiring growth for us was pretty solid in Q2 as well.

Vivekanand Subbaraman: Okay. Fair enough. So second question is on 99acres. Initially, you mentioned quite a bit about how you are seeing that the market is in a sweet spot for your platform. And of course, you feel that this momentum is here to stay. But just trying to understand this better. You had a couple of years ago, I believe you had done a reorganization focusing on specific verticals, new launches, resale, rental, commercial, so would it be possible for you to give an update on that, on where this is progressing, maybe segment-wise commenting?

Hitesh Oberoi: So internally, this is how we are organized. We have teams that work on resale. We have a team which works on new homes. We have a team which works on rental, so we have teams that work on commercial. Of course, the commercial and rental part of the business are small. It's mostly new homes and resale where we get our revenue. Almost all sectors have bounced back. So there's a lot more commercial activity in the market as companies go back to working from office. There's a lot more rental activity in the market because a lot of people have sort of left their the cities in which they were working and going back home, they're all coming back. And therefore, there is a surging demand for bigger houses for more houses to rent. Suddenly, we are also seeing real estate prices go up, and that has bought, brought a lot of buyers back into the market. And of course, people have seen, at least in IT, seeing very good salary increases over the last couple of years. So certainly, there is a demand for more housing as well. And at the same time, suppliers of new homes has gone down, there's less inventory because there were not enough new projects which were started during COVID. So on the whole, the whole market is looking attractive, and prices have gone up. At the same time, we worry

about

the fact that prices work too much in the, real estate become unaffordable, and that will result in a lot of buyers sort of getting priced out of the market. And so market in the middle is at what works best for us.

Vivekanand Subbaraman: Okay. My last question is on the number of customers that you report. That number, both on the builder and the broker side has gone up significantly. Compared to last year, actually, in the last couple of quarters, this number has been quite elevated compared to, let's say, the trends that were there in all 4 quarters of fiscal '22. So are the benefits of the billing completely in the base now in terms of the pricing interventions or multiple products that we would have sold to these customers or is there more scope to extract billings from these customers still we start looking for new customers to add? I'm asking because between fiscal '19 and, let's say, until 2Q or 3Q fiscal '22, the number of broker and builder customers were pretty similar, and now they seem to be 50% higher.

Hitesh Oberoi: Sure of that because I hope you're not including owners as well.

Vivekanand Subbaraman: No, no, no. I'm just talking about the 32,700 broker and 6,400 builder customers. So

this is on your site deck Slide #43.

Hitesh Oberoi: Okay. No, maybe we can get back to you on this offline. We have seen, of course, our customer base went down during COVID, and H1 last year was impacted because of COVID. And compared to, of course, H1 last year, we must have seen a strong recovery on the number of customers. But let me get back to you how much the numbers have actually gone up by. Let me just sort of recheck and get back to you. Vivek, can we do that?

Operator: Sure of course.

Vivekanand Subbaraman: Thanks a lot Hitesh. All the best.

Hitesh Oberoi: Thanks.

Operator: So next question is from Mohit is from Rama Capital. Mohit, you can go ahead and ask a question.

Mohit Motwani: Hi, thanks for the opportunity. I wanted to ask on the recruitment business, like IT, as we have already spoken about that the attrition rates are going down and that might moderate the growth. So just wanted to get your thoughts on other verticals like BFSI, which are also one of the hot white collar markets in India. Do you have any ambition to scale up on that front so that you can have elevated growth rates in the future? Because with the contribution, if I look at the contribution, it has remained 6%-7% in the last so many quarters. So do you have any plans or you think you can increase your contribution share from BFSI sector?

Hitesh Oberoi: See, our share what it is because it's a much smaller segment when it comes to hiring compared to IT, right? So there are maybe 10,000 IT companies or 8,000 companies on it. The number of BFSI players in the market is much fewer, and they don't employ as many people as IT companies do. Of course, we would want to up our wallet share from all BFSI clients, and we are working on that. But it's unlikely that they are sort of, their share in our overall mix will change significantly over the next couple of quarters. That segment may grow faster than other segments if the market is doing well. But it's like 6%, 7%, it can become 10%, 12%, 14% overnight. It's not likely that

Operator: Next question is from Rohan. Rohan, kindly go ahead and ask your question please.

Rohan: Yeah, hi. So my question is towards 99acre side. So basically, I have just started following your company. And while on the Naukri front, you are market leading, the numbers are also improving quarter-on-quarter, and there are some really great numbers. From 99acres point of view, what I understand is that in the last annual report of yours, there was a, you mentioned that some ESOPs have been issued, right? So that expenses would have included ESOPs. So basically, what I want to understand is that while we compare the Q-on-Q losses of this quarter and t

his half with the previous quarter and previous half year. Is there any component of ESOPs in that? Just to understand what the apple to apple comparison would look like?

Chintan Thakkar: Yes. So both would include ESOP charges. But although I don't think that it will be significantly different on a consistent basis, they keep on giving these ESOPs and we charge it off as per the accounts. So when we are looking at the EBITDA numbers, that include the ESOPs charge being charged for.

Rohan: Okay. And second question is towards your marketing spend now in the previous quarter call, you said that you are looking at a marketing spend of like INR30 crores to INR40 crores on a quarter-on-quarter basis. So going forward, do you still hold that number? Or do you expect it to increase or decrease?

Hitesh Oberoi: Yes, it will depend on competitive activity, which is what I said earlier on the call also, could be INR25 crores, INR35 crores, it could be INR40 crores, it will depend on whatever we need, what we need to do to sort of defend our share in this market. So we decide on our sort of marketing spend on a quarter-on-quarter basis.

Rohan: Okay. Thanks. That's it from our side.

Operator: Next question is from Pranav. Pranav, go ahead and ask your question.

Pranav: Yeah. Thanks for the opportunity. My first question is regarding 99acres. If I look at the market share, the traffic market share, you know, that has been sort of trending down. And if I look at, you know, there's only one player that is Housing, which has gained market share. Is it purely because of the advertising budget, what they are having? Or do you think there is something else to it? Because the gains that they have done on the market share are quite significant. And if they are sort of sticking around then, we are not looking at the sort of a duopoly kind of market, maybe there are 3 very strong players with can emerge, so how do you see that? And my second question is on the margins of Info Edge. I mean you think 63% margin, historically they were slightly lower. But

how should we see this in the medium to longer term? Thank you.

Hitesh Oberoi: Yes. See, strategically traffic business in real estate should be taken with the pinch of salt because there are different types of users on our platform. So there are people who are looking to buy new homes or people are looking to buy the retail properties that are people are looking to buy rentals. They're looking to sort of rent properties and so on and so forth. Now there are people looking to buy high-end properties that people looking to buy low-end properties. Now every user is not the same. A rental user, for example, is very hard to monetize. On the other hand, while spending the marketing, you can get a ton of that into our platform. So this market share or traffic share business has to be sort of sliced and diced in different ways to understand what's really happening in the market. But yes, you are absolutely right in saying that housing has gained traffic share over the last few quarters. And we would like at least our team believes is mostly because on account of their higher marketing spend. They're splurging right now when the market is at its peak. And yes, there are more than 2 players which are sort of aggressive in the market at this point in time. Now of course, it will take a while for the dust to settle down. But yes, right now, there are many players competing. But the market which is also growing significantly, but there are many more players. So let's see how this plays out. But all traffic is not the same. And as far as margins on Infoedge or recruitment margins, the recruitment business go see if our recruitment business continues to grow at even 18%, 20% per annum, these margins should be easy to maintain. In fact, we can even better than going forward. But if growth slows down considerably, then of course, margins may take a bit of a

hit. We don't expect the kind of wage pressure we saw in the last 1 or 2 years to continue going forward because we're seeing a slowdown in our attrition also unless things change again on that front. But if things change on that front, then of course, our billing growth also looks start looking at once again.

Pranav: Sure. One small follow-up on 99acres. So you said that the all traffic is not same. Can you give some color on that, I mean...?

Hitesh Oberoi: Yes. I mean, for example, let's say we get 10 million users, let's say, I mean just picking a number. And if 5 million of those rental users, then a rental user is not as valuable as a resale buyer. On a resale buyer, you can make 10x than what you can from a rental user, right, as a platform. In fact, if, on the and do, if the rental user is looking to rent property at less than INR10,000 a month, for example, nobody can make money from that rental. So all users are not the same.

Pranav: Sure. But I mean, so can you give some color on, does that mean that Housing.com could potentially have a larger share coming from the rental or some player who's stronger in the rental segment and you are stronger on the resell or, and some other players stronger than the bid. Is that the case or...?

Hitesh Oberoi: I haven't looked at the Housing numbers very closely, but yes, I can say for sure that a buy user is much more monetizable than a rental ever.

Pranav: Thank you so much. That's it from my side.

Operator: Next question is from the line of Seema. Seema, you can go ahead.

Ruchi Mukhija: This is Ruchi from Elara Capital. I have a couple of questions. First, so post pandemic, we have seen that digital intensity of enterprises has increased. Even if I look at the Naukri platform, you have a unique number of clients are up about like 26%. So could you highlight us have you seen a change in the behavior of, let's say, on strategic or beyond, so to say, large or mature users, has the lower base of customers shown some changes in terms of consumption pattern or usages?

Hitesh Oberoi: Absolutely. For example, we have a small blue collar platform jobhai. We sort of, and we've been seeing significant traction in that platform. We don't monetize right now. We are still getting more and more users to use the platform. And these are mostly blue collar people who make INR15,000 and INR14,000, INR22,000 a month-technicians, the delivery boys, data entry operators, salon workers and the traffic is growing month-on-month. So unquestionably, without doubt, I mean, everybody is around the Internet and everybody is becoming more and more comfortable using the Internet. Even small businesses. Earlier it just to be very hard to get small businesses to use the Internet. But now everybody is used to smartphones, they're buying grocery online, they're ordering food online. They're buying insurance online. They are shopping online. So now it's making payments online. So I think pretty much everybody sort of now used to sort of, I mean, they know how to operate a phone. They know how to make payments. They know how to post jobs. They know how to take pictures. They know how to take videos. So it's getting easier and easier with every passing month.

Ruchi Mukhija: So my question was trying to understand, is naukri.com able to monetize that behavior?

Hitesh Oberoi: So we monetize businesses and we have a sales team, and they have a telesales team. Our telesales

/ e-commerce business has been growing rapidly, and that's mostly the business we get from small enterprises. These are mostly people buy online. We don't have sales people who reach out to them, train them, etcetera. But they're mostly small customers. So they're not a big part of our revenue, okay? But they add to our customer base, and they get this volume growth. Most certainly benefit from this trend. And like I said in our Jobhai business, we have continued to sort of add more us

ers. And these uses are not on Naukri, and we haven't started monetizing them as yet, but we will monetize them at appropriate time.

Ruchi Mukhija: Understood. One more question for Naukri platform. So IT hiring on Naukri platform was down 3% Y-o-Y September quarter as per the job index. But yet, we saw 55% growth. So could you help us understand what drives this contrast? Is it completely explained by better hiring in IT Or how do you see, I mean the IT matrix in September quarter compared to the Job seeking index minus 3 Y-o-Y growth in the quarter.

Hitesh Oberoi: Two things. One, everything is not correlated to JobSpeak Index, where JobSpeak Index measure a number of job listings on our platform, right? And a lot of the hiring on Naukri happens through our database product, right? So it is possible that database hiring was not hit as much as hiring through job postings, right? That's one process, that's one. The second thing is when companies buy Naukri products, mostly the big customers, they buy for a year, right? So even if there's a temporary low in hiring and we expect him to pick up going forward, they buy for the year end, and it's one of those and they're more likely to cut down highly through recruitment consultants, they're more likely to cut down, hiring through other expensive channels first, then through Naukri. So I suspect companies perhaps many companies have not experienced, I mean, while they're seeing attrition slow down, they continue the hope that or they believe that it will still be tough to hire going forward. And two, like I said, our database activity was not hit as much as our job posting activity last quarter.

Ruchi Mukhija: Understood. One last question. This is for 99acres. So on the 99acres platform, if I look at your quarterly revenue per paid listing, it shows quite a tough jump, about 93% Y-o-Y. In tandem, if I compare your billing mix between broker and the builder, it hasn't changed much. It's kind of there, there. So can you help us understand what's driving this? Is it price increases that we affected or the new services, analytics of a kind or mix change? How to read it?

Hitesh Oberoi: Sorry, the revenue per paid listing has gone up 93%. See, what I can tell you at a very macro level, we had launched a premium listing product, right? And over the last few months, we've upgraded many of our customers to freedom listings. And as a result of that, our average revenue per listing has moved up substantially in 99acres. I suspect it's mostly that, but if there's anything else, we'll get back to you.

Ruchi Mukhija: Okay. So it's largely pricing increases. Thank you. Thank you. And all the best.

Operator: Next question, Swapnil you can please go forward.

Swapnil: Okay. Thanks for the opportunity. So first question is on Naukri. So I just wanted to understand to your previous comment that the pricing in the past has gone up decently well. And now if I were to look at your average billing per unique customer that is around 75,000 odd number. Going ahead, how should we think about it? Like if there is a decline in a number of unique clients, how would this number trend basically, your realizations, how would they trend going ahead, assuming that there is a slowdown in IT?

Hitesh Oberoi: It also depends on how well the non-IT segment continues to perform for us. So certainly, the IT sort of, if IT hiring slows down, then we will not be able to affect major price increases with our customers and realizations may not grow as much as we did last year, independent of what happens right, I think on the non-IT hiring, we expect our realization to improve going forward. And where we will end up as a company will depend on how much, how fast the non IT business grows.

Swapnil: Okay. And secondly, taking on Naukri side, if I were to look at your operating expenses for the segment, they have moved up from INR110 crores last year 2Q to INR164 cro

res this year. Now that's a significant jump of 50%. May I understand, I know like where are these expenses going because we don't do a lot of marketing there, right? So what is the other moving part over there?

Hitesh Oberoi: So there are three things happening here. One is we had to effect major salary increases last year because of high attrition and because that's what the market was like outside. In fact, for our, in many parts of the company, we had to give salary increase twice last year. That is one. The other is, we've also sort of added more people over time because we have sort of moved into adjacent areas. So we acquired companies. We have launched new verticals. And also, we have added a lot of people, for example, in the AmbitionBox vertical. We added a lot of people in the Jobhai vertical, wanted a lot of people in Zwayam, which we acquired something back, Doselect and so on. So in many of these new areas, we are investing and investing aggressively. And so you added headcount and this headcount is products headcount, design headcount. So I guess it's a combination of these 2

or 3 things which has led to operating costs going up. We've also invested more in marketing for the last few months. We launched new campaign to target to reach out to the ZenX audience, my kind of Naukri. So while our marketing spend is not a big part of our overall spend, it is likely to be substantially higher than what it was last year.

Swapnil: Okay. And just a last one clarification basically on the headcount. So if I were to look at the last 2 quarters' headcount that has gone up 11%. So is this related to the employee additions in the verticals that you just mentioned or is it somewhere else?

Hitesh Oberoi: Mostly in the newer verticals, so in all our businesses. So like I said, in JobHai, AmbitionBox and Zwayam, in the Shiksha study abroad vertical, we also beefed up our headcount in tech and product 99acres. So in the fastest-growing part of the business, we've added more people in newer, in the newer verticals, we added more people. In some of these verticals we are unlikely to monetize. Like JobHai not monetizing right. A BigShyft we have added people. That's another platform that we're sort of trying to build in-house. So the BigShyft team has also grown to some 80-90 people over time. So we have a lot of these new areas we are investing in, where we are adding a lot of people because we're building new products. We are trying to innovate, a lot more than we were innovating earlier. We've acquired some companies, so that head count has also moved on to our books.

Swapnil: And will that addition slowdown in case your billings also slow down? Or would you continue to invest? And so there will be pressure on margin also

Hitesh Oberoi: Will depend on what kind of opportunity you see in these verticals. So if these verticals start responding well, and we see opportunity for growth, then we're not going to worry about the margins going up or down by a couple of percentage points. On the other hand, if these verticals require a lot more work, and we feel that we haven't got the product market fit right and then we need to tinker with them more to get our act together. Then of course, we will slow down investments in these verticals.

Swapnil: Right. And just one thing I'd just highlight, I think the data anomaly in your presentation. So your sales servicing and client facing staff. Last quarter, it was showing 37%, now it is showing 63%. Historically, it has been around 60%, 62%. So I think there is an anomaly there. If I just wanted to get a sense on that.

Hitesh Oberoi: We made a note of that. We'll get back to you. Vivek, can you make of that note, please. Thanks.

Swapnil: Sure. Thanks.

Operator: So next question is from Ankur Rudra from JP Morgan. Ankur, you can go ahead and ask your question, please.

Ankur Rudra: Hey, thank you. So just first question, you know, Hi

tesh, you've highlighted several times that I think

IT hiring is heading back to normalcy. Could you define what is normalcy? Is this sub 10%, 15% growth? Is it 15%, 20%? What's in your mind is normalcy?

Hitesh Oberoi: I wish I could tell you because the till last quarter, even the IT part of our business did really well, right? What, I was just, but I'm beginning to pick up some noise in the market that, okay, company are saying listen hiring is come down, our business is not as it could. We're not likely to work 30%, 40% or whatever, as a growth may moderate going forward, and we are negotiating a little harder than they were earlier. That's what I'm picking up from our sales team. But October is also a very different month because see this year, Diwali was an October last time I remember it was in November, so activity slows down at this time. We will know for only in the weeks to come, as to what shape and form it would take. But overall, we are sensing that there's a slowdown in IT hiring.

Ankur Rudra: Right. No, no, that's fine. I mean I'm not, I don't have an issue with slow down. I was just curious about structurally what do you think is normal hiring normal growth for your business, given if IT goes back to, let's say, sub 10% growth or 8% to 10% growth.

Hitesh Oberoi: I don't know. I mean, if they're growing, they will still need to add more people and overall growth is going to be a function of sort of gross additions, right minus campus hiring. That's one. And of course, we are like I said, we've been working on our products and services to ensure that we get more wallet share from our customers and we can help them hire our people. So it will be a combination of two factors, very hard for me to, I mean the long term sort of number to be 20%, 15%, 25% is hard for me to say.

Ankur Rudra: Understood. In IT, just how much of your business momentum depends on attrition versus underlying market growth?

Hitesh Oberoi: Attrition is a big part of the whole story because attrition, attrition rates grew by 50%, for example,

a company was, had 10% attrition earlier and now it has a 15% it has to hire 50% more people to stay at the same place, right? So attrition makes a huge sort of difference to our business. Attrition also results in each pressure and then there's rate pressure and also results in a lot of noise inside the company because the business people want to service customers and they want people onboarded quickly. And when that happens, companies won't think twice about whether they're getting at 10% discount from Naukri or 30% discount from naukri right? Because at the end of the day, we are a very small part of what they spend. So companies have billions of dollars of revenue in IT spend less than 1 million than US or less than \$0.5 million on us. So they would rather sort of give us whatever we want, so on the other hand, of course, if demand picks up, that also helps. But if a company needs to hire 10% more people in earlier, that's okay, it's just 10% more people but of attrition rates go up by 30% or 40%, that's 40% more people would be there.

Ankur Rudra: Understood. I mean you comment that, you know, growth is generally quite strong, both in IT and non-IT. So yes, that non-IT extremely strong because it pretty close to 50%, if not higher. That is very surprising to me because in the past, we've really struggled to grow non-IT. I mean it's like pre-Covid. Could you maybe highlight if there's any industry driving this? Or are they just tech profiles in non-IT industries that are driving it?

Hitesh Oberoi: Well, it's perhaps a bit of both, but you see a lot of non-IT companies had not hired for a while. And now things are getting back to normal. The business is growing much faster. If you look at our JobSpeak Index, you get a sense some of these industries, jobs on them on our platform have been were up 70%, 60%, 80% over last year, ofcourse differen

t for different industries. But see, these companies had pretty much, they actually shrunk in terms of headcount of them over the last couple of years because of COVID. And so partly, it is sort of, they're getting back to their normal pre covid normal. And partly, it is also the disruption which COVID caused, right? People have quit jobs. Many people don't want to, did not for a long time want to go back to high contact sectors of the economy, you know, partly, it is also, like you said, many of these companies want to digitize faster, right, than earlier, and therefore, they are hiring more digital talent. So that's also happening. So now whether this is, now this may, we will also go through a phase where this sort of continues to be the case or maybe another couple of quarters and then things go back to normal in non IT. But a lot will depend on what happens to GDP growth. In the past, we've seen a 6% GDP growth in India, people are very difficult to get. You start seeing wage pressure, you start seeing high attrition and hiring costs go up, retention is difficult. At 5%, 5.5%, we are somewhere in the middle. At 4%, things start to slow down, you know, companies come under pressure. So a lot will also depend on for a couple of quarters, like I said, maybe event hiring because they laid off earlier. And then after that, a lot will depend on what happens with the economy and what the new normal GDP growth is.

Ankur Rudra: Got it. Now I appreciate that comment. Finally, in terms of the investment environment, how has that evolved for your investee firms? From your perspective, we've seen slightly bigger checks this time in existing investments. Have you recalibrated your investment style given the current investment/business environment? And are you stepping up versus other investors at this time?

Hitesh Oberoi: Sanjeev, you want to take that?

Sanjeev Bikhchandani: Yes, I'll take it. So I think two things have happened in our conduct and in the conduct of other investors. Number one is we are, of course, seeing many more deals because if funding is a little scarce, more and more companies reach out to us. And that's only good because then you get a choice, then you get a benchmark. The second is we are going a little slow. So if you look at our Fund 1, I think we deployed in double wick time becos the market was booming. We got, we went in early, got our upround. That fund is looking good, at least on paper, given the following rounds that have happened externally, post our going in. In this fund, we're going slower, we will take probably a full 3 years to deploy first cheques, and we are taking our time. And we are going into smaller rounds initially and then doubling down. So we are less trigger happy I'd say. And that is the case for the market. One big risk thing that's happened is that you want to start worrying a little bit more about where this company will get its next round from. And you want to think long and hard about that before you go in because all people might loose themselves, if you have that much conviction

Ankur Rudra: Understood. Now this time because you did, you know, cross 50% in a couple of your investments, which showed either you were very confident or...?

Sanjeev Bikhchandani: No they were strategic investments, that is Coding Ninjas that is strategic. And there, obviously, we're very confident. We've been with the company for a while.

Ankur Rudra: So this will, do you think you expect them to merge with your existing business over time? Or will this remain independent in the medium to long term?

Hitesh Oberoi: Yes. So like I said, Coding Ninjas, especially, we are likely to sort of work very closely with them going forward. We see them as a big part of our overall strategy of transforming Naukri into a career platform over time. We will deeply integrate their offerings with the Naukri platform over time. Now if, and if we get a good respons

e, then you know, we'll see what to do after that.

Ankur Rudra: Okay. So, I mean, if that's the reality why stop at whatever this is 50%, 60%, why not go the whole hog?

Hitesh Oberoi: I mean, if you get a good response, and it makes sense for both companies to sort of work even more closely together, then we'll see.

Sanjeev Bikhchandani: I mean part of it is out of the deal also. If you want to take out the founders, right, they'll ask for certain valuation right now, which we may not be comfortable giving given where the company is today. At the same time, if you take out the founders completely, then they won't have an upside in the future, which is motivation for them to stay. So it's, I mean, online business, a lot of other people running it. And you got to retain the people keep some motivated and make sure they have a reasonable upside going forward.

Hitesh Oberoi: Also it depends on the maturity level of the business. If the, these businesses at the end of the day, both aisle actually and Coding Ninjas are still tiny businesses, right? So, and we won't think we can sort of take them in right now and scale them 10x or 20x from here, right? Because I don't think we have the management bandwidth to do that. And therefore, we would want founders to stay motivated and keep working on these verticals for a while at least.

Ankur Rudra: Appreciate the color. Thank you so much.

Operator: Next question is from Abhishek Bhandari from Nomura.

Abhishek Bhandari: Thank you, Vivek. Hitesh, if I look at the Shiksha slide in the presentation, I see an EBITDA loss compared to the usual quarterly profits. And also the, you know, sequential drop in revenue seems to be very high compared to your prior periods. So maybe you could you explain what's happening in that business?

Hitesh Oberoi: Two things. Partly, the education season has been moving for the last two years because of COVID. So a lot of Shiksha revenue depends on when universities take students and that may be shifting a little bit. But partly, it's also that we are investing a little more than we were earlier in our study abroad business. So we are ramping up headcount in the study broad business. And, you know, that period has a cycle, certain sort of, you know, you first hire people and you counsel people, they are counselor, mostly you have counselors. And the students are counseled over a period of few months and then they end up in a foreign university. And after a while you realize that revenue. So partly, it's that as well.

Abhishek Bhandari: So do you expect this to come back to EBITDA positive in the coming quarters? Or do you think this trend could continue with your investments for some more time?

Hitesh Oberoi: See, we were making a tiny profit. It's not as if we were making a lot of money. I think our focus right now in Shiksha is to grow the business and to add sort of more verticals to the business. We are not so fussed about making a profit in Shiksha in the short term.

Abhishek Bhandari: Thank you, Hitesh. Hitesh, I think this question was asked. But could you give us some markers around your progress on your new strategy around the matrimony business. You spoke about traffic improving. But has the user engagement increased, are there recent metric to really verify those higher traffic eventually going to help us?

Hitesh Oberoi: Yes. So on the traffic side, there are not many. We've seen serious gains. We've increased our share in almost all the markets we operate in. We have many more sort of people registering on our platform. They are spending more time with the platform. We are enabling more matches and hopefully, therefore, more marriages. So on, we are very happy with the progress we are seeing on these metrics. Revenues are down by design. Our belief is in long term, you know, the user share converts will ultimately sort of convert into revenue market share as well. Of course, w

e may have to discover new ways of monetizing going forward. We also believe that in the long run, the proposition may help us sort of lower our marketing costs as well, right? But that has to, I mean, it has been seen how this plays out. We'll probably have a much clearer picture to present to you maybe in March, by March, April.

Abhishek Bhandari: Thanks Hitesh. Hitesh, my last question, you know, is on your core recruitment business. So we have already proven the business very well in India. We understand the IT, ITS market very well. Do you think time has come for us now to start thinking about maybe expanding to similar labor supply zones maybe like Eastern Europe, not now, but maybe from a medium-term perspective or some other countries where we could use our relationship with the existing IT companies and help them recruit there?

Hitesh Oberoi: Honestly, that's not our focus at this point in time. We think India is a large enough market and the Indian market is likely to grow well going forward. Strategically, we've been adding more services to our

offering so that we can take a larger suite of products for clients in India. We are still a very small share of Wallet. We still get a very tiny proportion of what they spend on recruitment as a whole. And as far as going international, sort of international, you see what we've also learned over time, it's very hard play no. 1 in any market, no matter how smart are the market. And therefore, if you have to go overseas, we will have to do acquisitions. So, and would we go overseas just to sort of help Indian IT services companies hire more IT professionals unlikely.

Abhishek Bhandari: Got it. Thank you, Hitesh. And all the best.

Hitesh Oberoi: Thanks.

Operator: Next question is from the line of Aditya Joshi Aditya kindly go ahead.

Aditya Joshi: Yeah, hi. A couple of questions from my side. Firstly, on the recruitment business. I think you had mentioned this in the previous question, but just to understand better, can you give some color on how these contracts are structured in terms of the time period, et cetera? Because just to understand what kind of a lag we can expect, for example, if IT hiring slows down now, it's not like IT companies are going to immediately modify or cancel a one year contract, as you mentioned earlier. So just to get a sense of what kind of lag we can expect if there is a slowdown. Is it on an average a 6-month contract or it more skewed towards one year just to get some sense on that?

Hitesh Oberoi: Chintan, do you want to take that?

Chintan Thakkar: Yes, sure. So we follow subscription model. And actually, just to clarify, we don't have cancellation type of clauses inside the Contract, most of the contracts, the collection is for the entire tenure has been kind of collected in advance. And yes, I think clients who require us throughout the year, they renew year-over-year. These are all the clients who kind of typically subscribe for 12 months. So we would have more clients now with 12 months in the higher end. At the bottom, you will have clients they need us plot a month or 2 months or 3 months for some short term having they may not come back on the platform for quite some time. So most of them are these type of contract selected in advance, and there are no real cancellation clause.

Aditya Joshi: Got it. So it's not like companies make very quick short-term decisions, right? Even if there's a slowdown for a couple of quarters, it's, they probably just let the contracts go on.

Hitesh Oberoi: Yes. That's been the behavior in the past.

Aditya Joshi: Got it. And secondly, just a very top-down kind of your view on what you think is the end game on the property side and the matrimony side? Is the endgame consolidation or to kind of bring maybe 2 strong players? Or you think these are markets that can support 3 or 4 players, maybe each focusing on a niche market or maybe a particul

ar geography each, like how do you see this kind of shaping up? Because competitive intensity does seem high and everyone is spending on marketing. So where does it all lead to finally, just a top-down kind of how you think about it?

Hitesh Oberoi: See, of course, if there is consolidation, it is likely to result in better pricing and lower marketing costs. But there are just a handful players in every market and a lot will depend on how the people at the top of these companies think. Clearly, there is, in the past, we've seen if there is one dominant player, it's like there is, it's possible to make a lot of money in any market. If there are 3 or 4 or 5 players, then ultimately, that results in consolidation and no market can support 3 or 4 or 5 players for a very long time.

Aditya Joshi: So anything on the horizon or it's difficult to kind of say in terms of consolidation, nothing seems...?

Hitesh Oberoi: Nothing is on the horizon. There's nothing which is likely to happen in the next two, three months as far as we know. What, I mean what shape or form things will make in the next two, three years, hard for me to say at this stage.

Aditya Joshi: Got it. Okay. Thank you. And all the best.

Operator: Next question is again from Vivekanand. Vivek, you can go ahead.

Vivekanand Subbaraman: Yes. Thank you for the follow-up opportunity. So Sanjeev and Hitesh, just a couple of questions on the investments. Do you have earmarked amount for the strategic investments that you're doing and follow-on rounds for your investees that are there on the balance sheet like ShopKirana or Ustara? That's question one. And second one, Sanjeev, any update on the conditions under which you would consider part monetization of Zomato, Policybazaar, you know, the lock-ins are not there anymore. Thank you.

Sanjeev Bikhchandani: Yes. So I'll answer the second question first. I think First of all, why would we sell? We

would sell if we need the money for some of the purpose, we would sell if we want to give back to shareholders immediately. We would sell if we believe the future is not bright, right? I would imagine we would sell under these circumstances. And while this issue is constantly open at our board level, there's nothing that currently gives us the indication that either any of these three conditions are operating, right? But like I said, it's always open for discussion, and we are flexible. Okay. Now as far as budget is concerned for, you know, we sort of keep on estimating how much money we will need going forward, but operatives keeping rising. Okay. As of now, compared to what our treasury its not putting a strain on it, either the strategic investments or the follow-on rounds in the financial investments from the balance sheet. The real issue is what is the need of the company and whether it's worthwhile backing it further. So do we have this one night budget? You see one danger of having a budget, and I have seen with other companies where I have observed our work, our budget becomes an entitlement, right? And that is not a great thing. So we will obviously be open. We will look at opportunities. And our willingness to go to a slightly higher number in strategic opportunities because they're strategic may be slightly higher.

Vivekanand Subbaraman: Sure. Sanjeev, actually, the question was in the context of the earmarked the amounts that you have kept for the AIF. So I was asking more from that standpoint.

Sanjeev Bikhchandani: We don't want to see, look, we've got a lot of money in treasury compared to how much we're actually investing, right? But the truth also is that if you earmark much money to invest, you end up running or holding your pocket because you're tempted to deploy too much because every opening looks good. If I look at the kind of funds, VC funds delivered big returns even in the US, they usually are not very large funds, \$150 million to \$200 million, \$100 million.

To go beyond that, right now, at least I am personally a little uncomfortable.
So it's good to be a little tight for money as far as the investing team is concerned.

Vivekanand Subbaraman: Makes sense. Thank you so much for the detail.

Sanjeev Bikhchandani: Now this is our current thinking, of course, things would change. But this is the current thinking.

Vivekanand Subbaraman: Sure. Thanks.

Sanjeev Bikhchandani : So, Hitesh, Chintan would add anything?

Chintan Thakkar: No, it's fine.

Operator: Next question is from the line of Amit Chandra. Amit, you may go ahead.

Amit Chandra: Hi sir, and thanks for the opportunity. So all the questions have been answered. So I just have one question, which is on the recruitment business. So we have seen the recruitment margins expanding consistently from 55% to now 61% roughly. And in the context of the slowdown seen in the IT side. So can we see the margins heading back towards the pre-COVID levels? Or is it more sustainable at current levels, the margins in the recruitment business

Hitesh Oberoi: Now, see, what I have said in the past and now that the market is getting back to normalcy, if we continue to grow our Naukri, we can continue to grow our Naukri billings by 15%, 17% per annum or 15%, 20% per annum, it should be possible to sustain these margins. If there is a serious slowdown and billings contracts for some reason or we have single-digit billing growth, then of course, margins may shrink going forward. So not going to depend on how things play out in the, how sort of revenue growth, billing growth plays out in the next few quarters.

Amit Chandra : And any color you can provide on the margins or maybe realizations in IT and like non-IT and how it has panned out in the last few quarters?

Hitesh Oberoi: Sorry, can you repeat that how margins have panned out?

Amit Chandra: The margin differential between IT and non-IT?

Hitesh Oberoi: See, we don't track and report margins by a segment right now. But I suspect IT margins are better than non-IT margins because our billing per customer in IT is higher.

Amit Chandra: Okay, sir. Thank you.

Operator: So this was the last question, Hitesh. With this, we would like to conclude this conference. Thank you, everyone. And you may disconnect your line, please.

Hitesh Oberoi: Thank you, everyone. And have a great evening.

Operator: Thanks. Goodnight.

Hitesh Oberoi: Thanks.

Call: Feb 2023

Date: February 17, 2023

1. The Manager - Listing
National Stock Exchange of India Limited
(Scrip Code: NAUKRI)

2. The Manager - Listing
BSE Limited
(Scrip Code: 532777)

Sub.: Transcript of Q3 FY 20 22-23 Post Result Conference Call

Dear Sir/Madam,

In furtherance to our letter dated February 11, 2023 and pursuant to Regulation 30 of the SEBI (Listing Obligations & Disclosure Requirements) Regulations, 2015, given below is the link of the transcript of the Conference Call on the Financial Results for the Quarter and Nine months ended December 31, 2022, held on Friday, February 10, 2023 at 04:30 pm (IST), post declaration of results. The same has been updated on the website of the Company.

Link: https://www.infoedge.in/InvestorRelations/financial_Earnings

A copy of the transcript of the Conference Call is enclosed herewith.

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Request you to take the same on record.

Thanking you,

Yours faithfully,
For Info Edge (India) Ltd.

Chintan Thakkar
Whole-time Director & CFO

"Info Edge (India) Limited Q3 FY 22-23
Results Conference Call"

February 10, 2023

MANAGEMENT : MR. SANJEEV BIKHCHANDANI -- VICE CHAIRMAN, INFO EDGE (INDIA) LIMITED
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Vivek Aggarwal : Hi everyone good evening and welcome to Info Edge India Limited Q3 '23 Financial Results Conference Call.

As a reminder, all participant lines will be in listen-only mode, and there will be an opportunity

for you to ask question after the presentation concludes. Should you need assistance during the call, please raise your hand on your screen. Please note that this conference is being recorded. Joining us today from the management side, we have Mr. Sanjeev Bikhchandani, Founder and Vice Chairman, Mr. Hitesh Oberoi, Co-Promoter and Managing Director, and Mr. Chintan Thakkar, Chief Financial Officer. Before we begin today, I would like to remind you that some of the statements made in today's conference call may be forward-looking in nature, and may involve some risks and uncertainties. Kindly refer to slide number two of investor presentation for detailed disclaimer.

I would like to hand over the conference to Mr. Hitesh Oberoi for his opening remarks. Thanks and over to you, Hitesh.

Hitesh Oberoi : Thank you, Vivek. Good evening, everyone, and welcome to our third quarter earnings call. As always, we will start with an update on our standalone financials, and discuss the market conditions for each of our operating verticals, and then cover each the business financials of each vertical in more detail. And then of course, we'll have time for Q&A. The audited financial statements and other schedules on segmental billing, revenues, et cetera, along with the data sheet have been uploaded on our website www.infoedge.in.

Overall billings in Q3 grew to Rs. 550.7 crores, up by 14.5% from Q3 of last year. YTT billing stood at Rs. 1,617.7 crores, a YOY growth of 33%. Revenue in Q3 stood at Rs. 555.2 crores, up by 33.4% from Q3 of last year. YTD revenues stood at Rs. 1,594.7 crores, a YOY growth of 44.1%. Billing and revenues along with the acquired businesses like Zwayam and Do Select for the quarter stood at Rs. 566.4 crores and Rs. 571.6 crores respectively. Operating expenses for the quarter, excluding depreciation and amortization were Rs. 338.4 crores, again up by 14.6% from Q3 of last year. Operating EBITDA for the quarter stood at Rs. 216.8 crores versus Rs. 120.9 crores last year and a growth of 79.3% from Q3 of last year. And YTD EBITDA stood at Rs. 563.9 crores. Operating EBITDA margins for the quarter stood at 39.1% compared to 29.1% in the same quarter of last year. And operating EBITDA including acquired businesses stood at Rs. 220.3 crores, a YOY growth of 83.1%. Cash from operations for the quarter stood at Rs. 241.8 crores compared to Rs. 251.6 crores last year for the same quarter. YTD cash generated from operations stood at Rs.625.7 crores.

You may have seen in our results that we have fully impaired our investment of Rs. 276 crores in 4B Network Limited to our subsidiary in line with accounting policies and principles of conservatism consistently followed by the company.

While we continue to believe that the real estate tech market has potential and had hoped that this investment would work out, we took this decision to write down the investment in the light of the current state of the environment and the significant uncertainty towards funding options available to 4B going forward. Deferred sales revenue stood at Rs. 835.4 crores as of 31st December 2022 versus 623.4 crores as of 31st December 2021, an increase of 34% year-on-year. The cash balance of info-edge including the wholly owned subsidiaries stands at Rs. 3079 crores as on 31st December 2022, it stood at Rs. 3855 crores as of 31st December 2021.

In the recruitment business, our Q3 job speak reported 8% YOY growth in hiring. However, IT sector hiring index was down by 14%. Amongst our non-IT customer base, sectors such as insurance, hospitality, retail and banking posted robust growth. We experienced longer sales cycle and spend optimization during the quarter with various cus

tomers, especially in the IT space.

In the real estate market, we are currently witnessing an active primary and secondary market with increasing prices across top cities. We are also seeing higher demand for commercial space from non-IT and retail users. However, with the 6th straight increase in repo rates by RBI, we expect stability to return in this space in some time.

In our education vertical, we are witnessing pre-COVID patterns of examinations and admission processes across the country. Students have returned back to campus for their classes and are open to moving across the state for higher studies. However, we also noticed that students aspiring to study in the US universities are facing some visa delays.

Moving on to the quarterly financials of the recruitment business We will cover each business in detail.

In Q3 of 23, the recruitment segment billings were Rs 434.6 crores up by 70.7% from Q3 of last year while revenues were Rs 436.8 crores up 40.3% from Q3 of last year. YTD billings stood at Rs 1275.2 crores, a YOY growth of 38.1%, while YTD revenues stood at Rs 1242 crores, a growth of 53.4%.

Operating EBITDA stood at Rs 274.7 crores for the quarter, up 46.5% from Q3 of last year and EBITDA margins stood at 62.9% versus 60.2% in Q3 of last year. Cash generated from operations for recruitment during the quarter stood at Rs 281.8 crores, up from Rs 260.7 crores in Q3 of last year. The recruitment business has generated 797.7 crores of cash from operations in the first 9 months of this year. Billings for Naukri India for the quarter stood at Rs 362.7 crores, up 17.8% year on year, while revenue for the quarter for Naukri India stood at Rs 367.6 crores, up 43.3% year on year.

Recruitment segment billing, including acquired businesses like Zwayam and Do Select, stood at Rs 450.4 crores, a growth of 20.2% year on year for this quarter. IIM jobs and Hiris had a YOY growth of 30.5% in their billing numbers, closing at Rs 17.9 crores, up from 13.7 crores last year.

We are seeing some concerns around macro economic factors which have started impacting hiring on the platform by IT customers. The sales team is focused on increasing the velocity of closures and monetization of non-IT customers during the quarter. The platform continues to witness vibrant job seeker traffic. Around 19,000 new series were registered per day during the quarter, a YOY growth of 15%. In our endeavor to guide and enable job seekers in their career journey, we launched a series of podcasts, videos and articles and a new content series called Work Wise with Naukri. We maintained our marketing spends during the quarter in line to our previous quarter spends and focused on increasing reach of our digital video campaign targeting the Gen-Z audience. Our review and rating platform Ambition Box continues to retain its No. 1 position as the employer review and rating platform in the country.

Moving on to the Shiksha business, in Q3, Shiksha Billings grew by 8.5% year-on-year and stood at Rs 27.8 crores, while revenue grew 26.2% year-on-year to Rs 27.7 crores. YTD Billings stood at Rs 82.9 crores, a year-on-year growth of 22.4%, while revenue stood at 84.8 crores with a year-on-year growth of 28.1%. The business made an EBITDA of Rs 1.1 crore during the quarter versus a profit of Rs 2 crores in Q3 of last year. Cash flow from operations stood at Rs 2.6 crores against an inflow of Rs 13 crores in Q3 of last year. The business maintained its focus on study abroad business during the quarter as we see heightened interest among students to go abroad. We continue to invest in making our content more comprehensive and more student-friendly and building deep domain expertise in the space.

Moving on to the 99Acres business. In 99Acres, Billings in Q3 grew by 15.7% year-on-year and stood at Rs 71.1 crore, while revenue grew from Rs 58.6 crores in Q3 to Rs 72.9 crores in Q3 of 2022-23. YTT Billings stood

at Rs 207.9 crores, a year-on-year growth of 36.8%, while revenue stood at 209 crores, a year-on-year growth of 33.9%. The operating loss for the quarter stood at Rs 23.2 crores against a loss of Rs 22.6 crores in Q3 of last year. The business reported a cash outflow from operations of Rs 19.9 crores for the quarter against an inflow of Rs 1.7 crores in the same quarter of last year. Revenue growth was recorded across all key categories in the real estate segment, resale, rental, commercials and new homes. We experienced high acceptance of our premium listing amongst the workers during the quarter and the platform also witnessed growth in responses and traffic during the quarter. We will continue to invest in platform content, client delivery and marketing in the months to come.

Moving on to the matrimony business, Jeevansathi.

In Jeevansathi, Q3 Billings declined by 30.1% year-on-year to Rs 17.1 crore and revenue declined by 26.3% year-on-year to Rs 17.9 crores. YTD Billings stood at Rs 51.7 crores, a year-on-year decline of 30%, while revenue stood at 58.9 crores, a year-on-year decline of 21.3%. The operating EBITDA losses stood at Rs 25.3 crore for the quarter against a loss of Rs 37.2 crore in the same quarter of last year. Cash outflow from operations for the quarter stood at Rs 27.2 crores against an outflow of 21.3 crores in Q3 of last year. Our free chat model continues to drive profile growth and engagement on the platform. We had a significant reduction in advertising and marketing spends during the quarter backed by compelling proposition and effective marketing campaigns. The quarter also saw a complete revamp of the user experience on the apps and helped us improve, helping us improve discoverability of profiles on the platform. A few paid products were launched in December to experience monetization with an increased user base. Aisle also continued its growth trajectory during the quarter. Vernacular apps in the space remain a strong idea of focus for us.

Moving on to the consolidated financial highlights. At the consolidated level, the net sales for the company stood at Rs 589.5 crores in Q3 of this year versus 421.4 crores in Q3 of last year. For the consolidated entity at the total comprehensive income level, there is a loss of Rs 399.6 crores versus the gain of Rs 4,566.2 crores for the corresponding previous year quarter ending December 31, 2021. Adjusted for the exceptional items PBT stood at Rs at a profit of Rs 511.2

crores in Q3 versus Rs 2,624.8 crores in Q3 of last year.
Thank you.

We are now ready to take any questions that you may have.

Moderator: So, we will wait for the [overlap]

Vivek Aggarwal: Yeah, thanks. Thanks, Hitesh. We will now begin Q&A session. Anyone who wishes to take a question may raise your hand on the screen. We will take your name and announce your turn in the question key. We will wait for a second till the question queue builds up.

Moderator: The first question comes from Nitin Jain from Fairview Capital. Nitin, go ahead and ask a question.

Nitin Jain: Yeah, my question is, thank you for the opportunity first. My question is on the 4B networks that you write off. So, if you could clarify the rationale for, you know, writing it off, because I think until two quarters back, company was still investing in 4B. So, what explains the sudden change? Thank you.

Hitesh Oberoi: Chintan, you want to take that?

Chintan Thakkar: Yeah. So, you are right, you know, we, like, it is also explained in this prepared commentary that, you know, we were pretty optimistic, you know, and we have been investing and they also kind of been growing, you know, showing good growth. They have built a solid team as well. But in last, you know, few months' time, given their rate of cash burn and the overall funding environment, the way it has changed, there is a lot of uncertainty about, you know, the future, you know, fun

ding environment. And I think that's what is kind of causing us, following the principles of conservatism, that, you know, we thought that we should take a full write-off in this case.

Hitesh Oberoi: We had an interesting idea when we first invested and the company was, did well for a while and they were, you know, at one point in time, 30% of all site visits in Bombay were happening through the app and which is why we invested more money. But I think the market has suddenly turned and, you know, it's difficult to sort of see the company raising money going forward. I guess that's why we want to be conservative and that's why we have sort of written down the investment.

Nitin Jain: Okay. And just a follow up on that, when you say the market has suddenly turned, are we seeing a similar impact in our real estate business, 99 acre?

Hitesh Oberoi: No, I meant the funding market.

Nitin Jain: Okay. Okay. Perfect. Thank you.

Moderator: Thanks Nitin. Next question is from Vijit Jain. Vijit, go ahead and ask her question.

Vijit Jain: Thank you. I just have two questions. So one, obviously a pretty significant improvement in margins in the quarter, specifically in the recruitment business, right? As we look ahead, you've called out a little bit of challenges on the IT side. So I'm just wondering how should we think about it and how should we think about your A&P spending in that regard. And my second question is a slightly different one, Hitesh. I'm just wondering on the recruitment side, there are probably a lot of consultants who use your platform and then do other recruitment allied activities, right? Including platforms, which probably use resumes from your site and help companies build teams, et cetera. So do you look at these kinds of platforms who use your, who use Naukri differently? Do you monetize them differently?

Hitesh Oberoi: Right. To answer your first question, see, we are seeing a slowdown in IT hiring. Our IT hiring was on fire for about seven, eight quarters. And that is why, you know, we were able to release great results for the last few quarters. And that's why our margins have improved substantially over the last couple of years. What we are seeing now is a slight slowdown in IT hiring. But non-IT hiring continues to be strong, continues to be solid. If you look at our jobs speak for the month of January, which we released recently, IT hiring was down 25%, but non-IT hiring,

but overall hiring was still up 2%. And because certain segments, non-IT segments are growing at 90%, 70%, 50% as well. So the non-IT market continues to be hot and that's about, you know, 45-50% of our business. So a lot will depend on what happens to IT hiring going forward. If IT hiring bounces back strongly within a quarter or two, you know, and the Indian economy continues to grow at 6% or so per annum, you know, we should be fine. Right. As far as our pricing model pricing goes, you know, we don't treat, you know, platforms who, so as far as we are concerned, we, we sell our access to our database and there are some terms and conditions which people buy, who buy their access are bound by. And as long as they adhere to those terms and conditions, we don't price, you know, anything separately for different customers.

Vijit Jain: Got it. Thanks. Yeah. Those are my two questions. Thank you so much.

Moderator: Thanks, Vijit. Next question is from Swapnil from JM Financial. Swapnil, go ahead and ask a question.

Swapnil: Hey, hi, thanks for the opportunity. So first question is on your impairment side. So given that we are impaired 4B networks now, is there a realistic possibility that there could be more impairments coming in other investments that we have done in the past? So that's my first question.

Sanjeev Bikhchandani: Look, may I take that, Hitesh?

Hitesh Oberoi: Yeah, please.

Sanjeev Bikhchandani: See, there is nothing to announce right now. But

in the, in the AIF, we

have a portfolio in fund one, we have a portfolio of 28 companies, right? It's perfectly possible to something be impaired in this environment, but there's nothing visible right now. We shall make announcements as and when we become cognizant of any need to impair. But as far as strategy is concerned, I'm not sure but Hitesh, I mean, maybe you can take that?

Hitesh Oberoi: Yeah, see, you know, this is a fast-changing environment, and the funding environment, you know, I mean, and companies are sort of re-evaluating their, all the companies in our portfolio, also, they're sort of, they've gone back to the drawing board, and they're looking at their plans, growth plans, once again. And, you know, of course, some companies are under more stress than other companies. So, you know, right now, we don't have visibility on any other sort of impairment, or any other asset impairment in our portfolio. But you know, the situation is dynamic, and things are likely to change with every quarter. So, let's see what happens going forward.

Sanjeev Bikhchandani: But you can, I mean, what we are committed to is the principles of good governance, fair disclosure and correct disclosure. And so, as and when things arise, we will disclose, should they arise.

Swapnil: Got it. And the second question is with respect to competitive intensity in 99 Acres in Jeevansathi, your losses have come down on a sequential basis over there. Has the intensity come down a notch due to macro factors and funding concerns for the competition? Or we have taken a strategic decision over there to not to spend much and conserve cash?

Hitesh Oberoi: So, in Jeevansathi, you know, we have changed our business model. And we have, we are now Chat, for example, on Jeevansathi is now free, and we are experimenting with this new model and we are hoping that because there is stuff we give out for free, we will not have to spend as much money on marketing going forward. So, we are experimenting with our marketing span and we started bringing it down slowly. And that's and hopefully it will not impact our profile acquisition and it will not impact our revenue growth going forward. But early days on this one, so let's see how this evolves. As far as competition is concerned, they continue to spend like they were spending earlier. But if we start spending less, maybe they will also spend less going forward, who knows. As far as 99 Acres is concerned, we are trying to optimise our marketing spend a bit. We are working on a few interesting ideas. And it's not as if competitive intensity has changed. But we are taking a breather and we are sort of, you know, revisiting our strategy and optimising stuff at our end. And then we'll see how the site responds and so again, so let's see what happens going forward. This is not, I mean, it's not an indicator of things to come this way. We are just conducting some experiments and as a result of these experiments, sometimes marketing spend may go down, sometimes it may go up.

Swapnil: Okay. And just one more question, if I can squeeze in. So, given that we have a high base

of billings in Naukri from last year, is it a realistic possibility that the billings can de-grow in 4Q? You know, on YOY basis, given the slowdown in IT hiring and IT contributes a significant proportion of billings.

Hitesh Oberoi : So, it is a possibility, of course, by internal target, we have set a target, you know, which is a growth target, we are internal target is 15% growth, but we don't know where we'll end up because we've seen a slowdown in billing growth over the last two, three quarters and Q1, our billing growth was 70-80% and Q2 came down to 50 odd percent and Q3, it went down to 20-23%. So, fingers crossed on what will happen in Q4. We expect non-IT billings to continue to sort of be solid because, you know, if job speak is an indicator, that market is still hard. But IT billing, w

e don't know whether we've hit the bottom as yet, right? And so, it's hard for me to predict what's going to happen in Q4.

Swapnil: Cool. Thanks a lot for answering those questions. Have a nice day.

Moderator: Thanks, Swapnil. Next question is from Nikhil from Nuvama. Nikhil, go ahead and ask a question.

Nikhil: Hi. I have a couple of questions. Hitesh is basically continuing with what Swapnil just said. In an IT where recruitment was very solid, has completely come to a standstill. You've seen this from most of the IT services company, there's hardly any hiring. When we discussed with IT Services Company, they are saying that they are looking for monetizing what they have already hired. They are looking to increase their monetization. So, can that and even the hiring in coming quarter would be greater mix for pressure, where, you know, that would be direct hiring that then through Naukri. So, can the impact could be limited to quarter or the impact could be lower, like six to nine months, longer period of impact on our billing and overall growth. And second question is on investment. So, last time in your call, you talked about that we are a bit conservative on investing on startup and new investment with our policy or we are using the opportunity because of the decline in valuation to invest more. Thank you.

Hitesh Oberoi : I'll let Sanjeev take the second one, but I'll answer the first question. See, IT hiring, see, IT hiring has not come to a standstill because, you know, it's not about just net hiring, it's about gross hiring. So, you know, attrition rates continue to be high in a lot of companies. So attrition rates have of course started trending south, but companies need to also replace a lot of people to stay at the same number. And you are absolutely right in saying that they are perhaps adding less people, you know, than they were adding earlier, but attrition rates, when I last checked and reasonably high in a lot of IT services companies still, and it's not as if our deal, our business and IT has come to a standstill, still closing deal. We are still getting, you know, clients to renew with us, et cetera, et cetera. What is happening is that, you know, the volumes have gone down of course, compared to, you know, the same, you know, compared to six months ago and clients are taking longer to close deals and negotiating harder, like all, like is always the case in such situations. Will this continue for one quarter or three quarters? I don't know. You know, a lot will depend on what happens in the US market right now there's also a lot of bad press, you know, around companies laying off in the US, etc, etc. and that started impacting sentiment in the ground. Our startup India also seems to be in some trouble. So that's also had an impact on some, on sentiment here. But what we've seen in the past, at least, and I can tell you from our past experience that whenever there is a recession in the US, whenever there's a slowdown in the US, in the short term, you know, for a couple of quarters hiring in India slows down. But in the long term, actually more and more jobs are outsourced to India. So if that happens this time around also, then who knows, you know, IT hiring could pick up actually in a very big way going forward, but it's hard for me to predict what will happen at this stage.

Sanjeev Bikhchandani : On the second question, could you please repeat it? I couldn't hear you properly.

Nikhil: Sanjeev so basically during last earning call you mentioned that we are going a bit slow on investing in startup, new age companies.

Sanjeev Bikhchandani : No, I don't think I could have said that. Maybe I miscommunicated. What I did say was we are being more careful. And therefore, a bar for evolution is higher. We are not now worried about missing investment, we are more worried that we don't do the wrong one. Especially since, you know, we don't know if there'll

be a follow on round for another investor or not. They might be, but they might not be. Because everybody is being more careful. So we are investing, but we are being a little slower and more careful.

Nikhil: Understood that's all from my side Thank you Hitesh. Thank you Sanjeev.

Moderator: Yeah, thank you Nikhil. The next question is from Deep Shah from B&K Securities. Deep, go ahead and ask your question.

Deep Shah : Yeah, hi. Thanks for the opportunity. So, Hitesh, I hear you well that you are trying a lot in 99 Acres and trying some experiments are on the way. I just want to understand better if you could help us. Because the fact is that we have been growing revenue, so the market has not become like the matrimonial market where things are sluggish. So we have been growing revenue, but at the same time, maybe it's marketing, maybe it's something else which has always kept in the red. So if you just explain how the market is spanning out, is it that the overall size is not increasing, it's only digital spend which is going up and what are we trying to do? If you could elaborate a bit more that would be very useful because this was a massive opportunity in all of our understanding, but then the monetization is only getting protracted.

Hitesh Oberoi : So let me just explain. So see, for a long time, the real estate market was in trouble in the sense that not enough people were buying property, prices were not moving up, unsold inventory had been going in various, in different cities. And customers have been cutting their spend. And transactions had fallen off a cliff. In fact, even in 2019 or 20 or even 21, maybe they were still lower or lower than what they were 10 years ago. What we've seen is a turnaround in the market, at least the sentiment has changed, there is enough interest in real estate, people are buying, prices are going up. You know, the market has consolidated over time, though, right? There are fewer developers and they have a larger share of the market than was the case five years ago, 10 years ago. Of course, there and digital spending has also grown and you know, spend and customers are spending more than earlier. In fact, we may be now in a situation where, you know, a lot of the projects are getting sold without spending because there's so much interest in the market, which is also not good news for us because we like some, we always like the market to be somewhere in the middle, because it is so easy to, if it's very easy to sell real estate, nobody's required. So that's the danger. But you know, again, home loan rates have started going up and so on and so forth. And so we'll sort of hit, you know, equilibrium in some time. As far as we are concerned, our revenue is growing. We are up maybe more than 30% over last year for the first nine months of this year. We are investing a lot more in the business, both in marketing and in content creation and in user experience on the platform. Of course, we got hit very badly during COVID and our costs have gone a little out of control over the last couple of years because of COVID. And because we have to, because the tech market was also very hot, we had to give heavy increases to retain our talent and so on and so forth. Things are now beginning to normalize and stabilize on that front. And if you are able to continue to grow revenue going forward, then things should be fine. At the same time, the comparative intensity in our space has also increased because there are a lot of well-funded players like housing, for example, which is owned by REA. They'd be very aggressively spending in the market to acquire customers, to acquire users. There are other well-funded VC startups also who've been sort of making a lot of noise. So while the market is growing at the same time, comparative intensity has also increased substantially over the last seven, eight quarters. So we are, we have a few good ideas. We are wor

king on them and you know, if you're able to execute well, then things should start getting better, but if the competitive intensity continues to increase, then we will be forced to respond to defend our position. And so let's see how this plays out in over the next few quarters.

Deep Shah : Right. Right. thanks for that. Again, I know you answered these in the previous quarters, but and correct me if I'm wrong, but what we've seen is despite the on and offs in the real estate space, the broking or the offline broker community, they have done pretty solid in this period before what you pointed out that properties are being sold even without intervention. So where has been that reluctance to reenter this market? We've been in this market earlier, I guess, 2014 or 15 sometime. Where is this reluctance to enter this market coming from? And is it not just [overlap]

Hitesh Oberoi : the broker market you're saying?

Deep Shah : Yeah. So yeah, the offline broking market. And if you just better explain to us, what is the perspective of not getting on the ground?

Hitesh Oberoi : Yeah. So, you know, that's a very different business. It's a transaction business. And see, we run a platform where we actually today, you know, work with over 20,000 brokers,

large and small. We work with hundreds of channel partners. We work with, you know, mom and pop shops. We work with resale brokers, rental brokers, commercial brokers, channel partners who sell new homes. We work directly with builders as well. So the model we are pursuing is very different. It's a marketplace model, advertising led model, listing led model. You know, we won't get into the transaction, we just enable the transaction, we just enable handshakes. In the long run, we feel that if you are able to dominate this market, you know, margins can be very, very solid, just like we have an, just like you see in the Naukri business. The analogy there would be why don't you, I mean, why don't we not become a consultant? Why did we not become a recruitment firm? Some years ago, we took that call that we did not want to be a recruitment firm. We wanted to be a marketplace. Now, the problem in real estate is that the, unlike in the recruitment space where we dominate here, there's more competition and therefore, you know, we're not able to realize the kind of margins we realize in Naukri. Now, can we become a broker? We can, but you know, frankly, there are hundreds of brokers out there. There's not much difference between them. Sure, you can make some money, like all recruitment firms make money, right? But that business is hard to scale and in a good time, they all look good, in a difficult time, you know, it's very, very hard to survive as a broker. And that business is not very tech intensive and it scales with headcount, scales with people. It does not scale with technology. So, so our view is that, you know, it's, you know, you can get a lot of revenue, you can get some profit, but it's very hard to build a very valuable brokerage, right? On the other hand, if we, if we are able to win in this space, we will not win because there may be just one or two winners, then you can build a valuable business. And we would therefore rather focus on this than spread ourselves too thin and try and do too many things at the same time.

Deep Shah : Right, right. Hitesh

Hitesh Oberoi : The other thing I want to say, see, if we become a broker also, then many of the brokers may not want to work with us. So that's the other challenge of become wanting to become a broker.

Deep Shah : No, right. That's a very interesting perspective. Thank you so much.

Hitesh Oberoi : Thank you.

Moderator : Yeah. Thanks Deep. The next question is from Aditya from Macquarie. Aditya, go ahead and ask her question.

Aditya: Hi Hitesh, Hi Sanjeev. Thank you for the candid remarks. Sanjeev, maybe the first question for you on the AIF. Where are you putting

new capital to work if at all? And maybe if you can also provide some context in terms of what are the types of opportunities which might have looked interesting, maybe 12 months back, but now in this environment you're not really pursuing.

Sanjeev Bikhchandani : So we've always been wary of stuff like Crypto, you know, and, and this was from the beginning and therefore, you know, one of the internal discussions we have is if you can't understand it, don't invest in it. And, you know, we sort of were impaired in our understanding of crypto. Similarly Web3, I think it's a great idea, great concept, but we don't know what the use cases that will make money. So we are really slow on, you know, Crypto and Web3, but that's not new. We've been slow since the last couple of years, you know, ever since we first heard of it. Right. So we may have done one or two investments to have a flavor of Web3 and Crypto. We are likewise skeptical of Meta. We don't understand it. We have not done it. So in that sense, we are a little slow off the blocks in this new stuff until we fully comprehend. And until the fog lifts, what will work, what will not work. Having said that, you know, we are doing some frontier technology in Capital 2B. We continue to, you know, do, you know, consume internet, B2B, SAAS, mobile app, in Infoedge Ventures Fund 2. Typically we don't do sectors and do it to top down. We do it bottom up, which is like stock picking for you guys. If the, if there's a good team chasing a good thing that looks like it could work is getting some traction, look at it closely. And if you really continue to like it, you know, as you go deep dive, maybe you can go into it. Some amount of caution, you know, we are looking at not doing very large cheques, and given the environment we are reducing the risk. We are looking at possibly co-investing with others again to share the risk and to get more deep pockets around the table. But, but, but like I said, it's, it's bottom up, it's not top down.

Aditya: May be Hitesh for you and probably it is the generic nature of the question, but what are your top three priorities for Info Edge?

Hitesh Oberoi : Sorry, I, I can you repeat that?

Aditya: What would be your top three priorities for Info Edge?

Hitesh Oberoi : Top three priorities for Info Edge. So, you know, so one, of course, you know, we want to sort of continue to grow our Naukri business, you know, rapidly, you know, we, you know, we've done really well for the last seven, eight quarters and Naukri actually grew like a startup and we also sort of acquire a lot of, you know, assets in adjacent areas. And after a long time, you're seeing India also sort of grow at a faster rate, the Indian domestic sort of economy is doing well. You know, I was just telling somebody 10 or 12 years ago, you know, the infra sectors, you know, all the heavy engineering and construction and real estate, you know, all these sort of, you know, roads, construct railways, power, all these sectors together were as big as IT for us. But then all capital spending came to a stop for a long time. And, you know, they stayed where they were and IT grew four or five X. So, you know, hopefully with the government sort of, you know, taking up infra spending on priority, you know, some of these sort of jobs will come back and these sort of verticals will also grow, start growing rapidly for us. So the, the Naukri business continues to be a number one priority because that's our bread and butter business. It generates all our profits. We need to defend our market share. We are investing in adjacent areas. We are investing in the core platform. We have set up a very high quality AI machine learning team to improve the user experience for both the job seekers and customers. So Naukri without any doubt continues to be a number one priority. Then of course the, the other verticals we are in. So, you know, we have, we realized that, yo

u know, these verticals have been struggling for a long time and something or the other has sort of kept them from sort of breaking away from competition. So 99 acres is a very important priority for us. And personally I'm spending a lot of time on that vertical to see, and it's, and it's, you know, it's not a small vertical anymore. We have an internal target of internal billing target of 100 crores 99 acres for Q4. We'll see where we end up, but you know, the run rate is getting better with every, and it can become a large business over time if it gets the focus and attention it needs. So that's an important sort of priority for the community. Shiksha has surprised us. Shiksha has been growing at a reasonable rate and without us focusing or spending too much energy and time on the business, it's now profitable with business. It's small, but profitable. So, so, so the other verticals, you know, are important. We are also sort of spending a lot of time on our blue collar Job Hai. You know, we have been sort of test marketing it, testing it out in a few cities and early signs are encouraging. So, you know, at some point in time we'll want to sort of scale that up as well. So, so, so, and till sometime back and continues to be, of course, but attracting and retaining high quality talent was a top priority for us because the startup market was super-hot and it was getting harder and harder to attract and retain people. Thankfully, I mean, I mean that that's, that's gone under control now because we are now seen as a stable, mature business. And, but you know, it's the, because the startup scene is slowed down, it's also an opportunity for us to attract and some good new talent into the company. And that, that, that will always remain a top priority for us.

Aditya: Thanks Hitesh.

Moderator : Yeah. Thanks Aditya. We have follow-up question from Nitin Jain from Fairview Capital. And this is the last question I have in case there are more questions, I request people to raise hand so that I can take them one by one. Nitin go ahead and ask a question.

Nitin: Yeah. Thank you for the follow-up opportunity. My question is both for Hitesh and Sanjeev. So I'd like to, you know pick your brains as in you know, drawing on your previous experiences where there have been such funding winters in the market and has it like has it been a strategic advantage for a firm like a cash-rich firm like Naukri because we keep continuously you know, investing in newer businesses. So if you could share your experience, thank you.

Sanjeev Bikhchandani : You want to go first Hitesh?

Hitesh Oberoi : Yeah. So see, this is an opportunity, but you have to keep at it. So what you have to do things, right? So you, we are, like you said, we are cash rich. Now, if the market slows down and we continue to invest because we are cash rich, then when the market comes back, we will emerge stronger. So, so in Naukri, for example, right now the market is slowing down a bit, but see in Naukri we are already dominant. So, but still, you know, if we continue to sort of invest in Naukri as if there is no slowdown, our position will be even stronger when the market comes back, especially if our competition starts or cuts down on its sort of investments in their business. In 99 acres, the same thing would play out, but the 99 acres market is not slowing down. So I don't expect competition to slow down their investments in real estate. The real estate market continues to be solid. So we don't see any slowdown on that front, but on the whole, you're right. In a slowdown, if a company continues to invest in its business, then when the market comes

back, you know, it's great for the company, especially when others cut down on their investment.

Sanjeev Bikhchandani : Yeah, I'll add to that. You see, if I look back, right, let's go back to the year 2000-2001, there was a dot.com meltdown, bubble burst. Around that time, now, part

y out of

ignorance, partly out of, you know, misplaced confidence, we did not sack people. In fact, we hired 80 salespeople in 2001 at a time when our competition let go of 80 salespeople. Now, a decision like that really helped us because we continue to grow and we came out of that meltdown profitable, right, as compared to when we went in. Then you go to the global financial crisis. There, we had a 40, we had a 43 or 44% traffic share at the beginning of the global financial crisis. Three years later, we had a 63% traffic share, right, in Naukri. And that's largely because our competition, Monster, Times Jobs, they all let go of salespeople. We did not let go of people. We simply did not sack. We were happy to live with lower profits for, you know, two or three quarters. We said we will keep our capabilities alive and intact. Competition cut advertising, I remember, by 60 or 70%. We cut advertising by only 15%. Once again, we said we'll take lower profits, but we will keep the business capability and the brand salience intact. That paid rich dividends and therefore when we came back, we came back with a roar. Let's take a look at 2020, right. COVID, lockdown, Naukri was minus 44% YOY in quarter one of 2020-21, April, June 2020, minus 44% billing growth YOY. You know, we requested Chintan saying, listen, can you stress test our, you know, our P&L balance sheet and our cash reserves? And the question we put to him was, if we have zero revenue, zero, not zero growth, but zero revenue, if revenue was at zero, and we cut marketing, zero and zero increments, how long can we live as a company with the current cash reserves? And the answer he came back with was three years. At the moment he said that, we said, okay, that's enough, you know, that's enough runway. And we simply did not downsize. At a time during COVID when everyone, when a lot of other companies downsized, you know, we simply said, listen, we are a people's company. We, this is the wrong time to let go of people. There's no light at the end of the tunnel. If you let go, then we don't know what will happen to them. They never get a job. At the same time, you know, this thing will turn around and we'll start growing again. We don't know when, but we'll start. And, you know, preserving our capabilities in times of recession and not cutting back on investments too much has paid us rich dividends on three separate occasions, 2000, 2008- 2009, and again, 2020. You know, so, of course, as you said, you've got to cut the right, cut some expenses, keep the right ones intact, you know, be a little more careful about how you're investing. And if you manage that right, hopefully, you know, it will help. You want to add something to this Hitesh?

Hitesh Oberoi : No, see, you're right. Like I said, you know, in the case of Naukri, the question of laying off etc does not arise. But there's very little to gain in the sense that we already 70-80% of the market. But yes, in our newer verticals, in all the new businesses that we acquired, there's still massive opportunity to grow, whether it's IIM jobs, or whether it's job hai, which is just a startup inside the company, we will continue to invest in these verticals, because there's just, you know, we're just starting, right. And we don't have any constraints. Profitability may go down for a while. But like I said, in the past, we've seen even when the companies have laid off in the US after a couple of quarters have come back and strongly and hired very strongly in India, because that's part of their sort of part of the solution, India's part of the solution to cut costs. So, so, and in the other verticals, because we're not seeing any slowdown at the moment, and the market at least.

Nitin: Okay, great. Thank you, both of you. That's quite insightful. Just a follow up on that. So how does the nature of funding change in such times? Like, do you concentrate more on manpower or technology or ad spends?

Hitesh Oberoi : See, though, in the long run, we believe that, you know, it's the investment in product technology, user experience is what takes you ahead. Right. So, we will continue to invest aggressively in these areas. And we've never cut headcount. In fact, the headcount is always grown in this part of the business. Number one. Secondly, we continue, we believe that we need to invest in new cutting edge emerging areas. So we've been investing very aggressively in AI machine learning for the last few years now, we've set up a new team for AI machine learning, we are experimenting with video content, and so on. So in the new areas, we want to invest and we will continue to invest more. Because if you get that right, you can actually help you take, you know, you can move your business to the next level. So we don't want to cut down on new emerging in or investing in new emerging areas. It's important for the long term sort of health of the company. See, marketing spend is something you can play around, you can turn on the tab anytime, turn off the tab anytime. And there is, you know, often a function of, see, what we measure is share a voice. See, if, if, you know, our competition is spending a lot, then you have

to spend a lot. But if competition cuts down, let's say we are at X and competition at X, and they suddenly go to zero, then you can go down to X by two also doesn't matter, right? You still get your growth. So there, it's more a function of how much is competition spending more than anything else. Because you don't want to lose share a voice. If others stop spending, and you spend even a little bit, you're still okay. But if others are spending a lot and you stop spending, then you can share. So there, I think we go by, you know, what the others are doing more than anything else, because it's not required to, you know, you don't need to spend a lot of money by not spending.

Nitin: Thank you. Thank you.

Moderato r: Thanks Nitin. I think Vivek that was the last question we had for today.

Hitesh Oberoi Thank you all have a great evening.

Sanjeev Bikhchandani : Thank you. Thank you. Bye bye.

Chintan Thakkar : Bye. Thank you.

Moderato r: Thanks, everyone.

Call: Jun 2023

Date: June 01, 2023

1. The Manager- Listing
National Stock Exchange of India Limited
(Scrip Code: NAUKRI)

2. The Manager- Listing
BSE Limited
(Scrip Code: 532777)

Sub.: Transcript of Q4 FY 2022-23 Post Result Conference Call

Dear Sir/Madam,

In furtherance to our letter dated May 27, 2023 and pursuant to Regulation 30 of the SEBI (Listing Obligations & Disclosure Requirements) Regulations, 2015, given below is the link of the transcript of the Conference Call on the Financial Results for the Quarter and Year ended March 31, 2023, held on Friday, May 26, 2023 at 05:30 PM (IST), post declaration of results. The same has been updated on the website of the Company

Link: https://www.infoedge.in/pdfs/financial_pdfs/f_Earnings/investor-concall-transcript-26may2023.pdf

A copy of the transcript of the Conference Call is enclosed herewith.

Request you to take the same on record.

Thanking you,

Yours faithfully,
For Info Edge (India) Ltd.

Chintan Thakkar
Whole-time Director & CFO

"Info Edge Q4 FY 22-23 Results Conference Call"

May 26, 2023

MANAGEMENT : MR. SANJEEV BIKHCHANDANI – FOUNDER & VICE
CHAIRMAN , INFO EDGE (INDIA) LIMITED

MR. HITESH OBEROI-CO-PROMOTER & MANAGING
DIRECTOR, INFO EDGE (INDIA) LIMITED

MR. CHINTAN THAKKAR – CHIEF FINANCIAL OFFICER,
INFO EDGE (INDIA) LIMITED

Anand Prakash Bansal: Good afternoon, everyone. We are about to start. I am Anand Prakash Bansal and along with my colleague, Vivek, hosting this call. Vivek, we have 100 people with us. We can start.

Vivek Aggarwal: Yeah. Thanks, Anand. Hi, everyone. Good evening. Our sincere apologies for being late on the call. We welcome everyone to InfoEdgeQ4 and Full Year Financial Year 23 Results Conference call. As a reminder, all participant lines will be on listen- only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need any assistance in the call, please raise your hand on the screen. Please note that this call is being recorded. From the management side, we have Mr. Sanjeev Bikhchandani , Founder and Vice Chairman, Mr. Hitesh Oberoi, Co-Promotor and Managing Director and Mr. Chintan Thakkar, our CFO. Before we begin today, I would like to remind you that some of the statements made in today's conference call may be forward-looking in nature and may involve some risk and uncertainties. Kindly refer to slide number two of the investor presentation for detailed Disclaimer . I would like to hand over the call to Mr. Hitesh for his opening remarks. Thanks and over to you, Hitesh.

Hitesh Oberoi: Thank you, Vivek and apologies once again for starting a little late. Good evening, everyone and welcome to our fourth quarter and full year earnings call. We will start with an update on standalone financials and then cover the financials of each business in more detail. The audited financial statements and other schedules on segmental billing, revenues, etc. along with our data sheet have been uploaded on our website infoedge.in. Overall, billings in Q4 stood at Rs 748.6 crores, a year-on-year growth of 15.3 %. For FY23, billing stood at Rs 2366.3 crores, a year-on-year growth of 26.8 %. Revenue in Q4 stood at Rs 564 crores, a year-on-year growth of 23.8%. For FY23, revenues stood at Rs 2158.6 crores, year-on-year growth of 38.2%. Billing in revenues along with acquired businesses, Zwayam and Do Select, for the quarter stood at Rs 770.4 crores and Rs 586 crores respectively. For FY23, billing with acquired businesses stood at Rs 2433.4 crores, a year-on-year growth of 28.7%. Operating expenses for the quarter excluding depreciation and amortization were Rs 343.7 crores, a year-on-year growth of 5%. For FY23, operating expenses were Rs 1374.4 crores, a year-on-year growth of 25.1 %. Operating EBITDA for the quarter stood at Rs 220.3 crores versus Rs 128 crores reported last year, a year-on-year growth of 72 %. And for FY23, operating EBITDA grew 69 % year-on-year to Rs 784 crores from Rs 464.3 crores last year. Operating EBITDA margins for the quarter stood at 39.1 % compared to 28.1% last year. For FY23, EBITDA margins stood at 36.3 % compared to 29.7 % for last year. Operating EBITDA including acquired businesses stood at Rs 231.6 crores, a year-on-year growth of 70.9 %. For FY23, operating EBITDA including acquired businesses stood at Rs 807 crores, a year-on-year growth of 73.3 %. During the quarter, we impaired an amount of Rs 12 crores granted as ICD to 4B Network Pvt Limited. Cash generation from operations for the quarter stood at Rs 412.9 crores compared to Rs 374.3 crores in Q4 FY22, a year-on-year growth of 10 %. For FY23, cash generated from operations stood at Rs 1038.5 crores, a year-on-year growth of 14.5 %. Deferred sales revenues stood at Rs 1,018.5 crores as of 31st March 2023 versus 819.6 crores as of 31st March 2022, a year-on-year growth of 24.3 %.

The cash balance of Info Edge including the wholly owned subsidiary stands at Rs 3,490 crores as of 31st March 2023. In the recruitment market, we are witnessing a period of cautious spending from customers in IT. The Q4 Job Speak reported a nominal growth of 1 % primarily due to de growth the IT space. On the other hand, positive hiring patterns emerged in s

ectors

like BFSI, real estate, auto, ancillary, travel, and hospitality segments during the quarter.

The Indian real estate market continues to be stable and certain micro markets are very, very hot. Though the price increases have stabilized in the last Q4, the inventory levels are still lowest in the last decade and we're expecting a series of new launches in both the residential and commercial space.

In the education space, we are seeing stability return to colleges and universities and the number of students going overseas for education also continues to go up.

Moving on to the financials of the recruitment business, in Q4 of 23, the recruitment segment billings were Rs 583.5 crores, a year-on-year growth of 13.7 %, while revenues were Rs 437.6 crores, a year-on-year growth of 27.1 %.

For FY 23, billing stood at Rs 1858.7 crores, a year-on-year growth of 29.54 %, while revenues stood at 1679.6 crores, a year-on-year growth of 45.5 %. Operating EBITDA for the recruitment business stood at Rs 271.5 crores, a year-on-year growth of 31.3 %, and margins stood at 62.1% against 60.1 % in Q4 of last year. For FY 23, operating EBITDA stood at 1030.9 crores, a year-on-year growth of 51.6 %, and operating EBITDA margin was 61.4 % up from 58.9 % last year. Cash generated from operations for the recruitment in the recruitment business during the quarter stood at Rs 447.3 crores, up from Rs 412.1 crores in Q4 of last

year. The recruitment business generated Rs 1245 crores of cash from operations in FY 23, a year-on-year growth of 21.8 %. Billings for Naukri India corporate business for the quarter stood at Rs 494.3 crores, a year-on-year growth of 12.4 %, while revenues for the quarter from Naukri India business stood at 367.8 crores, a year-on-year growth of 37.3 %.

Billings for Naukri India for FY 23, stood at 1567.2 crores, a year-on-year growth of 31 %. Recruitment segment billing including acquired businesses for the quarter stood at Rs 605.3 crores, a year-on-year growth of 14.3 %, for FY 23 recruitment segment billing with acquired businesses stood at Rs 1925.8 crores, a year-on-year growth of 31.7 %.

The quarter witnessed a strong sales effort with judicious use of discount reduction and price increases. Growth drivers in non-IT sectors helped drive billing growth in this quarter and are likely to continue the growth momentum. Global concerns are likely to impact prospects of clients in the IT services in India, but we're optimistic of hiring by captives and global GCCs.

The Naukri site got around 20,000 new CVs registrations per day during the quarter, an year-on-year growth of 2 %. Daily active user account is up 10 % year-on-year as well.

We increased our marketing spend by 150 % during the year with the view to enhance our brand salience amongst existing users and focus on increasing reach of our digital-led engagement and social media campaigns targeting the Gen Z audience.

Traffic on Ambition box also continued to grow at a healthy rate during the year.

Moving on to the 99 acres business, billings in Q4 and 99 acres grew 30.8 % year-on-year and stood at Rs 103.7 crores, while revenue grew from Rs 61.3 crores in Q4'22 to Rs 75.5 crores in Q4 of 23, a year-on-year growth of 23.1 %. For FY23, billing stood at Rs 311.6 crores, a year-on-year growth of 35 %, while revenue stood at Rs 284.5 crores, a year-on-year growth of 31 %. The operating loss for the quarter for 99 acres stood at Rs 19.1 crores, as against the loss of Rs 33.8 crores in Q4 of last year.

For Full year, operating loss stood at Rs 107 crores against the loss of Rs 78 crores last year. In Q4, the 99acres business reported a cash inflow from operations of Rs 13.5 crores of the quarter, against an inflow of Rs 3.6 crores in the same quarter of last year. For the full year, the business reported a cash outflow of Rs 72.2 crores.

The 99acres business witnessed a broad-based growth across all categories in this vertical

resale, rental, commercial, and new homes. A healthy demand environment, increased traffic on the platform and multiple initiatives by the business teams to improve content quality led to significant increase in inquiries and leads on the platform for our clients.

A stronger sales rigor and comprehensive Go to Market to cater to launch stage marketing was the key highlight of the quarter.

We will continue to invest in platform content, plan delivery, and marketing in the months to come.

Moving on to the education business, in Q4, in Shiksha, billing stood at Rs 40.9 crores, a year-on-year growth of 42.4 %, while revenue stood at Rs 32 crores, a year-on-year growth of 31.1 %. For FY23, billing stood at Rs 123.9 crores, a year-on-year growth of 28.4 %, while revenue stood at Rs 116.9 crores, a year-on-year growth of 29 %. The business made an EBITDA of Rs 2.3 crores in the quarter against an EBITDA of Rs 4.8 crores in Q4 of last year.

For Full Year, EBITDA stood at Rs 7.8 crores, down from Rs 19.5 crores reported last year. Cash inflow from operations for the quarter in the Shiksha business stood at Rs 15 crores against an inflow of Rs 10.2 crores in Q4 of last year. For FY23, cash inflow from operations stood at Rs 21.1 crores. T

he rebound in the Shiksha domestic business helped drive growth for this quarter. With many more private universities and colleges in India being established, we expect this growth to continue.

Moving on to the Jeevansathi business, billings in Q4 in Jeevansathi declined by 27 % year-on-year to Rs 20.5 crores, and revenue declined by 26 % year-on-year to Rs 18.8 crores. For FY23, billing stood at Rs 72.1 crores, a year-on-year decline of 29 %, while revenue stood at 77.6 crores, a year-on-year decline of 22.5 %. The operating EBITDA losses for the quarter stood at Rs 21.9 crores for the quarter against a loss of Rs 38.8 crores in Q4 of last year. Operating loss for FY23 stood at Rs 101.4 crores against an operating loss of 120.4 crores reported last year. Cash outflow from operations for the quarter stood at Rs 19.4 crores against an outflow of Rs 29.3 crores in Q4 of last year. Cash outflow for FY23 stood at Rs 126.2 crores.

The free chat model in Jeevansathi continues to try profile growth and engagement on the platform. New paid products launched in December resulted in some sequential sales growth.

The team continues to explore ways and means to monetize the increase in traffic on the platform. In continuing with our standard strategy, we are reducing our advertising and promotion spends during the quarter. We continue to reduce our advertising and promotion spend during the quarter. Advertising spend was down 51 % year-on-year and 6.6 % sequentially.

Moving on to the consolidated financials. At the consolidated levels, the net sales of the company stood at Rs 604.8 crores versus Rs 472.9 crores in Q4 of last year. For the consolidated entity, at the total comprehensive income level, there is a loss of Rs 414.8 crores versus a loss of Rs 6420 crores for the corresponding previous year. Adjusted for the exceptional items, PBT stood at a loss of Rs 349.5 crores in Q4 versus a profit of Rs 285.7 crores in Q4 of last year. Thank you. That's all from us and we are now happy to take questions.

Vivek: Thanks, Hitesh. We'll now begin Q&A session. anyone who wishes to ask a question, raise your hand, we will take your name and announce your turn in the question queue. We will wait for the question queue to build up.

Anand Prakash Bansal: Thanks, Vivek. Thanks, Hitesh. The first question is from Vivekanand Ambit Capital. Vivek go in and ask your question.

Vivekanand : Hello. Thank you so much for the opportunity. I have two questions. The first one being on the recruitment business. So, Hitesh, in your opening comments, you mentioned that there is obviously some pain or perhaps caution as far as IT companies are concerned.

So, heading into FY24, how are you thinking about the billing trends given that job speak has been fairly muted. That's question one. Secondly, on 99 acres, thanks for the opening comments. So, it's clear that all segments of the markets are growing. So, my question here is, is the market growing much faster than what we reported, given that we have slipped on traffic when I look at similar web data. And if you could give us some sense on what you are doing to mitigate this decline in traffic. Or am I looking at it wrongly? Thank you.

Hitesh Oberoi : yeah to answer your first question, IT hiring. So, we expect IT hiring to continue to be slow for at least a couple of quarters. IT hiring, IT jobs on the platform moved into negative territory sometime back. And we, from what we are sort of seeing around us, what we hear from our customers, we don't expect, you know, we expect things to continue to be like they are for some more time. Of course, a lot will depend on what happens to the US economy. And in the past, what we've seen is every time there's been a slowdown, you know, while Indian IT companies do get hit for a few quarters, but after that, you always see a sharp bounce back because more and more jobs are outsourced to India because when companies want to cut costs in the US, they end up outsourcing more jobs to India over time.

Whether that will happen this time around or not, it's hard to say. But, yeah, I mean, IT companies are sort of slow right now when it comes to hiring. The non-IT market continues to be rock solid. many sectors are doing very well. Sectors like BFSI, sectors like travel, retail, hospitality, sectors like auto-ancillary, sectors like construction and real estate, these sectors are sort of growing well and they continue to hire a lot of people. So could there be a further slowdown in IT hiring over the next few months, possible. 99acres, we haven't seen a reduction in traffic. In fact, our traffic has grown over time.

And we've done a lot of changes, made a lot of changes to the platform, which has resulted in the platform generating many more inquiries and many more leads for our clients than was the case earlier. And that's reflecting in our numbers as well. Q4, you know, billing growth was 31%. Full year billing growth was 35%. The business generated cash actually in Q4. We made a 13-crore cash profit in 99 acres in Q4. And this has happened despite us, you know, reducing marketing spends in Q4 and despite heightened competitive activity as well. So it's not as if competition is not spending all the money, some of our competitors are very aggressive in the market.

Are we growing faster than the market? Well, the market, some markets are, some real estate markets are doing well, and real estate is very sort of local. And there's a lot of, for example, you know, real estate is doing really well in Gurgaon and Noida, but maybe not in many parts of Delhi. So real estate is very local. So some hot spots are doing very well. And because there were very few launches during COVID, the amount of unsold inventory in the market has gone down, which is leading to higher prices. So a lot of the growth that we are seeing in real estate is price driven, while we didn't really aggressively take up prices last year.

Our growth is mostly volume driven in 99 acres.

Vivekanand: Okay, this is helpful. Just one clarification on the outlook as far as IT hiring, and your monetization is concerned. So understand that IT hiring, there could be more slowdown, but are you taking any initiative maybe on the product side or on the pricing side or any other such initiative that is helping you perhaps buck the trend as far as, you know, your billing trends versus say, perhaps the headcount addition by IT services companies?

Hitesh Oberoi : See, there's little that we can do on IT hiring right now because see, hiring has slowed down. So of course

e, we are trying to sell more and more new products to our customers. But what we are working on actually a little more right now is the non-IT side because that's where the opportunity is. So we are fine tuning our product offering for non-IT customers because they are still hiring, and they are hiring in large numbers and there is scope to monetize them better. So that's likely to be the focus for the next few months. On the IT hiring side, we are, it's a wait and watch game. We of course continue to work on our product. We continue to grow our platform. We continue to invest in some of the long-term projects that we've been pursuing. But it's unlikely that we can do anything in the short term which will move the needle on IT monetization for us.

Vivekanand: Okay. Thank you and all the best.

Hitesh Oberoi: Thanks

Anand Prakash Bansal: Thanks, Vivek. Next question is from Abhishek Bandari from Nomura. Abhishek, go ahead and ask your question

Abhishek Bandari: yeah Thank you, Hitesh, Chintan. Despite sounding cautious on IT hiring for last two, three quarters consistently, we have been able to do a billing growth in double digit and given the momentum X of IT, do you think you know we could still look at these kind of numbers, notwithstanding the problem what we're seeing in IT at least in FY 24 ?

Hitesh Oberoi : See, 50% of our billing comes from non-IT and about 50% is IT at a very macro level. Now, if the non-IT, if the economy does well, if the economy starts to grow at 6-7% per annum, for example, the non-IT hiring piece could grow at 25-30% per annum. On the other hand, if the economy were to slow down, then even non-IT hiring could take a hit. IT hiring has been very, very slow for about 3-5 months now and could continue to be slow for the next 3-4-5 months. We don't know when the IT hiring market will turn and have we hit the bottom? I don't know. Right We will know only in a couple of months. So, we are hoping and banking on the fact that IT hiring will turn around by H2 sometime and the non-IT market will continue to be solid. And if the non-IT market continues to be solid and if IT hiring turns around in the second half this year, then we may still end up with, Nau kri business growing in the teens somewhere. But if IT hiring were to slow down further and the economy were to also sort of move sideways, you know then it could be a challenge.

Abhishek Bandari: Got it. That's helpful, Hitesh. Hitesh, my second and last question is, you know, any thinking around now lifting the dividend payout for the shareholders? You know, we are generating such a handsome amount of cash from our, you know, core business. The business does not need too much investment. We have, you know, almost 3,500 crore cash lying. But yet, you know, our dividend payouts are very, very low. You know, we are just paying 9 Rs in Q4. So, do you think you would want to increase the payout ratios from the current level?

Hitesh Oberoi: Chintan, you want to take that?

Chintan Thakkar: Sure, so, this 9 Rs, you know, first of all, it's more as a factual clarification. This 9 Rs is the final dividend. We already gave 10 Rs as an interim dividend as well. So, its Rs 19 Rs overall. But I understand the overall question that in comparison to the amount of cash that we have this may look small. If you look at dividend policy, which is there on our website as well, that we usually distribute a certain portion of cash, and that's what we have done. So, if you look at it this year, it's like 35% of PAT. So, it's like one third of the cash that we earn, we have given as dividend. Now, is there a case for any special dividend? I think that's a very separate consideration. We still think that there could be an opportunity for us to invest in this money and we continue to look for good opportunities for the same. So, right now we would like to hold on to the same, but should an opportunity arise, sh

ould that occasion arise,

where we think that this cash is in excess of what we think we require. Certainly, we can look at special dividend or buy-buy or something, but right now there is no thinking on those lines.

Sanjeev Bikhchandani: May I add to that? Sanjeev here. So, look, I think we have ah customer advances that money doesn't belong to us. What is the amount of customer advances we have right now?

Chintan Thakkar: Should be around 800, my guess could be wrong around 1100 crores.

Vivek Aggarwal: around 1100 crores

Sanjeev Bikhchandani: 1100 crores, so that is not our money. So, that is bank, you know, in tomorrow in case customers ask for it back, you know, if something goes wrong and they have to get it back, that goes back to customers. So, you move 1100 crores from 3400, 3500, you're left with 2300 crores. You want to keep some rainy-day money, you want to keep some money for acquisitions, you want to keep some money, in case there's a serious downturn, and cash goes down. So, it's not that much money, but, you know, I'll give you a couple of examples of situations where this seemingly high cash balance has helped us, the most latest one being COVID.

So, in March 24th, 2020, there was a lockdown enforced by the Government of India. April-June 2020, Nakuri billing growth, I think was minus 44%. there was no clue, nobody had a clue as to what was going to happen, how long the lockdown will continue, how severe the pandemic was going to be, is there a vaccine, is there a cure, what was going to happen to hospital capacity, and everybody was at home.

At that time, we asked Chintan, and we gave him a simple sort of thing to solve, ah which is, okay, assuming sales revenue goes to zero and marketing expenditure goes to zero and increments go to zero, how long can we run on the current cash balance? And he came back with the answer of three years. And that emboldened us to take a call that we would not sack anybody. There were very few companies in the digital space that did not sack people in India. We were one of them. And, you know, in our opinion, at a time like when the pandemic had just begun, people were anyway tense about their own lives and their health. We, you know, if you start downsizing them and they won't get a job for many months, it will get very, very tense for them. And we can't do that because companies have been built by people. And we were able to take that call simply because we had this cash balance. So, and this has happened earlier as well, and when Lehman went down, we had the cash balance to not sack people. And I personally believe that this is the right thing to do. And therefore, we do it.

Abhishek Bhandari: Got it. Thank you for the detailed answer, Sanjeev, Hitesh and Chintan, and all the best for next year.

Anand Prakash Bansal: Thanks, Abhishek. Next question is from Pradeep Ganesh from ICICI. Pradeep, go ahead and ask your question.

Pradeep Ganesh: Yeah, hi, this is Abhishek. Sir, only the Jeevansathi business, right? There has been a lot of competitive action there. If you could give us some clarity on how the competitive landscape is looking there, and what is your outlook on monetization going forward.

Hitesh Oberoi: In Jeevansathi?

Pradeep Ganesh: Yes, Jeevansathi.

Hitesh Oberoi: Well, it's a very hotly contested market. So we have two big players in that market, Jeevansathi and Bharat matrimony, and they've been spending a ton of money on marketing. And the pricing has also been very aggressive. So, we changed our strategy a while back. We moved to a freemium model. We made chat free on the platform. So some of the stuff we are charging for earlier is now free. And in line with that strategy, we also fine-tuned our marketing strategy. We are not spending as much money on marketing as earlier because the proposition in itself is helping us acquire users cheaper. So, that's been our approach. So, w

e've uh kind of, you know, brought down our marketing spend substantially in the last two quarters. And despite that, our user growth is solid and there's a lot of engagement. And we are enabling many more matches on the platform than earlier.

Now, of course, this strategy has also resulted in our revenue crashing. Our revenue is down 27% year on year. And now the team is sort of working on, ways and means to monetize better. Now, that is still watching process, still early stages of that. So, we don't know how things will pan out. But traffic growth is healthy. Engagement is healthy. There's much more match making happening than earlier. We cut marketing spend and it still seems to be okay. Okay. I don't know what, how competition will react going forward. and at the same time, we're also seeing a lot more activity in the dating space. So, there are lots of players who are active in that space. But that's not a market which even Jeevansathi completes in. But we are of course seeing a lot more activity in that market as well compared to earlier.

Pradeep Ganesh: Understood. So, in terms of market share, would you say that you have gained there? I mean, how is your position vis-a-vis say 1 year back?

Hitesh Oberoi: See, we have lost revenue share. But we have gained traffic share. We've gained share of users vis-a-vis Shaadi, for example, in the north and west, which is where we mostly present. And we have of course cut burn.

Pradeep Ganesh: Got it. And so, would you give us some, you know, some flavor of what you are thinking about in terms of investment opportunities? What kind of businesses you are looking at? whether it's B2C or B2B, because B2B has suddenly become a very hot space. So, I would like to hear your thought process on what would be the best investment opportunities that you are trying to assess.

Hitesh: Financial or strategic? Which ones are you?

Pradeep Ganesh: Financial.

Hitesh Oberoi: Financial. Okay .Sanjeev, you want to take that?

Sanjay Bikhchandani: Yes. Sorry, could you repeat that?

Hitesh Oberoi: Which spaces are we looking at for financial investments.

Sanjay Bikhchandani: In financial investment, we look at every sort of tech space other than jobs and careers, education classifieds and matrimony and dating and real estate. But other than that, all is open in the tech space. So, we've done a whole wide range. We typically don't do it top down. We do it bottom up. We assess about a thousand startups a quarter, uh either through meetings or through phone calls or even just looking at the decks that come to us and then maybe we invest in a few. So, it's bottom up. Good founders, chasing good ideas or seemingly good ideas. we might go in.

Pradeep Ganesh: I understand. Thank you so much, sir.

Anand Prakash Bansal: Thanks, Pradeep. Next question is from Ankur Rudra from JP Morgan. Ankur, go ahead and ask your question.

Ankur Rudra: Hi, good evening. Thanks for taking my question. So, the first one is on IT. did you say that the mix is still 50% IT versus non-IT on a billing basis?

Hitesh Oberoi: Approximately.

Ankur Rudra: Okay. So, given the difference in growth rates and the difference in how the growth is trending out, do you think that the balance of growth, whatever you see the weakness in IT will be more than made up by the strong momentum you're seeing at the moment in non-IT over the course of this year?

Hitesh Oberoi: It'll depend on how much the Indian economy grows going forward and it'll depend on when IT recovers. So, right now it looks okay because non-IT companies are doing well. and of course, if the Indian economy starts going faster, then they may do even better. In the past, we've seen that when domestic growth starts to hit 6-7%, it's possible to grow at the business at 25-30%, at least in the non-IT space. As far as the IT hiring, of course, a lot will depend on when IT starts to recover.

So, and how bad the slowdown is, right? You know, so, have we hit rock bottom? I don't know. Okay. Will things get better from here on? I don't know. It's hard for me to predict at this stage.

Ankur Rudra: Sure. Can you give us some more color, Hitesh, on the IT Billings trajectory? I think you said it hit negative on a Billings basis a few months ago. Was that in the March quarter or is that in the current quarter?

Hitesh Oberoi: so, it's been trending south for the last few months. The job index, I said, has been in negative trajectory for the last at least three -four months now, it was minus 27% for software services. The job speak index we publish captures volumes more than anything else. So, in April, March and now May is not looking any better. So, the IT hiring has been sort of very, very slow for at least four, five months, six months.

Ankur Rudra: On a billing basis, could you give us a sense? How is IT billing growth momentum right now? And if that trajectory has gotten worse, because you've obviously seen two more months of the current quarter, how's that trending in June vs march Qtr.

Hitesh Oberoi: Very good. This way, it's not getting any better.

Ankur Rudra: Okay. And is this, is it already negative on a Billings basis also? Is what we're seeing on job speak representative?

Hitesh Oberoi: Chintan Thakkar can we give out that data?

Chintan Thakkar: Hard for us because the quarter is still going on. And most of the billing also happens in the last month of the quarter. So, it would probably be wrong if we have to give some estimate to you.

Ankur Rudra: Okay. But it, you can clarify that it didn't hit negative on a Billings basis at least in the March quarter, right? IT part of the whole

Chintan Thakkar: No, I think you are talking about Q4. So Q4, even Q3 in that sense, actually, the growth was more reflected because of the non-IT rather than IT. So on your original question whether non-IT growth will compensate for IT. So far, the trend has been so in Q3 as well as in Q4. Now, what Hitesh is just saying is that will it remain the same in Q1 or not? I think we are yet to see. And, you know, we'll have to see till we complete the quarter and come out with the results.

Ankur Rudra: no ,no, I totally understand. I was wondering if you can share with us any color for if IT Billings hit a negative trajectory for any of the months of the March quarter.

Chintan Thakkar: I don't have the exact number right now. But as I said that, the growth trajectory of non-IT was more than enough to compensate for reduction in the IT.

Ankur Rudra: Okay. Maybe changing tracks a little bit, you know, fourth quarter has always been your strongest quarter and, you know, many deals close. Has there been any increase in discounts given out this time, given the weakness in half your portfolio?

Hitesh Oberoi: I'm sure this is always the case. Yeah, whenever the market slows down, you end up getting more discount because that's the nature of the beast. So, I'm sure that's happened in a lot of cases with a lot of clients in IT. That must have happened.

Ankur Rudra: Would this, is this something you're concerned about from a pricing perspective for the next year?

Hitesh Oberoi : no, this is this is standard stuff. Yeah, this is what happens in every slowdown. And once the market starts to recover, then pricing will go back to normal

Ankur Rudra: Okay. last question on this side. do you think there's ability to sustain margins given where the momentum is right now?

Hitesh Oberoi: So, in Nau kri, we continue to invest in many areas which we think, important for the long run. We are hoping that this slowdown will not last for more than a couple of quarters. So if we are able to grow billings at even at 14-15% this year, then I don't think our margins will be impacted. On the other hand, if billing growth slows down and we start growing in low

single digits, then of course, margins will be impacted this year in Naukri because we don't want to cut our investments in areas like data science and the blue-collar job board we're working on and some of the other stuff that we're doing which we think is strategic and important from a long-term standpoint. Can we maintain margins? We are hopeful and confident that the market's will come back. IT market will also come back by Q3 or Q4 of this year.

Ankur Rudra: Okay. One question on 99acres. Any changes in thought process about monetization besides the classified model that you've thought about over the last one year? I know you've written off 4B, but in general for 99 acres.

Hitesh Oberoi: So in the resale business and at the rental market, we have a classified model at work. But increasingly for some of the large customers in the new home sort of category, we run a lot of CPL cost per lead campaigns. And so our billing is indexed to how many leads you are able to generate for them. And it's not just a listing fee, which we charge them. So, the business has slowly been moving in that direction, as far as new homes monetization goes. We currently follow this model with a lot of large clients.

Ankur Rudra: and how big?

Hitesh Oberoi: for small customers, we have a listing model.

Ankur Rudra: Understood. How big would this be in terms of volumes or revenues? Hitesh, could this be a significant part going forward?

Hitesh Oberoi: It will, it could be a significant part of the new home business going forward.

Ankur Rudra: Okay. Understood. Thank you and best of luck.

Hitesh Oberoi: Thanks

Anand Prakash Bansal: Thanks, Ankur. Next question is from Vijit Jain from Citi. Vijit, go ahead and ask your question.

Vijit Jain: Yeah, thank you, Anand. Hitesh, my question is just going back to the recruitment side, you mentioned earlier that in the non-IT side, you see scope to monetize better, and you also singled out certain sectors where you were seeing good growth. So, I guess I'm just wondering, you know, in the non-IT space, are all sectors looking similar broadly in terms of how you monetize them or are you ahead in certain sectors and still lagging in certain other sectors? If you can just throw more color on non-IT segment wise, it will be great

Hitesh Oberoi: So, let me tell let me just rewind to about 15 years ago, when infrastructure was hot, clutch of sectors like infrastructure, construction, real estate, heavy engineering, auto, energy, these sectors together were almost 27% of our business. And till last year, revenue from these sort of segments was down to 14- 15% of our business. So, these sectors didn't grow for a long time. After a long time, we've seen a lot of action in real estate, we are seeing a lot of action in construction, and we are seeing a lot of action in similar sectors. Now, if this action continues for a long time, then there is no reason why we should not be able to bill a lot more from companies in these sort of spaces going forward. So, that's one thing we're seeing in non-IT. The services piece continues to be solid- banking, financial services, insurance companies, travel, hospitality, retail sectors that are impacted by COVID, they are bouncing back.

So, there's a lot more action in these sectors when it comes to hiring. We are seeing a slight slowdown in sectors like consumer durable, in sectors like fast-moving consumer goods, in sectors like healthcare and education, which were super-hot till some time back. There's been a slight slowdown which we've seen in some of these sectors in the last few months. But by and large, you know, the non-IT market continues to be strong, hiring market continues to be a strong. Now, at our end our product works reasonably well for non-IT companies also. So, you know, a lot of companies hire salespeople, their customer service professionals, finance professionals, HR professionals,

marketing folks through Naukri. But there is an opportunity for us to sort of expand our business to more cities, for example. So, right now, we operate in about 40, 45 cities.

There's no reason why we can't take our business to over 100 cities in the next two or three years if the markets are supportive, because we are seeing a lot more growth in small towns

than earlier. Of course, it may not result in a lot of revenue in the short term, but long term, these can become interesting markets for us to operate up again. And they are mostly all non-IT driven services led and so on. We are fine tuning our search and recommendation engines so that they work better for non-IT hiring. You know, a lot of our focus for the last few years or two, three years was on IT hiring, because that's where that the IT hiring market was very hot. But now that we are seeing a bigger opportunity in non-IT, we are going to work on fine tuning our search and recommendation engines to ensure that companies are able to hire more people through our platform in some of these segments as well. So, that's just too sort of help you understand the nature. See, where we are seeing the biggest slowdown right now is in our recruitment construction business because about 30% of our business comes from recruitment firms, and these recruitment firms hire a lot of them hire for IT companies. And they are the ones which are hit first, because they are in some ways a more expensive way to hire. And when companies cut sort of budgets, they are the ones who get impacted first. And therefore, their spend on naukri gets impacted as well. So that's just to give you a sense of how the market is spending right now. I hope I was able to answer your question.

Vijit Jain: Yeah, Hitesh, that was super helpful. My second question is just on the 99acres business, the property segment. you mentioned some of your competitors have been super aggressive spending on marketing and everything. And in revenue terms as well, it does look like some of them at least, especially say a housing.com, which REA has already disclosed numbers for has grown faster than you guys. Is that something that is happening, you think, because there are more products on their end, which is which is still work in progress at your side? Because you monetize a little bit differently? Do you think that is driving that difference? Or is it something else.

Hitesh Oberoi: Well, you have to sort of lift the veil. So, you know we still believe that we are the largest in the space. And we are growing reasonably well, Q4 was great. And we think in some sort of markets, we have gained share. and we don't do a lot of stuff, which other companies do. So we don't do any barter, we don't do combo deals with newspapers. We don't have any pass-through revenue through our platform. We don't, monetize other services, we sell only real estate advertising. So we don't make money from packers and movers. We don't make money from home loans. We don't make money from a lot of other Ancillary services, which all these companies do. We don't have any transaction revenue, which are all these companies have. So we are relatively speaking a pure play than some of our competitors. so it's important to compare apples to apples.

Vijit Jain: Got it. Thanks, Hitesh. Those were my questions.

Anand Prakash Bansal: Thanks, Vijit. Next question is from Nikhil Choudhry. He's from Nuvama. Nikhil, go ahead and ask your question

Nikhil Choudhry: Hi, Hitesh. First question is regarding your comment on discount and pricing. You mentioned that you have cut some discount and there is some increase in pricing. So just wanted to understand how much of the billing growth basically came from this initiative and how much further tail room you have to increase it further going ahead?

Hitesh Oberoi: See, you know, it's unlikely that we will up pricing in IT, given that the IT hiring market is

very slow. where we may be able to realize more is in the non-IT customers going forward, because they are hiring large numbers. Last year, first six months, we were very aggressive on pricing. A lot of our revenue growth was pricing led. Of course, there was a lot of volume growth as well because the market was really hot. But maybe in the second half, our growth was mostly pricing led and not so much volume led. Going forward, this year, in non-IT, our growth is likely to be volume led to a large extent and also pricing led. But in IT, we are unlikely to see any growth because of either volume or pricing.

Nikhil choudhry: Sure. Sure. second question, Hitesh, is on the impairment of Shoe Connect. Just if you can give color what happened in basically what led to the impairment and one of the things which is mentioned, the filing about unspecified buyback liability.

Sanjeev Bikhchandani : So it's like you see in all our SHAs, we have a waterfall drag-along clause there. In three years' time, you'll give an exit of five years' time, you'll give an exit. The exit could be a listing, it could be a strategic sale, or it could be a buy back. If you fail to do that, we have the right to impose a buyback. All the investors together, if you fail to honor that, then we can drag you along for a sale. These are standard clauses in VC investment agreements. All VCs do it. Now, this clause was construed to be a liability, not a contingent

liability. Now, if there's a liability in FMV, FMV of biznis is what it is given last round of valuation, then it was construed that the company may not have enough money to pay off the investor should they ask for the money. And therefore, we were supposed to write it off. It's a technical writer from my view. It does not reflect the business prospects of the company. But it has to be done for principle of conservatism and that's what it is.

Nikhil choudhry: Sure, Sanjeev. Just one follow-up here. Do you see any possibility of such scenario happening in any other portfolio companies, any large portfolio companies?

Sanjeev Bhikchandani: I don't think so. There's nothing to announce here, but Chintan, any observation there?

Chintan Thakkar: I think every case is a bit different because the agreement and the language of the agreement could be different. The investor's insistence on whether they want it or they can dilute this also is different. I'll tell you, one of the big differences is that because we are listed entity, we are expected to follow Ind AS, while some of the other PE and VC firms may not be under obligation to follow that. So that's why the certain standards that the auditors want to apply on how the assets are being valued for us could be very different than what the standards that might get followed by some of the PE and VC firms. So like Sanjeev said that this is not a reflection on what their growth and what the potential or the business model of that company, but this is more arising because of how the shareholders' agreement is being interpreted by the auditors.

Sanjeev Bikhchandani: let me explain. If this had been construed to be a contingent liability, There would be no problem. But because it was construed to be a liability, not a contingent liability, we had to write it off. That's the big difference.

Nikhil choudhry: Sure, Sanjeev. Thank a lot, Hitesh, Chintan, and Sanjeev. Thank you.

Anand Prakash Bansal: Thanks, Nikhil. Next question we have from Jinia Garg from Nibadh Investment. Jinia, go ahead and ask her a question.

Jinia Garg: Good evening all. Thank you for the opportunity. Sir, I just have one question, which is considering the current slowdown in the startup funding and the decline in valuations of many startups. What are your perspectives on when the startup funding pipeline is likely to be normalized?

Hitesh Oberoi: Sanjeev, you want to take that?

Sanjeev Bikhchandani : Sorry, could you repeat

? I'm really sorry about that.

Jinia Garg: no problem, sir. So considering the current slowdown in the startup funding and there are many decline in valuations of many startups, what are your perspectives of the funding pipeline is likely to normalize?

Sanjeev Bikhchandani: Look, it's hard to predict, but in general, we are finding that there is still enough entrepreneurial activity. There are a lot of number of startups. It's actually a good time to invest if you look back. If I look back, our best investments Policy Bazaar and Zomato were made in just around the global financial crisis or just after it, or maybe just before it. These are actually good times to invest if you have a 7, 8, 10-year perspective, which is what we do have. So for us, actually, it's quite good.

Jinia Garg: Okay, sir. Thank you.

Vivek Aggarwal: There's one question in the chat box for you, Hitesh. The question is from Sanjay Ladha. I'll read the question for you. How should we think the business will move going forward? Which business to drive growth going forward? What is your focus area in each of the business segment? And how should we think business growth in the next two to three years?

Hitesh Oberoi: The Nakuri business has done really well in the last two years. I mean, we managed to almost triple our cash flows from operation. We almost doubled, we more than doubled our revenue in the last two years.

We are seeing, hopefully, a temporary slowdown in IT hiring. Hopefully, the AI boom will actually end up creating more sort of opportunities for Indian IT services going forward. That's

what's always happened with, at least in the past. And hopefully, India is part of the solution. If companies in the US want to cut costs, they'll also end up outsourcing more and more jobs to India. And to me, it looks like infrastructure is back. Government is investing a lot of money in infrastructure and that is also going to lead to a lot of job creation in the short term and in the medium term. And in general, the economy seems to be in good shape. It's perhaps in better shape than it was when we went into COVID.

So, if the economy continues to sort of do well and IT hiring bounces back, and we are able to grow at 6%- 7% per annum, then the Naukri business can grow at a very healthy rate, at more than 20%. And it's a very high margin business. It's not as if we need to, we will have to invest a lot of money to get this growth. We already have offices, we already have salespeople, and the platform is already built.

Now, we've also been acquisitive for the last three, four years. We've invested, we've acquired a few startups. And of course, our plan is also to sort of grow these businesses that we acquired over time. Businesses like Zwayam, businesses like IIMjobs, businesses like Do Select. So hopefully, these businesses will start scaling once we put the naukri might behind them. And then, of course, some more opportunities we've identified, which I don't want to talk about right now, which, like I mentioned, small towns, so we will expand into more and more cities going forward. We've invested in an ed-tech platform, Coding Ninja. We want to be able to understand that company. And we intend to work closely with them to help them grow their business faster and to also to get our offering for candidates, for job seekers on Naukri.

So there are a bunch of things we're working on as a platform, and we will continue to invest behind these sort of initiatives. Some of them are short terms, some are more medium term. We have been working on a blue-collar job board for the last three, four years. We'll try and start monetizing this sort of product sometime this year. But this is more a long-term play. We don't expect any significant revenue from this business over the next two or three years. But long term, we think it's a good bet, and it's important that we have a foothold in this space. So t

these are some of the things we're doing in Naukri, which we'll hopefully drive both going forward.

Similarly, in 99 acres, we've done well in the resale and rental categories if you ask me. That part of the business has done quite well. Commercial part of the business has also done well. But we see a lot of opportunity in new home monetization. There are lots of new developments being constructed everywhere. There are lots of satellite towns emerging. Inventory is down to all-time low. There is a lot of interest in real estate once again from buyers and investors. We are a very small part of this market over a few thousand crores that are invested in are spent on new home marketing. We got to get a small fraction of that. So, if we can somehow solve, you know, do a better job of executing in the new home space, then that can drive both in 99 acres for the next few years. Of course, if the team executes well, then of course, there's also not there will also be an option to get more market share over time in 99 acres. And that could again drive growth, even higher growth in 99 acres going forward.

In Shiksha, we have a domestic business, which is growing at 20% - 25 % per annum. But about a few years ago, we also entered the study abroad space. That is today a small business for us. But we spent, we sent over 1500 kids overseas last year. This year, we are targeting to send more than 2000 kids overseas. And if we get a good handle on this business, then this business can also become a large business over time. In Jeevan saathi, we are working on a new model. And if you are able to get our act together and monetization, if you're able to cut burn, you know, the Jeevansathi business could sort of get to a decent place. And we also acquired 76 % stake in Aisle, which is a dating platform. Again, early days, but we are investing in that business. And if we see good traction, then we will double down on the dating category as well. So, these are some of the areas where we are investing. All of them are work in process. But hopefully, some will work out over the next two to three years for us.

Anand Prakash Bansal: The next question is from Vivekanand from Ambit Capital. Vivek, go ahead and ask your question.

Vivek: Hello. Thank you so much for the follow up opportunity. How much of the committed AIF money has been deployed already. Sanjeev, if you could give us an update on the four AIFs that we currently have.

Sanjeev: Well, the fund one and the follow on fund - a significant chunk of that has been deployed. Fund two and capital two be, it's comparatively less because we've been going slow and careful and there's still enough time left to do our first checks. We do not announce exact numbers on this.

Vivek: Okay. And the reason why it's taking you longer to deploy in the fund two and capital two be is because you have to scout for new names.

Sanjeev: Those are more recent funds. We've got three years to write the first checks. We want to take our time and be very, very selective given the state of the market. We want to be particularly careful about valuations and enterprise. We want to be particularly careful about, you know, getting going after capital, efficient companies and entrepreneurs given the tight funding environment. So, we're taking our time. That's all. And yes, we do not invest from fund two into fund one companies or from capital two be into fund one companies. Those are water tight compartments.

Vivek: Okay. My last question is on the financial investments that sit on the balance sheet, not included in the AIFs. So, did you make any major investments in the current fiscal year? As follow on rounds in, say, Ustra or Shopkirana or some of the other

Sanjeev: Not sure it's major, but we've done some. I mean, Chintan, can you elaborate

Chintan: I don't have the numbers right now, but yes, we would have made some follow-on rounds and some small investments even in companies.

Sanjeev: But the big tickets are done. The big tickets are done there.

Chintan: Yeah, it's not nothing, you know, major.

Vivek: Okay, great. Thank you.

Anand Prakash Bansal: Thanks, Vivek. The next question is from Vijit Jain from Citi. Vijit, go ahead and ask your question. Yeah, Vijit, go ahead and ask your question.

Vijit Jain: Sanjeev, my question is to you. I guess if you look at what's been trending in the startup space in India and globally, more recently, in India, its ONDC specifically, I guess, AI, obviously globally. My question is, are you seeing any opportunities.

Sanjeev: What's the question?

Vijit Jain: Sorry, so my question is, are you seeing any opportunities and those two that you're excited about? Are these focus areas or any interest areas for you in terms of how you look to deploy?

Sanjeev: Like I said, we do it bottom up, top down. But yes, of course, some of the deals we have looked at and possibly even done have components of AI, machine learning. You know, there are a number of people trying. So, we don't do D2C, you know, typically in our fund. We prefer, you know, we don't think that's central to our mandate. And therefore, ONDC may or may not work for us. Now, having said that, if we see a really great deal, great entrepreneur, will we do it? We might. I'm not ruling anything out, but this is less likely.

Vijit Jain: Thanks, Sanjeev.

Vivek Aggarwal: Sanjeev, there's a question in the chat box from Ishan Bagga. On startup investment, how is our portfolio companies as a whole performing in the current macroeconomic scenario? Are there any signs of stress or markdown in some of the companies?

Sanjeev Bikhchandani: Every portfolio will have some situation of stress and we are no exception. Having said that, I think we're doing fairly, fairly all right so far. But, you know, tomorrow is another day. We don't know. We are waiting and watching.

Vivek Aggarwal: no more questions on Q&A.

Anand Prakash Bansal: Yeah, that was the last question we had.

Vivek Aggarwal We'll conclude the call on behalf of the company.

Sanjeev Bikhchandani: Thank you. Thank you, everyone. Have a great evening.

Hitesh Oberoi: Thanks, everyone. Thank you so much. Bye-bye.

Anand Prakash Bansal: Thanks everyone.

Sanjeev Bikhchandani: Thank you.

Anand Prakash Bansal: we can close the call.

Call: Aug 2023

Date: August 21, 2023

1.The Manager - Listing

National Stock Exchange of India Limited

(Scrip Code: NAUKRI)

2.The Manager - Listing

BSE Limited

(Scrip Code: 532777)

Sub.: Transcript of Q1 FY 2023-24 Post Result Conference Call

Dear Sir/Madam,

In furtherance to our letter dated August 12, 2023 and pursuant to Regulation 30 of the SEBI (Listing Obligations & Disclosure Requirements) Regulations, 2015, given below is the link of the transcript of the Conference Call on the Financial Results for the Quarter ended June 30, 2023 held on Friday, August 11, 2023 at 05:30 pm (IST), post declaration of results. The same has been updated on the website of the Company.

Link: https://www.infoedge.in/pdfs/financial_pdfs/f_Earnings/investor-concall-transcript-21aug23.pdf

A copy of the transcript of the Conference Call is enclosed herewith.

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Request you to take the same on record.

Thanking you,

Yours faithfully,

For Info Edge (India) Ltd.

Chintan Thakkar

Whole-time Director & CFO

"Info Edge (India) Limited Q1 FY '23-24
Results Conference Call"

August 11, 2023

MANAGEMENT : MR. SANJEEV BIKHCHANDANI -- VICE CHAIRMAN, INFO EDGE (INDIA) LIMITED

MR. HITESH OBEROI -- MANAGING DIRECTOR & CHIEF EXECUTIVE OFFICER, INFO EDGE (INDIA) LIMITED

MR. CHINTAN THAKKAR – CHIEF FINANCIAL OFFICER, & WHOLE TIME DIRECTOR INFO EDGE (INDIA) LIMITED

Vivek: Good evening. We welcome you to Info Edge India Ltd Q1'24 results conference call. As a reminder, all participant lines will be on listen only mode and there'll be an opportunity for you to ask question after the presentation concludes. Should you need any assistance during the conference call, please raise your hand on your screen. Please note that this call is being recorded. From the management side. We have Mr. Sanjeev Bikhchandani, Founder and Vice chairman, Mr. Hitesh Oberoi, Co-Promoter and Managing Director, Mr. Chintan Thakkar, Chief Financial Officer and Whole Time Director. Before we begin today, I would like to remind you that some of the statements made in today's conference call may be forward looking in nature and may involve risks and uncertainties, kindly refer slide number two of investor presentations for detailed disclaimer. I would like to hand over the call to Mr. Hitesh Oberoi, for his opening remarks. Thank you and over to you Hitesh.

Hitesh Oberoi: Thank you Vivek. And good evening everyone and welcome to our Q1'24 earnings call. As always, we'll start with an update on standalone financials and then talk about the external environment and then cover each business financials in detail. The audited financial statements and other schedules on segmental billing revenues etc. along with the data sheet have been uploaded on our website infoedge.in. Moving on to our standalone financial results, revenue in Q1 stood at Rs 584.3 Cr, a year on year growth of 15.1%. Overall billings in Q1 stood at Rs 523 Cr, a nominal drop of point 2% year on year. Billings and revenues along with acquired businesses Zwayam and DoSelect for the quarter stood at Rs 539 Cr and Rs 600 Crore respectively registering a year on year growth of point 4% and 15.2% respectively. Operating expenses for the

quarter were Rs 375.4 Cr , a year on year growth of 5.6% and Operating profit for the quarter stood at Rs 208.9 Cr versus Rs 152.3 Cr reported last year, a year on year growth of 37.2% and Operating profit margins for the quarter stood at 35.8% compared to 30% reported for the same quarter last year. Operating profit including acquired businesses stood at Rs 210 Cr a year on year increase of 35.8%. Cash from operations for the quarter stood at Rs 144.7 Cr compared to Rs 164.5 Cr in Q1'23 down 12% year on year and deferred sales revenues stood at Rs 958.8 Cr as of 30th of June 2023 vs Rs 825.4 Cr as a 30th of June 2022 a year on year growth of 16.2%.

The cash balance of Info Edge including the wholly owned subsidiaries stands at Rs 3562 Cr as on 30th of June 2023 versus Rs 3439 Cr as a 30th of June 2022.

Talking about our recruitment business, we continue to witness a challenging environment, especially for IT hiring. Slow growth and reduced discretionary spends for our IT customers has led to resource rationalization during the quarter. We also face strong headwinds from our recruitment consultants, especially the ones who services IT companies. The Naukri jobs speak index is on a declining trend, index for the month of July was down 8% sequentially and 19% year on year while for Q1'24 the index is down 3% year on year. The current phase of real estate market characterized by low inventory, stable interest rates and buyer affordability. The price corrections and residential rentals continues to rise and have peaked in most Metro markets.

Moving on to the quarterly financials of the recruitment business.

In Q1'24, the recruitment segment billings were down 4.2% year on year and stood at Rs 397.5 Cr while revenue was Rs 446.4 Cr a year on year growth of 15.3% , operating profit stood at Rs 263.5 Cr a year on year growth of 17% from Q1'23 Operating margin stood at 59% against 38.2% reported last year. Cash from operations for recruitment during the quarter stood at Rs 206.1 Cr as compared to Rs 235.4 Cr in Q1'23. Billings for Naukri India for the quarter

were down 7% year

on year and stood at Rs 329.4 Cr while revenues for the quarter stood at Rs 372.3 Cr a year on year growth of 13.9%. Recruitment segment billing including acquired businesses for the quarter were down 3.3% year on year and stood at Rs 413.5 Cr. Hiring from core IT clients pose a challenge for billing growth. However the business witnessed momentum in few pockets in this space especially captive centers. Non-IT businesses maintained reasonable growth momentum during the quarter with growth in hiring reported by manufacturing, BFSI, healthcare, retail hospitality, and infrastructure. While we maintained our pricing levels during the quarter, delayed renewal and volume reduction led to billing contraction. With longer sales cycles and hiring being predominantly backfill sales teams focused on ensuring timely renewals.

On the job seeker site engagement the platform was high during the quarter with 6% growth in the active user base 7% growth in daily users and 21% growth in the daily modifications of resumes.

Moving on to the real estate business 99 Acres, Billings in Q1 grew by 20% year on year and stood at Rs 73.4 Cr while revenue grew from 66.3cr in Q1'23 to Rs 82.7 Cr in Q1'24 a year on year growth of 24.6%. Operating loss for the quarter stood at Rs 22.5 Cr against a loss of Rs 38 Cr reported in the same quarter of last year. The business reported a cash outflow from operations of 40.5 Cr for the quarter against an outflow of Rs 46.6 Cr in the same quarter last year. The billing growth in 99 Acres for the last two or three quarters reflects the positive sentiment in the underlying real estate market. The billing growth is backed by strong traction of user activity on the platform. The traffic on the platform increased in the mid-teens and the responses on the platforms increased by over 25%. The user actions on the platform indicate a strong demand environment for Q2 2024 as well. The quarter also witnessed an increase in the number of brokers and owner clients on the platform. A number of new projects and live listings are also on an increasing trend. Our listing realisation continued to increase year on year on the back of price hikes, improved response rates and increased value added services for our customers. 99 Acres will continue to invest on platform experience differentiated content, client delivery and marketing to generate more traffic and leads for our customers.

This Shiksha business in Q1 reported billings to 33.3 Cr a year on year growth of 9.8% while revenues stood at 35.8 Cr a year on year growth of 14.6%. The business incurred operating loss of Rs one crore during the quarter against a profit of Rs 5.3 Cr reported in Q1 of last year. The cash inflow from operations for the quarter stood at Rs 30 lakhs against inflow of Rs 5.3 Cr in Q1 of last year. While there was healthy growth in platform traffic and student responses, clients reported delayed pickup in conversions of student inquiries into application and admissions. We continue to make long-term investments in the study abroad business in strengthening our platform and improve our counseling services in this space.

The Jeevansathi business billing in Q1 grew by 6.4% year on year to Rs 18.8 Cr and revenue declined by 15.3% year on year to Rs 19.4 Cr. The operating loss of the quarter two Rs 18 Cr against a loss of Rs 28.7 Cr last year. Cash outflow from operations for the quarter stood at Rs

21.1 Cr against an outflow of Rs 49.8 Cr in Q1 of last year.

New products to monetize increased traffic from free chat have shown positive results and business plans to continue with this strategy for the next few quarters. Spends on marketing further moderated for the quarter. The spends were down 29% sequentially and 48% year on year. Intense competition in the category continued as multiple players tried to vie for market share in this category.

As far as consolidated financial highlights go at

the consolidated level the net sales for the company

stood at 625.9 Cr versus Rs 547.3 Cr in Q1 of last year. At the consolidated entity, the total comprehensive income level there is a gain of Rs 3,001.9 Cr versus a loss of Rs 3342 Cr for the corresponding previous quarter ending in June 20th 2023 The consolidated PBT stood at Rs 216.7 Cr in Q1'24 versus Rs 339.4 Cr in Q1 of last year.

Thank you and we are now ready to take any questions.

Vivek: Thank you Hitesh. Will now begin Q&A session anyone who wishes to ask question may raise hand on the screen. Will take your name and announce you're, to question you.

Anand: Yeah. So, the first question we have from Vival from Alchemy Capital Management, Vival go in and ask your question.

Vival: Yeah, thank you for the opportunity, sir. So, my question Hitesh on there is a lot of movement on GICs. A lot of companies, MNCs are setting up global captive centers in India, that opportunity seems to be large, looking at you know, the kind of talent that is available in India, etc. So, how are we sort of participating over here? Do we see a chance of you know, resting some of the weakness in your normal IT services with, you know, participation in GIC Sector in India, thanks.

Hitesh Oberoi: A lot of captive centers are our clients. And we've been working with them for many years. And of course, if there is growth, in hiring from captives, then Naukri will benefit as well. However, captive hiring as a percentage of total IT hiring is still a small fraction. The IT sector employs over 5- 6 million people. While captives are ~ 15-20% of that, so it will be, difficult for to captives to compensate for the loss in business from IT services companies, by just focusing on captives.. But the hope is that the Non-IT sector will continue to do better going forward. And that's about half our business as well. So let's see how this plays out.

Vival: Thanks, thanks a lot, all the best.

Nikhil: Hi, can you hear me?

Anand: Yes, we can hear Nikhil. Go ahead.

Nikhil: Yeah. So, Hitesh I just want to understand regarding the billing, which declined 4%, YOY So which segment basically led to this decline, even IT is under pressure since last three quarters, right. So given now, we are finally in a negative trajectory? So was it higher than expected decline in IT? Or Non-IT and captives actually were not able to more than compensate for the decline in IT. So some slowdown, even in Non-IT side.

Hitesh Oberoi: So IT hiring has been slow for a few quarters now. And, you know, and it is not clear whether the slowdown in IT hiring has bottomed out, we don't know whether we've hit the trough as yet. The jobs speak index, IT continues to trend south. On Non-IT side, Q1 was okay. But, you know, July, jobs speak index for even some of the Non-IT sectors are not so good. So Non-IT hiring also slowed down a bit in July. But we don't know whether it's because of the economy slowing down or just because of rains or something else, things will get clearer, in a few weeks. On your next question that did the hiring slowdown more than expected? Well, you know, anecdotally, a lot of companies have been telling us that the bottom for of them have arrived, attrition rates have come down, and since their bench has grown and it will take maybe a quarter or two before things start going back to normal.

Nikhil: Very helpful Hitesh. I think second part is what you mentioned about the pricing, broadly stable on YY basis I believe, last quarter, we have seen some increase in pricing, especially in Non-IT . So is it like one blended level pricing and IT declined which specifically more than compensate or offset the benefit in Non-IT?

Hitesh Oberoi: I don't have data on that. But we'll try to get back to you.

Nikhil: Sure, The last one is on the delayed renewal. Have you seen that basically closing ultimately in the month of July? And are we seeing some increase in delays or decision-making now, compared to last quarter?

Hitesh Oberoi: That always happens when the market slows down, companies take longer to close deals, they have more time to negotiate. They're not under pressure to hire. They negotiate harder. So you know, they sometimes buy for shorter periods, they don't buy for a year. So there are, you know, the downgrade in terms of the kind of products they buy. So this is normal during any slowdown. And what we are witnessing is a slowdown. I mean, so, you know, I'm sure this is happening in the market.

Nikhil: Surely Hitesh, that's thanks a lot. That's all from my side. Thank you.

Anand: Thank you, Nikhil. The next question is from Jaydeev Charanzia, from advanced securities. Jaydeev would you ask your question.

Jaydeev: Ah, hey, hi. Hitesh. Am I audible? Yeah. Yeah, here's my question was regard to 99 Acres, the robust performance that we've been witnessing quarter on quarter. And somewhere in your initial comments, you also talked about reduction in the operating cash burn of the vertical from 46 cr to 40 Cr, just want to get some color around what has led to this reduction in the cash burn, is it totally driven by top-line increase, or there has been some cut back on the marketing spends is well.

Hitesh Oberoi: so three, four things, one, you know, of course, top line growth is healthy. So we've been growing at 20% plus for a couple of quarters. Now at the same time, manpower costs are under control, it's not as if we are not adding people. At the same time, you know, we will also optimize our marketing spend, without compromising on anything. So our marketing expenditure in 99 Acres has trended south. But at the same time, you know, we've managed to get more users on the platform by generating more responses, and we're getting more inquiries. And that has helped us to raise prices. And because the real estate market is buoyant, we are adding more customers as well. So it's a mix of everything, you know, market is, is good, and we've been executing well. And that's resulted in top line going up, and cost is remaining in control. And that's why the burn has gone down substantially.

Jaydeev: Any plans of, it is just a follow up, any plans of kick starting the marketing campaigns, once again, given that there are some, you know, high profile cricket matches in around the corner. So each company plans around that.

Hitesh Oberoi: So, you know, we were going to sort of plan quarter by quarter. And a lot depends on what we're seeing in the market. And how sort of competition is behaving in this space? Hard for me to say how this will play out going forward, if the market remains solid. And if we continue to grow at 25% or so, you know, year on year, we'll at least maintain this spend and we will be increase it going forward. It will make it hard for me to say right now.

Jaydeev: And as the competitive intensity kind of gotten normalized, as intensified, just how do we understand the competitive environment and the real estate?

Hitesh Oberoi: No, it's very competitive. There are a lot of players out there and they're all spending money. There are a lot of portals and then there are startups, a lot of real competition in this space, if you ask me today to for us even Googles and Facebooks of the world get a large chunk of advertising dollars from developers and large sort of channel partners. But yes, as the space remains competitive. There is a lot of action still.

Jaydeev: Thanks Hitesh, that was on my side. Thank you.

Anand: Thanks, Jaydeev. The next question is from Sachin from Bank of America. Sachin go ahead and asked your question.

Sachin: Thanks Anand, I have three questions. You know, first question, just wanted to understand a bit more about the mix shift happening towards Non-IT . Hitesh is it fair to assume that if it continues to remain the wait till, you know, one could see a

s sort of a makeshift, more towards non IT and just wanted to understand the implications on that in terms of billing and you know, margins and so on, so forth.

Hitesh Oberoi: About 50% of our business is indexed to IT hiring and if IT hiring, continues to be slow, and if Non IT hiring remains buoyant and then of course, this mix could change over the next few months, though it may not change by a huge number, but you know, from 50:50, it could become 48:52, to 47:53. A lot will depend on what happens in the long run if IT hiring continues to be slow and the economy, the domestic economy continues to do well, and of course, it looks to change even more. Margins may not get back to that much, because, you know, it's not as if, yeah, it's the IT business a little more profitable, but it's not as if the shift is going to be too much from IT to Non-IT.

Sachin: Got it. And, you know, on the long term point, you know, if we take a three to five-year view, general thoughts about generative AI, and the potential impact of that on IT hiring.

Hitesh Oberoi: There are two schools of thought on this, one view is that every time there's a new technology, then it creates more opportunity to sort of build new products and create new businesses, and the services business around any new technology is always larger. And if that happens this time around as well, and generative AI, and the advances in machine learning and AI in general, may result in more opportunity for Indian IT companies, what if there is more outsourcing of jobs to India, because people are hard to find in the US and every company, when the US wants to leverage generate AI, and they start opening their captives and so on and so forth, then, of course, it could mean, you know, it could result in more hiring than normal in the Indian, IT market. The other view is that, you know, generic AI could make, you know, developers more efficient, and therefore, the, you know, it could make them more productive, and therefore, fewer developers will be required for the same work going forward. Let's see how this plays out. I mean, in general, you know, when there is new sort of, when there are changes with technology, then people with new skills are required. And that creates opportunity. And that creates movement and, in the market, and that's good for us. Provided, you know, the legacy business doesn't get hurt too much.

Sachin: Got it pretty clear. And last question is on, you know, clearly, for the last six to nine months, we are seeing a funding winter. Just wanted to understand the implications on that on, you know, the kind of investment opportunities you guys are seeing. Clearly in India till date, we are not seeing massive down rounds. And you know, there's ample capital around Series A, you know, on that level. So just wanted to understand your thoughts out here.

Hitesh Oberoi: Sanjeev do you want to take that?

Sanjeev Bikhchandani: Can you repeat the question, please? Sorry.

Sachin: Yeah, so Sanjeev, the question was more from my point of view about the funding winter environment in India. What are we seeing right now at Series A and Series B, and, you know, any good opportunities for you?

Sanjeev: So, No, no, there are plenty of good opportunities there, our deal flow remains strong. The valuations are more reasonable round sizes are smaller, the same time we are taking a time and being cautious simply because there's a new risk. And the new risk is will this company be able to get our next round of funding with other investors participating or not. And that's something they fought? Are we convinced enough that if you have to next two or three rounds solo, in this company that we did in Zomato? Do we have that conviction? And then do we have the money and so on, so therefore, we've been really cautious and having said that, we think it's a good time to invest. If you recall, we invested in Policybazaar, 2008

. Just before we even went out, we invested in the Zomato in 2010. During the global financial crisis, so we believe this because our investment time horizon is seven years, eight years, 10 years, when actually it's longer from the balance sheet. Because, you know, it's 17 years. I mean, it's 15 years since we went into, into Policybazaar, we still there. Its 13 years since you went into Zomato, we are still there. You know, so if you have a long term time horizon, we believe this is a good time to invest, but be careful.

Sachin: Thank You.

Anand: Thank you Sachin. Next question is a Mohit from Nuvama. Mohit you can ask question.

Mohit: Hi, can you hear me?

Anand: Yaa, Go ahead Mohit.

Mohit: I thanks for the opportunity. So my question is on you know, Jeevansathi and the 99 Acres business. And I know you're an expensive different come down. But you know, you have multiple times you have voice that you know that Competence and Integrity is very high. Now Jeevansathi, you said you have got more users, right. But if you look at the major competitor, that the realizations have come down there also. So can you give us a sense on how do we look at these aspects going forward? Will you be will there be and there'll be a case where you will increase them further, you know, to gain more market share? Or is it that competitive intensity? Has, you know, tapered down a bit? Can you give some sense on that?

Hitesh Oberoi: Yeah, so you know, right now, as things stand today, it's unlikely that these ad spends will go up in a hurry. You know, our model has changed, and we have now premium platform, and we offer chat for free. And we are using that, this feature to sort of try and get more users on the platform. And we've seen, you know, serious growth over the last few quarters. I think the real challenge, with Jeevansathi, is how we can monetize these users who will join the platform over the last few quarter and that's what we're working on right now. We don't expect the competitive intensity in this space to go up in a hurry. But who knows what could happen three-quarters from now.

Mohit: So can you say that you have been able to gain market share on the users?

Hitesh Oberoi: Yeah, certainly on the user side, you know, you gain traffic share, gain user share. But the challenge is to really monetize these, you know, additional users, we've been able to get on the platform, because, you know, we offer stuff for free. And that's good it's helped us cut down, bring down a marketing cost. But now we need to work on, you know, we need to develop products, and we need to sort of figure out how to monetize this new user base better.

Mohit: Sure, that's what helps.

Anand: Thank Mohit, next question is from Vivekananda Ambit capital, Vivek go in and ask your question.

Vivek: Thank you for the opportunity. Two questions. So one. Hitesh. I think a couple of quarters ago, you mentioned that if the domestic economy does well, and Non-IT hiring remains buoyant, you might consider increasing your distribution and sales network to cater to this demand. Is that something you pursued? Or are you seeing any indications that the hiring is becoming more and more broad-based given that previously, you're spoken about sectors like hospitality, travel, and others that may have more distributed hiring than say IT, which is concentrated in a few cities? So that's question one. And based on this answer, I will ask my subsequent. Yeah.

Hitesh Oberoi: So you know, you're right, you know, Non-IT , the Non-IT market is broader. Non-IT companies in a lot of cities, we already operate in more than 40 cities, it's very likely that the number of cities we have physical offices and will go up over the next year or two, we are already seeing more activity in smaller towns than was the case, maybe two or three years ago, very likely that Naukri. We'll have field offices in 60, 70, 80 cities over

the next year or two. We

are pushing hard on that front. But it's not as if we're going to have a lot of people, these new offices start with one or two sales people each. And these office, become profitable within a few months. In the in this larger cities where we already have offices, and we already have Field Sales Team, we are unlikely to hire more sales people to sell existing products. But for some of the new products which we've launched over the last couple of years, over the last few years, we may hire some people on the ground to push them harder as product like Zwayam and IIMjobs, and others. So let's see how this plays out. If the market continues to slow for a long time, and of course, we'll figure out a way to utilize the people we have more efficiently in the markets and enrich their present. Right now the hope is that, the slowdown is temporary and you things will bounce back in a couple of quarters. So let's see how this plays out.

Vivek: Okay, thanks. That's helpful. Just one extension to this question. Since you mentioned that the growth seems to be broad-based and you will perhaps open physical offices in more cities to cater to this demand for Non-IT talent. Is 99 Acres were also seeing something similar or is it is the action only concentrated in the top five, five to eight cities.

Hitesh Oberoi: See the top eight cities are a big part of the Business. So a lot most of the business does come from the top seven, eight cities in both Naukri and 99 Acres. But we are seeing more activity even in 99 Acres in smaller towns, and it is very likely that even 99 Acres will open more offices going forward and expand to other cities. The contribution of the cities to revenue in the

short term is not to be large. But I think it strategically important to cover each and every part of the country and the overall 3, 4, 5 year period, revenue from the cities can will and can become substantial.

Vivek: Okay. The other question I have is on the recruitment acquisitions that you have done right. Zwayam Doslect and Coding Ninja the more recent ones. Right, and coding ninjas. So, these acquisitions seem to be focused largely on the IT verticals, is that is that assessment Correct? Or is are these solutions? The can you offer these solutions to customers across verticals?

Hitesh Oberoi: Oh, see, some of these can be you know, like IIM jobs is actually meant for an on IT hiring. Zwayam is a recruitment management system can be used for both IT and non IT companies. You know, Coding Ninjas if we don't if we haven't acquired the business, but we want 51% that's more IT skilling up skilling for IT. But you know, the IT companies actually employ a lot of people. And they have larger budgets. So a lot of the customers for many of these products end up being IT services companies, they're not the only customers. But often a lot of the customers end up being the larger IT services or large industry companies. So the simple reason they hire a lot of people, they have big budgets, they have large workforces, and they need you know these ratios more than the other companies. But if the non IT market can be used to be widened for the next few years, is this the start of a new cycle? If India continues to grow at five and a half, six percent, even for the next few years, then you know, hopefully, I mean, we already have a lot of law large known IT customers, it's not as if you don't have them, but hopefully the number will on the non IT side will also grow over time.

Vivek: Okay, and Hitesh, I think you were spoken a couple of quarters ago about JobHai where it started from Delhi. But I think you wanted to expand it into new markets as well. Right. So is there something, something that we should know about that business now that you perhaps are taking it to more customers and in terms of business development? Are you working with any of the new companies that are setting up manufac

turing facilities, perhaps capitalizing on the PLI schemes
and maybe giving them any bespoke solutions Through JobHai any updates that you can offer on the grey collar, workforce

Hitesh Oberoi: Right Job Hai you know, we started Delhi now we've taken it to many more cities. It's growing nicely for us the number of jobs are growing the number of users the growing engagement of the platform is growing, the number of recruiters on the platform is also growing. So we're very happy with the progress. We haven't started monetizing aggressively as yet. Strategically, this is very important for us from a long term standpoint, it's unlikely that it will generate a lot of revenue in a hurry. The unit economics will have to be worked out since you know it's not so easy to make money in the gray collar space, we'll have to keep our costs or attrition low, we have to figure out how to monetize. But from a five year seven year perspective, I think it's a market we can't afford to ignore. It also helps us case keep competition at bay, we don't want to sort of keep any doors open from which competition can enter and then sort of get into our main business. So we'll keep investing in JobHai, the big categories for JobHai, where we are seeing a lot of fractions right now. Our categories like delivery boys, categories, like, credit card sales, Telesales, for domestic sort of customers, domestic businesses, not overseas call centers. You know, SMEs, you know, where, you know, we have a few Hundred Thousand- Ten and Thousands of SMEs on the platform, some and they need to hire a few people each every year, so these are the hotter category. These are categories where there is a lot of attrition, and there's a lot of demand for talent. The manufacturing piece is very tinny for us right now. Both in Naukri and on Job Hai.

Vivek: Okay, thanks. The last question I'll ask is on 99 Acres, seems that you have turned the corner there with respect to traffic share as well as growth. So apart from the market buoyancy, that that is currently manifesting and perhaps offering your tailwind? What is going right for you in 99 Acres and competitively what is changing there? Or is it just too early to comment?

Hitesh Oberoi: Oh, no. See, I think it's a bunch of things the market has been supportive. See, for a long time real estate was, you know, in deep trouble, I mean, starting with demonetization, and then RERA, the GST, and in the BFC crisis, COVID. You know, prices were sort of flattish. In fact, in real terms, prices had actually been down, the advertising spend in the space fell, you know, builders are sitting on lots of inventories, a lot of projects were took time to get completed. So, you know, the market was in trouble for a long time, I think we got to a gotten to a point where it's looking good. Now, there's more demand. The industry has sort of restructured, there are more, there are bigger developers better capitalized developers. RERA is being enforced strictly. So interest rates are reasonable, incomes have gone up. After COVID, there is more demand for bigger

home. So in the industry, sort of. I mean, we don't want the prices to go by too much, because real estate will become unaffordable. But otherwise it looks good. The same time, you know, the LT just happened is that developers and builders and channel partners and brokers have become savvier about using the digital medium. So they are getting they realize that they you know, they can be their customers are all online, and therefore they need to be online. And therefore spend is also moving from offline media to online media, ad spend is going into as my ad spend is they need to move from offline to online. And three, I think we've also been executing well. So we've seen a surge of inquiries on our platform, we've seen more visitors on our platform, you know, we are seeing, we've done a lot of good work on putting out interesting real estate c

ontent, whether

it's locality reviews, or society reviews, or transaction prices real state is a very opaque market, you know, there's no information available. So people sort of need to visit platforms on my like 99 Acres and to understand what's happening to prices, what's happening to supply what's happening to various other things in the market. So we are very happy with the way our team has also executed over the last couple of quarters, but fingers crossed, swallow does not make a summer. It does not a summer make like the same. So let's see if this continues for the next few quarters. And I'll be sort of, I'll feel more confident about this.

Vivek: Okay, got it. Thanks a lot for the elaborate commentary. All the best.

Hitesh Oberoi: Thanks, Vivek. The next question is from Swapnil. From JM financial. So will go ahead and ask your question.

Swapnil: Hi, thanks for the opportunity. So the first question is to the Hitesh. And that's on the committee that we had in the previous quarter where the installation was that if the economic growth, let's say 5 to 7%. Our Non-IT business could grow 20 to 25%. But if I hear you correctly, you mentioned that July was a soft quarter now,.

Hitesh Oberoi: July month and not quater

Swapnil: Yeah. So what has changed suddenly in the last year you know, two to three months that that for us to say that things are looking soft especially the non IT.

Hitesh Oberoi: actually, you know, it's I think July number surprise that the Jobspeak number so we're digging deeper to understand what could have happened was it that there was this some shift in seasonality Was it because of the rains or is it because up post Covid the non IT market opened up last year and there was a surge in hiring. So, is it a Bayes factor in some way, but yes, long term, you know, we continue to maintain that if the Indian economy continues to grow at 6% or more per annum then it is possible to grow at 20% Plus in India.

Swapnil: just a continuation to that, you mentioned that there could be an impact of the base effect also, can you just give us an understanding of like, how the how things move between let's say last two three quarters, how and, and it would be good if you can just give a sense and compare it with pre Covid things, how things used to be and now and how the base mode then.

Hitesh Oberoi: look see three COVID When we have when we whenever we get 5-6% GDP growth the Naukri business we use to go 15% 20% 10% per annum. Now, last year, Q1, last year Q1 billing growth of 80% in Naukri. Even Q2 billings growth is very high 55-60%. So, the base is high. And then of course, it started moderating towards the second half by Q4, I think we were down to 15%. So, you know, so there will be some base effect here at work. And then, you know, the base effect is, was a result of, you know, the market opening up post COVID. Right. I mean, suddenly, there was a lot of demand, AI had the great resolution, and you have people coming back to work, etcetera, and etcetera. So that led to a lot of attrition, things have stabilized to some extent since then. But in the long run, once we go back to 5-6% growth advanced all the way over and done with all these COVID and post-COVID effects, growth should stabilize at 15 to 20%, depending on how fast the economy goes.

Swapnil: Right. And my second question is with respect to unique clients that you report on a quarter to quarter basis. So this quarter, again, you had a decent growth in sequential growth in terms of unique clients. And the majority of the big decline that has happened in Billings that seems to have come from the realizations or from people not renewing at the same rate that they were doing earlier. So can you just give some sense? Like, how should one, see this, trains going forward as well? And how to make sense out of these things, whereas your unit lines continue to grow, but realizations would ha

ve come down significantly, much more competently? Yeah.

Hitesh Oberoi: In real estate, we've added more customers, and these new customers don't buy, long duration products to start with, they don't buy high end products to start with, they test out the platform to get a good response, they upgrade. We upsell to them. So normally, when you get in a lot of new customers, your ARPU is fall or tend to remain flattish, because unless you take a serious price hike, because the new customers sort of the customer exchanges towards more new customers in the mix. And new customers don't spend too much money to start with. In a slowdown, what you see is pressure on prices, you see pressure on even a new customer addition, and you see pressure on renewals. So in a serious slowdown, what you get to see is, you know pricing, falls volume falls, number of customers also at customer acquisition also starts to fall. So, that's how that's the nature of the beast here in both you know, real estate and Naukri. In Naukri, you know, I haven't shown up to the numbers very closely, but I suspect you know, we may have lost some customers in the IT space, a lot of startups may have sort of stopped hiring. Stuff like that would have happened because of the market slowing down, on the Non-IT side we will continue to add new customers

Swapnil: Got it. Thanks a lot for that opportunity.

Anand: Thanks Swapnil. The next question is from Raghav Bihani from Citi. Raghav go ahead asked her question.

Raghav: Yeah, hi Hitesh. My question is on the non IT side, so the realizations in non it seem to be much lower versus the IT. So any pockets here like BFSI, where you can take price hikes because we have seen some of the banks report higher attrition and wage increases in one Q. So any comments on the realizations over here?

Hitesh Oberoi: See if you're not looking to take an aggressive price hike at this point in time, the market heats up. And if companies are, start hiring, a lot of people have attrition rates go up, then what we've seen in the past is it can companies negotiate a lot less, therefore I realized prices, goes up. They also, you know, hire more sort of, you know, they want more volume. And they also upgrade to high end product. So, in the end, hiring costs is a small cost for many of these companies, in a slowdown, because they're not in a hurry to negotiate harder, everything's sort of, you know, while in a good economy, they're constantly under pressure to hire. And they don't mind paying 10% more to Naukri that time. So we are not looking to up our rate cards right now. But in general, I mean, if the market is hot, you end up sort of discounting a lot less than the market.

Raghav: Okay, just a follow-up question on the Non-IT side. So some of the capex-heavy sectors might slow down. Do you think they might slow down hiring before the general elections? Because in general, we see that some industries, you know, just pull push back, hiring or capex to post-election clarity. Any comments on that?

Hitesh Oberoi: I have no idea how this works. In the past, at least what we have seen is that actually, governments spend more in that election time. And that results in high demand for a lot of products. And while hiring in some sectors may slow down, like you said, if the government is spending money on capex, they may sort of. I don't know how it works. But in general, you know, there is more money sort of spent at election time. And that results in more demand for goods and services, and that will result in hiring in other sectors. But, I don't know how this plays out, I don't think it's going to have any material impact on the business.

Raghav: Okay.

Sanjeev Bikhchandani : Add to that, see, if the, if the company has got dependent government contracts, right, and there is a serious possibility of the government changing, and the contracts either not coming through being cancelled

d, a company may be cautious. But if you know, it's not even in government contracts, or if the company is confident that the government will not change, I don't see making a difference. So you know, that's, that's what we don't know what they're thinking.

Raghav: Okay, sure. Thank you.

Anand: Thanks, Raghav. The next question is from Vaibhav Joshi from Aditya Suresh , go ahead and ask a question.

Vaibhav: Hey I am audible?

Anand: Yeah, go ahead.

Vaibhav: Yeah. Oh, yes. Thank you for the opportunity. I have two questions on behalf of Aditya. So the first is on renewals. What is the nature of discussions that you're having with clients as you renew these contracts? You briefly touched upon this, but would you like to highlight anything particular that is different this time?

Hitesh Oberoi: Sorry, can you say that again?

Vaibhav: Yeah. So on the nature of discussions that you're having with clients, as you renew your contract? Is there anything particular that you'd like to highlight different this time?

Hitesh Oberoi: No, no, see, what happened last year was, see for seven eight quarter, there was a surge in demand for IT talent and because of was COVID, you know, massive sort of increase in digitalization worldwide. And there was a scramble for IT talent and attrition rates went sky high. And salaries went sky high, talented people were hard to get our business also flourished as a result, revenue more than doubled profits maybe tripled over the last couple of years. So and then, and then it was a sudden sort of slowdown, or whatever reason. attrition rates, I think haven't gone back to where they were pre COVID. And suddenly companies realize that they are all hired, right because demand suddenly vanished. And what is happening right now as we speak is companies are getting their bench has size has grown to, is now higher than what they want is higher than what they want it to be and therefore they are they're sort of cut down on hiring and they're waiting for some natural attrition so that they go back to the number we are comfortable with. And then again, and hopefully you know demand will also come back in a couple of quarters. And then they will start hiring once again, that's what companies are telling us. Right now maybe.

Vaibhav: Right. So is it fair to say that we slightly more dispersion on pricing or maybe tenure of contracts, anything in particular that comes up more?

Hitesh Oberoi: No, see, it's like they see they have their hiring requirements have gone down, and therefore, you know, they negotiate harder, you know, they need fewer licenses. So that results in sort of, and then, you know, they're not growing anymore. They're not adding a new headcount. So that was also lower realization in the end. And some of them sometimes, we may say, listen, we're not hiring for the next one or two months. So you know, come back after a month, come back after two months, so that happens during slow down, it happens every time.

Vaibhav: Understood. And the second one is on Billings. So even this decline, how should we think about marketing and other effects?

Hitesh Oberoi: See, long term, we continue bullish on the Indian market, we think, for the last few years, these slowdowns don't last for more than 2,3,4 quarters, business always goes back to normal. And we don't want to cut any long term investments, maybe spend, we're currently spending maybe 20-25 cr a quarter on new businesses, you know, like Job Hai and Ambition box, etc., where we don't generate any revenue. So we spending money on marketing doesn't move the needle, the short term for Naukri. But I think we think it's important, you know, from a long-term standpoint, so unless and until the slowdown is very prolonged and deep and these investments will continue.

Vaibhav: Okay, thank you.

Anand: Thanks, Vaibhav. The next question is from Sarang from RW Investment. Sarang, go ah

ead and asked your question.

Sarang: Hi, sir, Thank you for the opportunity had three questions. My first question is to Mr Chintan possible to give the breakup of other income on the console level and how this could pan out to be.

Chintan Thakkar: should be mostly, you know, Treasury income, knowing the other the other income part. But if you want a more detailed breakdown, we will get back to you.

Sarang: Sure sir, my second question do the Hitesh sir. For you said that a major chunk of revenue is contributed by top seven to eight. Is it possible to put an approx. percentage figure on maybe Naukri site and 99 Acres?

Hitesh Oberoi: sorry to say, may tops?

Sarang: It is the revenue contribution

Hitesh Oberoi: 7 to 8 cities?

Sarang: Yeah.

Hitesh Oberoi: yeah, see, we don't give them breakup. But it's a large chunk.

Sarang: Okay. Okay.

Hitesh Oberoi: Delhi Bombay, Bangalore, Chennai, Hyderabad, Pune. These are big markets.

Sarang: And my third question is, so Sanjeev, sir. Is it possible to share your experience and learnings from investing in 4B networks? If you are allowed to speak about it?

Sanjeev Bikhchandani: Okay. Chintan you wanna take that, Hitesh, you wanna take that, should I take it I can take it if you want

Hitesh Oberoi: you can take it, see the matter is under arbitration, Sanjeev you can take it

Sanjeev Bikhchandani : Yeah. So I've said this, you know, to others who asked me that? Look, sometimes we make mistakes. Investments do go wrong. We have in the past, you know, lost money on several companies, but we made money on someone, we made some big money on some overall your company. Yes. So you know, 4b was a mistake. I think we have to admit it, I mean you can't write off to some of these 276 crs or how much we written off to the How would you know?

Chintan Thakkar: Yeah, total 288.

Sanjeev Bikhchandani : Gross is really, really, really close. 288 wasn't a mistake. It was a mistake.

Sarang: Or any other step you're taking to ensure this doesn't happen, Internally.

Sanjeev Bikhchandani : Yeah, we keep coming. In fact, we discussed at the board meeting today. And we, you know, we have already reviewed internally and we have taken we have taken some steps to the most steps. And we continue discussing the board level on how do we do we need to change some of our diligence practices tighten it up, what are the signals and indicators and red flags that emerge during conversation with founders that you know, there may be a problem here, how we deal with other situations in case anything comes up, which thankfully so far is not in terms of fraud. Companies go under but fraud is a different thing.

Sarang: Thank you, thank you so much, and all the best.

Anand: Thank you, sir. Next question is from Aashish Chopra from Goldman Sachs. Aashish go ahead and ask question.

Aashish: Sorry, my question has been answered. Thanks.

Anand: Okay. Thanks Ashish. Next question is from Vivekananda, maybe follow up question, Vivekananda we go ahead and ask a question from Ambit Capital.

Vivekananda : Thank you for the follow-up opportunity, two questions. So, this is to Sanjeev. So, with Infoedge ventures getting a new investor for its funds. Is there any change in the objective or the conditions as far as these three funds are being run, whether it's governance or fund life, or objectives of capital deployment? So that's question one.

Sanjeev Bikhchandani : Yes.

Vivekananda : Secondly, Sanjeev the comments you made on the round sizes, getting smaller valuations getting more reasonable. Now, you have two kinds of funds, right. One is funds that scout for new companies where you want to be the first check. And the other one is a follow on fund which is basically identifying the winners from the previous aim and doubling down on them.

Sanjeev Bikhchandani: Yes.

Vivekananda: So, where are you finding it easier to d

eploy money in the current context and if

you could just help us understand how the follow on fund is doing versus or how your process is for the follow on fund versus the funds where you are investing in new companies.

Sanjeev Bikhchandani: So fund one is more or less done, okay, because first it's been deployed, they will be they will be known, there's unlikely to be a new company coming into fund one and the follow on fund only looks at the fund one and figures out where to go how much you know and prospective winners will back them more and more now. So, it is fund two and capital two be which are actually scouting new companies and investing in them and that is where we are seeing we're finding it easier. Are we finding evolutions lower the lump size or smaller and we are being careful, right? So you know, so as far as the first question is concerned, no, we do not have any change in mandate. Our strategy remains the same. Go in when, for the most part, I won't say always. We will have some sort of a pocket of capital for growth in late stage when I will be a small fraction of the total fund most of the money most of the companies we investment, we will try to be early and first check a second check in there and then double down on you know and then invest further in the ones that we find good. So, the strategy has not changed. But yes, there will be a certain pocket in work funds, where we will do slightly later-stage investments. So in the first one we did you know, a person for some reason Ship Rocket, like wasn't the industry investment, but the bulk of the money went into the all the bucket companies most of the companies or companies will be the first check met early.

Vivekananda:

Okay, this is helpful. Just one follow-up with respect to the follow on fund that you have right here. Are you looking to be the only check for the subsequent rounds or is it Are you open to getting me you know, whenever getting external investors to call in to.

Sanjeev: In Fact, we like to say that we want to get external investors and we come outside.

Vivekananda: I see. Okay, that's very clear. Thank you

Anand: Thanks. That was the last question of the day. Oh, no.

Vivek: I know, there's one question in the chat box just so that question is for Hitesh, it is how should we see the trend in the recruitment business for a longer period of time, since we are the dominant player, we have a large database and we get already trained how the sector would behave in coming down.

Hitesh Oberoi: Long term CB what was said, you know, recruiters index to GDP growth, if the Indian economy continues to grow at 5-6% per annum, it should be possible to grow at 15-20% per annum in the Naukri business. In the core Naukri business and around the core Naukri business, we are trying to add more bells and whistles, we will acquire IIMjobs, we got Zwayam Doselect. So we try to create new sort of opportunities for us Job Hai, you know, big opportunity in the long run, but from a five to 10 year time frame, not in a one to two year timeframe. The blue-collar segment has now become I mean, there are 10s of, you know, maybe a few millions of people who work in some of the sectors I mentioned earlier delivery workers as counter sales. People as you know, Teddy salespeople in and in salons and in restaurants and lots of other sorts of small SMEs and small businesses. So long term, this also is a big opportunity. But you know, we'll have to we're working on the unit economics will take some time to figure this out. So the coal rock platform index of the economy, depending on economic growth, if it can grow at between 15 to 25%, or 10 to 25%, depending on where India ends up. Then we are adding these adjacent sort of verticals around the core Naukri business. they're small today, but hopefully, they'll grow faster than core Naukri. Over time, when they're a small part of the revenue today, Coding ninja e

tc. are

separate. We are there we are trying to monetize job seekers and not recruiters. So that's a b2c model is not a b2b model. And then in the long run over a 5- 7- 10 year time frame, blue collar market could start making sense. So that's the game plan. That's the strategy for Naukri, that's which sectors are likely to do well going forward, if the government continues to invest in infrastructure, you know, if the real estate market continues to be buoyant, if it's the start of a new cycle, then you know, we did not see much action in spaces like cement, metals, heavy engineering, oil and gas construction, real estate, you know, heavy engineering, construct, you know, infrastructure kind of sectors for a long time at one point in time, you know, the sector was because IT for us, but over time, over the last 10-15 years, because of the twin balance sheet problem because of whatever reason, the share of all these sectors and the overall net Naukri revenue base revenue went down from maybe 30% to 15% or 14%. So, if the infra sort of investments take off,

and hopefully more jobs will be created for civil engineers, engineers, mechanical engineer, electrical engineer, site engineer, site supervisors, etc., etc., etc. And this, kind of hiring may look up manufacturing very, very tiny for us today, very tiny doesn't move the needle for us, but in the manufacturing sector takes off you know, manufacturing, hiring perhaps is less than maybe 5% or 7% or 8% of all hiring or Naukri today. So, if this government is trying very hard with the PLI scheme and with other schemes now, if manufacturing India takes off then of course, you know, this could become a big for us but again, it's unlikely to happen in the next 12 to 18 months. This could play out over the next five, seven years. Other services that's where the action is I mean, BFSI insurance, healthcare, retail, travel tourism hospitality these sectors have been strong and will continue to be strong IT captives we expect them to be okay domestic it hiring we expect it to be fine. Started hiring hopefully we'll come back in a year or so. IT service, Indian IT services companies fingers crossed, we'll see how it plays out over the next few quarters. ,

Sanjeev Bikhchandani : Yeah. In addition to this question, I think both are for you Hitesh. One is from Sanjay Lara. Is ambition box profitable, and can you share its business model and the growth prospects going forward?

Hitesh Oberoi: See Ambition box, we are not monetizing. But we are using it to get more traffic. it's a content play right now it's deeply integrated with Naukri. And it's helping us to keep Glassdoor at bay and it's not because of Glassdoor in terms of traffic, it's helping us get new users to the platform, because there are enough users who visit ambition box to get information on salaries, to prepare for interviews to, you know, read reviews, and on companies and so on and so forth. We're not monetizing it. But the traffic we get through ambition boards, of course gets monetized through the revenue models that we have in Naukri.

Sanjeev Bikhchandani : Okay, next question from Abhishek Bhandari. Can you please talk about the competitive intensity in the code recruitment classified vertical? Has it changed or remained status quo? Thank you.

Hitesh Oberoi: Status Quo not much change there not much say that. I mean, LinkedIn and us continue to be the two big players. And of course, LinkedIn is slightly different from us in terms of the segments we operate in. Not much action, otherwise, no change.

Sanjeev Bikhchandani : Okay, the third question, Chintan for you. How haven't, this is from Karan Kukreja. How haven't some current data how have the discussion, investors been? Investors, FIS, and DRS. are you seeing more interest from new investors as of now?

Chintan: I think the better way to really kind of respond to this is that now that results are out. We ne

ed to see what the real how the market is receiving the numbers. And is there a real movement in weather FIS and DRS? But otherwise, you know, we have not seen any kind of a different trend in recently as compared to what it was passed on. I think the deeper the pattern of holding remains more or less same. But yes, every time there's a result, then we are watching how the pattern changes.

Sanjeev Bikhchandani: No more question in the chat box.

Anand: There's an online question again from Vivek from Ambit capital. Vivek go ahead and ask your question.

Vivek: Thank you so much for the multiple follow up so Hitesh, since you spoke today, extensively about Job Hai, I want you to spend some time on competition there. So who is your real competition? Is it up now? Or is it the staffing companies? And secondly, as far as the segment goes, does it have similar network effects as your core Naukri.com? Or is it very different because its part offline, I just want you to spend some time on the details. As far as JobHai is concerned, you've been running this business for a while now. So that's why.

Hitesh Oberoi: So there are a bunch of companies who try their hand at Blue Collar hiring, grey collar hiring. And it's been the case for years now. So over a period of time, we've seen at least 15-20 companies take a shot at this space. You Apna, then there's work India and there are a bunch of others. There's quicker there's you know, there was OLX, which was very active till sometime back. So a lot of companies have been trying, but you know, the space has, like I said, it's still small. But at least we are getting more users on the platform now. So there is there is more usage. There are more SMEs also trying out job, which was not the case. So these, because I think the economy has become more digital than it was a few years ago. And people have become Tech savvy about using their smartphones. And of course, we are doing a lot of product work. So the

Job Hai platform is very local. It's mobile first. And it's increasingly becoming more and more vernacular. So of course, the product is also evolving to sort of meet the needs of this segment. So, all kinds of players are trying, but it's early days. In the long run, will there be network effects in this space? I'm sure there will be a network effect in this space as well. But the market is right now. Very, very early, It'll take a few years to for things to mature and stabilize in this space.

Vivek from Ambit capital : Okay. Hitesh Do you see staffing companies as competitors or collaborators

Hitesh Oberoi: collaborating? Will they'll be clients?

Vivek: Okay, okay. Great. Thank you, all the best.

Anand: So that was the last question we have for the day. Vivek will conclude the call now.

Vivek: Yeah sure, Thanks, everyone. On behalf of Infoedge, we conclude this call. Thank you. You will disconnect your lines now.

Hitesh Oberoi: Thank you.

Chintan: Thank you.

Sanjeev: Thank you

Call: Nov 2023

Date: November 15, 2023

1. The Manager - Listing
National Stock Exchange of India Limited
(Scrip Code: NAUKRI)

2. The Manager - Listing
BSE Limited
(Scrip Code: 532777)

Sub.: Transcript of Q2 FY 20 23-24 Post Result Conference Call

Dear Sir/Madam,

In furtherance to our letter dated November 7, 2023 and pursuant to Regulation 30 of the SEBI (Listing Obligations & Disclosure Requirements) Regulations, 2015, given below is the link of the transcript of the Conference Call on the Financial Results for the Quarter and half year ended September 30, 2023, held on Tuesday, November 7, 2023 at 5:30 pm (IST), post declaration of results. The same has been updated on the website of the Company

Link:

https://www.infoedge.in/pdfs/financial_pdfs/f_Earnings/investor-concall-transcript-15nov2023.pdf

A copy of the transcript of the Conference Call is enclosed herewith.

Request you to take the same on record.

Thanking you,

Yours faithfully,
For Info Edge (India) Ltd.

Chintan Thakkar
Whole-time Director & CFO

"Info Edge Q2 FY 23-24 Results Conference Call"

November 7th, 2023

MANAGEMENT : MR. SANJEEV BIKHCHANDANI – FOUNDER & VICE CHAIRMAN,
INFO EDGE (INDIA) LIMITED
MR. HITESH OBEROI-CO-PROMOTER & MANAGING DIRECTOR,
INFO EDGE (INDIA) LIMITED
MR. CHINTAN THAKKAR – CHIEF FINANCIAL OFFICER, INFO
EDGE (INDIA) LIMITED

Vivek Aggarwal: Hi everyone. Good evening and welcome to Info Edge India Limited Q2 results conference call. As a reminder, all participants' line will be in listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance

during the conference call, please raise your hand on your screen. Please note that this conference is being recorded.

From the management side, we have Mr. Sanjeev Bikhchandani, Promoter and Vice Chairman, Mr. Hitesh Oberoi, Co-promoter and Managing Director and Mr. Chintan Thakkar, Chief Financial Officer. Before we begin today, I would like to remind you that some of the statements made in today's conference call may be forward-looking in nature and may involve some risks and uncertainties. Kindly refer to slide number two of the investor presentation for detailed disclaimer. The audited financial statement and other schedules on segmental, billings, revenue, transcript, etc., along with data sheet have been uploaded on our website www.infoedge.in. Now, I would like to hand over the conference to Mr. Hitesh Oberoi for his opening remarks. Thank you and over to you, Hitesh.

Hitesh Oberoi: Yeah, thank you Vivek and good evening everyone and welcome to our Q2-24 earnings call and as always, we will start with an update on standalone financials, then cover segmental financials along with the business commentary in each business and then we'll have time for Q&A. Starting with Standalone financials for the quarter and for the first half of 2024. On an overall basis, revenues registered moderate growth while Billings which are a lead indicator have grown in low single digits as compared to the same period in the previous year. Revenue for the second quarter of FY24 was at Rs. 593 crores, a year-on-year growth of 11.5%. For the first half of FY24, revenue was at Rs. 1177.3 crores, a year-on-year growth of 13.3%. Billings for the second quarter of FY24 were at Rs. 569 crores, a YOY growth of 4.8%. For the first half of FY24, Billings were at Rs. 1092.1 crores, a YOY growth of 2.3%. If we include acquired businesses Zwayam and Do Select for the quarter in the standalone operating results, the Billings and Revenue were at Rs. 580.9 crores and Rs. 604.9 crores respectively, a year-on-year growth of 3.8% and 10.1%. For the first half of FY24, Billings including the acquired businesses of Zwayam and Do Select were at Rs. 1120 crores, a year-on-year growth of 2.1% and Revenue stood at Rs. 1204.9 crores, a YOY growth of 12.6%. Because of a disciplined approach to marketing spending, the operating expenses have remained in line with the growth in Billings. For the quarter, the operating expenses were at Rs. 374.2 crores, a YOY growth of 4.1%. For the first half of FY24, operating expenses were at Rs. 749.5 crores, a YOY growth of 4.9%. Operating profit for Q2 was at Rs. 218.9 crores, an increase of 26.8% as compared to the same period the previous year. For the first half of FY24, the operating profit grew 31.7% year-on-year to Rs. 427.8 crores from Rs. 324.8 crores reported last year. Operating profit margin for the quarter was at 36.9% compared to 32.4%, a 450-basis point rise as compared to the same period of the previous year. For H1-24, the operating profit margin is at 36% compared to 31%, a jump of 500 basis points. Profit before tax for Q2 stood at Rs. 277.4 crores, a YOY growth of 24.7%. For H1-24, profit before tax stood at Rs. 544.1 crores, a YOY growth of 30.6%. EPS for the quarter was at 16.12, a YOY growth of 24.1%. For H1-24, EPS stood at Rs. 31.55, a YOY growth of 29%. Cash from operations for the quarter was Rs. 250 crores compared to Rs. 219 crores in Q2 of 23, a YOY growth of 13.9%. For H1-24, cash generated from operations was at Rs. 394.7 crores, a YOY growth of 2.8%. Deferred sales revenue at the end of Q2 was Rs. 936.2 crores versus Rs. 840.9 crores as of September 30, 2022, a YOY

growth of 11.3%. Cash balance of Infoedge

including the wholly owned subsidiaries stand at Rs. 3649 crores as of 30th September 2023. It was at Rs. 3250 crores as of 30th September 2022. Headcount as of 30th September is 5594 up from 5282 as of September 30th, 2022.

Let me walk you through the segmental results in a little more detail starting with the Recruitment solutions business. The continued softness in tech hiring was partially moderated by a reasonable growth on the non-IT hiring front. For the second quarter of FY24, the recruitment solution segment revenue were Rs. 456 crores, a YOY growth of 9.1% and billings were at Rs. 431 crores, a YOY growth of 1.4%. For the first half of FY24, the revenue was 902.4 crores, a YOY growth of 12.1% and billings were at 828.9 crores, a decline of 1.4% compared to first half of FY23. The quarterly operating profit was at 270.1 crores, a YOY growth of 8.8% and the operating margins were almost steady at 59.2%. For H1-24, operating profit was at 533.6 crores, a YOY growth of 12.7% and operating margins remain steady at 59.1%. Cash from operations for the recruitment solution business during the quarter was Rs. 267.9 crores, down from 280.4 crores in Q2 of 23. The business generated Rs. 474 crores of cash from operations in H1-24, down from Rs. 515.8 crores generated in H1-23. Revenue for Naukri India was Rs. 396.4 crores, a growth of 7.7% year-on-year. However, billings for Naukri India for the quarter were steady at Rs. 370.6 crores. The billings for Naukri India for the first half of FY24 were Rs. 716.6 crores, a decline of 3.5% compared to last year. Recruitment segment billings including acquired businesses Zwayam and Doselect for the quarter were Rs. 443.3 crores. For the first half of FY24, Naukri India billings including acquired businesses Doselect and Zwayam were Rs. 856.8 crores. The Naukri jobspeak index for the month of September was up 6.3% sequentially but down 8.6% year-on-year. We witnessed a slight recovery in client retention, renewals, and new customer acquisition in the quarter. However, our IT customer and consultants' business continued to be slow due to declining attrition and slow business growth in this space. Hiring in healthcare, infrastructure, transport, and real estate sectors showed better performance during the quarter. Billing growth in the non-IT segments was in double digits. The billing growth from strategic businesses like IIMJobs, Doselect, etc. was also reasonably encouraging during the quarter. Jobseeker engagement with the platform was intact with 9% growth in active users, 495,000 daily modifications, and 58,000 Android app installs per

day. Monthly active users attained a new high with more than 10 million monthly active users on the average in Q2-24. Average monthly job applies were also at an all-time high during the quarter. Our blue-collar job platform Jobhai reported 27% growth of user traffic and 41% growth in jobseeker registrations sequentially over the last quarter. We continued to make investments in platforms like Job Hai, Ambition box, and areas like Data science and machine learning in Naukri. Moving over to the 99Acre segment or to the real estate segment, growth momentum continued in both new home and secondary sales across the country in Q2. Despite increased property prices, end user demand was reasonably robust, and we expect this trend to continue at least for some more time. Billings growth trend continued this quarter. Billings were up 22% year-on-year and stood at Rs. 92.2 crores, while revenue grew from Rs. 69.7 crores in Q2 of 23 to Rs. 87.3 crores in Q2 of 24, a YOY growth of 25.2%. For H1-24, billings were at Rs. 165.6 crores, a YOY growth of 21.1%, while revenues were Rs. 169.9 crores, a YOY growth of 24.9%. The operating loss for the quarter was Rs. 16.5 crores, against a loss of Rs. 32.4 crores reported last year. For H1-24, operating loss in 99Acres was Rs. 39 crores, again

not a

loss of Rs. 70.4 crores in H1 of 23. The 99Acres business reported a cash inflow from operations of Rs. 5.2 crores for the quarter, against a cash loss of Rs. 19.1 crores in the same quarter of the previous year. The cash loss from operations in the first half of FY24 was Rs. 35.3 crores, down by 46%, vis-à-vis a cash loss of Rs. 65.8 crores in the first half of last year. Growth in Q2 billing was primarily led by increased broker and owner spending on the platform. The platform also witnessed an increase in the number of new projects and broker listings in the resale and rental categories. The user activity on the platform also is on an increasing trend with traffic numbers up 24% YOY and 13% quarter-on-quarter. The app daily active user base also grew by 33% year-on-year in Q2 and 13% sequentially. Overall responses from the platform also grew 28% year-on-year in Q2, supported by a healthy demand environment and improved customer experience. The business continues to sort of deploy more machine learning algorithms to improve the platform experience. It continues to focus on improving data quality and creating differentiated content and reducing spam on the platform.

In the education business Shiksha, Q2 billings were Rs. 25.7 crores, YOY growth of 3.7%, while revenue was Rs. 30 crores, a YOY growth of 15.9%. For H1-24, billings were Rs. 59 crores, a YOY growth of 7%, while revenues were Rs. 65.9 crores, a YOY growth of 15.2%. The business incurred an operating loss of Rs. 2.75 crores in the quarter against a loss of Rs. 2.8 crores in Q2 of last year. For H1-24, the business reported an operating loss of 3.7 crores against a profit of Rs. 2.5 crores in H1 of last year. The cash loss from operations for the quarter of Rs. 5.6 crores against a loss of Rs. 1.7 crores in Q2 of last year. For H1-24, cash loss from operations was Rs. 5.3 crores.

Hiring, slowdown, delayed joining dates, and few companies missing out on campus placements has impacted student sentiment. While traffic and student responses on the platform maintain reasonable momentum, domestic clients reported a decline in conversions of student enquiries into applications and admissions.

Despite the current phase of low growth, the Study Abroad business continues to be a business which we are focused on for the long term. We will keep working on strengthening our platform and our ability to deliver counseling services to more students in the Study Abroad business.

Moving on to the matrimony business Jeevansathi, we continued with our strategy to gain traffic share through our free chat offering and when we worked hard and we worked on launching new products to monetize our traffic growth. The new products launched in the last few quarters are now helping us grow our business a little faster. We are trying to basically monetize the traffic a little better. Billings in Q2 grew by 16.7% year-on-year to Rs. 19.7 crores and revenue grew by 8.6% year-on-year to Rs. 19.7 crores. For H1-24, billings were Rs. 38.5 crores, a growth of 11.5% year-on-year, while revenues of Rs. 39 crores, a decline of 4.8% from H1 of last year. Operating losses for the quarter were Rs. 17.5 crores against a loss of Rs. 27.6 crores in Q2 of last year. Operating loss for H1-24 was Rs. 35.6 crores against an operating loss of Rs. 56.3 crores in H1 of last year. Cash loss from operations for the quarter was Rs. 14.4 crores against a cash loss of Rs. 29.8 crores in Q2 of last year. Cash loss for H1 is down 55.4% and stood at Rs. 35.5 crores. Marketing spends in Jeevansathi were down 39.1% year-on-year and 6.1% sequentially.

Moving on to the consolidated financials, at the consolidated level, the net sales for the company stood at Rs. 625.8 crores versus 604.1 crores last year. For the consolidated entity, at the total comprehensive income level, there is an income of Rs. 3399.4 crores versus Rs. 470.7 crores for the corresponding quarter last year. A

adjusted for the exceptional items, PBT stood at Rs. 262.3 crores in Q2 versus a profit of Rs. 148.7 crores in Q2 of last year. Thank you and we are now ready to take any questions that you may have.

Vivek Aggarwal: Thanks, Hitesh. We will now begin the Q&A session. Anyone who wishes to ask a question may raise your hand on the screen. We will take your name and announce your turn in the question queue.

Anand Bansal: Thanks, Vivek. So, the first question is from Vivek from Ambit Capital. Vivek, go ahead and ask your question.

Vivek, Ambit Capital: Thank you for giving me this opportunity. First question is if you could give us a

bit more color on the IT versus non-IT billing for the quarter, a broad sense of the decline on IT and perhaps a bit more color than double-digit growth on the non-IT would help us understand better. Second question that I have is your jobspeak index, the IT services job postings have been declining since January, but basis your past commentary recruitment billing from IT customers declined only from the June quarter. Why is that so? Is that because of long duration nature of contracts? Here, if you can give us some direction on the duration of contracts, 3, 6, 12 months. The reason for this question is mainly to correlate Jobspeak data with billing trends. Last one is on the non-IT side. To me, it appears that the number of branches that Naukri has increased in the recent months. So, what kind of response are you getting on the non-IT side? Are you signing up more customers? And is that helping you service non-IT customers better through these branch expansions? Any color on how to look at the sustainability of non-IT growth and the investments needed. That would be very helpful. Thank you so much.

Hitesh Oberoi: A very macro level, about half our business comes from IT companies, recruitment firms which work with IT companies. Maybe 55% of our business is IT or IT related, so to speak, and about 45% is non-IT related. Now, overall, our billing growth was flattish for the recruitment business as a whole. And the non-IT business, it's not as if we are able to do a 100% job of segmenting our business between IT and Non IT because there are lots of small customers. We don't really know what percentage of their hiring is IT hiring. But from what we can tell, our non-IT business continued to grow in double digits, so maybe about 14%, 15%, 16% growth in that range, while our IT business must have declined by a similar amount for billings to have remained flattish. Now, because we are seeing growth in non-IT and within non-IT, there are some sectors that are doing quite well, there are others that are not doing as well. We are investing more on the non-IT side of the business right now, so to speak. And what we are seeing in non-IT is a lot more growth in small towns than was the case a few years ago, which is why the focus on opening new branches. Our non-IT customers are not as internet savvy sometimes as our IT customers, and therefore it makes sense to reach them face to face, makes sense to make sales calls on them physically, especially in small towns. So, you will see us opening more branches going forward. We've already opened a few. In the markets we already operate, also we need to improve our coverage, go after the smaller customers a little more than we have been doing in the past. Also, for a long time because of COVID, a lot of our sales guys were operating from home, and now is the time, and therefore our customer interactions were fewer. I think this is the time to sort of go all out and meet customers face to face, so we'll be focusing a lot more on that going forward. As far as correlation with Jobspeak is concerned, Jobspeak is an index of job listings mostly, and we are now trying to incorporate Resdex activity, which is our database hiring activity into job speak, but you must understand that 70% of our revenue is from the database, and tha

t's the primary

source of hiring for a lot of companies. A lot of these companies also post jobs, so there is correlation between job speak and billing growth. It's not like a one-to-one correlation because a lot of the hiring happens through the database offering as well. Was I able to answer all your queries?

Vivek, Ambit Capital: Yes, just one follow-up, and thank you so much for the explanation on the non-IT side, helps us understand the strategy better. As far as the IT billing is concerned, I just wanted to get your sense on how much longer you think the slowdown is likely to last, and given that material percentage of your recruitment billing comes from the fourth quarter, is there a real risk that the billing trends in that quarter might reflect some of the pain that the IT companies are facing, and perhaps some of that has not yet manifested in your numbers. Is that a sense you are getting, or am I just reading the situation very wrongly?

Hitesh Oberoi: Well, the genuine answer is we don't know when IT is going to recover. As of now, we are not seeing any recovery on the ground, so things are like they were three months ago. There's not much has changed over the last three months. Anecdotally, what I can tell you is that a lot of companies are going slow. They perhaps over-hired last year, and they are slowly getting rid of the additional headcount on their roles. Now, once they get rid of the additional headcount, and a lot of them are actually postponing campus hiring, they're not going to campus to hire this year, so they're not going to build a bench. Now, once they get rid of the additional extra headcount, and if demand comes back, then of course, IT hiring will come back, and it may come back with a bang, who knows. But when will that happen is hard for us to say. Now, from our standpoint, you're right, Q4 is our biggest quarter, but things have started slowing down by Q4 last year, so it's not as if we had a fantastic Q4 last year. We saw growth in Q4 last year, but it was tepid compared to the growth we saw in Q1, Q2, and Q3. So, the base is high, but things had already started slowing down a little bit by Q4 last year, so the base effect will not be as pronounced as it was perhaps in the first and second quarter of this year. But like I said, we don't know, I mean, how this is going to plan out, time will tell. In the past, of course, we've seen slowdowns seldom lasted for more than four quarters, and business bounced back spectacularly after every slowdown. But each time is different, I don't know what's going to happen this time around, hard for us to say.

Vivek, Ambit Capital: Thank you so much for the elaborate explanation.

Anand: Thank you, Vivek. And the next question is from Nikhil. Nikhil, go ahead and ask your question.

Nikhil: Hey, hi, thanks for the opportunity. Hitesh, my first question is on recruitment business only, basically what Vivek asked, just continuing that. Basically, you delivered positive revenue growth on

YOY basis. And that happened despite of we are seeing at least top 10 IT companies reporting headcount decline similar to last quarter. And even Jobspeak is like down about 8-9% percent on YOY. So, what I want to understand is, is there is some element of let's say, even on Q&Q basis, IT had been a bit relatively lower, or maybe non-IT is delivering much more better than, let's say, last quarter's growth.

Hitesh Oberoi: So, non-IT, like I said, certain sectors continue to sort of hire aggressively. And we can see that, I mean, so our IT markets are hit a lot more than our non-IT markets. Sectors like banking, financial services, insurance, travel, tourism, hospitality, construction, real estate, etc., they continue to sort of hire a lot of people. So, that's the good news. And on the IT side also, what we are sensing, what we are seeing on our platform is that salaries have gone up. So, the kind of people which are being hired thro

ugh the platform are perhaps their salary level is about 10 or 15% higher than what it was last year. Maybe there's a lot less entry-level hiring happening, but there is a little more experienced hire happening. We haven't gone into the details. So, there's some more, so while volumes have actually gone down a little more, because that's what you're perhaps seeing in Jobspeak, salary levels have gone up. So, that still helps us realize, more value from our customers when we negotiate with them. But it's not as if we are seeing any major sort of recovery on the ground on IT as yet.

Nikhil : Sure, Hitesh. Second thing, again, what we are seeing on IT services company, what you mentioned also that initially they hired, or maybe over hired, there as well, the utilization has started to increase, right? And the headcount count, you must all aware that it has declined quite a bit. And what even Chintan mentioned during the CNBC interview, that we expect second half to be better than first half, and even, some benefit from the base effect as well. So, is it fair to say, let's say not recovery, but at least attrition backfilling part can start maybe a Quarter or two? Is it what you see?

Hitesh Oberoi: If attrition rates start going up at IT companies, that is a good sign for us, for our business. So, attrition rates have corrected significantly from 20-22% or whatever they were last year, same time. I know now they're down to 13% or 12%, 13% levels for many companies. A lot of companies are not replacing the people are leaving. So, because they had over hired, like I said, many are postponing campus hiring. So, if for some reason the market comes back and they haven't hired from campus and they will be forced to do a lot of lateral hiring. So, now, I don't know, see, we work with a few thousand companies in the IT space and big and small, all types, but in some clients, we managed to still get upgrades. So, it's not as if all the companies are badly hit. It's not as if every IT company is struggling. Some companies have actually paid us a lot more than what they paid us last year at renewal time. But overall, the mood is what it is. And I don't know whether it'll take them three months to get rid of the bench or another six months to get rid of the bench. It will depend on what policies they adopt. You're right. Once they get rid of the bench and once, they, sort of, then they will be at least forced to backfill. They'll be at least forced to replace the people who start leaving. And if the market starts to look up, then attrition rates will also go up. And if they haven't hired from campus, then they'll be forced to hire just in time, which is good for our business.

Nikhil : Hitesh, just last one from my side. Last time you mentioned about how the July went lower than expected. Any comment on how October shaped up? How was the last month, basically, some cue in for the quarter 3?

Hitesh Oberoi: I would not read too much into October for the simple reason that, what happens in October and November depends a lot on when Diwali is. And this year Diwali is a little delayed.

Nikhil: Sure. Sure. That's it from my side. Thank you.

Anand: Thanks, Nikhil. Vivek is again there. Vivek, do you have a follow-up question? Go ahead and ask your question.

Vivek, Ambit Capital: Anand, maybe you can let other people in. I can come back later also, no problem. So, but since you gave me the chance, I wanted to double-flick on the Naukri India billing trend versus the overall recruitment trend. So, Hitesh, did I hear it correctly that the Naukri India billing was 387.2 crore this quarter?

Hitesh Oberoi: Just one second. Naukri India.... Billing for the quarter?

Vivek, Ambit Capital : Yes.

Vivek Aggarwal: It was 370.6.

Chintan Thakkar: Yeah, that's correct. 370.6.

Vivek, Ambit Capital Okay. So, Naukri India has done better than overall recruitment. Okay, got it. So, I just wanted to understand.

Hitesh

Oberoi: Yeah, that's not true. Naukri India, where did I say that?

Vivek, Ambit Capital : So, last year it was 356.2 crore billing, right?

Vivek Aggarwal: Vivek, I will speak to you offline, it includes IIM jobs also now, since the business has gotten consolidated.

Vivek, Ambit Capital: Oh, I see. Okay. Yeah, that's the clarification I needed. I'll circle back with you offline.

Vivek, Ambit Capital: Sure. Sure. Thank you.

Anand Bansal: Okay, the next question is from Srinath V from Bellwether Capital. Srinath, go ahead and ask your question.

Srinath V: Hi guys, I'm just out, so may have some disturbance. So, I wanted to understand in the job speak index, there's a particular segment called recruiters and that number has come off significantly, almost going back to COVID lows. Is that a data anomaly or are we seeing third party recruiters significantly come off their services because they may be the variable part for IT hiring in that sense. So, any views on why that number has come off significantly?

Hitesh Oberoi: Yeah. So, if you're referring to recruitment firms, the recruitment firms are the ones who are hit first, when there is a slowdown. So, it's very likely that business from jobs posted by recruitment firms and business from recruitment firms is down a lot because of what we are seeing in IT. A lot of these recruitment firms actually hire for IT companies, as you know.

Srinath V : Got it. So, it's a real reading that recruitment firms are down 60-70% in terms of business activity.

Hitesh Oberoi,: We'll have to look at the exact numbers and confirm to you, but if the report says recruitment firms, then yeah.

Srinath V : Okay, got it. Sanjeev, I just wanted to, have some understanding from you. The listed technology companies have been, the consumer tech, neo-tech companies have pivoted towards profitability and there's been a significant improvement in contribution margin across the board. how does this, change the whole unlisted space where we largely operate in? Are you seeing a cultural shift in promoters towards unit economics?

Sanjeev Bikhchandani: That's been going on for a year now where everybody has been told by the investors and they realize themselves that listen, the party is over. You've got to move to profit and if you can't, you're in trouble, unless you're very well-funded and have a lot of money in the bank. In which case, you just postpone the trouble. You ultimately have to get a profit.

Srinath V : And is this trend happening across sizes, even in, companies which are saying the seventh, eighth year of their journey, what we see is in the more 10 plus year of their journey?

Sanjeev Bikhchandani: Everybody is conscious of the fact that money is less likely to be as easily available as it was earlier. Therefore, you've got to manage what you have and maybe you can raise some, but you can raise some on the back of very good performance.

Srinath V: Got it. Got it. And I would want to also understand opportunities in deep tech. You had mentioned in an earlier call that you were running some pilots and especially with, generative AI coming in, so on and so forth. And this being a kind of large opportunity where we can

Sanjeev Bikhchandani: Are you talking about pilots within the company? That Hitesh would answer.

Srinath V: No, no. You had spoken about making investments in the deep tech space.

Sanjeev Bikhchandani, Yeah, yeah. So, we have, and we keep on evaluating companies and we've got a separate fund, which is for deep tech AI, tech-ish kind of investments. And we invest from there. But the truth also is in our other fund, almost every company now has a flavor of AI. So, there's a bit of AI going on everywhere.

Srinath V: But as such, do you think, India or the founders that you're meeting have kind of the ability or, the product range to start a company where you basically are multinational from day one, you are having a, unlike most of the

, more mature tech companies, again, on the listed space are very India-centric. But could this be a much more global kind of space.

Sanjeev Bikhchandani: So, in theory, yes. In actual practice, getting revenue and business and customers from overseas is not easy, especially from the developed markets of Europe and US. So, that's not easy. So, many people try, but it takes a long, long time to succeed to get business. So, I always believe it's useful to have a home base where you have a home market and that's large enough to sustain you. And then you can foray overseas if you wish.

Srinath V: Got it.

Sanjeev Bikhchandani: But look, there are companies trying, some will succeed.

Srinath V: Got it. Got it. Thanks a lot. I'll get back into the question queue.

Anand Bansal: Thanks, Srinath. The next question is from Abhishek Banerjee from ICICI Securities. Abhishek, go ahead and ask your question.

Abhishek : Hi, thanks for the opportunity. My first question is with regards to 99 acres, the reduction in losses seems to have been actually higher than the improvement in revenue on a quarter-to-quarter basis. So, what exactly is happening there? Are we really looking at say breakeven here in the next two to three quarters?

Hitesh Oberoi: So, see the business has been executing well for the last five, seven quarters now. The market has also been very supportive. We have managed to keep our costs in control and we have managed to up our revenue significantly over last year. We are working on a lot of interesting new initiatives. Now at the same time, the space is hot. There is a lot of competition. It's not a dominant player. 99Acres is not a dominant player like Naukri is as yet. So, we don't have a target to breakeven inside the company, but we are basically just doing what we think makes sense. We are focused on executing. We've identified five, six areas where we think there is scope to execute better and that's what the team is focusing on right now. If we actually start feeling that we are doing well and there is a lot of potential in the market, then we would actually like to spend more money in this space to gain

share. But we're going step by step and let's see what happens. So, there's no target to breakeven, but if we continue to do well and the market is supportive, then we would actually want to invest a little more in this vertical going forward.

Abhishek: Understood. But that investment might not necessarily be at the cost of an EBITDA breakeven, right? You could be at the margin of breakeven and then push incremental investments into growth.

Hitesh Oberoi: Yeah, it will depend on whether we're able to get top line growth as well. So, if we are able to grow our top line by let's say 25-30% going forward also, then there's a very high probability that we might sort of do well in the second half. But that's going to be a function of top line growth more than anything else. We are very clear that we have to make certain investments and we don't want to slow down on that front. We don't want to cut corners there. And if the market continues to be supportive and if our sales execution continues to be like it's been for the last few quarters and we are able to get 25-27% growth, then we should broadly be okay.

Abhishek: Understood. In terms of the consolidated numbers, the employee expenses have gone down on a YOY basis. What would be the reason for that? I mean, the standalone has gone up, but overall, the employee expenses have gone down.

Rajesh Aggarwal: So, last year it included 4B numbers also. This year it is not because we fully impaired 4B Network.

Abhishek: Okay. Just that, right? And in terms of the portfolio companies that we have right now, any update on any one or two companies which you could call out, which you are seeing right at an inflection point as of now?

Sanjeev Bikhchandani: No, there's no announcement we've made here. We continue to work with company

es and they progress by and by. There's nothing that's really breaking order becoming a rocket ship finally.

Abhishek: Okay. Fair enough. Thanks.

Anand Basal: Thanks Abhishek. The next question is from Vijit Jain from Citi. Vijit, go ahead and ask your question.

Vijit Jain : Thank you, Anand. My question is on the recruitment business. Have GCC hiring trends been more steady through this calendar year versus last year? And if you could give a broad sense of, what GCCs or global capability centers of global companies, their share is in your overall recruitment business. A broad sense there would be helpful. And overall, how do you see that? Does the divergence continue? Do they continue to be steady if they are in fact steady?

Hitesh Oberoi: See, we work with a lot of GCCs. Our sense of the GCC space right now is, and we've only started deep diving into this data, the bigger GCCs are also impacted. So, there are all kinds of GCCs in this country. There are GCCs which employ 25 people and there are others which employ 25,000. So, the bigger ones have also been impacted by this slow down to some extent. On the whole, GCCs are perhaps less impacted than Indian IT services companies. And maybe the smaller GCCs are not at all impacted because they are still growing. The bigger ones are impacted more than the smaller ones. How big are they as far as our business goes? Maybe they are, I don't have the exact numbers. We need to do a better job of our categorizations internally. But I suspect they may not be more than, maybe, I mean, I don't have the exact number. I don't want to sort of hazard a guess, but maybe in the 15-20% of all IT hiring right now. But we'll have to get back to you with the exact numbers. But for that, we need to do a better job of categorizing them internally. I'm just giving you a sense of what I think.

Vijit Jain, Citi: No, that's helpful, Hitesh. Thank you so much. That was my question.

Anand Bansal: Yeah. Thanks, Vijit. The next question is from Pankaj from Renaissance Investment. Pankaj, go ahead and ask your question.

Pankaj : Yeah. Hi. My question, Sanjeev, within both 99Acres and Jeevansathi, we've been active in terms of investing now for quite some time. Clearly, meaning there's competitive intensity in the marketplace. Unlike, and as I think Hitesh was a little bit in the previous question, we don't have dominance there versus what we have in Naukri. And which is obviously delaying the path through profitability. And probably some of those competitors have learned their lessons, right? Meaning last time, Times Job probably did not do as great a job in execution, but they've learned their lessons. They're resourceful. So, how does this whole play out? meaning, and how does one think about both these investments? I understand that you will keep executing, but if none of the players want to relent, then meaning how does this whole shape up from a business perspective in terms of cash flows, profitability for all the players for that matter?

Sanjeev Bikhchandani: You want to know about 99Acres and Jeevansathi, right?

Pankaj : Yeah, that's right.

Sanjeev Bikhchandani: So, I think Hitesh is best positioned to answer that. Hitesh, you want to take that?

Hitesh Oberoi: I guess the question is about, if I understood it correctly, what you're saying is these are two, three player markets and the players have all learned and they may not, they are also executing as well as perhaps we are executing and therefore how will it all end, right? I mean, is that how will any one player get to a dominant position?

Pankaj : Yeah, which looks unlikely. So, and we've been investing in these businesses for now quite some time. So, how does one think about these businesses now?

Hitesh Oberoi: Yeah. So, firstly, I think we must differentiate between the two verticals. In Jeevansathi, we are actually the number three player and while in the real estate business, we think we

are a

number one player. So, while we may not be dominant, we are a leader and which is not the case in matrimony, right? In matrimony, we are the number three player. We may be the number two player in the Hindi belt and so on in some communities, but overall, we are a number three player. We are one-fourth the size, maybe not actually not even one-fourth. We are today, in terms of revenue, one-sixth the size of the number one player, maybe one-fifth the size of the number two player and so on. So, we are tiny in the grand scheme of things. There, what we tried to do was to disrupt the model. We tried multiple things over the last few years, but every time we did something different, competition was able to catch up within a year or two. So, last time around, we changed the model. We went freemium with chat, being free, and again, let's see what happens. Now, we are trying to cut burn and get to break even. Whether we get there in 6 months or 12, time will tell. So, that's a very different situation, but the goal there is to also try and get to break even or at least reduce the burn significantly over the next 6 to 12 months in Jeevansathi and also try and get the revenue to grow because we went freemium and that resulted in a different revenue, but now we're trying to get our revenue to grow again. We have actually gained traffic share in the last four quarters because we went freemium. So, we are a strong player in the segments we operate. We don't operate in the entire country, but where we operate, we are a strong player. How does it all end? In Matrimony, hard to say. It will all depend. If you're able to get consolidation to happen, then of course, the economics of the category will change. On the other hand, if it continues to be a small three player market and it continues to grow at the pace at which it's growing, which is not a very high pace and it's growing at 10% year on year as a category, then it's not going to be easy for anybody. Real estate is a very different ballgame. One, we are a leader. Number two, the market has started growing rapidly. It was down in the dumps for seven, eight years because of various things which happened to real estate. But after a long time, real estate has bounced back and it's a large market. It's a much larger category than matrimony. Our real competition in real estate is actually not the other portals. It's actually players like Facebook and Google who get a large chunk of the real estate advertising spend. So, if we get our products right, if we are able to execute well, on the one hand, digital will take share away from offline and two, within digital, we can take share away from Facebook and Google if we execute well. So, it's a much bigger opportunity. It's a category in which we are a leader. The last seven, eight years were very bad, but despite that all the players grew. So, I think the real game in real estate is going to be over the next two, three years. So, if the market were to double, for example, over the next three years, and if one of these players were to get their act together and move ahead, then the game can change. So, it's not a stalemate as yet. It's still wide open. And the team which executes well could still surprise others. At the very minimum, the category will grow handsomely over the next few years, unlike matrimony.

Pankaj: So, then you think, I mean, are you saying that real estate now probably we should run a path to breakeven and profitability, irrespective of the market share?

Hitesh Oberoi: Like I said earlier on the call, we don't have a breakeven target. We have a few ideas we're working on. We are trying to execute a lot better than we were executing earlier. For the last five, seven quarters, the market has been supportive and we've grown well. We managed to keep our costs under control. We would not want to lose share in this market. And if that requires us to invest more in the short term, we

are prepared to do that. We have a few interesting ideas, but the key is going to be the quality of the execution more than anything else. So, if you are able to execute well and the market continues to grow rapidly, we may breakeven also. Who knows? Let's see what happens.

Sanjeev Bikhchandani: Well, to some extent also an ad, it may depend on competitive behavior.

Hitesh Oberoi: Correct. So, if everybody behaves rationally, then it's easier. But if competitive activity flares up, then of course we'll also be forced to respond.

Pankaj: That's what the point is that and as much as we are willing to relent, I think the competition is also unwilling to relent. So, then that's what we've seen, right? Over so many years. At the same size and scale of revenue, Naukri was far more profitable than where we are in real estate. So, I understand.

Sanjeev Bikhchandani,: Yes, that's because I think it does not have the kind of market leading share, traffic share that Naukri had at that time. And it continues to have. So, it's about market share also.

Pankaj : Okay. So, let me put it the other way around. If one were to step back, which is, from a business perspective, which is the nonlinear growth opportunity in our form of business point of view across our strategic businesses or strategic investments? Where's the nonlinear growth opportunity for a company like ours?

Hitesh Oberoi: Yeah, I don't think we have anything in our portfolio which can grow 100% year on year. We're not, but can be, once the recruitment market bounces back, once IT hiring comes back,

can be, the Indian economy starts growing at six, six and a half percent. Can we aim to grow Naukri at more than 20% year on year? We can certainly aspire to do that. If the market in 99Acres remains reasonably good and if we execute well, can we aspire to grow 99Acres at more than 25% per annum? We should attempt to do that. Jeevansathi, we've gone freemium. Now, we are trying to sort of monetize a little better. Can we aim to grow the business at 20%, 25% year on year? We can aspire to that whether we'll be successful or not time in time, right? So, I don't think we have anything in our portfolio which can grow 100% year on year, but can we aim to once the market sort of becomes a little normal, get back to as a company 20% plus revenue growth? I think we should try to do that.

Pankaj : Okay. Thank you.

Hitesh Oberoi: That's the range we're operating. I mean, there's nothing at the smaller. See, we have a lot of tiny businesses in the company, which we have seeded over the last few years, which can grow at 500% and they are tiny. So, they don't really move the needle on the, on our 2,500-crore top line.

Pankaj : Sure, thank you. Thank you.

Anand Basal: Thanks, Pankaj. The next question is from Aditya from UBS. Aditya, go ahead and ask your question.

Aditya : Hi. Just a very quick question from my side. Just wanted to hear your thoughts on your stake in Zomato and Policy Bazaar. I mean, you said in the past that you have no plans to monetize as of now, but just wanted to understand your thought process on how you look at it. Do you think there's more value to be unlocked or what would you consider a trigger to kind of start thinking about trimming the stake there? Is it may be some kind of consolidation opportunities in real estate or in matrimony, or do you think that you just need to hold on to a kind of unlock some more value in these two stakes? Thank you.

Hitesh Oberoi: Sanjeev, you're on mute.

Sanjeev Bikhchandani: No. So, the question is, when do you think we will be willing to trim some stake in Zomato and Policy Bazaar? As of now, our thinking is that if we don't need the money and there's growth left in these two companies, we should hold on. So, there's no announcement to make at the moment, but obviously it comes up every quarter in board meetings just as an update. But as of now, there are no plans.

Aditya : Just t

o follow up, I know you mentioned that consolidation is probably the endgame in some of these sectors. Are you seeing any signs or indication that that could happen kind of sooner than later or it's still kind of uncertain as of now?

Sanjeev Bikhchandani: You're talking about real estate and matrimony?

Aditya : Real estate and matrimony, yeah.

Sanjeev Bikhchandani: Hitesh, do you want to answer that?

Hitesh Oberoi: So real estate, like I said, see the market has come back after many years and I think everybody's going to take a shot at it for some time. Matrimony is a little more mature as a category and players have been at it for a while and as a category, the category is not taking a lot of money. So, there's a higher probability of some consolidation in matrimony than real estate in the short term at least. But with these things, you never know, so you can never predict what's going to happen.

Aditya : Got it. Thank you.

Anand Bansal: Thanks, Aditya. Vivek is back with the follow up question. Vivek, go ahead and ask your question.

Vivek, Ambit Capital: Thank you so much. So, Sanjeev, it appears that the public market investors are getting interested in internet companies again with the share prices of Zomato, Policy Bazaar and even Mamaearth getting listed. Do you see any of your financial investees, especially names like Business, Shopsy or Shop Kirana getting ready for a listing, say in the medium term. So, that's the first question. Second one is for Hitesh on recruitment margins. So, in the first half, despite revenue growth being only around 12%, the PBT margins have expanded and this is quite at odds with your historic commentary that margins go down if revenue growth is less than 15%. And this year, you've also added branches. So, just wanted to understand, is there any change in the new business investments I remember you mentioned last time, 20-25 crore per quarter being spent on projects that don't generate any revenue like JobHai and Ambition Box.

Hitesh Oberoi: Yeah, Sanjeev, you want to answer your question?

Sanjeev Bikhchandani: Yeah, the first thing, look, is it possible that somebody can go public in three to four years? Answer is yes. But how likely is it? I don't know because it's still early days yet. Now, we encourage companies to go public after, especially in this environment, after they're profitable, after they achieve a certain scale and they still have enough growth left in them. So, these companies, the names you mentioned, are not yet profitable and they're not of the size and scale when they go public. Can they get then three to four years? Maybe, but maybe not. We'll have to wait and watch.

Hitesh Oberoi: See, you're right. We continue to invest 20-25 crores a quarter in some of these verticals, Job Hai, Ambition Box, Big Shift, etc. And most of them are free revenue or we don't actually expect to monetize them in the short term at least. Why have our margins gotten a little better? It's just like some of our competitors, some of our clients, we also perhaps had over-hired last year because attrition rates for us were also very high and we also went all out to acquire talent at that time. And so, we've gone a little slow on hiring this year in Infoedge.

Vivek, Ambit Capital: Okay, that's useful. Just one last comment or rather question from me on recruitment. There are still businesses where you don't hold 100% stake, which are strategic in nature, like Coding Ninjas, and then there are a couple of them where you have 100% shareholding, like Zwayam and DoSelect. So, previously, you had consolidated IIM Jobs and Hirist. Is there any plan to maybe integrate these two 100% owned companies into the standalone operations and get your salespeople to perhaps offer them to your clients? So, that's one. And of course, if you could give us an update on where your thoughts are on Coding Ninjas and how is that useful to your business? Is there any cha

nge that has happened in the last quarter or so? Thank you.

Hitesh Oberoi: So, as far as DoSelect and Zwayam go, operationally, they have been integrated. Now, from an accounting standpoint, for various reasons, we may still be reporting them separately. But operationally, the Naukri team is fully involved and they are working very closely with both our sales team and our engineering teams and our product teams. So, that's done. As far as Coding Ninja goes, of course, we are 51% shareholders, but that company is run by the founding team. And there, we have started integrating with Naukri, integrating some parts with Naukri. And early days still, not much to report on that front. That is a startup and their company has a long way to go. And we would want the founding team to run that operation for a long time. The pilots with Naukri have started, we've started seeding some content on Naukri. We're trying to get more leads at them through Naukri. Early days on that front, not much to report right now.

Vivek, Ambit Capital: Okay, thank you and all the best.

Anand Bansal : Thanks, Vivek. The next question is from Bhavik Mehta from JP Morgan. Bhavik, go ahead and ask your question.

Ankur : Hi, this is Ankur. Hey, good evening. I think the first question from my side is on the sequential momentum we've seen in billings and recruitment, right? So, could you elaborate, Hitesh, this trend, is it specific only in the non-IT segment or did you also see IT, begin to bottom out and sequentially grow? And how should we read that?

Hitesh Oberoi: So, see, I would not read too much in, this 2-3% whatever swing that you're seeing. See, IT hiring continues to be slow and it's not easy to get upgrades from IT customers right now and we are, in some cases, we've seen downgrades as well. The situation on the ground continues to be like it was three months ago. Not much to report on that front. Non-IT hiring continues to be reasonably solid and, it's of course not as hard as it was during the period of the great resignation and so on but continues to be solid at least in some sectors. Could have things bottomed out? I hope they have but we will know only after a couple of months.

Ankur: Okay, understood. In terms of the pricing, Hitesh, I mean obviously you guys have taken some price increases including because of adding functionality over the last two or three years. In customer conversation on an average, is that something that comes up that people ask for pricing, discounts as opposed to bringing volumes down from a consumption perspective.

Hitesh Oberoi: Actually, pricing we've managed to, so you see what's happening is efficient rates have gone down. IT companies are hiring a lot less than they were hiring earlier. They are not using the platform as much as they were using one year ago. Volumes have shrunk considerably and that's really, and therefore, we are sort of, many of them are downgrading. That's and the same is happening with recruitment firms because a lot of these recruitment firms hire for IT companies. Pricing is not such a big challenge right now. It's just that, demand has taken a big hit.

Ankur: So, when you say they are downgrading, they're reducing the number of-

Hitesh Oberoi: The licenses they buy, the number of CVs they view, the number of emails they send.

Ankur : Okay. And in terms of, just kind of trying to understand when you do see a beginning of a recovery, what will be the sign of that from your perspective? I mean, obviously billing, but within the billing side, will you start seeing more short duration activity first? I mean, just looking at previous cycles, or would you start seeing people looking for longer duration actually accessing more seats? I mean, generally, what would be the type of sign that you look for number one.

Hitesh Oberoi: Actually, even before billing, we'll see usage go up on the platform, right? And we track usage. So, we'll see more jobs bei

ng posted. We'll see more CVs being viewed by companies. We'll

see. So, I mean, if that starts to happen, then we know that activity is beginning to, I mean, the same, because it's an annual subscription, the company may renew one year later, six months later, et cetera, et cetera. But if users start to go up, then that's a very good sign.

Sanjeev Bikhchandani: The Jobspeak index would indicate this. That is on job listing activity.

Ankur: Okay. So, we keep tracking that. Okay. Helpful. And a question is on the cost side as well. I mean, given the challenges and, given a lot of global tech companies are also taking very seriously, you think of how they drive efficiency within the platforms. How are you thinking about that? I know you mentioned attrition is going up and you were sort of looking at that as well. So, both maybe from a technology cost perspective, labor cost and AMP cost.

Hitesh Oberoi : So, how are we looking at our costs?

Ankur: Yeah. Your cost base and, how are you thinking, are you rethinking of, the investments you made in the last two or three years? If, this remains slow, let's say for the next 12 to 18 months.

Hitesh Oberoi : Well, there are some areas where we would not want to sort of cut corners. So, for example, we continue to invest very aggressively in our machine learning and AI capabilities across the company. Okay. So, that's not something we want to cut down on. Like I mentioned earlier, we are seeing, opportunities in non-IT. So, we want to expand the number of offices, hire some more sales people, both in Naukri and in 99 Acres. So, we would not want to sort of, unless, demand slows down further, we would not want to sort of compromise on that. In other areas, we can get a little, perhaps get a little more efficient. But it's not, we're not looking to lay off people. We think, see, we also have some attrition. What we will not do is, where we have some extra people, we will not backfill and we'll also go slow on campus hiring, for the next few months in areas like Engineering and QA. We continue to invest in some of our newer verticals like JobHai. They require investment. We are actually hiring as we speak in JobHai. So, some of these long-term investments, which are more strategic in nature, we'll sort of not want to cut corners on. Where there is scope for more efficiencies and, where we think we can get higher productivity by using some, by organizing ourselves better or by focusing ourselves a little more on what matters in the short term and by making our people more productive. There we'll do whatever we can without laying off people.

Ankur: Understood. Quick question on real estate. How is the incremental competitive intensity moving, especially with respect to housing?

Hitesh Oberoi : So it's a competitive market. everybody sees a big opportunity in the medium term in real estate. It's come back after a long time. Everybody is trying. We are also trying. But I think, if you ask me, I think it's a little more rational than it was last year. But you never know how things are going to play out going forward. I mean, some of these things can change at the drop of a hat.

Ankur : Okay, understood. Thank you and best of luck.

Anand Bansal : Thanks, Ankur. Just a small thing. System showed your name is Bhavik Mehta. Just to mention that. Thanks. And Vivek, that's the last question we have.

Vivek: Okay. Thanks. Thanks, everyone. With this, we conclude the call. Thank you.

Anand Bansal: Sorry to interrupt.

Vivek Aggarwal: I think Nitin has a question. Maybe you can take this last one.

Anand Bansal: So, okay. Nitin, go ahead and ask your question.

Nitin : Yeah, thank you for the opportunity. So, just two quick questions. So, in terms of the Naukri portal, I just wanted to understand, what new developments or functionalities or new features you have introduced on the portal in, say, the last two quarters or so, or are you planning to make?

And

the other question is, given the good amount of cash that we have in the balance sheet and the cash that we are generating every quarter, can we expect, any meaningful change in the payout ratio going forward? Thank you.

Hitesh Oberoi: See, features of Naukri, there's a lot of stuff which we do at the backend, which you would want to see. Like I said, we've been investing very aggressively in our machine learning capabilities. We've been working on our recommendation engines. We've been working on our search. We've introduced some branding products on the platform. So, we made a lot of changes to the app. We are working on our content. We've done some integrations with Coding Ninja. So, there's a bunch of whole lot of things we've done. We are trying to, now working on integrating first Naukri with Naukri. We've been working on JobHai a lot. I mean, that platform is growing very rapidly. We've integrated Ambition Box very deeply with Naukri over the last, year or so. So, I mean, a bunch of them, we can take this offline. I can take you through what we are doing and what we are planning. Similarly, we've been working on iimjobs and hirist as well. So, yeah, I mean, we have a 300 strong team working maybe even more in Naukri, which is constantly, and they have a long product pipeline and there is something which goes live every week or maybe a few things go live every week on Naukri.

Nitin: Okay. And on the payout ratio?

Hitesh Oberoi: Chintan, you want to take that?

Chintan Thakkar Sorry, what was the question? Can you just repeat that?

Nitin : So, it's basically, we have a good amount of cash on the balance sheet and the business also generating, significant amounts of cash every quarter. So, going forward, can we expect any, meaningful change in the payout ratio?

Chintan Thakkar: Yeah, well, today we declared, 10 rupees dividend, interim dividend, which is in line with what we had done it, last year. But it's a constant discussion on the board about, what the cash requirements are and what should we do for the long term. We also look at what the current cash position that we have, compare it against what the deferred revenue we have, which is almost like an advance received from customers. We also look at, the next, 12 to 15 months type of expenses. If something like, like pandemic type of stuff, like an event happens. So, we take all that into consideration and we look at what cash position we have. As such, the dividend policy that we have is like 15 to 40% of adjusted PAT. And that's what we follow as of now. But the policy also has certain, possibilities that in certain situations we can go with some special dividend. So, we'll look into it on a quarter-to-quarter basis.

Nitin: Okay, thank you.

Anand: Thank you Nitin.

Vivek Aggarwal : I think that was the last question. Thank you everyone. With this, we conclude this

conference. Thank you and wishing you all a very happy Diwali. You may disconnect your lines now.

Hitesh Oberoi: Thank you everyone. A very happy Diwali to all of you.

Anand Bansal : Thank you so much everyone. Happy Diwali to all of you.

Call: Feb 2024

Date: February 19, 2024

1. The Manager- Listing
National Stock Exchange of India Limited
(Scrip Code: NAUKRI)

2. The Manager- Listing
BSE Limited
(Scrip Code: 532777)

Sub.: Transcript of Q3 FY 2023-24 Post Result Conference Call
Dear Sir/Madam,

In furtherance to our letter dated February 13, 2024 and pursuant to Regulation 30 of the SEBI (Listing Obligations & Disclosure Requirements) Regulations, 2015, given below is the link of the transcript of the Conference Call on the Financial Results for the Quarter and Nine months ended December 31, 2023, held on Tuesday, February 13, 2024 at 5:30 pm (IST), post declaration of results. The same has been updated on the website of the Company

Link:
https://www.infoedge.in/pdfs/financial_pdfs/f_Earnings/investor-concall-transcript-19feb2024.pdf
A copy of the transcript of the Conference Call is enclosed herewith.

Request you to take the same on record.

Thanking you,

Yours faithfully,
For Info Edge (India) Ltd.

Chintan Thakkar
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"Info Edge (India) Limited Q3 FY '23-24 Results Conference
Call"

February 13, 2024

Management: Mr. Sanjeev Bikhchandani -- Vice Chairman, Info
Edge (India) Limited
Mr. Hitesh Oberoi - Managing Director & CEO, Info
Edge (India) Limited
Mr. Chintan Thakkar – Director & CFO, Info Edge

(India) Limited

infoedge
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Vivek Aggarwal: Hi Everyone. Good evening and welcome to InfoEdge India Limited Q3-24 Results Conference Call. As a reminder, all participants' lines will be in listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need any assistance during the conference call, please raise your hand on your screen. Please note that this conference is being recorded. Joining us from the management side, we have Mr. Sanjeev Bikhchandani, Promoter and Vice Chairman, Mr. Hitesh Oberoi, Co-Promoter and Managing Director, and Mr. Chintan Thakkar, Chief Financial Officer. Before we begin today, I would like to remind you that some of the statements made in today's conference call may be forward-looking in nature and may involve some risks and uncertainties. Kindly refer to slide no. 2 of the investor presentation for a detailed disclaimer. The audited financial statements, other schedules on segmental building, revenues, along with data sheets have been uploaded on our website www.infoedge.in. Now, I would like to hand over the conference to Mr. Hitesh Oberoi for his opening remarks. Thank you and over to you, Hitesh.

Hitesh Oberoi : Thank you, Vivek and a very good evening, everyone and welcome to our Q3-24 earnings call. We will start with an update on standalone financials and then we will cover the segmental financials along with the commentary on each business and then we will have time for Q&A. Starting with a summary of standalone financials for the quarter ended December'23 and for the first nine months of FY'24, the third quarter of the fiscal year'24 witnessed moderate growth in both revenue and billings on a standalone basis backed by strong performance in the non-recruitment businesses. In Q3 of FY'24, our standalone revenue was Rs. 595 crore, a year-on-year growth of 7% and billings were Rs. 577 crores, a year-on-year growth of 5%. Deferred sales revenue at the end of Q3 was Rs. 925 crores, a year-on-year growth of 11%. For the first nine months of FY'24, revenue and billings were Rs. 1,773 crores and Rs. 1,669 crores, a YOY growth of 11% and 3% respectively

. Revenue

and billings for standalone business including Zwayam and DoSelect were Rs. 614 crores and Rs. 596 crores, a year-on-year growth of 7% and 5% respectively. Nine-month FY'24 revenue and billings including Zwayam and DoSelect stood at Rs. 1,819 crores and Rs. 1,715 crores, a growth of 11% and 3% respectively. Operating expenses for Q3 grew by 7% and for the first nine months of FY'24, operating expenses grew by 6%. For the standalone business, operating profit was Rs. 219 crores in Q3 of FY'24, a year-on-year growth of 7% and Rs. 646 crores in the first nine months of FY'24, a year-on-year growth of 22%. The operating profit margin for Q3 was 36.7%, in line with Q3 of last year and for the first nine months of FY23-24, the profit margin improved by 328 basis points year-on-year and was 36.5%. EPS before exceptional items for nine-month FY'24 stood at Rs. 49, a year-on-year growth of 23%. We generated an operating cash of Rs. 272 crores in Q3 of FY'24, a year-on-year growth of 13%. The cash balance of Infoedge including wholly-owned subsidiaries at the end of Dec'23 stood at Rs. 3,724 crores. The headcount as of December 31, 2023 was Rs. 5,602.

Moving on to segmental performance, we will start with the recruitment business. In Q3 of FY'24, revenue for the recruitment solutions business was Rs. 451 crores, a year-on-year growth of 3% and billings were Rs. 429 crores, a nominal de-growth of 1% year-on-year. For the first nine months of FY'24, revenue was Rs. 1,353 crores, a year-on-year growth of 9% and billings were Rs. 1,258 crores, a YoY de-growth of 1%. Operating expenses for the quarter grew by 14% and for nine-month FY'24, expenses grew by 12%. PBT for the quarter was lowered by 3% year-on-year to Rs. 259 crores and PBT margin was 57.6%. For the first nine months of FY'24, PBT grew at 7% year-on-year to Rs. 793 crores and PBT margin was 58.6%. The business generated operating cash for Rs. 277 crores in Q3 FY'24 and Rs. 751 crores during the first nine months of FY'24.

Overall, the Jobspeak index for Q3 was down 14% year-on-year. The softness in IT hiring continued in Q3 and it also impacted our consultant business. Non-IT hiring continued to grow during the quarter, particularly in segments like healthcare, pharmaceutical, manufacturing and BFSI sectors. The recruitment business witnessed sound renewal rates during the quarter. The Naukri Gulf business, on the other hand, reported a growth of 28% during the quarter, primarily led by growth in new customers added to the platform. Other verticals like Naukri Fast Forward and iimjobs.com witnessed healthy billing growths of 19% and 22% year-on-year, respectively. The Naukri database now comprises of 95 million resumes and continues to grow 9% year-on-year. Daily app installs on the Android platform grew by 10% and on iOS by 29% year-on-year. The overall app install base stands at 14 million. We continue to make investments in AI and machine learning to improve the user experience on our platform. We continue to focus on developing strong product offerings like Job Hai and AmbitionBox to supplement and complement the Naukri business. We are also opening new branches in tier 2 and tier 3 cities to expand our coverage to more towns and cities. Moving over to the real estate segment, in Q3 of FY'24, revenue was Rs. 89 crores, a Y-O-Y growth of 22%, and billings for the period stood at Rs. 88 crores, a Y-O-Y growth of 34%. For the first 9 months of FY'24, revenue was Rs. 259 crores, a Y-O-Y growth of 24%, while the billings were Rs. 254 crores, a Y-O-Y growth of 22%. Operating expenses for the quarter in our 99acres business were up 5% year-on-year and for the

first 9 months of FY24, expenses grew by 2% year-on-year. Year on Year operating losses were down 44%, from Rs. 26 crores in Q3 of FY'23 to Rs. 15 crores in Q3 of FY'24. For the first 9 months of the year, operating loss was down to Rs. 54 crores versus Rs. 96 crores in the first

9 months of FY'23. The

operating cash loss was lower in Q3 of FY'24 and stood at Rs. 7 crores versus Rs. 20 crores in Q3 of FY'23. Cash loss for the first 9 months of FY'24 was Rs. 43 crores.

Growth momentum in real estate continued in Q3 on both the primary and the secondary side.

Despite a considerable Y-O-Y increase in home prices, the demand from end-users remained strong.

Unsold inventory levels continue to remain low in the top 8 cities of the country and many developers continue to launch new projects.

Of late, we are seeing more and more business move towards channel partners for new project sales.

Demand continues to surpass supply in resale and rental markets across major metros. Monthly rentals reached record highs in specific metro markets such as Bangalore, Pune and NCR. Billing growth in 99acres was primarily led by an increase in broker engagement on the platform. With an increased focus on creating value-adds and gradual price rationalization of platform services, our listing realization has improved quarter-on-quarter.

Overall daily active users improved by 25% year-on-year during the quarter, and responses from the platform improved more than 25% across different categories in 99acres. We will continue our investments to expand our user base, enhance our platform experience, create unique content and drive monetization. Additionally, we will deploy more AI and machine learning to augment user experience, fraud/spam detection and improve search results on the platform.

Moving over to the matrimony business, in Q3 of FY'24, revenue from Jeevansathi Business was Rs. 22 crores, a YOY growth of 23%, and Billings were Rs. 20 crores, a YOY growth of 19%. 9-month FY'24 revenue was Rs. 61 crores, a YOY growth of 4%, and Billings were Rs. 59 crores, a YOY growth of 14%. We continued our focus on optimizing marketing expenses and reduced the same by 39% year-on-year in Q3 of FY'24. Consequently, our total expenses for the quarter were down 19%. For the first 9 months of the year, expenses were down 22% year-on-year. YOY operating losses were down by 48% from Rs. 26 crores to Rs. 14 crores in FY'24. For the first 9 months, operating loss was down to Rs. 49 crores versus Rs. 83 crores in the first 9 months of FY'23. The operating cash loss was lower in Q3 of FY'24 at Rs. 11 crores versus Rs. 27 crores in Q3 of FY'23. Cash loss during the first 9 months was Rs. 46 crores.

We continued to maintain our focus on improving monetization and reducing burn in this business quarter-on-quarter.

Moving on to Education Business Shiksha.com. In Q3 of FY'24, revenue for the quarter was Rs. 34 crores, a year-on-year growth of 23%, and Billings were Rs. 39 crores, a year-on-year growth of 41%. For the first 9 months, FY'24 revenue was Rs. 100 crores, a year-on-year growth of 18%, and Billings were Rs. 98 crores, a year-on-year growth of 18%. Operating expenses for the quarter were up 22% year-on-year, and for the first 9 months of FY'24, were up by 26% year-on-year. The business for the quarter reported a break-even, with a nominal profit of Rs. 10 Lakhs. For the first 9 months of FY'24, the operating loss in Shiksha was Rs. 3.6 crores. The business generated operating cash of Rs. 15 crores in FY23-24, and Rs. 10 Cr during the first 9 months of FY24.

Higher Billings during the quarter were propelled by early campaigns from some domestic customers, and the impact may be transitional in nature. We continue to make investments in this business to improve our user experience and to create high-quality, student-friendly content.

Moving on to the consolidated financial highlights of the quarter. At the consolidated level, the net sales for the company stood at Rs. 627 crores in Q3 FY'24 versus Rs. 590 crores for Q3 FY'23. At the consolidated entity level, the total comprehensive income stands at Rs. 2,624 crores compared to a loss of Rs. 400 crores in the corresponding quarter ending December

2023. After adjusting for

exceptional items, the profit before tax in Q3 FY24 was Rs. 185 crores compared to a profit of Rs. 511 crores in Q3 FY23. Thank you, and that's all from us, and now we are ready to take any questions that you may have.

Vivek Aggarwal: Thanks, Hitesh. We'll now begin the Q&A session. Anyone who wishes to ask a question may raise hand on the screen. We'll take your name and announce your turn in the question queue.

Moderator : The first question is from Vivekanand from Ambit Capital. Vivek, go ahead and ask your question.

Vivekanand, Ambit Capital : Thank you for the opportunity. Hitesh, two questions here. The first one is on the recruitment business. So, you saw a 1% decline in billing, but I also heard you mention about renewal rates. So, could you elaborate a bit on how you are seeing the growth in this segment? And also, if you could help us understand Naukri India versus overall billing, and perhaps give some thoughts on the fourth quarter given that there is an element of seasonality in the business. 4Q is generally very strong. So, trying to understand how to think about the base here and growth trajectory for 4Q as well as the recovery that you are seeing now.

Hitesh Oberoi : So, we didn't see any recovery in Q3. IT hiring was slow in Q3 as well. What we've

been seeing for the last three quarters now is a serious slowdown in IT hiring. And also in our consultant business, because a lot of the consultants we have on our platform also hire or used to hire for IT companies. So, this business has been hit because IT companies, one, attrition rate is down as far as IT companies go. Two, they've not been adding new people. In many cases, they've been letting people go. So, this has impacted our IT business. Of course, we had a very good two years before this, and the IT business grew up by more than 100% back then. But in the process, I suspect IT companies also over hired. And now because demand is soft, they sort of have some extra sort of manpower. The good news from our standpoint is that from what we hear utilization rates at IT companies have started improving. And they are now where they used to be pre-COVID. So, let's see what happens going forward. The non-IT business continues to grow. But within non-IT also, there are certain sectors that are doing better than other sectors, like healthcare, BFSI, pharma, manufacturing, engineering, construction. So, now what will happen in Q4, the Naukri India business, the Naukri India B2B business, if I exclude the candidate services business, and if I take out Naukri Gulf it's maybe 90% of our recruitment revenue, including, IIM jobs, including Ambitionbox and so on. So, that business, de-grew by 1%. So, the Naukri India business must have, de-grown by 2-3%, at least, over last year. Naukri Gulf and candidate services grew by over 15%.

What is likely to happen in Q4, hard for me to say, it's our biggest quarter, you're right. There's a big base. IT growth has started moderating by Q4 of last year. Last year, our billing grew by 80% in Q1, 55% in Q2, maybe 25-26% in Q3 and 15-17% in Q4. So, growth has started moderating by Q4 and by Q1, we were flat, Q1 of this year, we were flat. So, the base is modest. But I don't know how things are going to play out going forward. A lot will also depend on what happens to non-IT hiring. We are also sensing that attrition rate in a lot of the non-IT companies are lower this year than last year. Not in all sectors, but at least in some sectors. So, fingers crossed, I mean, we'll know only by quarter end, because what happens in our business, a lot of our business is renewal led business. And a lot of the renewals happen around quarter end and what we are able to collect at that time will end up determining what happens to billing growth this quarter. I mean, we have a target internally, of growing over last year, but can't say.

Vivekanand, Ambit Capital: Okay, I ap

preciate the detailed commentary. From a non-IT growth perspective, was there any impact that you felt of the impending Lok Sabha elections on hiring intent of the non-IT companies? Because it seems that by looking at the Jobs speak, it seems that the hiring intensity or at least job posting intensity of the non-IT companies is also moderating.

Hitesh Oberoi : You're right, it's moderating. But like I said, some non-IT sectors continue to do better than other non-IT sectors. So, we saw reasonable growth in sectors like healthcare, travel, tourism, BFSI, pharma, manufacturing, construction, engineering. So, other sectors have been slower. But is it linked to Lok Sabha election? Hard for us to say, we don't know. I mean, maybe it's just linked to the fact that because IT companies not hiring as many numbers as earlier, it's easier to get talent at junior level, because talent at that level is often fungible. Especially talent from tier2, tier 3 universities. It's like, I remember last year we were approached by a couple of players who hire for banks and they were like, listen, there is so much demand for IT talent that we're not able to get people who we used to train for banking jobs earlier. And a lot of our trainees used to be actually engineers from tier 2, tier 3 companies. Now, maybe it's easier for them to hire also.

Vivekanand, Ambit Capital: I see, that's an interesting perspective. Okay, my last question is on the real estate market. And last quarter, you had alluded to, you had mentioned one thing that if the market is growing at a very fast pace on its own, then obviously that doesn't bode very well for intermediaries like you. So, but still, you have delivered very healthy growth in 99 acres. So, what's really working for you here, and growth seems to be accelerating now. So, could you spend some time explaining to us what's going right for you in this business?

Hitesh Oberoi : So, I think what you're referring to is the fact that I said this once, that if it's very easy to sell, then we are not required. I mean, in fact, nobody's required, so when your inventory gets booked, even at pre-launch time, you don't even need to launch then no intermediaries is required, no broker is required, no platform like ours is required. But the real estate market is a large market, and we operate in every segment. So, there's a new launch market, which is where I think some of this action is, when you hear projects getting launched, and large builders collecting a lot of checks very quickly, that's mostly with very top end builders and in sort of the new launch market, right? We have a very tiny share of that market; it doesn't really contribute much to our revenue today. We primarily operate in the under-construction segment. So, once the project is under-construction, some part of the project sells at launch time, and then it's sold over a period of time. So, that's when we become very important for developers and channel partners. And of course, we operate in the secondary market, most of the secondary sales go through platforms like ours. So, our secondary business is also doing well this year, by the way, it's smaller than the primary business for us, but it's almost as big if you include rental, commercial, resale, and that business has been growing much faster than our primary business. In the new launch, there's a lot of action and business activities, but we don't really play a big role. And that's something we want to correct going forward. That's an opportunity for us. A lot of that revenue today goes to the Facebooks' and Googles' of the world. The under-construction business has been growing at a healthy pace because what's happening is that

demand has been solid, and there was not enough supply, which hit the market during COVID. And as a result, the unsold inventory in most markets, is at a decade low. And that's also resulting in higher prices in some pockets. And in gen

eral, people want to upgrade after COVID. So, all these sorts of factors seem to be resulting in a reasonably solid real estate market. And you have to remember, even when we were hit by COVID, even when we were hit by GST, RERA demonetization, we were able to grow our business at 12-14% per annum. So, we would like to grow it much faster going forward in a good market. So, and the team has been executing well. So, that's the good news. We are happy with the way the team has been executing. But let's see if this sustains. If it's real estate, I've learned it's very hard to make forecasts.

Vivekanand, Ambit Capital: Fair enough. Thanks for the elaborate commentary. I'll rejoin the queue.

Moderator : Thank you, Vivek. The next question is from Nitin Jain from Fairview Investment. Nitin, go ahead and ask your question. Nitin, you're there?

Nitin Jain, Fairview Investment : Yeah, thanks. And congratulations on good execution in this tough environment. So, regarding the recruitment business, I just wanted a clarification first that in the past, management has guided that contribution of IT/ITES to revenues around 50%. But in the presentation, like if you look at the last three, four years data, it's somewhere in the ballpark of 35%. So, can you help me reconcile?

Hitesh Oberoi : Yes, you see direct revenue from IT companies is in that ballpark. But a lot of recruitment firms also work for IT companies. So, if you add,, revenue from recruitment consultants which is about 30% of our revenue. So, maybe half of that is also, or maybe slightly more than half of that is also IT or connected to IT hiring.

Nitin Jain, Fairview Investment : Okay, so the three buckets that you have shown, the consultants are outside those three buckets, is it?

Hitesh Oberoi : Which are the three?

Nitin Jain, Fairview Investment : BFSI and Infra.

Hitesh Oberoi : No, no, no, see, I don't know which slide you're referring to.

Nitin Jain, Fairview Investment : So, there is a slide on, hold on.

Hitesh Oberoi : So, there's IT, there's non-IT and there's consultants. So, these are the three buckets you're looking at?

Nitin Jain, Fairview Investment: No, so there is IT, ITES, and then there's BFSI and then there's Infra.

Hitesh Oberoi: Yeah, I think the buckets to look at are IT, non-IT and recruitment consultants.

Nitin Jain, Fairview Investment: Okay...

Hitesh Oberoi : That's how we, because that, the other, the other bucket you're looking at, I mean, there are 40 different sectors in which we operate.

Nitin Jain, Fairview Investment : Okay.

Vivek Aggarwal : I think we should look at our presentation, slide number 26, that will be have better breakup of the numbers.

Nitin Jain, Fairview Investment : Okay, okay, okay, so,

Vivek Aggarwal : Recruitment firms is 26% and 27%, so broadly half of it would be coming from IT businesses. So, that'll add up to around 50%.

Nitin Jain, Fairview Investment : Okay, okay, got it, that's perfect, thank you. So, and one more thing, so if I add up IT, BFSI and Infra, together, they're about 50% of the revenue. So, what is in the remaining 50%?

Vivek Aggarwal : Nitin, maybe you can refer that slide, you'll get complete details.

Hitesh Oberoi : We have there are 40-45 different sectors, there's BFSI, education, FMCG, durables, travel, tourism, hospitality, infrastructure, engineering. So, if you get all that, you'll add up to 100%.

Nitin Jain, Fairview Investment : Okay, okay, okay. And what has been a traffic share for the December quarter, like for Naukri?

Hitesh Oberoi : Similar, I don't think there's much that has changed on that front.

Nitin Jain, Fairview Investment : Okay, just asking because I think earlier the company used to disclose that with the presentation, but...

Vivek Aggarwal: It is still there, Nitin, we have been trailing at around 70% plus. There had been certain issues we are facing with SimilarWeb because the app traffic that

we are getting from SimilarWeb

doesn't match us with our internal sources. But broadly, you can assume the traffic right now remains in the range of around 70% plus for now.

Nitin Jain, Fairview Investment: Okay, great. And I just wanted to understand, like how pricing behaves in this kind of an environment, given that we are probably close to the bottom for the IT sector downturn, hopefully.

Hitesh Oberoi: I hope so, too.

Nitin Jain, Fairview Investment : So, how does the pricing behave in this environment? Like, do we give any kind of discounts?

Hitesh Oberoi : You see, it's very hard to take price hikes. It's a soft demand environment, it's hard to take price hikes. And it's hard to get volume growth as well. We don't get price hikes in this

environment. I mean, we are adding new customers in non-IT, we are expanding to small towns on the non-IT side to acquire more customers. And there, if demand picks up, we should be able to get a price increase. But, not on the IT side and, certainly not with consultants, because consultants are the most impacted when there is a slowdown.

Nitin Jain, Fairview Investment : Right. So, do we even provide any kind of discounts or something in this environment?

Hitesh Oberoi: Yeah, it's a negotiation. At the end of the day, it's a negotiation. So, by the rate card, there is some discounting which happens. And, we try and understand how much value we create for the customer. And we equip the sales team with these tools. And then they use them to negotiate with customers.

Nitin Jain, Fairview Investment : Right. So, regarding the real estate business, I missed your comment on improved pricing realizations. Can you please elaborate once again?

Hitesh Oberoi : For our business?

Nitin Jain, Fairview Investment: Yeah. For real estate?

Hitesh Oberoi : Yeah. So, two things. One is, what I may have mentioned is that real estate prices are going up nationally because the market is hot. So, there is more demand than supply right now. And therefore, real estate prices are going up nationally. Of course, in some markets, it's a very local business. There are lots of micro markets. In some real estate markets, prices may be up 100% over last year. Same time, some markets are up 20%. But in general, prices are going up everywhere. And we have also been able to realize better prices for our listing products in real estate from our customers.

Nitin Jain, Fairview Investment : Okay. And would that be from brokers or like individuals as well?

Hitesh Oberoi : See, we have a very tiny B2C business. We work mostly with brokers and channel partners.

Nitin Jain, Fairview Investment : Okay.

Hitesh Oberoi : Yeah.

Nitin Jain, Fairview Investment : Great. And just one more thing regarding real estate. So, the paid listings seem to have declined from last year, but the revenue has seen growth . So, okay. So, I think this ties in with the pricing realization improvement comment, I guess.

Hitesh Oberoi : Correct.

Mr. Nitin Jain, Fairview Investment : Right. Okay. Great. And just one last question. So, at the overall business level, you have seen a good margin improvement in the first nine months. So, what has led to this improvement? Have we cut down on marketing expenses significantly?

Hitesh Oberoi : Yeah. See, our burn in both 99Acres and Jeevansathi is down over last year, right? And this is primarily because one in 99Acres, our sales are up 23-24% over last year, costs are up only 5%. We have spent less money on advertising than last year, but it's not that much less. It's just that we've kept our costs under control. And we are now seeing operating leverage play out. In Jeevansathi business, we've cut marketing spend substantially because marketing was a big chunk of Jeevansathi expenses. And we started monetizing more aggressively. If you remember, we actually changed our business model, we went freemium. We took a hit on revenue. We tried

to gain market share through

this route. And now we think we're at a point where we can slowly start turning the screws on monetization. And that is resulting in higher revenue growth than previous quarters. And at the same time, the market is not as irrational as it was earlier. So, we also managed to bring down our marketing spend. So, that has led to lower burn in Jeevansathi vis-a-vis last year. So, while in Naukri billing growth has been low and costs are up but overall, because of the improvement in Jeevansathi and in 99Acres business, our margins are perhaps still holding or looking better. May not continue if the Naukri business does not recover.

Nitin Jain, Fairview Investment : Okay, thanks for the clarification. And just one last one, if I may. So, regarding Shiksha, I think the business model seems to be relatively fine-tuned now compared to how it was three, four years ago when we were at a nascent stage. So, what would it take to scale up this model rapidly now?

Hitesh Oberoi : I think we need to do a lot more work in the Shiksha business. In our view, it is not at a stage where we can predict what's going to happen next year or the year after that. I think it requires a lot more work. We are comfortable, we are sort of breaking even we are growing a little bit. But if we really want to ramp it up, I think we need to do some more homework, go back to the drawing board. So, that's on the agenda, but not for the next few months, maybe after that.

Nitin Jain, Fairview Investment : Okay, that's it for me. Thank you so much.

Moderator: Yeah, thanks, Nitin. Next question is from Vijit Jain from Citi. Vijit, go ahead and ask your question.

Vijit Jain, Citi : Thank you. Hi, so my first question is on recruitment. So, last time, I think you guys talked about a little bit about giving more color on the GCC side, what trends are already visible in your numbers and how you look at them. So, I'm just wondering if you can shed a little bit more color on that front, on the recruitment business. That's my first question.

Hitesh Oberoi : Yeah, see, our sense of what's happening in the GCC market is that the number of GCCs are growing. But the bigger GCCs actually, perhaps are not growing as much. So, every market

you have an 80-20 sort of thing. So, while there may be 1500-1700 GCCs of the ground, when you start a new GCC, typically, the new GCC starts small, they start by hiring 20 people, 50 people, 100 people. And when they start, they normally don't use a site like Naukri for hiring, they give the contract to somebody. And that's how they set up their first team. Only when they hit three, four, five hundred people do sites like us become relevant, because that's when they start having attrition with, they need to grow, add more people, etc, etc. So, our sense of what's happening in the GCC market is that while the number of GCCs in India is growing, the newer GCCs are small, they will take time to ramp up. The bigger GCC, on the other hand, the ones that employ a few 1000 people, did not grow this year, because these are GCCs, which are owned by or are captives of larger firms. And some of these firms, are large US companies or US retailers or US utility companies or US BFSI giants and so on. And they've not been hiring aggressively this year. That is our take.

Vijit Jain, Citi : Got it. Thanks, Hitesh. My second question is, I think kind of to both you and Sanjeev, because I saw a tweet from Sanjeev today, where he mentioned about the number of startups which are now hitting sustainable profits is higher than what he thought 16 months back. And I'm just trying to get a sense, is that something you're seeing in spaces where the non-recruitment business for you also competes? So, in 99acres, for example, I do note that housing.com seems to have grown a little less this quarter versus you guys. This is, I think, first time in a few quarters. And I'm wondering if you're seei

ng the same kind of trend for where Shiksha operates and maybe even Jeevansathi operates. I don't know if it ties in as neatly there as well.

Hitesh Oberoi : Yes, Sanjeev should be able to comment on the broader startup ecosystem. But our general sense of what's happening out there is that because raising capital is not as easy as it was earlier. A lot of businesses are behaving more rationally than they were behaving earlier. That's what is happening everywhere, in my view. And maybe Sanjeev can add to that.

Sanjeev Bikhchandani : Yeah, I think Hitesh has summed it up perfectly. When there is a shortage of money, you have to break even. And I think we're seeing that enough companies are doing that and more are doing it than I think I had anticipated 16 months ago and I had tweeted that. And in our own portfolio across our funds, we are seeing at least close to double-digit startups that are breaking even, making money or perhaps getting very close to it.

Vijit Jain, Citi : Okay, that's good to hear, Sanjeev.

Sanjeev Bikhchandani: If that is what is happening in our own funds, I would imagine what's happening across the ecosystem is running into 100 or 200 or 300 of our portfolio investments.

Vijit Jain, Citi : Got it. Perfect. Thanks, Sanjeev. And my last question, just a clarification. On the Shiksha business, you mentioned billing surged by 41%, propelled by early campaigns from domestic clients. So, I'm just wondering, is this seasonality shifting or something? Or is it that you've gotten some more business from domestic clients versus earlier? I'm just trying to understand.

Hitesh Oberoi : Yeah, I would not read too much into this. A couple of clients, if they start early, it sort of changes our billing growth. A lot depends on the education season. So, if JEE Mains, for example, is earlier this year, then clients start early. So, I would not read too much into it. It's not as if Shiksha is going to start growing at 40% from here on.

Vijit Jain, Citi : Oh, okay. Got it. Thanks. Thanks, Hitesh. Those were my questions.

Moderator : Thanks, Vijit. Next question is from Jaideep from Ascent Capital. Jaideep, go ahead and ask your question.

Jaideep, Ascent Capital : Hi, so my question is particularly in the real estate business 99 Acres. So, the earlier speaker has asked around the listings trend as well. So, we just want to double check on the point. So, the listings growth, if I were to tabulate, the growth has been fairly tepid in the last one, one and a half year, free plus paid. And on top of that, the share of paid listings has also come off from its peak. So, just wanted your comments on that. And then I will ask my second question.

Hitesh Oberoi : So, you see, firstly, listing growth is a reflection of the secondary market. And within listing, there are rental listings, there are resale listings, there are commercial listings. And the situation could be different in different cities. In general, in a hot market, real estate tends to move faster, right/ So, in a slow market, a listing could be on the site for six months, eight months, because it takes a long time to sell. In a hotter market, you may be able to post and you may be able to sell in two months or one month. So, there are these factors at work. So, this is the hotter market than what we've seen over the last few years.

Jaideep, Ascent Capital : Basically, what you're trying to say is the velocity of listings has kind of improved significantly. And hence, you see the number come off. And your point on the share of paid listings, I understand that the pricing has improved. But is that taking a toll on the volume of paid listings by any chance? If my understanding is correct on that front.

Hitesh Oberoi : See, we have a freemium model for owners.

Jaideep, Ascent Capital : Yes. Right.

Hitesh Oberoi : And we charge brokers. So, all broker listings on the platform are paid listings. Unless we give some

, some free trials here and there. But that's a very tiny number. While most owner listings are free listings. The number of brokers we are working with has actually grown over last

years substantially. It's just that what may be happening is that at any point in time, they have fewer listings because property is moving faster. That's all.

Jaideep, Ascent Capital : And since 4Q is typically the strongest quarter for real estate and particularly because we are operating in the under construction and all this space. So, just want to get your sense how, because since we're already halfway there. So, how are the early trend is looking like for the quarter?

Hitesh Oberoi : What happens in our business is that it's a subscription model. There are renewals. A lot of these renewals are around quarter end. Sales teams have targets. And what I see how they work is that they do a lot of new BD in the first two months of the quarter. And they focus on collection of the last month of the quarter. Normally if the market is good, they do well. But it's hard for me to predict how things will play out. We have some internal modelling, which we do. But a lot depends on what happens on the last four, five days of the quarter.

Jaideep, Ascent Capital : Sure. And on the reduction of losses, how much has operating leverage aided because the top line grew by high teens, right? 22-23%. How much is of that is operating leverage?

And how much of that is cost optimization? Basically, the marketing bit.

Hitesh Oberoi : So, in Jeevansathi

Jaideep, Ascent Capital : No, I'm talking about 99 acres.

Hitesh Oberoi : Okay, 99 acres. So, our marketing has become more efficient. Compared to last year, we've done made a few changes to our media mix and the mix between branding and performance and stuff like that. And we've optimized our marketing spend. And the ROI on optimized marketing spend actually higher than ROI on the higher spend last year. So, that's helped. And I'm sure marketing costs are down by maybe by 15% year on year in 99 acres or maybe 10%. I don't know exactly. We can get back to you. And otherwise, cost are up in single digits and revenues are 22%.

Jaideep, Ascent Capital: Sure, that helps. Thank you.

Vivek Aggarwal : Marketing expenses are down by 10% year on year for this business.

Jaideep, Ascent Capital : Thanks. Thanks, Vivek for the clarification.

Moderator : Thanks, Jaideep. Next question is from Aditya from Macquarie. Aditya, please go ahead and ask your question.

Aditya : Hi, Hitesh. Good evening. Just two questions. So, one was in terms of Naukri. Naukri typically sees a big quarter in March. Any kind of indications here in the March quarter, how billings are shaping up?

Hitesh Oberoi : I wish I knew. I had no idea. No idea at all. I mean, and I checked with Pawan also he said, listen, we will have a better idea by 15th March. So, it's very exciting. It's very hard to say.

Aditya : Because the March quarter has been, you've seen this big kind of, like, 35-40% kind of bump ups in that quarter. So, I was just wondering if...

Hitesh Oberoi : So QoQ we will definitely grow that's a given. But how much we will grow over last year, or whether we will decline over last year, etc, that is unclear to us. I mean, we can't predict right now.

Aditya : Got it. And are you able to kind of triangulate towards, okay, what the current rate of billings kind of really implies for your revenue growth for Naukri next year, even if that's a range which you can point to?

Hitesh Oberoi : See, a lot will depend on what happens to IT hiring. If our IT hiring business grows by even 10% then of course, it'll be a very different story. But right now, our IT growth is negative. It's down maybe 5% / 6% year on year. Non-IT business is up maybe 7% / 8% / 10% year on year. So, we are at flat or slightly minus 1%. So, a lot will happen, but depend on what happens to IT hiring next year. So, if IT companies

es bounce back, if they start hiring, like they used to hire even pre-COVID, I mean, that's very good news for us. And if we are able to grow our IT business by 10% / 12%, and if we are able to grow our non-IT business by 14% / 15%, we can aspire to grow it. And if we can push our new products faster, we can still aspire to grow in double digits. But if IT growth does not recover, if IT companies' demand doesn't pick up, and then it'll be a challenge.

Aditya : Thanks, Hitesh. And as this dynamic kind of plays out, would it be a fair expectation to say that, and we've discussed this previously also, that your operating expenses would largely be steady, so there could be a period of margin erosion to the extent that your volume is soft, or your revenue is soft in Naukri?

Hitesh Oberoi : Actually, we want to continue to invest in the new emerging businesses that we are building. Like JobHai, we would want to continue to invest more in JobHai, that's a blue-collar job board what we're building. We would continue to make brand marketing investments in Naukri. We are opening new offices, we are hiring more salespeople, as we spread to tier 2, tier 3 towns. So, these are investments we would like to continue to make, we would want to continue with, irrespective of whether business recovers next quarter or not. So, if business recovers, we will be able to maintain margin. I mean, if we're able to get to double digit growth, we might be able to maintain margin. But if growth continues to be slow, our costs will rise next year in Naukri. Because we don't want to delay these investments. They're important for the long run.

Aditya : Thanks, Hitesh. Thanks for being so candid. And, Sanjeev, maybe one for you was that within the investment book, are you seeing any areas of optimism, which you can maybe call out or speak

for?

Sanjeev Bikhchandani: I think by and large, most Founders are now a lot more frugal, a lot more cost conscious, a lot more conscious of good unit economics. And that's a broad-based trend. Now, having said that, there will be a few companies who are unable to make the switch and pivot because they got committed to the wrong kind of unit economics and costs early on, and may have a challenge getting out of it. But even they are making an effort. But by and large, I think a little shortage of capital is good for discipline. And that's what is happening. So, you'll see the fruits of this in the next year or two.

Aditya : Thanks, Sanjeev. Thank you.

Moderator: Thanks, Aditya. Next question is from Nitin Sharma from MC Pro Research. Nitin, go ahead and ask your question. Nitin, you are there?

Nitin Sharma : Hello, thank you for taking my question. First of all, with your losses already coming down, competitive intensity seems to be easing. Is there a timeline for the Jeevansathi business to turn profitable?

Hitesh Oberoi : There's no timeline as such. I mean we are, like I said, working hard on monetizing. We have moved to a freemium model. So, we are experimenting with a bunch of things. Some of them will work. Some of them may not work. Some of our experiments paid off last quarter. So, we saw healthy growth. Now, of course, we have internal targets, and we are working hard to get there. And we would like to break even as quickly as possible. But a lot will depend on, one, competitive intensity, and number two, whether these experiments we are working on start yielding results.

Nitin Sharma : So, is it fair to assume that your advertisement and the promotion cost would be remaining somewhere where they have been this year for first nine months?

Hitesh Oberoi: It will depend on what happens in competition. But yes, I mean, we would not want to up them significantly at least.

Nitin Sharma : Understood. Thank you.

Moderator : Thanks, Nitin. Next question is from Vikrant Gupta from ICICI Prudential. Vikrant, go ahead and ask your question.

Vikrant Gupta, ICICI Prud

entia : Yeah, thanks for the opportunity. So, I was wondering if you could provide some commentary on how you are seeing the attrition levels at the IT companies. So, at least the publicly available data is more a last 12-month sort of number. So, I was wondering if you could provide some color of how maybe attrition is in Jan-Feb versus December or something like that. What's the latest read?

Hitesh Oberoi: We don't have access to attrition data. What is available to the public is what is available to us. Everything else is anecdotal. So, I would not bank on it.

Vikrant Gupta, ICICI Prudential : So, anecdotally, what is your sense? Is Jan-Feb lower than December or is attrition bottoming out or picking up?

Hitesh Oberoi : My sense is right. Jan was similar, but I could be wrong.

Vikrant Gupta, ICICI Prudential : Okay. Thank you.

Moderator : Yeah, thanks, Vikrant. Next question is from Nikhil Chaudhary from Nuvama. Nikhil, go ahead and ask your question.

Nikhil Chaudhary, Nuvama : Hi. Thanks for the opportunity. My first question is regarding the losses we have, especially in Jeevansathi and 99Acres. What you mentioned that competitive intensity is shifting and because of the dearth in capital, which is leading to industry behaving more maturely and moving to breakeven or even profitable. Is it fair to assume, at least near term, or we have some timeline, when can we achieve breakeven basically in 99Acres and Jeevansathi?

Hitesh Oberoi : We would like to breakeven as early as possible and make a profit. I mean, Q4 is normally our best quarter. If we have a good quarter, you may see us generate cash and break even in Q4 in 99Acres, depending on where we end up. But see, we would be very happy to breakeven next year in 99Acres. A lot would depend on competitive intensity. A lot would depend on whether some of the projects we are working on to improve our monetization to increase our traffic, yield the results we expect them to yield. So, we don't want to be irrational. We would like the business to breakeven as early as possible, but we would not sacrifice growth. So, if required, we would spend if that's where the market is headed, then we will not want to give up market share either. So, that's how we're thinking about this right now.

Nikhil Chaudhary, Nuvama : Sure. Just in case a scenario IT do not pick up meaningfully, let's say in a hypothetical scenario, and non-IT continue to do well, what we are already seeing, right? Can we still grow in double digit on the back of some improvement in pricing plus non-IT being very good given you're already investing in tier 2, tier 3 cities, as well as what we were seeing in Naukri Gulf doing better. Can that happen or it will be very difficult?

Mr. Hitesh Oberoi : No, we won't. So, IT growth is perhaps minus 6/7 percent. Consultants are at minus 8/10 percent. We need to at least get IT back to base so we need to get to a situation where IT companies at least start growing at least 3/4/5 percent over last year. So, while they seem like they are distinct markets, they are somewhere also connected because at the junior level, talent supply is often fungible. People want jobs, if they're not able to get jobs in IT companies, they take up non-IT jobs, that's how it works and so our sense right now is that IT attrition rates are low. So, if there's a

spike in attrition, of course, it benefits our business. Attrition rates are lower than perhaps they've ever been in the last 7-8 years for IT companies. If they go back to even COVID levels we'll get a double-digit growth. And if IT hiring picks up, it will also impact non-IT attrition in some businesses and in some companies. And that will also lead to a spike in non-IT growth. And actually, when companies start doing well, and things look good it's actually good for our new products also. So, they spend more money on branding, they will want to buy software, they will want to do more

assessment. So,

somewhere they're all connected. Our sense is that if IT companies recover, then our business will, of course, do very well, assuming, of course, that the economy continues to grow at whatever it is growing. And on the other hand, if IT continues to be very, very sluggish, it'll be hard for us to hit even double-digit growth.

Nikhil Chaudhary, Nuvama : Sure, that understood. Very helpful. Thank you.

Moderator : Thanks, Nikhil. Next question is from Salil Desai. Salil, go ahead and ask your question.

Salil Desai, Marcellus Investment Managers : Thanks, Anand. Hitesh, I just want to make sure I understood Jeevansathi, right. So, based on all your responses, is it fair to assume that you figured out what the model is? And this is the way to go. It's been about a year since you've been trying this.

Hitesh Oberoi : We're not going back to the old model. This is a model we are continuing with. We are just sort of now trying to figure out how to monetize better because we went free, right? And therefore, and as a result, we lost 30% of our revenue, our top-line. And now we're just sort of trying to figure out what should remain free? What should we start charging for? How can we sort of leverage the traffic we have to get 30% growth, 25% growth over last year? The team is experimenting with a bunch of things. Let's see how this plays out.

Salil Desai, Marcellus Investment Managers : And here again, if I understand this right, it is not something so difficult that the competition cannot replicate, right? So, I mean, how are you seeing their response to?

Hitesh Oberoi : No, they can replicate. It's just that they will have to take a 30% dip in revenue.

Salil Desai, Marcellus Investment Managers : So, you think it's a kind of psychological barrier to, for somebody to?

Hitesh Oberoi : And what is in it for them? See, we did this because we wanted more profiles. We wanted the network effect to sort of start working for us. We were a number three player. So, we were getting maybe only 50% of the profiles in the market and we wanted to go to 70% or 65%. They're already getting 70, 80% of the profiles in the market, right? Because they're leaders in the markets they operate. So, the cost benefit analysis may not necessarily work out for them.

Salil Desai, Marcellus Investment Managers : Understood, perfect. Great. Second question I had was the commitments that you've made to IEVF. I'm not sure if you disclose this number, that how much of it is actually deployed and given to them?

Hitesh Oberoi : To whom, sorry?

Vivek Aggarwal : Venture funds. Venture fund.

Hitesh Oberoi : Oh, AIFs.

Salil Desai, Marcellus Investment Managers : The AIFs, there's a commitment, right? And there must be some drawdown. So, is there a number where this is what you actually invested in then?

Sanjeev Bikhchandani : Do we make it public? There was a commitment we announced earlier. And there were four funds totally. One was 750 crores, fund two was 150 million, whatever the exchange was then. And then there was a Capital 2B of 75 million. And then a third LP joined and committed some more money across all three funds. But if you look at what we have committed, it's 37.5 million plus 75 million plus 100 million.

Vivek Aggarwal : 212.5 million.

Salil Desai, Marcellus Investment Managers : And that is still a commitment. That is not what you would have actually.

Sanjeev Bikhchandani : A lot of it is drawn down and some of it is in middle.

Salil Desai : Okay, great. And Sanjeev, again going back to what you were talking about. So, on one hand, there is capital is becoming a little more scarce for startups to, I mean, it's not so easy to raise money. And then we are seeing that now the secondary markets seem to be a little more willing to take risks with loss making startups. Do you think now?

Sanjeev Bikhchandani : When you say secondary market, what do you mean?

Salil Desai

i, Marcellus Investment Managers : I mean, public markets. So, you think the route to IPO kind of shortens for most people that if the private markets aren't as attractive.

Sanjeev Bikhchandani : My submission is that after 2022 market correction, while technically loss-making company can go public. I think I'm doubtful as to how receptive public markets will be for loss making companies. Unless there's very clear visibility of profit next year or two. But I'm not sure that people will be willing to really give loss making company the kind of valuations that these companies hope and expect.

Salil Desai, Marcellus Investment Managers : Understood. Thank you so much.

Sanjeev Bikhchandani : Well, I could be wrong with markets. You're a public market investors. I mean,

you tell me, would you invest in a loss making?

Salil Desai, Marcellus Investment Managers : No, like I said there seems to be, people seem to be more receptive now, right?

Sanjeev Bikhchandani : I think that window was there for a while, but with the correction in 2022, I'm not sure how many people will still be willing. I mean, if you look at the sort of rise in the share price of Zomato and a policy bazaar, the last 6, 8 months, 10 months, 12 months, it's coincided with the improvement in the bottom line. Maybe there's a causal effect there.

Salil Desai, Marcellus Investment Managers : Got it. Got it. Thanks, Sanjeev.

Moderator : Thank you, Salil. Vivek from Ambit Capital is back. So, Vivek, go ahead and ask your question.

Vivek, Ambit Capital : Hey, just following up on Salil's questions. So, Sanjeev, it's been almost two years since the new money was earmarked for the AIFs. At that time, you had said that you will deploy the funds in three years. Has anything changed? So, will you end up deploying?

Sanjeev Bikhchandani : We are investing a lot slower than we initially imagined. We are writing smaller first checks. We are taking our time. We are investing a slightly lower valuation than earlier. And that, I think, is consistent with market conditions. And we think it's a smart thing to do, a more prudent thing to do. So, yeah, it may not happen in three years, but it may take a little longer. But listen, when you say three years deployment, it meant we will give our first checks into companies in three years. Obviously, the follow-on checks will go in over the next four, five, six years.

Vivek, Ambit Capital : Okay. And when you said that, you meant that the follow-on checks would also be coming from the same AIFs or what would that entail?

Sanjeev Bikhchandani : Yeah, yeah, that's right. Same AIFs. We don't want any conflict of interest with having two different funds under our stable invested in the same company.

Vivek, Ambit Capital : Understood, sir. And just one more follow-up. Recently, the government permitted overseas listings in Gift City. Do you think that that will be a game-changer in any way, as far as Indian startups are concerned in any sector or any segment?

Sanjeev Bikhchandani : Too early to say, but what has emerged is that, while there was a lot of glamor, say, four, five years ago, to be allowed to list in the US, even though you're domiciled in India, what has seemed to have emerged is that the Indian markets have been giving better IPOs to Indian startups than the US markets. Because I think that threshold turnover size valuation requirement for US listings is much higher than India. It's harder to get research coverage. And therefore, I think only one company went public in the US as compared to, I think, more than a dozen in India. So, it's pretty clear that even if you allow overseas listings, Indian startups might prefer listings in India because that's where the investors are for their companies.

Vivek, Ambit Capital : Okay, thank you. That's a great perspective.

Sanjeev Bikhchandani : And if you list through Gift City, I think the rules are such that you are cutting out the Ind

ian investors.

Vivek, Ambit Capital : Oh, I see.

Sanjeev Bikhchandani : I think so, I'm not sure. And if you do that, I think you may have a bigger challenge getting your IPO to succeed.

Vivek, Ambit Capital : Okay, understood. And Sanjeev, you had mentioned about five companies that you had invested in during the 2016 to 2019 period. Have any of them...

Sanjeev Bikhchandani : There are more than five. There the promising ones are Shopsy, Adda 24x7, Shopkirana, a couple of others. But yeah, look, there'll be a while before they get to go public or make profit.

Vivek, Ambit Capital : Understood. Thank you so much and all the best.

Moderator : Thanks, Vivek. Vivek, this was the last question for the day.

Vivek Aggarwal : Okay. So, thanks, everyone. On behalf of InfoEdge, we conclude this conference. You may disconnect your lines now.

Hitesh Oberoi : Thank you, everyone. Have a great evening.

Sanjeev Bikhchandani : Thank you.

Moderator : Thank you, everyone.

Call: Jun 2024

Date: May 22, 2024

1. The Manager- Listing
National Stock Exchange of India Limited
(Scrip Code: NAUKRI)

2. The Manager- Listing
BSE Limited
(Scrip Code: 532777)

Sub.: Transcript of Q4 FY 2023-24 Post Result Conference Call

Dear Sir/Madam,

In furtherance to our letter dated May 16, 2024 and pursuant to Regulation 30 of the SEBI (Listing Obligations & Disclosure Requirements) Regulations, 2015, given below is the link of the transcript of the Conference Call on the Financial Results for the Quarter and Year ended March 31, 2024, held on Thursday, May 16, 2024 at 5:30 pm (IST), post declaration of results. The same has been updated on the website of the Company

Link:

https://www.infoedge.in/pdfs/financial_pdfs/f_Earnings/investor-concall-transcript-16may2024.pdf

A copy of the transcript of the Conference Call is enclosed herewith.

Request you to take the same on record.

Thanking you,

Yours faithfully,
For Info Edge (India) Limited

Chintan Thakkar
Whole-time Director & CFO

"Info Edge (India) Limited Q4 FY '23-24
Results Conference Call"

May 16, 2024

MANAGEMNET: MR. SANJEEV BIKHCHANDANI – PROMOTER & VICE CHAIRMAN
MR HITESH OBEROI – CO PROMOTER & MANAGING DIRECTOR
MR CHINTAN THAKKAR – DIRECTOR & CFO

Vineet Ranjan: Good evening, everyone. Welcome to InfoEdge India Limited Earnings Conference Call for the results of the March quarter and financial year ended 31st March 2024. As a reminder, all participant lines will be in listen-only mode and there will be an opportunity for Q&A after the presentation concludes. Should you need any assistance during the conference call, please raise your hand on your screen. Please note that this conference is being recorded. Joining us from management today, we have Mr. Sanjeev Bikhchandani, Promoter & Vice Chairman, Mr. Hitesh Oberoi, Co-Promoter & Managing Director, and Mr. Chintan Thakkar, Director and CFO. Before we begin, I would like to draw your attention to the detailed disclaimer included in the presentation for good order sake. Now, I will hand over the conference call to Mr. Hitesh Oberoi for his opening remarks. Thank you and over to you, Hitesh.

Hitesh Oberoi: Thank you, Vineet, and a very good evening, everyone, and welcome to Info Edge's Q4 FY24 earnings call. As always, we'll start with an update on the standalone financial performance, and then we'll cover every business segment in more detail, and then we will have time for Q&A in the end.

In Q4FY24, our standalone billings were Rs. 827 crores, a YOY growth of 10%, and revenue was Rs. 608 crores, a YOY growth of 8%. Billings and revenue including Zwayam and DoSelect were Rs. 856 crores and Rs. 637 crores, a YOY growth of 11% and 9% respectively. Operating profits at a standalone level grew 9% year-on-year to Rs. 225 crores and the operating margin was 37%. The standalone business generated cash from operations of Rs. 468 crores in Q4 of FY24, a YOY growth of 13%. For the full year FY24, standalone billings were Rs. 2,496 crores and revenue was Rs. 2,381 crores, a YOY growth of 5% and 10% respectively. Billings and revenue including Zwayam and DoSelect were Rs. 2,572 crores and Rs. 2,457 crores, a YOY growth of 6% and 10% respectively. Operating profits at a standalone level grew 18% year-on-year to Rs. 871 crore and the operating margin was 36.6%, a YOY growth of 250 basis points. EPS before exceptional items for FY24 stood at Rs. 65.90, a YOY growth of 20%. The standalone business generated cash from operations of Rs. 1,135 crores for the full year, a YOY growth of 9%. While the recruitment business continued to be cash-generative, the cash losses in non-recruitment businesses reduced significantly by 75% from a cash loss of Rs. 177 crores in FY23 to a cash loss of Rs. 44 crores in FY24. The cash balance of Info Edge including wholly-owned subsidiaries at the end of March 2024 stood at Rs. 4,191 crores. The Board has proposed a final dividend of Rs. 12 per share along with the interim dividend of Rs. 10 per share. The total dividend for FY24 is Rs. 22 per share, a 16% year-on-year increase. The headcount of the company as of March 24 end was 5,750 people.

Moving on to segment-wise performance and starting with the recruitment business. In Q4 of FY24, recruitment billings grew by 7% to Rs. 625 crores and revenue grew by 3% to Rs. 452 crores. Operating profit was lower 2% YOY at Rs. 258 crores and the operating profit margin was 57%. Cash generation from operations was at Rs. 458 crores, a YOY growth of 2%. For the full year FY24, for the recruitment business, billings grew by 1% to Rs. 1,883 crores and revenue grew by 7% to Rs. 1,805 crores. The operating profit growth for the full year was 4% YOY at Rs. 1,051 crores and the operating profit margin for the full year was 58%. Our recruitment business continues to consistently deliver cash flow with cash from operations in FY24 amounting to Rs. 1,208 crores. Key operating highlights in recruitment business, FY24 was a challenging year for the overall recruitment business largely because of the slowdown in IT hiring, which is approximately 45-50% of our business, directly and indirectly if you would include the business

from recruitment

consultants. The non-IT business segments, especially manufacturing, real estate, travel, tourism, healthcare, pharma, BFSI, etc. sustained growth and help offset the slower growth in IT to some extent. We continued our efforts of opening new branches in tier 2 and tier 3 cities to penetrate non-IT and SMB segments further. We now operate 79 branch offices all over the country. In Q4, we saw an uptick in billing numbers driven by healthy renewal rates. The billing growth in Q4 was broad-based with IT also growing at 11% and non-IT growing at 12% and the consultant segment being flattish. IIM Jobs and Naukri Fast Forward also witnessed healthy billing growth of 32% and 29% year-on-year respectively. Naukri Gulf reported a YOY growth of 26% during the quarter, primarily led by growth in new customer count on the platform. Our overall client base increased to 132,000 customers in FY24 from 127,000 customers in FY23. A few of our new businesses like Job Hai, Ambition box, etc. started monetizing in a small way in Q4. We believe there is significant opportunity in these businesses in the long term and they have the potential to grow at a much faster pace going forward. We continued investing in both AI, data science, machine learning, generative AI and product improvements to enhance user experience and refine our recommendations and search engines. The deployment of multiple functionalities across our products has improved user engagement, experience, and increased productivity and efficiency. Platform metrics continue to remain healthy. The Naukri database now has 98 million resumes and average daily app installs were highest in Q4 and the average number of resumes added daily grew year-on-year by 40% to 28k. On the job seeker side, we introduced Naukri 360, a comprehensive suite for all career-related initiatives both on and off the platform, reinforcing our position as a modern career brand. Additionally, we've integrated Coding Ninja, making upskilling a central component of our offerings. In March, we also revitalized the Naukri brand to resonate with the newer generation of working professionals. We introduced a fresh, more vibrant brand identity that maintains our legacy and signature visuals while adopting a bolder aesthetics. We unveiled the same in the current IPL season through a couple of brand campaigns that have gained quite good traction. Overall, we are optimistic about the recent improvements in the core Naukri business and the growth of the new sort of emerging product lines and strategic businesses. We plan to monitor the overall growth over the next one or two quarters before confirming a definite recovery.

Moving on to the real estate segment, in Q4FY24, billings grew by 26% to Rs. 131 crores and revenue grew by 23% to Rs. 93 crores. Operating losses reduced by 31% to Rs. 15 crores and cash flow operations was a positive Rs. 30 crores, a year-on-year growth of 121%. For the full year FY24, billings grew by 24% to Rs. 385 crores and revenue grew by 23% to Rs. 351 crores. Operating losses reduced by 42% to Rs. 69 crores. Cash loss for the full year was Rs. 13 crores, a year-on-year improvement of 82%. FY24 has been a healthy year for 99Acres and supported by favourable macro tailwinds and good execution by the team. The momentum continued in Q4 as well for both the primary and secondary parts of the business. Driven by strong demand and premiumization of supply, prices continue to rise significantly in some markets. Affordability measured as property prices divided by annual income also continues to be good. It has improved a lot over the last few years. Unsold inventory levels continue to remain low in the top 8 cities and many developers continue to seek good responses to their new launches. New launch sales continue to be dominated by channel partners. We are working to improve our go-to-market for this segment and grow our market share in the new launch

segment. Billing growth in Q4 was driven by growth in both the number of billed customers and improvement in average billing per customer. We saw strong billing growth in metros as well as tier 2 and tier 3 cities. We continue to improve the efficiency of our digital performance, marketing spending, using analytics, creative content and audience optimization strategies. Overall, traffic in Q4 grew by 26% year-on-year driven by growth in new projects and resale traffic. Our app DAU base also grew strongly by 36% year-on-year in Q4. We continue to lead in terms of the quality of traffic, time spent and brand recall. 99Acres continues to focus its investments on growing its user base and delivering a superior platform experience and differentiated content to help its users make the right real estate decisions.

Moving on to the matrimony business, in Q4FY24, billings grew by 26% to Rs. 26 crores and revenue grew by 29% to Rs. 24 crores. Operating losses reduced by 59% to Rs. 9 crores. Cash loss was also Rs. 9 crores, a year-on-year improvement of 54%. For the full year FY24, billings grew by 17% to Rs. 85 crores and revenue grew by 10% to Rs. 85 crores. Operating losses reduced by 44% to Rs. 59 crores and cash losses were Rs. 55 crores, a year-on-year improvement of 56%. The success of the freemium model we introduced a few years ago is clearly reflected in the consistent growth in revenue, organic traffic and the increase in user profiles on the platform, all achieved alongside a continuous decrease in marketing spending. Our marketing expenses are down 50% year-on-year in Q4FY24. All platform metrics like acceptances between users and two-way chats continue to grow aggressively in the quarter. The team maintains its focus on exploring additional ways to monetize platform traffic. In this business, we continue to enhance revenue generation and reduce quarterly losses to achieve break-even soon.

Moving on to the education vertical Shiksha.com, in Q4FY24, billings grew by 9% to Rs. 45 crores and revenue grew by 22% to Rs. 39 crores. Operating profit grew to Rs. 6 crores from Rs. 1 crore in the same quarter last year. Cash from operations was Rs. 15 crores, which was flattish year-on-year. For the full year FY24, billings grew by 15% to Rs. 143 crores and revenue grew by 19% to Rs. 139 crores. Operating profit was Rs. 3 crores. Cash from operations was Rs. 24 crores, a YOY growth of 15%. The registrations for MBA and PG courses peaked this year due to campus placements getting impacted, especially in IT-related jobs. New private universities in India, coupled with expansion of course offerings beyond engineering by existing universities, offer an opportunity for Shiksha to expand its footprint further. We continue to invest in making our content more comprehensive and student friendly in building deep domain expertise in this space. Students' interest in studying abroad in the fall 2024 season was impacted by the weak external environment. We continue to make long-term investments in strengthening the Shiksha study abroad platform.

Moving on to the consolidated financial highlights for the company. At the consolidated level, the net sales for the company stood at Rs. 657 crores in Q4 of FY24 versus Rs. 605 crores for Q4 FY23. The total comprehensive income stood at Rs. 7,959 crores compared to a loss of Rs. 415 crores in the corresponding quarter ending March 23. After adjusting for exceptional items, the profit before tax in Q4 FY24 was Rs. 324 crores compared to a loss of Rs. 349 crores in Q4 FY23.

Thank you and we are now ready to take any questions that you have.

Vineet Ranjan: Thank you very much, Hitesh. I guess we can begin the questions now. Anand, we can take the questions from the queue.

Moderator: The first question we have from Swapnil from JM Financial. Swapnil, go ahead and ask your question.

Swapnil, JM Financial: Thanks for the opportunity. I will start with a clarification

ion first because as there was a mention of some advertising spends for Naukri in the current IPL. So, any qualitative or quantitative numbers you can share as to how much of the spends would be and or will there be any impact on our margins in the Naukri business because of the spends?

Hitesh Oberoi: We cannot tell you how much we would be spending this quarter because the quarter is still on. But yes, we will be spending a lot more in this quarter than what we spent in previous quarters. Whether it will impact on margins or not in the long run will depend on what kind of revenue growth we get this quarter. So, hard to say where margins will land.

Swapnil, JM Financial : And if I were to extrapolate a few things, your Naukri billing seems to have bottomed out. IT also now moving into double-digit growth. Consultant business may also start improving in the next one or two quarters. Assuming that happens, how much time do you think will it take for your Naukri business margins to move to 60% kind of levels, which historically used to be the trend and now they are closer to 57%. If you can quantify in terms of quarters, that would be really helpful.

Hitesh Oberoi: It is very hard to say because we do not know how demand will pan out. But what we have said in the past is that if we are able to grow our revenue, grow our billing by 15-16% year on year, we should be able to maintain margin. If we are able to grow at 20%, that will help us improve our margins. And if we grow at 9-10%, then our margins might take a dip in the short term. So, that will continue to hold.

Swapnil, JM Financial : And with respect to the revenue or billings contribution from JobHai and AmbitionBox, can you give a sense first on the revenue model? How much has been the contribution in Q4 and how quickly do you expect these businesses to ramp up to meaningful levels such that they contribute to the recruitment segment in a meaningful way?

Hitesh Oberoi : We just started monetizing in Q4. And right now, the contribution is tiny. The overall number is miniscule. How fast will this revenue ramp up, hard for us to say. But all we're saying is that we've started monetizing and the response in Q4 is encouraging. But for the revenue to become meaningful to when to start impacting on numbers will take several years.

Swapnil, JM Financial: Okay. And just the last one, your billings growth in the matrimony business seems to be much faster than the competition. What do you think is working for you? And, this is despite the fact that your marketing spends have come down meaningfully, whereas the competition seems to be still spending and not able to grow. So, any specific thing you want to call out or qualitative view as well is fine.

Hitesh Oberoi : If you recall, we changed our model some time back, we started giving a lot of services for free, which we used to charge for earlier, and that hit our revenue for some time. In fact, billings were minus 30% for a while. But we believe that this model change was important for us, we are number three player and for us to stand out and make an impact and get noticed, this was required. Now, what's happened over the last 7-8 quarters as a result of this change, is that our traffic share has grown, we are getting more profiles and earlier, our engagement is also a lot better, we're seeing a lot more acceptances on the platform. And now we are slowly pushing the pedal on monetizing. We've introduced new products and services to help us monetize this engaged audience better. That's why you saw this bump in billings in Q4. So, we are still tiny in the grand scheme of things. But in the markets where we operate, we have significant share. We are a strong number two player in the Hindi belt. And we are perhaps as big as the number one player when it comes to traffic in the Hindi belt now. Let's see how this pans out going forward.

Swapnil, JM Financial : If I were to just to add

on to that and ask you, as assuming you break even in the next few quarters in this business, what will you focus on? Will you focus on growth at 20-25% which has happened in this particular quarter? Or would you want to ensure that the profitability also continues to improve in a straight-line manner? And maybe you will accept market growth kind of a scenario?

Hitesh Oberoi : So, in the matrimonial business, our goal is to break even as quickly as possible.

Swapnil, JM Financial: Now, once you break even, what will be the strategy thereafter? Will you want to operate at 0% margin, for some time and focus on growth? Or will you be expanding your margins, growth might be slightly slower?

Hitesh Oberoi: We'll cross the bridge when we get to it. But we are under no pressure to make money in the matrimonial business. We would rather focus on gaining share. But. we would want to break even.

Swapnil, JM Financial: Got it. Thanks a lot for the opportunity.

Moderator: Thank you, Swapnil. The next question is from Nitin Jain from UTI AMC. Nitin, go ahead and ask your question.

Nitin Jain, UTI AMC: Thank you for the opportunity. And congratulations on the good performance. So, my first question is on the recruitment business. So, the margins have dropped by about 3% percentage points year on year in this quarter. So, would you be able to throw some light here? Like, is it because of an increased ad spend or is there something else that we're missing?

Hitesh Oberoi : Margins have fallen because billing growth was almost flattish last year and costs went up. Manpower costs must have gone up by 10%. Marketing costs must have gone up. Overhead must have gone up. We continue to invest in a few areas, we think growth will come back at some point in time. And we don't want to delay investing in those areas, which are important for the long run. So, we continue to invest in data science, machine learning, expanding our sales team, we are focusing more on doing our non-IT business because IT hiring is slow. So, that's the reason, margins went down.

Nitin Jain, UTI AMC: You've indicated that Job Hai and Ambition box has started monetizing. So, can you elaborate what, how we are monetizing and what kind of growth we can expect here?

Hitesh Oberoi: Right now, we just started monetizing last quarter and we were able to get some customers on both AmbitionBox and JobHai. These are very early days. The model will evolve with time. So right now, it's hard for us to predict what's going to happen in these two verticals. It's only been a month or two since we took them to market.

Nitin Jain, UTI AMC: Job Hai, the model is similar to Naukri, is it? Monetizing model?

Hitesh Oberoi: Basically, you're monetizing job listings and response.

Nitin Jain, UTI AMC : Okay. And for Ambition box?

Hitesh Oberoi: Ambition box, we are selling a few branding solutions for ambition box right now.

Nitin Jain, UTI AMC: For the full year, the difference between billing and revenue growth is notable, like it's around 5%. So, how do we reconcile this? Like, is there a timing difference? Or like, is there any leakage happening here? This is for the recruitment business.

Hitesh Oberoi: Chintan, you want to answer that?

Chintan Thakkar: We are on a subscription basis model. So, what happens is that whatever billing that happens in a particular quarter, the recognition of revenue happens subsequent to that depending upon the tenure of the contract. So, there is no real question of any leakage, because all the invoices that gets booked in billing will eventually get recognized depending upon the tenure of the contract. The contract is usually 12 months or lesser than that period. So, the difference is because what happens is, let's say we had a reasonably encouraging quarter Q4, in recruitment business, particularly. So, billing has gone up, but the revenue that you are seeing in Q4, by and large, it comes from

what the sales have happened in Q1, Q2, and Q3. There will be some element of Q4 as well in that revenue, but mostly it would be Q1, Q2, Q3. That's why when there's a sharp rise, or a sharp decline, the billing will tell you actually what the real impact on the business is, rather than the revenue. Revenue is more a derivative that comes from the billing. That's why you keep talking about the billing numbers.

Nitin Jain, UTI AMC: So, it's more to do with timing.

Chintan Thakkar: Yes, it's timing and the maximum is 12-month time, but it reconciles eventually.

Sanjeev Bikhchandani: It's basically about the fact that you're recognizing a revenue as it accrues. So, if there's a one-year subscription, you recognize 1/365 every day. And so, for the 12 months, the revenue gets recognized over 12 months even though you may have collected the money today and billed today.

Nitin Jain, UTI AMC: And what is the Rs. 12 crores write-off for, if you can elaborate?

Chintan Thakkar: Yeah. So, look, some of the investments that we have, right, and as that most of the investments in

startup type of companies, they have started now chasing a lot more about the profitable growth, rather than growth at any cost. Because of that, what happens is that whatever the initial projections were there when we invested, and what the projections now would be, there will be a kind of difference in that. Hence, as per the funding standards that we follow, we need to revalue some of these assets. And on revaluation, we think that the projections have kind of gone down, then we need to take an impairment for that. That's the impairment cost.

Nitin Jain, UTI AMC: Okay, great. And last question for Hitesh. So, for both 99 Acres and Jeevansathi, the marketing expenses have gone down, notably. In the past, you have indicated that these are usually a function of competitive intensity, like if competition spends, you need to spend too. So, how do you see, is this an indication of competitive intensity coming down? Or like you think the brands are strong enough to generate good organic traffic?

Hitesh Oberoi: I think it's a bit of both. So, in Jeevansathi, we changed the model, we took a hit on revenue, because we went free, and that helped us acquire a lot of users, and we are continuing with that model, and the market has also become a little more rational, because we were spending a lot of money earlier, and so were the others. Now, because we brought down our spending, maybe others are also spending a little less than what they would have spent otherwise. In 99 Acres it's still very competitive. But we believe this is the optimum level of spending beyond this is may not help our business. And we would rather invest in other areas. And so that seems to be the current thinking. Let's see how it goes.

Nitin Jain, UTI AMC: Great. All this is quite helpful. Thank you so much.

Moderator: Thank you, Nitin. The next question is from Deep Shah from BK Securities. Deep, go ahead and ask your question.

Deep Shah, BK Securities: Thanks for the opportunity. Hitesh, so one question is that our IT billings have grown 11%, but that recruitment consultants is flat. And typically, we understand two-third of the recruitment consultant is IT. So, how should we marry these two aspects? Is it that IT is a lot more because of GCCs or captives, or any such colour commentary that is there?

Hitesh Oberoi : My sense of what's happening is that a lot of the IT companies had over-hired, because after COVID, there was a lot of digitalization worldwide, and there was a lot of demand for IT services. Our business also grew like a hockey stick for a while at that time. Attrition rates were high and people were hard to get and salaries went through the roof as a result. When demand suddenly disappeared companies realized that they had over hired and utilization rates at these companies, which used to be average 85% pre-COVID, the utiliza

tion rates fell. And for a long time,

therefore, many of these companies did not hire or did not replace the people who were leaving. The headcount, in fact, went down at some of the IT services. I think we are now perhaps at a stage that where some of these companies, the utilization rates are back to near pre-COVID levels. And they have started replacing some people who are leaving. Maybe that is the reason why our IT revenues started to look up a little bit, of course, as a base element as well, right. So, our bases are much lower than what they were last year.

Deep Shah, BK Securities: So, it's not wholly attributable to GCCs or captives. Obviously, there will be a good part of it there, but not wholly attributable. And then the trend that you highlighted, IT companies haven't been doing very rosy commentary. But the fact is that what you've said is, is visible. So, then fair, I know, I'm not even asking for a number or guidance, but fair to say that with some hiring and IT companies already there. It's very comfortable to say that we've actually bottomed out and therefore the recruitment side should also pick up, maybe 1-2 quarters later, or what's your thought process there?

Hitesh Oberoi: I hope that is the case. I really don't know. Demand for IT services is more indexed to what happens in the US, than to what happens in India. So, while a lot of Indian companies also hire IT talent, while startups also hire a lot of IT talent. I mean, in the grand scheme of things that hiring is tiny, right? If GCCs grow, that will also help our business. So, it's not just a function of what happens to IT services companies but also a function of what happens to GCC hiring, what happens to startup hiring, and what happens to Indian companies who hire IT professionals. But the IT companies continue to be a big part of the puzzle. And, maybe we have bottomed out or maybe we haven't, I can't say for sure. All I can say is that, on our website, more IT jobs are being posted every day than was the case three months ago. On our website, more CVs are being viewed by IT companies than was the case maybe 3-4 months ago. Let's hope it sustains.

Deep Shah, BK Securities: Thanks, Hitesh. The second is on this Naukri 360 that you alluded to in your opening remarks. So, is it something like the RMS thing with which we had launched, I think, four or five years ago, or is this something different, more comprehensive If you could just explain a bit more.

Hitesh Oberoi: We have a candidate service business called fast forward, where we write resumes for people, we help them fast forward their job search. So, Naukri 360 is basically a suite of services which we've launched for job seekers to help them navigate the career market a little better. We, for example, have some interview prep services. We are experimenting with a bunch of new offerings. And the whole idea is in the long-term position Naukri more as a career brand, not just as a job board. So, that's really what Naukri 360 is all about.

Deep Shah, BK Securities: And this is sold as a separate license, separate subscription, or it's a value add to say someone who's using your career database, like...

Hitesh Oberoi: No, these are for job seekers, these are for job seekers.

Deep Shah, BK Securities: Okay. That is for a job seeker. Understood. Thanks, Hitesh. Yeah, that's all from us.

Moderator: Thank you, Deep. Thank you so much. Next question is from Vivekanand from Ambit Capital. Vivek, go ahead and ask your question.

Vivek, Ambit Capital: Thank you so much for the opportunity. So, on recruitment, again, extending what Deep was asking related to a recovery, you did highlight that the activity on the portal is improving. And we see that in the job seek database as well. Month on month, there is an improvement. Do you think that now as we enter FY25, since the

first nine months of FY24 had a decline in billing, is the base quite favourable? And

perhaps the growth could accelerate

from this low base? Or am I reading it wrongly? And it's still very unclear. That's question one. Second one, on the recruitment side, and now that that you've started monetizing these products, have you thought through what the market size could be for some of these segments? And if you could help us understand, that'd be great. Thank you.

Hitesh Oberoi: The base is a lot lower. And therefore, it should be possible to grow faster on this base, if the market remains reasonable. So, if the economy continues to grow at 7% per annum, if demand for IT services starts coming back, even moderately, I think that should certainly help us grow a lot faster. I mean, in Q4, you saw that, right? Our billing growth was much higher than what was in the first three quarters of the last financial year. So, if attrition rates start to pick up a little bit, if demand starts to come back a little bit, if the economy continues to be buoyant, we should target higher growth in the core business. Then, of course, there are these newer verticals, we've been investing in, like IIM jobs, HIRIST, Doselect, these verticals, we would want them to grow even faster, because there, we have an opportunity to penetrate more customers. So, there's a penetration opportunity as well. If Naukri has 120,000 customers and maybe 20,000 large customers or 15,000 large customers or 30,000 large customers, then the number of customers who use some of these offerings are a fraction of that number. So, there's an opportunity to grow these products and services faster than the main Naukri business. So, we'd be investing behind that. And like I said, we've also opened new offices. Because there are many more cities where we think we can get some business. Now, it's not as if any one of them is going to move substantially, but they will hopefully all add up over time and help us go a few percentage points faster in the medium term.

Vivek, Ambit Capital : Okay, understood. Very helpful. Just on recruitment itself, trying to understand the cost associated with some of the branch expansions. Is that now fully in the base? Or will there be any meaningful pickup in costs? I understand you don't want to comment on the IPL spends. But other than that, is the fixed cost for the new infrastructure already in place?

Hitesh Oberoi: We are expanding our sales team, so we're hiring more sales people. Now, some of them have been hired, but some are yet to be hired. So, Naukri headcount will grow next year over last year. And, but a lot of the hiring and then we're also going to be investing a little more in data science and machine learning. So, that headcount will also grow. So, some of these costs some of these people have already been hired, but some more will be hired over the next couple of quarters.

Vivek, Ambit Capital: Last one on the ad spends, you highlighted about the optimization of programmatic advertising on 99acres. Is it possible for you to walk us through the nature of ad spend that you currently have? How much of the Rs. 270 crore is brand advertising? How much is programmatic? And how does it look like across the various verticals that you're presenting? Thank you.

Hitesh Oberoi: So, we don't give out those details. And I really don't have the numbers with me right now either. For competitive reasons, we would not want to give out that information.

Vivek, Ambit Capital: Sure. Sanjeev, if you can discuss a little bit about the investment that you announced in Gramophone. This was one of the five odd promising businesses that you had articulated or discussed in 2022 when you expanded AIF to new funds. Any comments here in terms of how it's scaling up? I can see that the revenue has declined in Gramophone.

Sanjeev Bikhchandani: So, 2021-22 was a different environment. Since then, the company has faced some headwinds. It is still early stage, still carrying early-stage risk, but we cont

inue to support it because we believe it has potential.

This is an internal round where current investors are putting in money, although we are putting in the bulk of the money. And with this, they're going to follow a break-even plan. And let's see how far they go with this.

Vivek, Ambit Capital : Understood. Thank you.

Moderator: Thank you, Vivek. Next question is from Nikhil Chaudhary from Nuvama. Nikhil, go ahead and ask your question.

Nikhil Chaudhary, Nuvama: Thanks for the opportunity and congratulations on strong quarter. So, Hitesh, first question is on the recruitment side, we have seen IT and non-IT now growing in double digit, while third party consultants still flattish. Generally, even third-party consultants indirectly are impacted by IT and non-IT hiring. So, based on your experience, how much time it takes for a consultant to start delivering growth?

Hitesh Oberoi: I think a lot of this is a function of attrition, one, at IT companies and two, whether they want to grow their headcount over the previous year. So, if attrition numbers start to look up at IT services companies, and normally that happens when there is demand, and then they come under pressure to hire people faster. That's when they try whatever can help at that stage. So, that's when they start going to consultants. If they're under no pressure to hire, they would rather use portals and be done with it, because they can take their own sweet time to hire. They're under no pressure. They're not losing business. So, hiring through recruiting consultants start looking up and demand starts looking up for IT services.

Nikhil Chaudhary, Nuvama: Sure. Second is a follow up on that with IT, non-IT in double digit, that two, quarter four last year had higher base compared to next 12 months. Now your Naukri job speak has shown even further improvement. IT for the first time has grown after 15 months on a YOY basis. And that too, with the IT company reporting negative headcount, right? So, is it fair to assume now the billing should be heading towards double digit, especially in Naukri?

Hitesh Oberoi: I hope so. Hard to predict the future. Like I said we are seeing more activity on our platform. We are seeing more jobs being posted every day. Of course, the base has also been corrected. So, when I say more jobs are being posted, it's compared to a year ago. We are seeing more recruiter activity in terms of CVs being viewed. So,

anecdotally, we at least we are hearing from a lot of companies that their utilization rates have moved up. But at the same time, there is this whole overhang of the US election and of generative AI and what it could do and so many other things that it's very hard for us to call what the next few months are going to look like. There's also demand for certain skills, like new age skills like data science and machine learning and data engineering and AI, but they are a small part of the overall demand right now.

Sanjeev Bikhchandani: May I just add one little nuance here? You see, a lot of our billing is indexed to how many clients we have, to some extent is how much they use it, and what products they buy, but also number of clients we have. What Jobspeak measures is total activity, which could be coming from fewer clients, or more activity. So, the correlation between Jobspeak and our billing growth is not perfect.

Nikhil Chaudhary, Nuvama: Understood. That's it for my side. Thank you so much. Good luck for coming period.

Moderator: Thank you, Nikhil. The next question is from Vijit Jain from Citi. Vijit, go ahead and ask your question.

Vijit Jain, Citi: Thank you for the opportunity. My first question is on the non-IT side billing. So, obviously, last year, if I look at my notes, you had started to call out IT billing growth was challenging. It was still a decent growth here, and you attributed that to non-IT. So, is it fair to say that here non-IT is moderate because of the l

ow base, or do you see

the non-IT thing actually moderating? Because 11-12% is probably lower than what you've seen in the non-IT side in the last few quarters before, right?

Hitesh Oberoi: Yeah, you're right. So, non-IT growth has also slowed down from maybe a year, year and a half back. Some sectors continue to sort of do well. Growth in other sectors seem to have moderated a little bit. I also feel it's just because there is so much more talent supply in the market, because IT companies are not hiring and ITES companies are also not hiring, which are actually also, which also do a lot of non-IT hiring, there's just more talent supply, and it's easier to hire even for non-IT companies. So, somewhere if IT hiring starts to pick up, then perhaps that will also impact non-IT hiring somewhere, because attrition rates may start going up for those companies as well. So, they're all also connected, in some ways. But you're right, non-IT hiring has slowed a bit from perhaps a year back. Vijit Jain, Citi: Fair enough. And so, thanks for adding that color earlier about the way IT companies are looking at hiring again. I think what you mentioned is that they are now beginning to replace people who are leaving versus maybe not doing that earlier. So, it looks like, as you said, hopefully early stages of recovery here. I'm just wondering, in terms of the kind of people they're hiring, is there a different pattern to it now versus maybe 2-3 years back, in terms of are they hiring more in the more experienced end of the spectrum or in new skill sets? Any colour you can give on what the hiring, where the hiring recovery is and any colour on that, that will be helpful.

Hitesh Oberoi: We haven't done a very detailed analysis, but clearly demand for certain skills is higher than it was maybe 3-4 years ago. So, all these new-age skills are in more demand, AI, machine learning, data engineering, data science, modeling, and analytics. These kind of skill sets are in more demand than the regular skill sets like Java and Python and others. But we haven't done a very deep analysis of this yet.

Vijit Jain, Citi: Sure, no problem, Hitesh. My last question, Hitesh, just looking at the non-recruitment verticals, right, obviously, if I look at year-on-year combined, all three businesses have shown a pretty sharp decline in losses. And you've said already that in both property and matrimonial business, your aim is to get to break-even? And education is almost kind of trend towards break-even in any case. So, do you think you have a pretty clear line of sight to actually getting these non-recruitment businesses to zero and above overall? Is that how you would look at it? Or would it simply, would it still be just three different pieces?

Hitesh Oberoi: We have a plan and the team is working on a plan. A lot will depend on how they execute. A lot will also depend on whether the market is supportive or not. And a lot will also depend on whether competition continues to be rational or not. So, if all these things fall in place, then of course, we would want to target break-even in our non-recruitment businesses.

Vijit Jain, Citi: And Hitesh, if I can just ask a quick follow-up to that. So, I mean, if I just look at the property business, right, and given how your costs in that segment have grown, maybe if your revenues are about 25-30% higher versus now, which could be next year or maybe in six quarters, you could break-even. Is that a fair assumption to make here?

Hitesh Oberoi: A lot of these platforms have been built, normally these businesses have reasonably high operating leverage. Brand is also sort of reasonably well-established. We have an existing customer base. There's a renewal business. So, if we are able to grow the 99acres business by 25-30% again this year, then we should be able to make some, generate some cash this year. But fingers crossed, I mean, see, we've had a good 4-5-6-7 quarters in 99

acres.

But, till we see another 2-3 quarters of solid recovery, I would not want to comment on what the next year would look like.

Vijit Jain, Citi: Sure, I understand. Thanks, Hitesh. Thank you everyone for your time.

Moderator: Thanks, Vijit. Next question is from Abhishek from Nomura. Abhishek, go ahead and ask your question.

Abhishek, Nomura: If you could talk about the competitive intensity in the core recruitment business. This quarter, we didn't see any slide on the traffic data, what you guys normally share, and whether this marketing spend, what you're increasing is more opportunistic given the IPL season, or you think the intensity has changed and we need to keep it for a longer period?

Hitesh Oberoi : So, this traffic data, the data we get from independent sources is no longer relevant, because most of our traffic is on the app. And app traffic for others is hard to get. So, we can release our traffic data, which is as per our sources. But it doesn't make any more sense to look at data from independent sources, because mostly that data is website traffic data, and that is a very small proportion. In Jeevansathi, for example, 90-95% of our traffic is on the app. And in Naukri, maybe 70-80% of the traffic is on the app. In 99acres, 60-65% of the traffic is on the app. So, app

usage has really grown. And that's where most of the action is in all our platforms. And that data is hard to get for other players. We can release, we can give you our data, but you won't be able to compare it with others. As far as the advertising is concerned, we've been working on a bunch of things in Naukri, we were out of media for a long time, we have launched some new offerings, we just changed our logo. And, we want to grow our non-IT business, which is, so you need to reach more audiences, you need to reach more cities. So, we felt that it made sense to advertise on IPL. And if you get a good response, then we will invest a little more in marketing going forward. It may, if we get our 15-17% growth, then we'll be able to maintain margin, but we might take a hit in the short term if growth continues to lag for a while. But like I said earlier, we know that the market will come back at some point in time. We don't want to compromise on what we think is important to grow the business in the long run. We continue to invest in Job Hai, we've been investing in Job Hai for the last three years. We will continue to invest for another few years before it makes money. We continue to build our capability in data science and machine learning. We think it's important in the long run. We continue to invest in adjacent verticals. And even in marketing, since we've been out in media for a while, we just felt that maybe made sense for us to go back at least for some time. Hopefully, growth will come back. And therefore, margins again start going up.

Abhishek, Nomura: Thank you for that answer, Hitesh. Just one more if you could talk about your cash usage plan now, we're almost at Rs. 4200 crore cash. Last year was a benign year from an opportunity point of view in the market, valuations are very subdued in private market. Yet, we didn't aggressively participate, maybe because of a lack of opportunities. And we are now still generating a lot of cash. So, has the Board thought about increasing the payout levels from here, and you have a highly liquid investment like Zomato and PolicyBazaar, which can be sold any moment if you need cash strategically. So, if you could answer that.

Chintan Thakkar: So, look, you're right we have something around Rs. 4200 crore cash on hand. But if you really kind of slice and dice the balance sheet you'll see that we also have deferred revenue of almost like Rs. 1100 crore. So, that's a kind of a liability in some ways that there's the, because of the negative working capital that we, so we would write on a conservative basis, we would like to keep that as a cash balance because

se that's a working capital that we

have received money from the customers. Secondly, if you look at 12 months expense for us, it will be something around Rs. 1500 crore. So, if you really take these two items out, then we are not really left with very high amount of cash. The third is that, look, we are always open for any opportunistic inorganic activity or any investments in the strategic startups. And none of the good digital assets are cheaper nowadays. So, keeping all that in mind we think that, yes, we have enough sufficient amount of cash, cash is central to our part of our strategy. Having said that, we have increased our payout. We have just announced the final dividend and we have increased a little bit, despite the fact that our profitability was kind of flattish, we have increased the dividend, which gives us a signal in some ways. But we think right now we have a kind of a right size cash balance on hand.

Sanjeev Bikhchandani: May I just add to that? You see, what cash in the bank gives you is the confidence to take some calls that you might not have taken in times of crisis. And there have been two very specific occasions when we have done this, and the cash in the bank has helped us take those calls, giving us the confidence. The most recent example is April-June 2020, when there was a lockdown, there was COVID, there was no light in the tunnel, there was no cure, there was no vaccine, there was no nothing. And Naukri billings de-grew by, I think, 44 or 48% that quarter, YOY. And we had cash. And there were several companies who downsized and let go of people. And we were faced with that choice. And it was a cash in the bank. So, the stress test that Chintan did, and then presented to the board and to Hitesh and me, was that the question we posed him was that, okay, Chintan, if revenue goes to zero, if marketing expenditure is zero and increments are zero, how long can the company last on the current cash balance? And the answer he came back with was three years. Now that answer gave us the confidence to not sack people. And it'd be terrible apart from the fact that it'd be completely contrary to our core values that people have built this company. And in a time of crisis like COVID, if you let them go, as they are already tensed about COVID, and they're stressed, and if you take their jobs away, it's terrible thing to do. And from a business perspective, when the bounce back happened after a couple of quarters was so good and so great that because we hadn't sacked people, we were able to take advantage of it. And for a long time, Naukri really grew very fast. And we were able to get that growth because we had not let go of people. So, cash allows you to take those calls and we think it's okay.

Abhishek, Nomura: Got it. Thank you so much, Chintan, Sanjeev, and Hitesh, and all the best for Fiscal 25.

Moderator: Thank you so much. We have some questions in the chat box, so we'll take those now.

Vineet Ranjan: Yeah, maybe I can read it out. Hitesh, first question is for you. What specific initiatives have led to the growth in Billings for Jeevansathi?

Hitesh Oberoi: We went free sometime back and we took a hit on our revenue and because we were giving a lot of stuff for free. Now we've started tightening the screws on what is free and what is not. We've gained share in the last couple of years, traffic share. We've got many more people who are active on the platform than earlier. We are enabling more matches than earlier. And therefore, we've started charging for some stuff which was perhaps free earlier. I mean, it's still free, I mean, but some stuff is not as free as it was earlier. Right, and that's led to this growth in Billing in Jeevansathi.

Vineet Ranjan: The next question is for Sanjeev. Any plan to reduce your stake in PB Fintech or Zomato in near future?

Sanjeev Bikhchandani: Look, I mean, the board is always open to a discussion around this, but what we

believe is that

there's plenty of growth left and valuation left in both these companies. And for the moment, we would like to hold and not sell.

Vineet Ranjan: Sanjeev, an additional question is, can you give an update on some investee companies and also an

update on performance of AIF?

Sanjeev Bikhchandani: The AIF performance we don't go public with, but let me say that it's a good team managing it well, both all the AIFs. And yes, like all AIFs, it's a portfolio. There'll be some good companies, some middling company and some not so good companies. Overall, I think we are okay, but I cannot be more specific than that.

Moderator: Next, we have Nitin Sharma from Moneycontrol Pro Research. Nitin, go ahead and ask your question.

Nitin Sharma, Moneycontrol Pro Research: So, Hitesh, real estate listings look kind of flattish in terms of YOY basis. Would you say there's a scope in terms of volume growth from here and how you are placed versus the competition in terms of pricing?

Hitesh Oberoi: What happens in a good real estate market is that real estate sells faster. And perhaps what's happening is that, one, there's not enough supply, and two, whatever is put out is moving faster than earlier. In a bad real estate market, sometimes you can take years to sell, sometimes you can take many months to sell. In a market which is hot, it tends to move faster, and supply is also sort of limited. Can we grow supply from here? So, if more supply hits the market, definitely, because we'll get our share of that. Of course, we're also working on gaining share. In some geographies, we are, in some markets, we are very strong, in some geographies, we are relatively weak. So, we're also working on improving our share in certain geographies. And if that happens, then, of course, we'll end up getting more supply in those localities and geographies as well.

Nitin Sharma, Moneycontrol Pro Research: And on the pricing side, what kind of competition you're seeing in terms of pricing, a general colour would be helpful.

Hitesh Oberoi: We make money from new homes, we make money from new launches, we make money from rental, we make money from resale, we make money from commercial listings. In the new home part of the business, our real competition is actually portals like Facebook and Google, and the price is really set by them. And we are price takers in that market. And in the resale and rental market, we are a leader. But of course, we have competition from players like Magic Bricks and housing. And there we believe there is an opportunity to take prices up further, because we believe that we're creating a lot of value for our customers. Of course, prices of real estate have also moved up substantially. So, if you just look at the value of a lead if real estate prices are up 20% year on year, for example and we're still generating the same number of leads as earlier, the value of those leads is up 20%. So, but you don't take prices up in one go, so we'll slowly and steadily take up prices on the resale side of the business, as we deliver more and more value to our customers.

Nitin Sharma, Moneycontrol Pro Research: Understood, thank you.

Vineet Ranjan: Hitesh, there's a follow up on Jeevansathi. Did the growth in Jeevansathi driven by order value or the number of orders and what will be the strategy going forward?

Hitesh Oberoi : So, I suppose like I said, we are charging for some services we were not charging for earlier, and we've launched some new services which were not there earlier. And so there are so, the number of users on the platform has also grown. So, we are therefore getting both many more customers than earlier. And some customers are also buying more services than earlier. I don't have the breakup.

Vineet Ranjan: Thank you, Hitesh. Maybe we can just conclude this call. Thank you, everyone, for attending.

Hitesh Oberoi: Thank you, everyone. Have a great evening.

Sanjeev B

ikhchandani: Thank you so much. Good night, everybody.

Moderator: Thank you so much, everyone. Thank you.

Call: Aug 2024

Date: August 15, 2024

1. The Manager- Listing

National Stock Exchange of India Limited

(Scrip Code: NAUKRI)

2. The Manager- Listing

BSE Limited

(Scrip Code: 532777)

Sub.: Transcript of Earnings Conference Call on financial results for the quarter ended June 30, 2024

Dear Sir/Madam,

In furtherance to our letter dated August 09, 2024 and pursuant to Regulation 30 of the SEBI (Listing Obligations & Disclosure Requirements) Regulations, 2015, we wish to inform that the transcript of Earnings Conference call on the Financial Results for the Quarter ended June 30, 2024, held on Friday, August 09, 2024 at 5:30 pm (IST), post declaration of results, is enclosed herewith. The copy of the transcript is also available on the Company's website at https://www.infoedge.in/pdfs/financial_pdfs/f_Earnings/investor-concall-transcript-14aug24.pdf.

Request you to take the same on record.

Thanking you,

Yours faithfully,

For Info Edge (India) Limited

Jaya Bhatia

Company Secretary & Compliance Officer

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"Info Edge (India) Limited Q1 FY25 Results Conference Call"

August 9, 2024

MANAGEMENT :

Mr. Sanjeev Bikhchandani – Founder & Vice Chairman,

Mr. Hitesh Oberoi – Co Promoter & Managing Director,

Mr. Chintan Thakkar – Director & CFO

infoedge

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Vineet Ranjan: Good evening, everyone. Welcome to InfoEdge (India) Limited Q1FY25 Earnings Conference Call.

Joining us from management today, we have Mr. Sanjeev Bikhchandani, Promoter and Vice Chairman, Mr. Hitesh Oberoi, Co-promoter and Managing Director, and Mr. Chintan Thakkar, Director and CFO.

Before we begin, I would like to draw your attention to the detailed disclaimer, in the presentation, for good order sake. Kindly note that this conference is being recorded and all the participant lines will be in listen only mode and there will be an opportunity for Q&A after the presentation concludes. Now, I'll hand over the call to Mr. Hitesh Oberoi for his opening remarks. Thank you and over to you, Hitesh.

Hitesh Oberoi: Good evening, everyone. A big welcome to all of you for the InfoEdge earnings call for the first quarter of FY24-25. As always, we will start with an update on our standalone financial performance and then we will cover each segment's performance along with the commentary on each business. In the end, we'll have time for Q&A.

In Q1FY25, our standalone billings were Rs. 579 crores, a Y-o-Y growth of 11% and revenue was Rs. 639 crores, a Y-o-

Y growth of 9%. Billings and revenue including Zwayam and DoSelect were Rs. 596 crores and Rs. 655 crores respectively, a Y-o-Y growth of 11% and 9%. Operating profits at a standalone level grew by 9% Y-o-Y to Rs. 227 crores, and the operating margin was 36%. The standalone business generated cash from operations of Rs. 174 crores in Q1 FY25, a Y-o-Y growth of 20%. The recruitment business continued to generate healthy cash. The cash losses in non-recruitment businesses reduced significantly by 73% from a cash loss of Rs. 61 crores in Q1FY24 to Rs. 17 crores in Q1FY25. EPS (before exceptional items) for Q1FY25 stood at Rs. 18, a Y-o-Y growth of 16%. The cash balance of InfoEdge (including wholly owned subsidiaries) at the end of June 24th stood at Rs. 4,255 crores, and the headcount as of June 24 end was 5,817.

Moving on to segment-wise performance and starting with the recruitment business.

In Q1FY25, recruitment billings grew by 9% to Rs. 431 crore, and revenue grew by 6% to Rs. 472 crore. Revenue growth lagged behind billing growth due to the s

lower billing growth observed in mid-FY24. Operating expenses rose by 19%

Y-o-Y in Q1FY25, led by costs from IPL campaigns, as discussed in our previous call. We also continue to invest in our strategic business initiatives like AmbitionBox, JobHai, etc., which are aimed at driving long-term value creation in the recruitment business. Consequently, the operating profits were lower by 3% Y-o-Y to Rs. 255 crores and the operating profit margin was 54%. Cash generated from the recruitment operations was Rs. 190 crores. Spending some time on the operating highlights of the last quarter in the recruitment business. There was a slight improvement in Y-o-Y billings growth in Q1FY25 of 9% compared to a Y-o-Y growth of 7% in Q4, of last year. Growth momentum in the Non-IT segment continued, with billings growing at 14% year on year. This was largely driven by sectors such as healthcare and life sciences, infrastructure, transport, real estate and media & telecom. After a continuous decline in billings for four quarters in a row, the recruitment consultant segments we saw a slight improvement in billings with low single-digit billings growth. Billings growth in the IT segment also continued this quarter. Though the growth rate was actually moderated compared to the previous quarters and was in mid-single digits. Our niche and adjacent business verticals, including iimjobs, NaukriGulf, and Naukri Fast Forward also maintained healthy billings growth with Y-o-Y increases of 26%, 25%, and 29%, respectively. AmbitionBox and JobHai, which began monetization in the previous quarter, continued to grow and showed some improved performance in the quarter as well. These are relatively small businesses and will not move the needle in the short term, but are strategically important to us, over the next for the next 5-6 years. Employer branding offerings, across our portfolio, including Naukri, iimjobs, hirist and AmbitionBox have been well received by customers. We are further strengthening these offerings and focusing on increasing our market penetration. The recently launched career platform for students on campus is slowly gaining traction, with an increasing number of students signing up and utilizing our offerings to become more industry-ready. On the platform metrics side, our Naukri database now comprises over 100 million resumes, app installs stand at 14 million, and the average number of resumes added daily was 22,000, in Q1FY25. Lastly, as mentioned in the previous call, we will continue to monitor overall growth over the next 1 or 2 quarters. While, growth rates, particularly in it, are positive, the trends have not yet stabilized.

Moving over to the real estate segment. In 99acres, billing growth moderated to 10% to Rs. 81 crores, while revenue grew by 20% to Rs. 99 crores. Operating losses reduced by 39% to Rs. 14 crores and cash losses from operations were Rs. 19 crores, Y-o-Y reduction of 54%. In terms of broad industry trends, in the real estate segment, new project sales moderated in Q1. Overall new project sales in the top eight cities were flat sequentially in Q1 and up approximately 10% Y-o-Y. Sequential price increases appear to be tapering off in certain cities for both new projects and the resale segment. Unsold new project inventory levels remain at reasonably healthy levels in the top eight cities. As a result, developers continue to launch new projects at similar levels to Q4 in most cities. There was some uncertainty during the election period, which may smoothen out in subsequent quarters. For 99acres, billings growth in Q1 was driven by improvements in both the number of build customers and in the average billing per customer. Broker and channel partner billings grew faster than developer or builder billings. Our listing realization continued to increase Y-o-Y and Q-o-Q as well driven by successful premiumization through product upgrades. We continue to invest in gaining new use

rs and further increasing our lead in brand recall. Overall traffic on the user side in 99acres grew by 23% Y-o-Y, driven by growth in new projects and resale traffic. Our daily active users on the app grew by 33% Y-o-Y in Q1. 99acres remains focused on investing in growing its user base, delivering a superior platform experience, and providing differentiated content to help users make informed real estate buying decisions.

Moving on to the Matrimonial business. In Jeevansathi, the momentum continued in billings growth. Billings grew by 35% to Rs. 25 crores, and revenue also grew by 35% to Rs. 26 crores. Operating expenses were reduced 25% Y-o-Y driven by a huge reduction in marketing costs which was down 45% Y-o-Y. Business is now nearing breakeven. Operating losses were reduced by 88% Y-o-Y to Rs. 2 crores. Cash loss was Rs. 4 crores, a Y-o-Y improvement of 79%. The business continues to focus on monetization. We made several features on the app free a couple of years ago and now we are back to focusing on monetization with new features launched in Q1, such as super interest and handpicked matches gaining good traction. Marketing expense rationalization continued with marketing costs down 45% Y-o-Y while maintaining growth momentum. Competition intensity remained similar to last year. There was no change on that front. Paid products launched a few quarters back following the free chat implementation, have been gaining traction as users see value in these offerings. Some gains in Q1 were also achieved through better realizations. Offering

a high-quality matchmaking experience remains our core focus, and we plan to further invest in improving matching recommendations to improve user outcomes. Key metrics like acceptances and two-way chats on the platform continue to show healthy growth. The business will continue to launch new products in the coming quarters and try to offer different value propositions to different users. Some of these new products will feature exclusive new functionalities for paying users. The chat functionality will continue to remain free on the platform.

Moving on to the education business, Shiksha. In Q1FY25, billings grew by 25% to Rs. 42 crores while revenue grew by 18% to Rs. 42 crores. We made an operating profit of Rs. 4 crores last quarter versus a loss of Rs. 1 crore in the same quarter last year. Cash generation from operations grew to Rs. 7 crores versus Rs. 30 lacs in the same quarter of last year. In the Shiksha business, at a macro level, the emergence of new private universities in India presents an opportunity for Shiksha to expand its footprint. Shiksha makes most of its money from private colleges and universities and not from government colleges. We continue to invest in making our content more comprehensive and student-friendly and in building deep domain expertise in this space. Shiksha traffic share reached an all-time high of 51% in April of 2024. The study abroad business is a small part of the business and has been affected by the weak external environment. We remain committed to making long-term investments in strengthening our study abroad platform improving the productivity of our counseling team.

Moving on to the consolidated financial highlights for the company. At the consolidated level, the net sales for the company stood at Rs. 677 crores in Q1FY25 versus Rs. 626 crores in Q1FY24. The total comprehensive income stood at Rs. 3,583 crores in Q1FY25, compared to Rs. 3,002 crores in Q1FY24. Profit before tax without exceptional items in Q1FY25 was Rs. 329 crores compared to Rs. 217 crores in Q1FY24.

To summarize and reiterate our mid-term to long term outlook, we are truly excited about the growth opportunities across all our businesses. The IT-dependent segment of our recruitment business has been volatile, but it is recovering from the lows, with positive signs emerging in the last two quarters. The July 2024 Jobspeak report ha

s also been very encouraging. The Jobspeak index grew by 12% Y-o-Y in July and M-o-M grew by 11%. Let's see how this plays out over the next couple of months. We have been expanding and strengthening our GCC and Non-IT segments by improving our go-to-market offerings and adding more clients, particularly by penetrating further in tier-2 and tier-3 cities. Our niche and adjacent businesses such as iimjobs, Naukri Fast Forward, AmbitionBox and JobHai have been delivering decent results and expanding the opportunities for future growth of the recruitment business. Our non-recruitment businesses are showing reasonably healthy growth and are all nearing or approaching break even. 99acres has established a strong value proposition and is on the right track to growing market share given the favorable market conditions, new improved offerings, and better realizations. Jeevansathi's shift to a freemium model has now started yielding results. We are accelerating top-line growth and reducing losses. Shiksha continues to grow well and is already profitable. We have also been making reasonably good progress in deploying AI and machine learning across all our businesses. As a result, we are seeing benefits in terms of higher user engagement on the platform and we are also trying to both boost both productivity and efficiency inside the company. A key strength in navigating these cycles, which we go through periodically as a business, has been our strong cash generation and our healthy cash balance. We continue to evaluate the best possible ways of deploying our cash to maximize shareholder returns.

Thank you, I'll stop here. And we are now ready to take any questions that you may have.

Vineet Ranjan: Thank you, Hitesh We will now begin the Question & Answer session. Anyone who wishes to ask a question, please raise your hand on the screen. We will take your name and announce your turn in the question queue.

Anand Bansal: The first question is from Vivekanand from Ambit Capital.

Vivekanand: The First Set of questions pertains to Naukri and recruitment. Could you explain to us how non-IT as a segment did? You've been expanding the presence of Naukri across tier 2 and 3 markets. On your Jobspeak also, you are disclosing a lot more number of cities. So clearly you are focused on tier 2 and 3 cities. Mostly these cities are non-IT-centric. So could you help us understand how non-IT is doing for you? What's the pricing proposition like for non-IT customers versus current billing trends for IT? How do you think about the scalability of non-IT billing?

Hitesh Oberoi: We've done a bunch of things over the last 3-4 quarters to accelerate our non-IT sales growth and also to improve the experience on the platform for both the non-IT job seekers and customers. We've opened new offices in existing cities. So cities for example in NCR where we used to have 3 offices earlier, now the cities have grown over time, so now we have 6 offices to service our customers better and to grow coverage. We have an office in Ghaziabad, we have an office in Faridabad. We have an office in Greater Noida, we have an office in Manesar. We were perhaps not covering these markets adequately earlier. Cities have grown over time. We also opened new offices in cities where we did not have offices earlier. Our goal is to get to 100 cities in a couple of years. We perhaps are already in more than 70 cities. And that's where we have a lot of non-IT growth because as these cities are growing they are creating jobs and IT is not everywhere. Many of these companies start small and it's important to get them onto the platform early. On the product side also, our IT Experience is always very good both on the job seeker side and on the customer side. We have been working very hard to improve our experience for non-IT users, job seekers, and recruiters. Harder problem than IT because there are so many industries, so many segments,

different types of job

seekers in the market. We've been trying to improve the experience segment by segment. We are looking at the bigger segments first and this is where we are deploying a lot of AI and machine learning to improve the experience. We do really well with the bigger customers, even in the Non-IT space. Now we are trying to make more inroads into the smaller SME space as well. The SME customer is very different from the enterprise customer. Often SME customers are small in size. They don't have HR departments, don't have a lot of time to go through our database and post jobs. We're trying to see how we can help them use the platform better. Also, we must understand that the Non-IT market was there was a supply overhang in this market because not much hiring happened during Covid, but a lot of people, hit the market looking for jobs. That supply is slowly getting absorbed. That overhang will hopefully go away with time. And if that happens and the economy continues to grow at 6 or 7%, then actually the non-IT, segment should grow even faster for us going forward. Our pricing in non-IT is more modest compared to IT because of the different hiring needs of customers of every company and IT companies hire in large numbers while here they don't hire that many people. But we have worked with many more companies. It's also more aggressive. So all in all, we are happy with the progress on the non-IT side.

Vivekanand: Great, This is helpful. Just one more on recruitment JobHai. It seems to have now expanded to around 60 cities and you seem to be getting a lot of traction in terms of number of job seekers on the portal. How should we think about the revenue contribution here? It seems like there is an explosion in the number of profiles that you are adding here. Year on year, I think you've expanded to so many new cities, so many new job seekers. I think you're doubling there. And perhaps from a low base, I understand. But, how to think about the monetization of this segment. You seem to clearly have critical mass.

Hitesh Oberoi: You're absolutely right. We've worked very hard on the product for the last three years. And we seem to have got product market fit. There's a lot of traction. We're getting a lot of job seekers, we're getting a lot of jobs. We're getting a lot of recruiters advertising on the platform. And it's a freemium model. So, anybody can actually post a job for free to start with. And it's mobile first, it's vernacular, and it's local. So it's a very different platform from Naukri targeted at very different user segment. Naukri today works with over 120,000 customers. If you do a good job, you may end up working with 200,000 - 250,000 customers in the next 5-6 years. On the other hand, if, JobHai has to be successful, then we would want JobHai to work with a million customers, 5-7 years from now. It should be the platform of choice for SMEs, as well, not just enterprises. And that's how we've been thinking about job here. We were not monetizing because we wanted to get the product-market fit right and when we started pressing the pedal on monetization only a few months back, and we are getting a reasonable response. We don't want to compromise on the freemium elements of JobHai. We don't want to force people to pay to list on JobHai. But we are launching more and more features, just like in Jeevansaathi, to see how we can monetize our heavy users better. But this is a 5-6 year play. This is not something which is going to move the needle on top line. It may move the needle on bottom line, but it may not move the needle on top line, for the next 2-3 years. Long term, it's a big opportunity, because the truth is the blue collar job market in terms of volumes is perhaps 4 or 5 or maybe 7 or 8 times the size of the white collar market. ARPUs will however be lower. Unit economics will have to be figured out with time. So we want this market to be as self-serve as pos

sible. A lot of job seekers and a lot of bridges. And I wouldn't be surprised if in a couple of years we have more jobs or maybe even a year, we have more jobs on JobHai than a Naukri. And we get to start getting more daily registrations on jobs here than on Naukri. But that'd be a good problem to have.

Vivekanand: But you already do seem to have a lot more jobs there, right? If I look at the job listings number, the live jobs on Naukri are around 4 or 5 lakhs. Here you have, a million and a half or something. Correct me if I'm wrong.

Hitesh Oberoi: No, those may be vacancies, not listings. I was referring to listings. Somebody wants to hire delivery boys. They may want to hire 100, 200, 500. But I was referring to the number of job listings.

Vivekanand: Understood. Thank you Hitesh. Great answers! Very detailed, as usual. Thanks a lot and, Sanjeev, just, one question for you. We get to interact with you very frequently, so I'm taking the liberty to ask questions from the annual report as well. So this year, you invested in 20 more companies through the AIF, right? All three AIFs. And you seem to have pressed the pedal on capital deployment in FY24. And we are seeing that your investees seem to have had a very high interest from external stakeholders in terms of wanting to fund them. So how are you thinking about exits and monetization in the AIF? We saw recently that there was some transaction announced where Apex Digital came in. How to think about the exits here or is it too early and how to think about?

Sanjeev Bikhchandani: Little early. We have a 12+2 years fund. Past experience and evidence tells us that in India, if you go early stage, you have to be patient. Look at Zomato, we went in in 2010, Policybazaar, we went in 2008. We are still there and the big value has come in the last 3-4 years, which basically means if you exit in 7-8 years you need to be there for a long time before you really get the value. So which is why we have a 12 year fund, because most funds are of shorter duration than that. We deliberately went for 12+2 years. So it's a little early. This, our first fund, our first AIF was 2019. So if you start looking at getting your exits eight years or nine years out, then you're talking about 2027-28. Of course, there will be some exits. It may happen earlier. If something blows up, you will obviously exit earlier. If there is a great acquisition offer that comes along and the founder wants to take it, you can't really block that because you have to back the founder because you can't really run the company without the founder or the founders. And if you invest in a slightly later stage company, like we did with Ixigo, it goes public. Now we haven't

exited, but we have the option to whenever we want. So we are patient. And we're not even thinking of exits right now, actually.

Vivekanand: Okay, great. That's very helpful. Thank you so much.

Anand Bansal: Thanks Vivek. The next question is from Nikhil Chaudhary from Nuvama.

Nikhil Chaudhary: Hitesh, first on recruitment side, while overall billing growth had been improving since last two quarters but underlying growth especially in IT has changed growth trajectory from double digit to now mid-single digit. Despite Q4, I suppose was on a high base year compared to Q1. Same kind of wild swing happened in Jobspeak as well. Right? June, we saw the dip. In July, very sharp upswing. So any color there, what's happening? What would be the trend going ahead?

Hitesh Oberoi: Difficult to say. Actually, April and May were good months. But, in June, we saw decline in jobs being posted on the platform. Probably as per our sales team, maybe it had to do with the uncertainty around the elections. But we can't be sure. I mean, July, we've seen a bounce back. Will it sustain, hard to say. Right now, as things stand, the sales team is more bullish than they were. It's all a function of what happened in the last mon

th more than anything

else. It's a wait and watch situation like we had said last time. There's a recession in the US now, according to some people, that may impact things in India. In the past, recessions have also been good in the medium term for IT companies because recessions lead to cost cuts. And, ultimately, more people get hired in India as a result. But we don't know how this is going to play out this time. So fingers crossed. In our company, at least I can tell you attrition has moved up a little bit. So that's worrying us. But, let's see if this sustains. It is hard to say what's going to happen.

Nikhil Chaudhary: Sure Hitesh, second on margin side that we have seen improvement in profitability especially on the non-recruitment side. And many of the businesses almost reaching breakeven. So just want to understand what's the strategy going ahead. We have reached some of the milestones which we targeted. Are we planning to increase the profitability further or we would like to invest back in the business?

Hitesh Oberoi: So, in Jeevansathi we are targeting breakeven this year. So we would like to get as close to breakeven as possible. At the same time, we're targeting high growth because we've started monetizing more aggressively. We had gone free for a couple of years. We continue to be freemium. Chat is free but we have launched more features and more functionalities to help monetize better. So we would want to get as close to breakeven as possible this year in Jeevansathi. In Shiksha, can we continue to be profitable? The domestic business grew very well in Q1. Study abroad is struggling a little bit because of what we're seeing are happening around the world. So even in Shiksha, we would want to at least, target breakeven or make make some profit this year. But we would want to continue to invest in growing our platform and improving the quality, quantity and richness of the content on the platform. We are investing a lot more behind the app. We are, wherever possible, trying to use, generative AI and data science and machine learning to improve the experience. 99acres is little tricky. We had a great 5 or 6 quarters, but this quarter growth was a little lower than what we expected. And on deeper analysis, we realized that in certain markets we grew really well and in some markets we struggled. Now, again, anecdotally, what I can tell you, the business took a hit in June. Maybe again, it had to do with some uncertainty around the elections. And often when state governments change and all these things happen in real estate some of the projects get delayed. Approvals take longer as people adjust to the new environment. So, we would want 99acres to grow faster going forward. We are doing whatever we can and if that requires us to invest a lot more in the business, and if that means taking a loss of some more time, that's fine with us. We see this as a good opportunity in the long run.

Nikhil Chaudhary: Sure Hitesh. You have mentioned now the investment, in the non-recruitment side in the past, you have mentioned that FY25 will be here where you want to invest in recruitment side as well. So is it fair to assume that FY25 will be the year of investment where you know, the focus will be on growth, or maybe building the capability rather than profitability improvement.

Hitesh Oberoi: Even in recruitment, we will continue, we continue to invest in our JobHai business. We continue to invest behind the AmbitionBox platform. We continue to invest behind iimjob and hirist. Even our Naukri Gulf business has been doing well, We continue to invest in the business. Even though our business is growing slowly, we were on IPL in Q1. That's why our marketing spend went up in Naukri. We were out of media for a long time and it's never good to be out of media for a long time. Normally, slowdowns don't last for a very long time and business always bounces back. And, it's important to ke

ep investing even when the market is slow because that's how you get share. That's, what our philosophy has been. We will continue to invest, like I said, because we are thinking more medium term and more long term. It's a huge opportunity and we would not want to slow down investing just because of a couple of bad quarters in any of our verticals, not just in Jobs.

Nikhil Chaudhary: Thank you so much. Just last one from my side. Just understanding, GreytHR transaction in more detail. By the way, GreytHR was a strategic transaction, right? And now we are letting, a private equity acquire it. So

what's the thinking behind it?

Hitesh Oberoi: You're absolutely right. When we went into GreytHR, in our heads it was quasi strategic. But over time, we've realized that we would rather invest more in sourcing and recruitment and automation than in getting into an HR services play. So with in our heads, we turned a financial instead of strategic in GreytHR. Of course the company is doing very well. The founders are executing brilliantly and we see business will do well in the long run. Some of the early investors wanted to exit and that gave an opportunity for us to get another investor in. It's not as if the company needs a lot of money. The company is breaking even and growing well but some of the investors wanted to exit. Apex was very bullish on the company and they wanted to come in and we allowed them and the founders were very keen. We continue to be bullish and we continue to be investors in the company. And we're hoping that the company will perhaps IPO in a few years from now, if all goes well.

Nikhil Chaudhary: Sure.

Sanjeev Bikhchandani: If earlier investors want to exit, whether we buy them out or somebody else buys them out because they want to exit. And if we are no longer regarded as strategic as we thought earlier then do we want to commit more money to buy them out or let somebody else. That is the choice. And I think we've made this choice for reasons that it's no longer a strategic.

Nikhil Chaudhary: Understood. Thanks a lot. Good luck for coming period.

Anand Bansal: Thank you Nikhil. Next, we have Vivekanand from Ambit Capital, a follow up question.

Vivekanand: Thanks for the follow up opportunity. Hitesh, just extending previous participants question on investments in recruitment verticals. You had previously quantified around Rs. 20-25 crores per quarter investment. And even now, while answering my job query, you said that it will have a bottom line impact. So I presume negative impact. So, could you help us understand how much of a drag are these gestation projects costing? They're not monetizing to their potential currently. So how much loss are you absorbing in the P&L from some of these projects which are very long gestation.

Hitesh Oberoi: In the range, you said, Rs. 20-25 crores a quarter, around that much.

Vivekanand: Okay, so that's pretty similar despite revenue coming. Understood. Secondly, on 99acres, the competitive environment, like you said, there's some back and forth there. There are there are some aggressors. Plus you may have gained some market share. So how to think about the investments there? In your annual report, you didn't disclose the segment wise advertising this time last year. In FY23, you had. So just to understand, the ad spends here and how to think about the opex for 99acres. Revenue you addressed that quite well. I wanted to understand the opex on 99acres along with the ad spend and researched.

Hitesh Oberoi: How We are actually spending more than we spent last year. I don't know exactly how much. Right now, as we speak, we have a higher budget than we spent last year. On the other hand manpower costs, etc. are under control. So those are not growing, a lot. We are spending a lot more on advertising than we spent last year.

Vivekanand: So in that, in effect, you're saying that even if you see, let's say, a 20% revenue growth, it may not necessarily need lead to a very sharp reduction in losses. Is that how to infer it on 99acres?

Hitesh Oberoi: Yes, you're right.

Vivekanand: Okay, great, Thank you again. And all the best.

Anand Bansal: The next question from Swapnil.

Swapnil: I just wanted to understand the spends that you do did during the IPL if you can just quantify that and will we continue such spends going ahead? How often would that be?

Hitesh Oberoi: We will not be able to give you the numbers but IPL is once a year and Naukri had been out of media for a long time which is why we went aggressive on IPL in Q1. We don't intend to spend as much money. Q2 and Q3 is also normally a lean quarter for advertising. In general, we will spend a lot more on advertising this year than we spent last year on Naukri.

Swapnil: If I can just probe you a bit more on that. So on QoQ basis, Naukri spends seem to have grown around Rs. 22 crores. I would presume a majority of that would be related to marketing?

Hitesh Oberoi: Yes, because of IPL.

Swapnil: Because of IPL! Yes.

Hitesh Oberoi: A lot of it is because of IPL, right.

Swapnil: And the second question is with respect to your 99acres business. We have seen your revenue growth coming mainly from the broker segment off late. The revenue growth from the developer segment seems to be declining quite a bit. Any, color on that as to what would drive that growth going ahead if at all. And if that is not going to happen would it not be fair enough for us to invest on the B2C side directly going to the customer and try to monetize that even more than what we are doing right now?

Hitesh Oberoi: So two points. One, the market is also moving more and more towards channel partners. So on the resale side, all our revenue comes from brokers. There are no developers there. On the new home and new launch side of things, in the primary in the primary market, we make money from both channel partners and developers. Our sense of the market also is that it's moving more and more towards channel partners. So there are more channel partners. And earlier, more and more homes are being sold through channel partners. In the north, for example, in NCR, maybe 90% of all homes are sold through channel partners. In a city like Bangalore, maybe 40-50% of all homes are sold through channel partners. But the share of channel partners in home sales is increasing in every city with every passing year. And that's showing in our numbers as well. To some extent, we believe our platform also delivers better for channel partners than for developers. And we are trying to see how we can fix that. We may have to launch some offerings which work better for developers. Maybe the pricing is also a little off on that front. And we're trying to see how we can fix that. So, long term, our sense is, if we were to fast forward five years, most homes in the country would be sold through channel partners and not directly by builders, especially in the affordable segment. And, those kind of segments and especially when it is a regular market. In a hot market, anything can happen. Developers don't even need us. They don't need channel partners to sell. You may have heard of DLF launching everything getting sold in two days. Nobody's required, if that is the case. But in a regular market, it's more and more transactions are likely to happen through channel partners than through direct developer sales teams over time. That's our sense.

Swapnil: Right and on the B2C part, any plans to, go aggressive on that side?

Hitesh Oberoi: monetizing owners? You mean, and buyers?

Swapnil: Yeah, both.

Hitesh Oberoi: We don't intend to monetize buyers. That's not in our plan. We have some offerings for owners. Any owner can list their property for free on 99acres. We offer some value added services and a small percentage of owners avail of those services. Abo

ut, maybe 7%-8% of our revenue is from owners in 99acres.

Swapnil: But by any chance, do you want to increase that share if, if the developer share is not growing?

Hitesh Oberoi: We would want to grow our revenue from owners. But it's not a very big part of our strategy. We would rather grow our revenue from brokers, channel partners and developers first.

Swapnil: Got it, Thanks a lot.

Anand Bansal: The next question is from Jalaj Manocha from Savan Investment.

Jalaj Manocha: Hitesh, this was a question for you. So has there been a material change in the outlook for it hiring from the last quarter, per se?

Hitesh Oberoi: Yeah, the July jobspeak was very positive. And, all I can say is that some of our clients have renewed and upgraded. But, whether this will sustain or not, I don't know. We should wait and watch for maybe another 3-4 months.

Jalaj Manocha: Okay. And this upgradation you are talking about for the IT clients only.

Hitesh Oberoi: Yeah. I was referring to it some large IT clients and like I said, from our consultant hiring recruitment we get about 27-28% of our revenue. And they were, negative for at least four quarters. We saw a slight improvement there. They moved into positive territory. A lot of these recruitment firms also work for IT customers. Let's see whether this sustains. I don't know what you are seeing. IT companies may be telling you whether their attrition rates are going up or not.

Jalaj Manocha : So from our IT companies, what we understand is the utilizations are starting to peak out right now. Though the attrition numbers to be moving on the downward trend. So just wanted to understand if that is, just occurring for you guys.

Hitesh Oberoi: Yeah, what I said last time as well that a lot of these IT companies had overhired during good times and they had built a big bench and as a result their utilization rates had fallen. Because they did not hire for a long time they're now back to pre-COVID utilization levels in most cases. And therefore, if they have to maintain headcount, they will now at least have to replace the people who are leaving. So at least that part of the market should come back now. Are they going to be hiring for growth? I don't know. Are they going to grow headcount aggressively from here on? I don't know. Will attrition rates go up? I don't know. I can also tell you that GCCs have started hiring. So some of the larger GCCs had shut down hiring and the smaller ones were hiring but they were they were small. So the larger ones had stopped hiring. Now there are some green shoots there as well. Some of the larger GCCs have started hiring in small numbers. Let's see how this plays out. Once they if they start hiring in large numbers then that may lead to higher attrition in IT services companies as well. But let's wait and watch and see what happens.

Jalaj Manocha: Understood, Thanks a lot.

Anand Bansal: Abhishek Banerjee from ICICI securities.

Abhishek: Just one question. You just mentioned that the captives are starting to hire now. Last time you had said that captives, when they just formed, you do not get any revenues from them. But after a year they also start contributing to your revenues. So given that the number of captives have gone up quite a bit in the last one year. Do you see the revenue contribution from that increasing going ahead?

Hitesh Oberoi: Even here, there's an 80-20 principle at work. There may be 7000-8000 captives. But the bulk of our revenue comes with the big ones. The big ones are maybe 100 in number. And most of them had sort of frozen hiring because of what was happening in the US and so on. Now, if they start hiring in large numbers, then of course, you will see, we will benefit immensely. The smaller ones, of course, I said last time in year one they may just hire 50 people. They don't need anybody. They go through recruitment firms and hire because they need to hire s

enior

management and middle management. But once they start hitting 200-300 headcount, they have attrition. They need to replace people and they need to hire for growth. And that's when they you start using platforms like Naukri. So that will continue. And yes, over time, as a number of captives which have a headcount of more than 200-300 in the country start growing, it'll also help us. But for the needle to move, the big ones have to start hiring. And we are seeing early signs of that. But let's see if that sustains.

Abhishek: Understood. In the matrimonial business, if you could give some thought process on what is happening there and is there any likelihood of the revenue growth to starting to look up?

Hitesh Oberoi: The revenue growth is 35% right now for us. And we want to sustain this kind of growth for at least two more quarters. At the same time, reduce our costs, so that we can get to break even for the year or near breakeven, maybe plus minus Rs. 8-10 crores. That's our internal goal. And that's what we are focused on right now. As far as the overall recruitment market is concerned, I really don't know much. Maybe it's it continues to grow at 7% or 8% or 10% per annum like it has for many years.

Abhishek: When I asked about revenue growth, I meant beyond the number which used to do before you decided to discount on the pricing. Do you see yourself breaching that level anytime?

Hitesh Oberoi: If we continue to grow at 35% for the next couple of quarters then for the year as a whole we'll cross Rs. 100 crores And I think we were around this number, I don't remember the exact number, but perhaps around this number two years ago. I remember our billings were hit by 30% when we moved to this model. So we perhaps will inch back to where we were 2 years ago but with much lower marketing spend. Therefore, improved profitability and higher share of overall matches since the number of people on the platform have grown. So let's see, I mean and now the real test will be the year after this. How fast are we able to grow once we get to the Rs. 100-110 crores sort of top line and after that will we start growing at 10% or will we grow at 20% or 30%? Let's see what happens.

Abhishek: Understood and are you looking at monetizing the New Age products which you have developed in that front?

Hitesh Oberoi: The dating platform. No, we are sort of still learning and we are bullish on 1 or 2 products. But early days, a lot of work to be done on as far as those platforms grow. But of course, there is a long term opportunity for us.

Abhishek: Any update on the Google issue with regards to how much they are charging you for in-app billings

Hitesh Oberoi: There are no further updates. I mean, all is okay on that front right now. Nothing to worry about at this point in time.

Abhishek: Got it. Thank you so much.

Anand Bansal : There is a question from Nitin Jain.

Nitin : Thank you for the opportunity. So first of all, congrats on the good quarter. So I have a little long term question on the 99acres business. Given that the real estate cycle has turned for good for quite some time now, but we are not yet in the mode of reporting operating profits. Although we have consistently reduced losses there. So my question is what would we need to do to take the business to a level where it reports profit on a consistent basis like whether we need pricing changes or strategic changes or product changes. If you can throw some light on that. And my second question is for Sanjeev given that some of the investments, especially Zomato, and Policybazaar. Their stocks have done pretty well in the last few years. We've been invested there for a long time as well. Would you be evaluating whether we can book at least a partial profit and pay out as a special dividend or something along those lines. Thank you.

Hitesh Oberoi: All right, To answer the question on 99acres, the short ans

wer is that we need to gain more share. We are very strong in some cities. In some cities, we need to work harder. In the end, revenue is a function of supply share and traffic share on the platform and which translates into higher pricing and therefore more profit. We are working on the product and we're working on improving the experience on the platform. We are trying to fix our pricing wherever it needs to be fixed and we are working hard to get more and more supply on the platform. So that becomes a one stop shop for all things in real estate. And at the same time, we also lead in the new home segment. We actually are not competing with the real estate portals. We end up competing with Facebook and Google and there we need superior offerings to get people to engage with the platform a lot more. And these are things we are working on. But, let's see how this plays out.

Sanjeev Bikhchandani: On Zomato and Policybazaar shareholding. Look, this is obviously constantly discussed at the board, but we have taken a slightly longer term view that where will these businesses be three years from now, five years from now, ten years from now. And if we believe there is substantial growth and consequent value creation left. We think it's better in our and we think it's better for our long term value creation for our shareholders. We'll probably stay but yeah, this is constantly discussed. As of now, there is no plan to exit.

Nitin: Thank you.

Anand Bansal: Thank you Nitin. Any other question, you may kindly raise your hands now. So Vineet there are no more questions for the day.

Vineet Ranjan: Yeah. Thank you everyone, We may now conclude this call. Thank you for joining in. You may now disconnect the lines.

Hitesh Oberoi: Thank you all and have a great evening.

Sanjeev Bikhchandani: Thank you so much. Bye.

Anand Bansal: Thanks, everyone.

Call: Nov 2024

Date: November 17, 2024

1. The Manager- Listing
National Stock Exchange of India Limited
(Scrip Code: NAUKRI)

2. The Manager- Listing
BSE Limited
(Scrip Code: 532777)

Sub.: Transcript of Earnings Conference Call on financial results for the quarter ended
September 30, 2024

Dear Sir/Madam,

In furtherance to our letter dated November 08, 2024 and pursuant to Regulation 30 of the SEBI (Listing Obligations & Disclosure Requirements) Regulations, 2015, we wish to inform that the transcript of Earnings Conference call on the Financial Results for the Quarter ended September 30, 2024, held on Friday, November 08, 2024 at 5:00 pm (IST), post declaration of results, is enclosed herewith. The copy of the transcript is also available on the Company's website at https://www.infoedge.in/pdfs/financial_pdfs/f_Earnings/investor-concall-transcript-Nov2024.pdf

Request you to take the same on record.

Thanking you,

Yours faithfully,
For Info Edge (India) Limited

Jaya Bhatia
Company Secretary & Compliance Officer

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"Info Edge Q2 FY 24-25 Results Conference Call"

November 8, 2024

MANAGEMENT :

Mr. Sanjeev Bikhchandani – Founder & Vice Chairman,
Mr. Hitesh Oberoi – Co Promoter & Managing Director,
Mr. Chintan Thakkar – Director & CFO

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Vineet Ranjan: Good evening, everyone. Welcome to InfoEdge India Limited Q2 FY24-25 Earnings Conference call. Joining us from management today, we have Mr. Sanjeev Bikhchandani, Founder & Vice Chairman, Mr. Hitesh Oberoi, Co-Promoter & Managing Director, and Mr. Chintan Thakkar, Director & CFO. Before we begin, I would like to draw your attention towards the detailed disclaimer included in the presentation for good order sake. Kindly note that the conference is being recorded and all participant lines will be in listen-only mode. There will be an opportunity for Q&A after the presentation concludes. Now, I will hand over the call to Mr. Hitesh Oberoi for his opening remarks. Thank you, and over to you, Hitesh.

Hitesh Oberoi: Very good evening, everyone. Welcome to the InfoEdge earnings call for the second quarter of FY25. We will start with an update on the standalone financial performance, and then we'll cover segment-wise performance, along with a commentary on every business, and followed by Q&A. For the standalone business in Q2 of FY25, billings were Rs. 650 crores, a YOY growth of 14% and revenue was Rs. 656 crores, a YOY growth of 11%. Billings and revenue, including Zwayam and DoSelect, were Rs. 671 crores and Rs. 676 crores, a YOY growth of 15% and 12% respectively. Operating profits at a standalone level grew by 15% year-on-year to Rs. 251 crores, and the operating margin expanded by 137 basis points to 38%. The standalone business generated cash from operations of Rs. 262 crores in Q2 of FY25, a YOY growth of 5%.

The operating profits and other income was higher in Q2 of FY25 versus Q2 of FY24. However, the net profit after taxes for the period decreased to Rs. 86 crores in Q2 of FY25 as compared to Rs. 209 crores in Q2 of FY24 for the following reasons. As per the change in the Finance Act 2025, as introduced in the recent budget, there was a hike in the effective long-term capital gains tax rate from 11.4% to 14.3%. Due to the above and in-line with IND AS accounting standards, we have accounted for an additional deferred tax charge pertaining to previous years of Rs. 260 crores in the P&L, which led to reduced net profit after taxes. On similar

lines, we have also accounted for Rs. 363 crores as additional deferred tax charges pertaining to previous years in other comprehensive income. Without this deferred tax charge impact pertaining to previous years, our net profit improved by 66% year-on-year to Rs. 346 crores in Q2 of FY25.

In H1 of FY25, for the standalone business, billings were Rs. 1230 crores, a YOY growth of 13% and revenue was Rs. 1295 crores, a YOY growth of 10%. Operating profits grew by 12% year-on-year to Rs. 478 crores and operating margin expanded by 61 basis points to 37%. The standalone business generated cash from operations of Rs. 436 crores in H1 of FY25, a YOY growth of 10%. The recruitment business generated a healthy cash of Rs. 479 crores in H1 of FY25 and the cash losses in the non-recruitment business reduced by 57% from a cash loss of Rs. 76 crores in H1 of FY24 to Rs. 33 crores in H1 of FY25. EPS before exceptional items and deferred taxes for earlier years, for Q2 of FY25 stood at Rs. 20, a YOY growth of 21% and was Rs. 38 in H1 of FY25, a YOY growth of 19%. The cash balance of InfoEdge including the wholly owned subsidiaries at the end of September 2024 stood at Rs. 4,268 crores. The board has proposed an interim dividend of Rs. 12 per share and the headcount of the company as on September 24 end was Rs. 5,820.

Moving on to segment-wise performance, we'll start with the recruitment business. In Q2 of FY25, billings grew by 14% to Rs. 492 crores and revenue grew by 9% to Rs. 495 crores. Revenue growth lagged behind billing growth due to the slower billings observed over the last two or three quarters. The operating profits improved by 6% year-on-year to Rs. 286 crores and the operating profit margin was 58%. Cash generated from recruitment operations was Rs. 289 crores, a YOY growth of 8%. In H1 of FY25, for the recruitment business, billings grew by 11% to Rs. 923 crores and revenue grew by 7% to Rs. 966 crores. The operating profit improved by 1% year-on-year to Rs. 540 crores and the operating profit margin was 56%. Cash generated from recruitment operations was Rs. 479 crores. In our recruitment business, we saw very encouraging growth in Q2 with a 14% year-on-year increase in billings, a double-digit growth after three quarters. The growth has been widespread. Our IT segment grew by 12%, non-IT by 20% and the recruitment consultant segment by about 10%. Key non-IT sectors like BFSI, healthcare, infrastructure and manufacturing also saw robust double-digit growth. The job speak index for Q2 of FY25 was better both on a YOY and a QOQ basis. The billings growth of 14% was an outcome of a slightly better macro environment as evident in the job speak index and continued healthy performance of our niche and adjacent businesses. On the job seeker side, our Naukri platform now hosts around 103 million resumes and app installs have reached 16 million. We added an average of 24,500 resumes every day in Q2 of FY25, highlighting steady user engagement across the platform. On the recruiter side, metrics like searches and CV views are also on the rise suggesting that demand for talent is recovering. Our niche and adjacent businesses such as IIMJobs, Naukri Gulf and Naukri Fast Forward have all shown good growth in Q2 of FY25 with year-on-year billings up by 40%, 18% and 27% respectively. Zwayam and DoSelect combined also registered a billings growth of 73% on a YOY basis. Ambi Motion Box and Job Hai which began monetization in Q4 of FY24 continued to grow and show improved performance in this quarter as well. Although small, these businesses hold potential and could grow substantially over the next four or five years. Our Employer Branding Solutions business, offered across platforms like Naukri, IIMJobs, HIRIST and Ambi Motion Box have been well received by our clients. We've been working on, we are working on strengthening these offerings and expanding our penetration of the market. To sum up, we saw

good growth in the recruitment business especially in

the IT sector coupled with healthy performance across our niche and adjacent businesses. We are hopeful that this positive trend will continue into the coming quarters.

Moving over to the real estate segment, in Q2 of FY25, billings were up 16% to Rs. 107 crores and revenue grew by 17% to Rs. 102 crores. Operating losses reduced by 14% to Rs. 14 crores. Cash losses from operations were Rs. 3 crores. In H1 of FY25, billings growth improved by 14% to Rs. 188 crores and revenue grew by 18% to Rs. 201 crores. Operating losses reduced by 29% to Rs. 28 crores. Cash losses from operations were Rs. 22 crores versus Rs. 35 crores in H1 of FY24. For 99acres, Q2 billing growth was driven by increases in both the number of billed customers and the average billing per customer. We saw broker billings grow at a faster pace than developer billings. Live listings for new projects grew 8% year on year while live resale and rental listings saw an increase of 9% in Q2. Our per listing realization among primary and secondary brokers rose year on year in Q2 led by premiumization of our offerings and product upgrades and selective price increases implemented earlier. In 99 acres, our focus remains on growing our user base, enhancing the platform experience, and delivering differentiated content that helps users make informed real estate decisions.

Moving over to the matrimony business, in Q2 of FY25, the growth momentum continued. Billings grew by 31% to Rs. 26 crores and revenue grew by 33% to Rs. 26 crores. Operating expenses were reduced by 27% year on year driven by a reduction in marketing costs by 36% year on year. The business is near break-even. Operating losses were reduced by 96% to Rs. 70 lakhs. Cash losses were Rs. 2 crores, a YOY improvement of 88%. In H1 of FY25, in the matrimony business, billings grew by 33%, to Rs. 51 crores, and revenue also grew by 34%, to Rs. 52 crores. Operating losses were reduced by 92% to Rs. 3 crores, and the cash loss was Rs. 6 crores, a YOY improvement of 83%. Our business teams have continued to focus on improving monetization efforts to grow billings. Most of these initiatives are designed to add value for users on the platform while fully maintaining our commitment to a free chat experience. On the marketing front, the team has launched some campaigns to boost brand awareness and reinforce our free chat promise. We've been very frugal with our approach, reducing marketing spends by 36% year on year this quarter. Delivering a high-quality matchmaking experience remains a core priority. We are planning further investments to enhance our matchmaking recommendations, improving outcomes for our users. Key metrics like acceptances and two-way chats on the platform continue to show healthy growth. We are also working on expanding monetization opportunities on the platform while actively driving user acquisition as well.

Moving on to the Shiksha business, in Q2 of FY25, billing was Rs. 25 crores, a YOY de-growth of 3%, and revenue grew by 10% to Rs. 33 crores. Operating loss was Rs. 3 crores, and cash losses were Rs. 11 crores. In H1 of FY25 for Shiksha, billing was Rs. 66 crores, a YOY de-growth of 13%, and revenue grew by 14% to Rs. 75 crores. The business generated an operating profit of Rs. 1 crore, and cash losses were Rs. 5 crores. A year-on-year reduction of cash loss by 9%. The campus placement season for FY25 for graduates has begun on a positive note compared to last year. There is a slight increase in demand for both MBA and computer science programs. Private universities are continuing to broaden their offerings beyond engineering, providing students with more diverse options to choose from. We are investing in making our content even more comprehensive and student-friendly while building deep domain expertise in this space. Shiksha's traffic share reached an all-time high of 56% as of September 2024. The

domestic Shiksha business grew by 21% on a year-on-year basis in H1 of FY25. On the study abroad business, though we are seeing some headwinds, tighter restrictions for international students in Australia and Canada, along with fewer job opportunities post-study, have led to a decline in interest. Despite these challenges, we remain committed to making long-term investments to strengthen our study abroad platform and improve the productivity of our counselling team.

I would now like to talk a little bit about AI-driven innovation at InfoEdge. Today we have a dedicated team of over 100 data scientists and machine learning engineers at InfoEdge. We have been using machine learning to enhance our search, our matching, our personalization capabilities, and recommendation systems across all our businesses to improve user productivity and experience. In many of the cases, this has led to our 10-20-25% gain in efficiency. And with the latest in generative AI, we are now using LLM models to develop new features, build new products, and increase productivity across the board. Let me just give you a few examples. For job seekers now, we have an AI-powered mock interview product on Naukri 360 that helps them prepare for interviews. It is being used by 10 lakh users every month. In the Naukri fast-forward business, we have largely automated resume creation using AI, and our AI engine can generate a customized cover letter based on the uploaded resume. These features are now being used by over 15 lakh users every month. At Zwayam, AI helps create job descriptions and analyze candidate profiles, which improves recruiter productivity. In DoSelect, AI helps us generate multiple-choice questions for e-assessments. These are just a few examples. At InfoEdge today, there are over 500 models across AI and machine learning that are driving new products, features, and enhancements that are helping us deliver more value to our users and our customers every day.

Moving on to the consolidated financial highlights. At the consolidated levels, the net sales for the company stood at Rs. 701 crores in Q2 of FY25 versus Rs. 626 crores for Q2 of FY24. At the consolidated entity level, the total comprehensive income stand at Rs. 8,170 crores in Q2 of FY25 compared to Rs. 3,399 crores in Q2 of FY24. Profit before tax without exceptional items in Q2 of FY24 was Rs. 335 crores.

Profit before tax without exceptional items in Q2 of FY25 was Rs. 335 crores compared to Rs. 262 crores in Q2 of FY24.

To summarize, we are truly excited about the growth opportunities across all our businesses. After several quarters of soft demand, our recruitment business is now performing well with growth across all segments, IT, non-IT, and consultants. The October 2024 Jobspeak report was also promising, showing a YOY increase of 10%. To diversify and grow our overall client base, we've been expanding in the GCC and non-IT sectors by strengthening our go-to-market offerings and acquiring new clients, particularly by increasing our reach in Tier-2 and Tier-3 cities. Our niche and adjacent businesses like IIMJobs, Naukri Gulf, Hrist, Naukri Fast Forward, Zwayam, DoSelect, Ambi OnBox, and JobHai are showing good results and continue to expand growth opportunities and the total TAM for us. Our non-recruitment businesses are also growing well and are on the verge of becoming self-sustaining. In 99 acres, we are focused on growing our user base, enhancing the platform, and delivering content for informed real estate decisions and the market continues to be supportive. There continues to be new launches and prices continue to go up. Jeevansathi shift to a freemium model has proven effective, driving both top-line growth and bringing the business closer to breakeven. Shiksha's domestic business continues to grow steadily and is already profitable. Across all our businesses, we are making progress in AI and machine learning deployment. As mentioned earlier

, these technologies are being

used to improve the search and recommendation experience and are also driving the development of new features and products. This progress has improved user engagement and experience while enhancing productivity and efficiency for both job seekers and customers. A major strength in navigating these cycles has been our consistent cash generation and healthy cash balance. We are continually assessing the best ways to use this cash to maximize shareholder returns. Thank you. I'll stop here and we are now ready to take any questions that you may have.

Vineet Ranjan: Thank you, Hitesh. Anand, we can now start taking questions.

Anand Bansal: Yeah. Thanks, Vineet. Thanks, Hitesh. The first question is from Nishu Jain from Fairview Investment. Nishu, go ahead and ask your question. Nishu, you are there?

Nishu Jain: My first question is on the margins. So, we can see that the margins have improved by about 400 basis points QoQ. So, I have a two-part question linked to this. Like regarding the marketing spends in the recruitment business, are we still continuing with the new marketing campaign for Naukri and can we see margins improve in this business further from here? My next question is also on the recruitment business. So, now that the hiring market seems to be doing better compared to two-three quarters back, how are we thinking about inorganic growth in this business? And if you could also share the number, like the Naukri Gulf contribution in the recruitment business revenue. Thank you.

Hitesh Oberoi: So, let me answer your first question about margins. See, if topline continues to grow at 14-15% per annum, the margins should get better going forward. How much are we going to spend on marketing, we decide on a quarter-on-quarter basis. We don't have a budget for the year. We spent on IPL, then in Q2 we didn't spend as much. And in Q3 also, we don't have a very big budget for marketing, and as far as Q4 is concerned we'll decide after Q3. Regarding inorganic, we have a lot of opportunities we are pursuing in the recruitment space. Like I mentioned, there's a core business which is now growing faster than earlier. Besides the core Naukri business, we have we've acquired over seven or eight startups in the last few years, and we are now in the process of scaling them. IIMJobs, Hrist, DoSelect, Zwayam, Naukri Gulf, Fast Forward, JobHai, which is our blue-collar business. Of course, we keep evaluating opportunities, but we're not looking to acquire anything in the near term, as far as the recruitment business is concerned. We will continue to invest very aggressively in AI. We've been seeing very good results. And that has again opened up a whole new area of opportunity for us. And traditional AI, which is basically more machine learning and now generative AI, we're working on developing a lot of new features and new products. So, that's the current plan. JobHai, we'll continue to invest behind, we started monetizing JobHai in Q1. We are encouraged with what we've seen, and we continue to press the pedal on JobHai also going forward. So, that's the plan for the next few months. But if you'd asked me, what was the plan for the next two years, two years back, we wouldn't have said this. We didn't see the big opportunity that we are now seeing in AI and the kind of impact it's having on our metrics. Our AI team has actually grown from 20 people to 100 people over the last 2-3 years. And that's something we continue to invest in. So, let's see how things evolve.

Nishu Jain: Thanks. That was helpful. And just on the contribution of Naukri Gulf to the recruitment business revenue.

Hitesh Oberoi: So, it's still a tiny part of our business. I think this year; Naukri Gulf will end up doing about a little more than Rs. 100 crores.

Nishu Jain Good. Thank you.

Anand Bansal: Thanks Nishu. The next question is from Nikhil Chaudhary from Nuvama. Nikhil, go ahead and ask your question.

question.

Nikhil Chaudhary: Thanks for the opportunity and congratulations on the solid numbers. After a long time, we have delivered on all metrics, revenue, billing, as well as margins. So, starting with billing first,

if I remember correctly, Hitesh, you have mentioned a few quarters back that if IT billing start touching double-digit and less buoyancy in the overall ecosystem. We can touch 20% type of billing growth. I know we have already reached mid-teen types of growth. Jobspeak continues to remain very strong. So, are we headed to 20%? And do you see any risk in our ability to see accelerated growth going forward? Like we've seen some slowdown in BFSI. We are seeing some negative commentary there. So, just want to understand in terms of can we see further acceleration here?

Hitesh Oberoi: We had a tough five or six quarters. And we've grown in double digits, maybe a better five quarters of low single-digit growth. October was not bad. October Jobspeak looks good, despite Diwali being in October this time. So, we are hoping that this momentum will continue, at least for some more time. It's very hard to predict what's going to happen three months down the line or six months down the line. There's so much uncertainty in the world around us. It's very hard to say what's going to happen. But like I've said earlier, IT companies have built up a big bench, and the utilization rates have fallen. Over the last five or six quarters that the utilization rates are now back to what they used to be before COVID. The non-IT markets continue to do well. We pressed the pedal on a lot of our new products over the last few months. What we call internally our strategic product portfolio businesses like IIMJobs, Hirist, the Naukri and Ambition Box branding, Zwayam, Do Select - these products grew collectively by about 50% for us last quarter. Five quarters of very low growth, but one good quarter. Hopefully this will sustain. And internally we've set a higher target than 14% for Q3, because our billing growth in Q2 was 14%. So, we set a higher target than that for Q3. Let's see. We'll be in a better position to comment on this maybe three months down the line.

Nikhil Chaudhary: Sure, understood. If you can, maybe it's too early, but quantify how big will be this strategic investment or maybe the early AI revenue monetization you are doing.

Hitesh Oberoi: There are many use cases for AI. Like I mentioned, we are deploying a lot of AI to improve our search experience, to improve our recommendations, to personalize our platform a lot more than earlier. And the results are very encouraging. And we are doing this in all our verticals, in Naukri, in Jeevansathi and now in 99acres as well. And wherever we are deploying AI, we are getting a 10-20% kicker. On satisfaction levels and on user experience metrics and so on and so forth. Two, we are using AI to build data products. So, we have a small data product business now in Naukri. It's a tiny business, but helps us build our brand. It gives us access to CHROs. And it generates interesting insights, for example, for the recruitment teams regarding sourcing strategies, regarding salaries, regarding their peer set and so on and so forth. So, we are building new products using AI and now we are beginning to monetize them. AI is going to almost every new feature which is being developed or every new innovation inside Infoedge now. There are a lot of things which are being powered by AI. For example, we're experimenting with what we internally call ShikshaGPT, a chat bot on Shiksha. Shiksha is a content and counselling platform. It's got a lot of content. It's not easy to navigate for students. We had a chat bot earlier on Shiksha, but the satisfaction levels of users were low but it's now being powered by AI and the satisfaction levels have shot up as a result. So, AI is being deployed and a lot of new features are being powered by AI. And of course, we have very aggressive

plans on how to use

even more AI going forward to one, enhance the experience, two, improve productivity inside the company in every part of the organization, three, to build new features, and four, to build new products.

Nikhil Chaudhary: Sure, Hitesh. Thank you so much for a detailed answer. Next one is on the real estate side. We have seen jump in website visit and time spent on housing.com. So, is it early indication of increase in competition?

Hitesh Oberoi: Housing has been spending aggressively for many years now and the competition with Housing continues to be intense. There's not much change on that front. Things are like they were a year ago or two years ago. We continue to work on improving our experience and on improving our offerings. They continue to work on their stuff. There's been no change on that front. Our performance has improved actually over the last few quarters. If we are able to grow the 99acres business by 20% or 18% in the second half of this year, then for the year as a whole, 99acres will actually be close to breaking even. That's what we are targeting. Let's see what happens going forward.

Nikhil Chaudhary: Last one on margin. While you have partially already answered that, but while this quarter we were expecting margin improvement because of one-time branding exercise last quarter, but the margin improvement was anyway better than our expectation. And you in the past called out that if you deliver 15% type of revenue growth, then you will be able to sustain and improve the margin. So, is it fair to say that the peak of investment pace or maybe bottoming out of margin has happened and margin largely remains stable or on improving trajectory?

Hitesh Oberoi: Like I've always said if we are able to grow at 15%, we can maintain margin. If we end up growing at more than 15%, we'll be able to improve margin. And if we end up growing at between 10 and 15%, we'll have to play with some things to maintain margin. We are seeing a lot of opportunity to grow faster in some of the new things that we are doing. We are not margin driven in that sense. So, we focus on top-line and we of course are frugal when it comes to spending and we spend on the right things. But at the same time, we don't want to starve any business or any department for funding if they have good ideas. That's how we operate. And as far as marketing spends go, we decide on a quarter on quarter basis.

Nikhil Chaudhary: Got it, Hitesh. Thanks a lot. Helpful as usual and good luck for coming year.

Anand Bansal: Thank you, Nikhil. Next question is from Vijit Jain from Citigroup. Vijit, go ahead and ask your question.

Vijit Jain: Thanks, Anand. Hi, Chintan. Hi, Vineet. Hi, Hitesh. Hi, Sanjeev. I just have one question on the property segment. You've started to provide these disclosures around the split between brokers, builders and consumers on both number of customers and the billings number. Just wanted to get a sense of if there are any pricing actions that you're specifically doing within these categories differently. Because if I just look at the trends in terms of realized billings per customer, there seems to be a fair bit of fluctuation. Looks like brokers have gone up, builders have gone up, but customers have gone down or owners have gone down. So, I'm just trying to get a sense of what you're trying to change into in this segment.

Hitesh Oberoi: Is your question regarding pricing?

Vijit Jain: I'm just trying to understand if you're playing with the pricing, you charge owners, builders, brokers differently now versus let's say earlier. And is that a part of some kind of a strategy here?

Hitesh Oberoi: We have a retail business and we have a new home business and we have an owner business. And the offerings are different for different businesses. Our broker business has been growing faster than our developer business. We've launched different listing offerings for brokers over the

last 12-18 months. So, there are regular offerings and there are premium offerings. I think our pricing has moved up as far as brokers go because a lot of brokers have moved to premium offerings over time. The owner business is a tiny part of the overall business. So, we end up working with a lot of owners. Per owner, we don't make a lot of revenue. And the model for owners is actually freemium. They can actually post listings for free and only a small percentage end up paying us. On the developer side, we have two kinds of offerings. There are a standard listing product and there's a cost per lead model also on which we work with some developers. For pricing in 99 acres, we use a lot of analytics. Every quarter we look at how much response we deliver to our clients, what competition is charging, how much property prices have moved up. We review prices and revise them every few months. We don't have one price nationally. We have city-wise pricing in 99 acres. Our pricing is different in different cities. At a macro level, I think our pools are moving up, the number of customers have moved up, listings are moving up. But at a city level, there could be wide variations.

Vijit Jain: Got it. Thanks, Hitesh. My second question is on the recruitment business. I can see that within the Billings growth, both realizations and the customer base are improving sequentially for the last couple of quarters. And I note that you obviously highlight Zwayam, DoSelect, AmbitionBox, some of these new initiatives doing better in the overall number. But your split of revenue doesn't seem to have moved much over the years, right? It's still 68% resume database. So, I'm just trying to get a sense of how the revenue split between things like resume database, candidate services and others get influenced as these newer initiatives do better. And why shouldn't, for example, the share of resume database starts to meaningfully go down as these other initiatives are doing better?

Hitesh Oberoi: It's come down over the last four or five years. We have the core Naukri business and there's database access revenue, there is listing revenue and there is branding revenue. Then we have a Naukri Gulf business, then we have candidate services business. We have IIM Jobs and we have JobHai and we have Zwayam and DoSelect. When we acquired them, these businesses were tiny four or five years ago. They were all in the revenue range of Rs. 10-15-17 crores. And they've grown substantially over the last 3-4-5 years but they're still tiny in the grand scheme of things. Naukri Gulf, like I mentioned is about a hundred crores plus, the fast forward business is about Rs. 130-140 crores in that ballpark. Zwayam, DoSelect and others may add up to another a couple of hundred crores. So I'm sure the resdex share in total revenue has fallen by a few percentage points but these businesses today are still small and they're growing fast. If they continue to grow at let's say double the rate of the core Naukri business or slightly more than that, then the resdex share of revenue will fall over time.

Vijit Jain: Thanks, Hitesh. Thanks everyone. Those are my questions.

Anand Bansal: Thanks, Vijit. The next question is from Vivek from Ambit Capital. Vivek, go ahead and ask a question.

Vivek: My first question is on the recruitment business. Non-IT is doing quite well and growing at a healthy pace. It has been the case for a while now. So, Hitesh, could you talk about the pricing trends, especially on the Naukri resdex side for non-IT customers versus IT customers and how to think about price hikes for the non-IT segment? That's question one. Second, you spoke about meaningful revenue contributions from AmbitionBox and JobHai. Is there a way you are looking at TAM or the revenue opportunity in these businesses? How to think about that better for all of us who are looking at the business in the long run? Thank you.

Hitesh Oberoi: Let me answer your second question.

Question first. We've just started monetizing AmbitionBox and JobHai. So, right now, revenue is tiny. But if we're able to grow these businesses at a rapid pace going forward, then they can become meaningful over time. Right now they are very small. I mean the JobHai was free till two quarters back and Q1-Q2 together the revenue is like Rs. 2-3 crores or less. But

we've got a lot of traffic, we're getting a lot of traction and we are now pressing the pedal of monetization. Let's see how that moves. AmbitionBox also, we just started monetizing. This is year one of monetization and it was free for several years. I think we acquired AmbitionBox almost seven years ago. So, we've worked on building the product and now we are at a stage where we think we can start monetizing it a little bit. But over time, these businesses may become meaningful, unlikely that they will become meaningful in the next two or three years, given that the rest of the portfolio is also growing rapidly. They're strategic from a long-term standpoint. Your second question was regarding pricing, right? First question was regarding pricing.

Vivek: Non-IT specifically.

Hitesh Oberoi: Yeah. Our business model is we charge per listings. We have branding solutions where we charge for impressions and so on. And on the database side, we have a base price and then we charge on the basis of the number of emails you send and the number of resumes you view and so on and so forth. So, our model is the same for both IT and non-IT. It's just that the IT companies end up using us a lot more and they were hiring a lot of people and therefore ARPU from IT customers are higher. Our share of hiring as far as IT customers grow is much higher than our share of hiring for non-IT customers even today, though those numbers are moving up. So, the model is the same. Because our business was slow for the last few quarters, we haven't really taken any price increase. So, what you're seeing is, at least for the last few quarters, there was no, and Chintan correct me if I'm wrong, there was no real price-led growth, right?

Chintan Thakkar: Yeah, there's nothing very significant to call it.

Vivek: Okay. Extending this question a little bit. So, you're saying that the model is the same, whether it's IT or non-IT in terms of, let's say, number of emails or CV views. So, does this mean that you are charging the same amount of money to hire someone with five years of Java experience versus the resume of someone in entry bank sales with two years of experience? So my question is that the pricing is on volume basis without looking at quality of resume, is it?

Hitesh Oberoi: Yes, that's the current business model. There's a base price and then we charge per login and then on top of that we charge for number of emails and number of CVs viewed and so on and so forth, as far as the core database offering is concerned. And then, there's a negotiation across the table with customers. What ends up happening is that we discount a lot less with IT customers than with non-IT customers because IT customers end up realizing more value through the platform. That's how it works out in practice.

Vivek: Okay. Going forward, do you think it is possible to introduce a pricing model where you are able to charge, let's say, much more for a CV or for candidates who are very high value to organizations versus, say, entry level or, let's say, candidates who are easier to find? And what would that entail?

Hitesh Oberoi: We don't actually get to know how many people get hired through us. What we can track is the number of emails that you send, the CVs that you viewed on our platform. And of course, we use a lot of analytics to understand how much value the customer is getting out of the Naukri. But this is our model and there's an accuracy level of every model. But we have these analytics and we have this data. We use it to determine or to estimate the value that we are creating for

our customers

and we equip the sales team with this data and when we meet customers to sell and negotiate with them. And then there's a negotiation post that. So, some of this stuff is taken into account while negotiating and customers also understand. But we don't have any way of actually knowing how many people got hired through us. So, that makes it a little tricky. Now, can we move to a model which is a credit-based model where, depending on which CV you view, a different number of credits are consumed? Theoretically, yes. And we've given it some thought. But it's not on the anvil at this point in time.

Vivek: Thanks for the elaborate answers. All the very best.

Anand Bansal: Thanks, Vivek. Next question from Dipanshu Rath. He is an individual investor.

Dipanshu, go ahead and ask your question.

Dipanshu Rath: Thank you for the opportunity. My question is how the ARPUs have changed, the average ticket size has changed over the years for the core recruitment business. Second question is in the core recruitment business, we talk about the database access, we talk about the resumes and learnings, etc. So, what pie the database access holds and what pie the resume business holds?

Hitesh Oberoi: The database access and resume access is the same thing.

Dipanshu Rath: Okay, how the ARPUs have changed over the period and what are the general basis?

Hitesh Oberoi: Chintan?

Chintan Thakkar: Vineet, do you have these ARPU numbers that are readily available?

Vineet Ranjan: Yeah, I'm just putting it on. Dipanshu if you look at this page, we disclose this for a full year basis. This is how our number of clients have gone up, how the billings have gone up and how the ARPU has gone up over the years. In FY22, it was Rs. 86,000 per client, which went up to Rs. 111,000 in FY23 and was Rs. 113,000 in FY22.

Dipanshu Rath: Okay. Got it. Thank you.

Anand Bansal: Thanks, Dipanshu. Next question is from Omkar from Barclays Investment. Omkar, go ahead and ask your question.

Omkar: Two questions from my side - both on 99acres. Firstly, if we look at the total number of listings

on 99 acres right now, they are the same as we had them pre-COVID, possibly 5-10% higher. With the increased scale of operations and what you've seen in the real estate industry, I'd expected this number to be a lot higher. Why would that be the case that this number is low?

Hitesh Oberoi: See, it could be 2-3 things. One is obviously, we've upped our prices. And when you up prices, you end up losing some customers at the bottom of the pile. And second, I think the real estate market has been solid for the last couple of years now. And in a good market, it's easier to sell property. So, sometimes in a tough market, it could take you six months to sell a house, eight months to sell a house. In a good market, you can actually get done in like two months or sometimes even a month. So, that also makes a difference. I don't have all the detail, but these could be the factors that work.

Omkar: Okay. And how do we see this number going forward?

Hitesh Oberoi: I have no idea because the other thing you must keep in mind is that we have buy listings, rental listings, and commercial listings. So, sometimes buy listings may go up, rental listings may go down. We run various kinds of offers from time to time for our clients. That sometimes also impacts the number of listings we get on our platform. I think at this point in time, the number of listings on the platform are up 8% year on year. That's the number I got. How will this number move going forward? Hard for me to say.

Omkar: Okay. And in terms of monetization of these listings, so right now it's around 65-66%, I guess. Pre-COVID, we also had similar numbers. Paid listings has percentage of total listings. And this has decreased during COVID and increased. So, this is also due to the pricing thing.

Hitesh Oberoi: Our business model is that it's free for owners to list. Bro-

kers have to pay if they want

to list properties on our platform. So, this ratio is a function of how many broker listings you get versus how many listings you get on our platform.

Omkar: Okay. Fair enough. Thank you.

Anand Bansal: Thank you, Omkar. There is a repeat follow-up question from Nishin Jain. Nishin, go ahead and ask your question from Fairview investment.

Nishin Jain: Just on the backdrop of a good scale up in Naukri Gulf, would you be inclined to explore any other geographies at this point in time?

Hitesh Oberoi: The bulk of our business comes to the UAE and we have many business in countries like Qatar, Bahrain, and Oman. Saudi, we do some business, but we don't have a physical presence in Saudi. We have a physical presence in Dubai and in Abu Dhabi. This business has been growing at 18-20% for us for the last few quarters now and is now profitable. As of now, there is no plan to expand into more countries. We will continue to focus on the UAE and some others, like I said, on Bahrain, Qatar, and Oman for the next few quarters at least.

Nishin Jain: Okay. That's helpful. Thanks.

Anand Bansal: Thank you, Nishin. Next question from Amit Chandra from HDFC Securities. Amit, go ahead and ask your question.

Amit Chandra: Thanks for the opportunity. You mentioned about the benefits we are seeing from the AI tools that we have implemented. I just want to understand, is there any differential pricing also that we're charging from clients for this AI offering or is it only for the customer or for the resume or for the person who is getting hired? And also, in terms of investments, how to see the investments that are going into this AI? Maybe in the initial years, it's in the investment phase, but over the longer run, can we see the higher margins coming out of the investment that we are making here?

Hitesh Oberoi: As of now, we are not charging extra for AI features, at least in our core offering. We are using AI to improve the experience for both job seekers and recruiters on our platform in Naukri and for the people who are listed on Jeevansathi. And we believe that if we improve the experience for them, more people will get hired through us or more matches will get made through us. And in the end, we will realize value somewhere. That's how we are currently using AI. We have launched some new products using AI. Like I said, we launched a mock interview offering in our candidate services business, where you can upload your resume and the AI helps you prepare for the interview. And that's a paid offering, but it's many right now. We're not monetizing it very aggressively. And we are using AI to build new features. For example, we're using AI to create content. We are using AI to help recruiters write better job descriptions. That's where we think where things are today. We are constantly thinking of how to create a new revenue pool using AI. One area where we have made progress is the data products. Some of the data products will be launched in Naukri - Talent Pulse, Competition Pulse. We get some revenue from these offerings, which we now make available to HR departments of companies, but early days here. We've been using machine learning for many years now. LLMs are new and we are now learning how to use LLMs also to improve the experience. Like we just launched a ShikshaGPT, a chatbot on Shiksha using LLMs to enhance the user experience for our users. But that's also free right now. We're not charging for it. AI will continue to be a major area of investment for InfoEdge. In fact, we want to double down on our AI investments and I think we will realize value very quickly. The value from these investments we will realize the value very quickly. It's not as if it's going to be a very long gestation period. We had built some brand-new products using AI, now those products will have to be tested, they'll have to be taken to market, the revenue model will have to be figured out over time. So,

there will be a lag between the investments we make and the sales we get.

But on our core platform, wherever we are deploying AI, we are seeing very healthy ROI already.

Amit Chandra: Okay. And also, if you can highlight whether the AI is also being used in the same manner in other platforms like 99acres and like Jeevansathi, as we are using it in another core equipment platform, or is it too early?

Hitesh Oberoi: It's already being deployed in Jeevansathi and 99acres as we speak and even in Shiksha. Of course, Naukri is a much bigger business. So, 70-80% of all our AI effort goes into Naukri. But the other businesses are also benefiting tremendously from AI already.

Amit Chandra: Okay. And you mentioned that we have scaled the AI workforce to around 100. So, is there any number or plans in the near term? Is it all the investment in terms of people are done?

Hitesh Oberoi: We are investing in hiring machine learning engineers, data scientists, AI strategists. We are deploying AI tools, leveraging LLMs, and are soon going to be buying GPUs. So, these investments just started. AI is also developing very rapidly and things are changing very fast in the AI world. So, these investments, as long as we're getting greater ROI, which we already are, we will continue to invest more and more in AI.

Amit Chandra: Okay. And on the matrimony platform, we have seen quite good development there in terms of billings and also the losses have reduced. So, how to see it from here on whether it will be profitable next year, meaningfully profitable or we want to operate it at the breakeven level. And also some of the initiatives that we have taken have actually worked well in terms of the change in strategy. So, is it going to be the same status quo or are we planning something else there?

Hitesh Oberoi: In matrimony, we were losing a hundred crores plus a year, two years ago. And we are hoping to get to breakeven this year or close to breakeven this year. That was our goal. We haven't really given it too much thought on what we will do going forward. The model seems to be working. The product innovation is solid. AI is helping. So, if we get to breakeven this year or close to breakeven this year, and we are also working on smart monetization because we went free and for a while our revenue took a big hit and now we are trying to get revenue back. And once we get to breakeven, then we'll apply our mind again to what next in matrimony.

Amit Chandra: Okay, thank you and all the best. Thank you.

Anand Bansal: Thank you, Amit.

Vineet Ranjan: Hitesh, there is one question in the chat. This is from Deepak. The revenue per unique customer in recruitment solutions business since last 4-5 quarters is hovering around Rs. 58,000 to Rs. 60,000 on a quarterly basis. With IT now gradually recovering, and higher ARPU, can Rs. 60,000 be considered as a floor from here or would incremental customer acquisition will be partly discounted.

Hitesh Oberoi: When we acquire new customers, ARPUs are lower because most customers start small and if the results are good then they upgrade over time. And of course, a lot of the customers we acquire are small customers as well. So, for new customer acquisition, ARPUs are normally very low. We are in a difficult market, it's hard to uprise this. What we are doing right now is trying to sell more products to them. Like I said, we have a whole bouquet of offerings. We try and sell more and more products to them and that's how we get higher billing from them. In a hot market, when hiring becomes very hard and consultants also up their prices and it's very hard to get talent and numbers go up, then that allows us to up prices. And that's what we saw maybe two years ago when we had the great resignation and hiring was hard and a recruitment rates doubled in almost every company, we were able to up our prices. But for the last six quarters, it's been hard for us to even maintain the same

price. So, a lot will depend on the hiring environment going forward as far as pricing is concerned. The new products, we'll keep pushing because penetration there is low and there's a whole lot of opportunity to get new customers for the new products in our portfolio.

Vineet Ranjan: And also Hitesh, one should look at it on an annual basis than quarterly because in quarter four seasonally we record strong billings. So, then this number suddenly shoots up. So, one should also look at on an annual basis.

Anand Bansal: That was the last question we had for the day. In case any more questions, please raise your hand. No, there are none.

Vineet Ranjan: Thank you everyone for joining. On behalf of Info Edge, we conclude this conference call. Thank you.

Hitesh Oberoi: Thank you and have a great evening.

Anand Bansal: Thank you so much everyone. We conclude this call.

Call: Feb 2025

Date: February 11, 2025

1. The Manager- Listing
National Stock Exchange of India Limited
(Scrip Code: NAUKRI)

2. The Manager- Listing
BSE Limited
(Scrip Code: 532777)

Sub.: Transcript of Earnings Conference Call on financial results for the quarter and nine months ended December 31, 2024

Dear Sir/Madam,

In furtherance to our letter dated February 5, 2025 and pursuant to Regulation 30 of the SEBI (Listing Obligations & Disclosure Requirements) Regulations, 2015, we wish to inform that the transcript of Earnings Conference call on the Financial Results for the quarter and nine months ended December 31, 2024, held on Wednesday, February 5, 2025 at 5:00 pm (IST), post declaration of results, is enclosed herewith. The copy of the transcript is also available on the Company's website at https://www.infoedge.in/pdfs/financial_pdfs/f_Earnings/investor-concall-transcript-11feb2025.pdf

Request you to take the same on record.

Thanking you,

Yours faithfully,
For Info Edge (India) Limited

Jaya Bhatia
Company Secretary & Compliance Officer

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EMAIL: w.:bmaste1@11m1k ri.com URL: http:,'.' ww.infocdge.in CIN No.: L 74899DLI 995PLC06 802 I
Regd. Office : Ground Floor, 12A, 94, Meghdoot, Nehru Place, New Delhi-I I 00 I 9

"Info Edge (India) Limited Q3 FY '24-25
Results Conference Call"

February 5, 2025

MANAGEMENT :

Mr. Sanjeev Bikhchandani – Founder & Vice Chairman,
Mr. Hitesh Oberoi – Co Promoter & Managing Director,
Mr. Chintan Thakkar – Director & CFO.

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Vineet Ranjan: Good evening, everyone. Welcome to the Info Edge (India) Limited Q3FY25 Earnings Conference Call. Joining us today from the management, we have Mr. Sanjeev Bikhchandani, Founder and Vice Chairman; Mr. Hitesh Oberoi, Co-Promoter and Managing Director; and Mr. Chintan Thakkar, Director and CFO. Before we begin, we would like to draw your attention to the detailed disclaimer included in the presentation for good order sake. Please note that this conference call is being recorded. All participant lines will be in listen-only mode, and there will be an opportunity for questions and answers after the presentation concludes. Now, I'd like to hand over the call to Mr. Hitesh Oberoi for his opening remarks. Thank you, and over to you, Hitesh.

Hitesh Oberoi: Thank you, Vineet. Good evening, everyone. Welcome to Info Edge's earnings call for the third quarter of FY25. We will start with an update on standalone financial performance, then cover segment results in more detail along with the commentary on each business and finally, we'll have time for Q&A.

For the standalone business in Q3 of FY25, billings were Rs.688 crores, a Y-o-Y growth of 16% and revenue was Rs.672 crores, a YoY growth of 13%. Billings and revenue including Zwayam and DoSelect were Rs.690 crores and Rs.694 crores respectively, a YoY growth of 16% and 13%. Operating profits at the standalone level grew by 20% YoY to Rs. 263 crores and the operating margin expanded by 249 basis points to 39%. The standalone business generated cash from operations of Rs.346 crores in Q3FY25 a YoY growth of 27%. In Q3FY25, the cash generation from the recruitment business was Rs.333 crores, a YoY growth of 20%. The non-recruitment businesses at an aggregate level were also cash positive and generated cash of Rs.13 crores in Q3FY25 vs. the cash loss of Rs.3 crores in the same quarter of the previous year.

In the first nine months of FY25, the standalone business billings were Rs.1,898 crores, a YOY growth of 14% and revenue was Rs.1,967 crores, a YoY growth of 11%. Billings and revenue including Zwayam and DoSelect were Rs.1,957 crores and Rs.2,024 crores, a YoY

growth of 14% and 11% respectively. Operating profits grew by 15% YOY to Rs. 742 crores and the operating margin expanded by 126 basis points to 38%. The standalone business generated cash from operations of Rs.781 crores in the first nine months of FY25, a YoY growth of 17%. The recruitment business generated cash of Rs.812 crores in the first nine months, and the cash losses from the non-recruitment businesses were reduced by 75%, from a cash loss of Rs.79 crores in the first nine months of FY24 to Rs.20 crores in the first nine months of FY25. EPS before exceptional items, net of tax and deferred tax for Q3FY25 stood at Rs.20, a YoY growth of 21% and was Rs.58 in the first nine months of FY25, a YoY growth of 19%. The cash balance of InfoEdge, including wholly owned subsidiaries, at the end of December 2024, stood at Rs.4,290 crores. The headcount as of December 2024 end was 5,883.

The Board of Directors has approved entering into a contribution agreement to commit up to Rs.1,000 crores from Infoedge or through wholly owned subsidiaries to "IE Venture Investment Fund III". This fund will primarily focus on investing in early stage tech driven startups in India. Key investment areas include consumer internet platforms, software products, SaaS businesses, and AI-led and AI-enabled platforms and products, amongst others.

The Board of Directors has also approved the split of existing equity shares. Each equity share with a face value of Rs.10 will be subdivided into 5 equity shares, with a revised face value of Rs.2. The primary objective of this share split is to enhance liquidity in the market and to encourage greater retail investor participation. Both these proposals are, of course, subject to the approval of the company's shareholders.

Moving on to segment price performance. We'll start with the recruitment business. In Q3FY25, billings grew by 15% to Rs.494 crores, and revenue grew by 12% to Rs.505 crores. The operating profit improved by 15% YoY to Rs.298 crores and the operating profit margin was 59%. Cash generated from recruitment operations was Rs.333 crores, a YoY growth of 20%. In the first nine months of FY25, Recruitment billings grew by 13% to Rs.1417 crores and revenue grew by 9% to Rs.1471 crores. The operating profit improved by 6% a YoY to Rs.838 crores and the operating profit margin was 57%. Cash generated from the recruitment operation in the first nine months of FY25 was Rs.812 crores.

The key operational highlights of the business are as follows. The billings growth rate of 15% in Q3 was broad-based across all segments, with the IT segment growing by 16%, non-IT by 17%, and the recruitment consultant segment by 9%. Key non-IT sectors like BFSI, Healthcare, Manufacturing and Infrastructure grew at a double-digit growth rate. The GCC segment has also grown well and now contributes to about 12 to 13% of all Naukri billings. The Jobspeak index on a YoY basis has also consistently improved over the last four quarters, progressing from -10% to -4%, then to plus 5% and reaching 7% in the most recent quarter. This trend reflects a gradually improving hiring environment. Along with a better macro environment as reflected in the Jobspeak index, our niche and adjacent businesses have also continued to perform well. Our niche and adjacent businesses such as iimjobs, Naukri Gulf and Naukri Fast Forward have all shown good growth in Q3FY25 as well, with Y-o-Y billings growth of 29%, 21%, and 21% respectively. Zwayam and Do Select combined also registered a billings growth of 18% on a YoY basis. Ambition Box and JobHai, which began monetization in Q4FY24, continued to grow and showed improved performance in this quarter as well. Although still small,

these businesses hold great potential and could grow substantially over the next 4 to 5 years. Our employer branding solutions offered across platforms like Naukri, iimjobs, Hrist and AmbitionBox have been well received by our clients.

We are working on strengthening these offerings further and expanding our market penetration. On the job seeker side, our Naukri platform now hosts around 104 million resumes and has added an average of 19,500 resumes per day in Q3FY25. On the recruiter side, metrics like searches, CV views, and Nvites also continue to grow. In summary, our recruitment business continues to grow across all customer segments, complemented by strong performance in our niche and adjacent businesses. We remain optimistic that this positive momentum will carry forward into the upcoming quarters provided the economy stays buoyant.

Moving over to the real estate segment. In Q3FY25, billings growth improved by 16% to Rs.103 crores, and revenue grew by 17% to Rs. 104 crores. Operating losses were reduced by 67% to Rs.5 crores vs. Rs.15 crores in Q3FY24. This improvement was driven by revenue growth and controlled operating expense increases, resulting in enhanced operating leverage for the business. Cash losses from the operation were Rs.3 crores vs. Rs.7 crores in Q3FY24.

In the first nine months of this year, in the real estate business, billings growth improved by 15% to Rs.291 crores and revenue grew by 18% to Rs.305 crores. Operating losses reduced by 39% to Rs.33 crores vs. Rs.54 crores. In the first nine months of last year, cash losses from operations were Rs. 24 crores versus Rs. 43 crores. The key operational highlights of the 99Acres business are as follows. For 99Acres, billings growth in Q3 was driven by growth in both the number of billed customers and average billings per customer. Broker billings grew faster than developer billings. Live new project listings grew 9% in Q3, and live resale plus rental listings from brokers grew 20% YoY in Q3. In the upcoming quarters, 99Acres will continue to focus investments on growing its user and client base, and in delivering a superior platform experience to help the users make the right real estate buying decisions.

Moving over to the matrimony business. In Q3FY 25, the billings growth momentum continued. Billings grew 36% to Rs.28 crores and revenue grew by 24% to Rs.27 crores. Last year in Q3FY24, the business introduced shorter duration products, leading to more revenue being recognized in the same quarter and less carried forward to future quarters. As a result, the revenue growth rate in Q3FY25 was lower than the YoY billing growth rate. Marketing investments increased slightly in Q3 ahead of the post-Diwali wedding season in North India, and were supported by social and content marketing to enhance brand recall. While YoY marketing expenses remained flat, spending rose by Rs.5 crores sequentially. The operating losses on a YoY basis reduced by 51% to Rs.7 crores. The business generated cash from operations of Rs. 80 lakhs in Q3FY25 vs. the cash loss of Rs.11 crores in Q3FY24.

In the first nine months of this year, matrimony billings grew by 34% to Rs.79 crores and revenue grew by 30% to Rs. 80crores. Operating losses were reduced by 81% year on year to Rs.10 crores in the first nine months of FY25 versus Rs.49 crores in the first nine months of FY24. Cash loss for the first nine months was Rs.5 crores, a YoY improvement of 89%.

Key operating highlights for the business. In Q3, the business team continued to build on its momentum efforts to grow billings. The new paid plans introduced in the previous quarters continue to enhance value realization and drive sales conversions. Additionally, more pay walls are being tested to improve momentum while maintaining customer engagement. The team is actively working on developing new strategies to enhance platform momentum, while increasing efforts to drive traffic in core North Indian markets. Providing a high quality matching matchmaking experience on Jeevansathi remains a top priority we plan to make further investments in enhancing our matchmaking algorithms to deliver better outcomes for users.

rs. Key metrics such as acceptances and two way chats on the platform continue to grow and demonstrated a strong performance.

Moving on to the education business. In Q3FY25, billings were Rs.44 crores, a YoY growth of 12% and revenue grew by 3% to Rs.35 crores. Operating loss from the business was Rs.1 crore. The business generated cash from operations of Rs.15 crores in Q3FY25.

In the first nine months of FY25, billings were Rs.111 crores, a YoY growth of 13% and revenue grew by 11% to Rs.111 crores. The business achieved breakeven at the operating profit level in the first nine months and generated Rs.10 crores in cash from operations. Within the Shiksha business, in the first nine months of FY25, the domestic business grew by 26% YoY, and the study abroad business declined by 16% YoY, leading to an overall business growth of 13%.

Domestic private universities and colleges continue to expand their course offerings beyond engineering, with more choices available to students. The emergence of new private universities in India presents a n opportunity for Shiksha to further expand its footprint. We are investing in creating more comprehensive, student friendly content and building deep domain expertise in this segment. Stricter restrictions for study abroad students in Australia and Canada, higher visa rejection rates for those aspiring to study in the US, and a decline in job prospects for students abroad have reduced student interest in going overseas.

On the AI front, our current focus is on three key AI priorities, one, enhancing existing products using AI, two,

-using AI to develop new AI-powered features in existing products, and three, building future-ready products. In line with this, we continue to upgrade our database product with AI and machine learning, resulting in an 8 to 10% increase in recruiter productivity. Similarly, new AI models for job search and recommendations have driven a 10 to 20% year-on-year improvement in the job seeker in job seeker engagement. As shared on the previous call, AI-powered features like Mock Interview and Resume Maker continue to get traction with monthly active usage of 11 lakhs and 12 lakh users respectively. Our AI initiatives are increasingly becoming the foundation of our business, driving growth across all verticals, whether in recruitment, 99Acres, Jeevansathi and Shiksha. In summary, our sustained investment in AI-based innovation is strengthening our competitive edge while delivering greater value to our users and customers.

Moving on to the consolidated financial highlights. At the consolidated level, the net sales for the company stood at Rs.722 crores in Q3FY25 vs. Rs.627 crores in Q3 of last year. The total comprehensive income was at Rs.3182 crores in Q3FY25, compared to Rs.2624 crores in Q3FY 24. Profit before tax without exceptional items in Q3 was at Rs.417 crores compared to Rs.185 crores in Q3FY24.

To summarize and reiterate our mid to long term outlook, we are enthusiastic about the growth opportunities across all our verticals. Following several quarters of subdued demand, our recruitment business is now showing sustained growth with growth across all segments, IT and non-IT and consultants. To diversify and expand our client base, we are strengthening our go-to-market offerings and acquiring new clients and focusing on the GCC segment, non-IT sectors, and by increasing our presence in Tier two and Tier three cities. Our niche and adjacent businesses, iimjobs, Naukri fast forward, Zwayam, DoSelect, AmbitionBox are performing well and unlocking new growth opportunities. In 99Acres, we are focused on expanding our user base, enhancing the platform and providing valuable content to support informed real estate decisions. We are also developing new offerings aimed at strengthening our secondary business while enhancing our position in the primary new home segment. Jeevansathi shift to a freemium model has been successful, driving

topline growth and moving

the business closer to breakeven. Shiksha's domestic business remains on a steady growth trajectory and is already profitable. Across all the businesses we are advancing the deployment of AI and machine learning to enhance search and recommendation experience and for the development of new features and products. These efforts have improved user engagement, boosted productivity, and increased operational efficiency. Our robust cash generation and healthy cash reserves remain a significant strength, enabling us to navigate market cycles effectively. We continue to evaluate the best strategies to deploy this cash to maximize shareholder returns. We are confident that these efforts position us well for sustained growth and success in the coming years.

Thank you and we are now ready to take any questions that you may have.

Vineet Ranjan: Thank you, Hitesh. Anand, we can start with the questions.

Anand Bansal: Thank you so much, Hitesh and Vineet. The first question is from Vijit Jain from Citigroup.

Vijit Jain: I have two questions. One, thanks for disclosing those data points on billings between IT and non-IT recruitment firms. Just looking at that data and looking at the YoY growth there, it looks like, the recruitment firms appears to be trailing it since Q2FY24, six quarters in a row. This is despite non-IT being higher than IT so it seems like the IT part of recruitment consultants must be seeing a pretty sharp slowdown since these are pretty correlated with IT. Should we see this leg of the business to meaningfully recover from here? I don't know if that's very complicated, but it looks like, recruitment consultants is up 10%. IT services are up 17% and non-IT is up 17%. The recruitment should converge with the IT side, eventually.

Hitesh Oberoi: IT hiring continues to improve. If it gathers more momentum going forward, then, recruitment firms, which sort of work closely with IT companies, should also benefit. As and when that starts to happen, then our business from them should also start looking up.

Vijit Jain, Citigroup: So, generally, Hitesh, do you think, you know, the direction for the recruitment firm side, is up, or the direction for the IT side is down from here?

Hitesh Oberoi: I have no idea. I have said in the past that what had happened after Covid was that there was a wave of digitalization that led to massive growth in IT hiring, and then things slowed down suddenly. And a lot of companies, including ours, were caught napping. We had all overhired, and we had built a bench, and then over time, people got rid of their benches. They did not replace the people who were leaving. Now, at least all of us are at a point where if people leave, as long as we want to maintain the headcount we will need to replace them. So at least replacement hiring has started in all companies. In most companies, campus hiring is also picking up everywhere. Now, there are a lot of unknowns. There is a lot that will depend on how much business picks up for IT companies going forward. I don't know how this will play out. What we have seen over the last few quarters is that our Jobspeak index and our business has improved quarter on quarter. We were perhaps flat four quarters ago, and from there, we are now at plus 15 percent levels. Recruitment firms were negative perhaps four quarters back. Now, they're growing at least 9%. So if this momentum continues, then things will

look up from here on.

Vijit Jain, Citi: My second question is, just looking at the customer base, there's a double digit growth there for the first time again in a while. Is that partly benefiting from all those new cities you went into, new office openings? Is that playing a role into it? If you can talk a little bit about some of these newer customers that you've onboarded? If there's anything different about these?

Hitesh Oberoi: The economy is growing and there are more companies doing business than earlier.

We

continue to reach as many companies as we can. We've opened new offices, like you said. That's also helping. We are getting more inquiries online than earlier so we have a whole setup to convert all these inquiries into customers over time. So, in a growing market, in a growing economy, normally customer acquisition also grows, pricing also gets better, and existing customer customers also hire more. The market we are in right now is perhaps a moderate market. It's neither hot nor cold. It's a business as usual in most sectors.

Vijit Jain, Citi: Thank you so much. Those are my questions. Thank you Hitesh. Thank you everyone.

Anand Bansal: Thanks, Vijit. Next question is from Sachin Salgaonkar from Bank of America.

Sachin Salgaonkar, BoFA: Congrats on a great set of numbers. My first question is on 99Acres. Hitesh we consistently seen margin improvement out here. Looks like, competitive intensity is also not as intense the way it was in the past. Looking at the current trends and some of the new products that you're looking to launch. Is it fair to assume that going ahead this margin should be in a consistent positive territory? And again? Any general thoughts on what could be the steady state margin in this business?

Hitesh Oberoi: You hit the nail on the head that competition seems to be rational. That's true. That is the case at this point in time. The market is reasonable. We have also done a few things at our end which have resulted in margin improving. Marketing has become a lot more efficient than earlier. So we spent a lot less money on marketing this quarter compared to Q2. And we're able to get the same kind of growth and this should sustain going forward as well. I can't predict what competition will do going forward. Q4 is normally a very good quarter seasonally for us. Q3 is in fact a weak quarter. We continue to execute well. Competitive intensity remains similar. Then, Q4 should be good. There are two parts to our business. There is a new home business and there is a resale and rental business. On the resale rental side, we continue to execute well and that has been the case for now for about 7 or 8 quarters at least. We are very happy with the way we are doing in that segment. On the new home side, we are not very happy with our performance. Internally, we are working on a few things. But we have not seen the kind of success we would have wanted to see. Going forward, if the market remains reasonable and if competition competitive intensity remains reasonable, then this year, if all goes well, 99Acres on a cash basis will get close to breakeven. And, if we are able to grow our business in high-teens next year, then it should make some money. But it's very hard to say as to how things will play out. Like I said, a lot will depend on what competition does next year.

Sachin Salgaonkar, BoFA: Any general thoughts on steady state margin, looking at your peers in other countries?

Sanjeev Bikhchandani: Projected margins for a business like 99Acres, it's got roughly similar cost heads and cost structures as Naukri with marginal differences. You've got technology, you've got servers, you've got marketing, you've got a sales team and you've got head office costs. In Naukri variable cost is only sales commission. Therefore, it's 93% gross margin. Likewise in 99Acres. The question really is will it get similar margins as if it gets for the same resource deployment, for the same effort, and for the same cost. If it gets the same revenue increase, it will. So really the uncertainty which today is talking about is that we don't know how much revenue will get for this resource deployment and that is the unpredictable part. Therefore until we are clear on that we can't really predict margins.

Sachin Salgaonkar, BoFA: Thank you Sanjeev. Pretty clear out there. Moving on to my second question. This is about AI and, thanks for highlighting some of the ways you guys are

looking to use AI. Question out here is,

let's say from the next 12 to 18 months perspective, should we see more benefits on the revenue part with new products being launched or more benefits on the cost side with a bit more efficiency being utilized?

Hitesh Oberoi: What we've done successfully over the last few years on the AI front is we have basically improved our search and recommendation engines, our matching algorithms. As a result of which business like Jeevansathi, the number of acceptances on the platform have gone up. Similarly, the search experience on the Naukri platform is a lot better than earlier. The matching is a lot better now. All these things help in the long run. In the end, what happens as a result of all this is that more people get hired or more people find matches, through your platform and somewhere this is correlated to revenue. So one can't say, this is having

a direct impact on revenue because we don't charge on this basis and it's not a new offering. It's not a new product. But as your platforms become smarter, it becomes more efficient as more people get hired through you, or more houses get bought through you, or more people get married through you. Somewhere, it does reflect in revenue. So this is something which we have been doing for a while now and we've been very successful at. Now, of course we are also trying to develop new features and new products using AI and data. For example, some time back we launched, talent pulse offering in Naukri. Since then, we've expanded the suite of data products. We do get revenue some revenue from this suite of products we took to market a couple of years ago and we are working on building new products as well. But on new products, it's very hard to predict whether they will be successful or not when we take them to market. So efforts are on. But the other piece, which is, using AI to become more efficient, using AI to become faster, using AI to enhance existing offerings, that agenda will continue.

Sachin Salgaonkar, BoFA: Okay. So your standalone margins should continue to move up because of the AI led initiatives going ahead.

Hitesh Oberoi: Standalone margins in existing offerings? Yes, as long as we're able to get revenue growth it is also a function of the market, competition and many other things. Are we getting more efficient at delivering the same stuff? Yes.

Sachin Salgaonkar, BoFA: My last question is on GCCs. On the ground checks do indicate that in last 6 to 9 months, we are seeing some good hiring happening around GCCs. By the looks of it, the trend does indicate that the hiring out here is picking up. Directly, I know this was a relatively a smaller opportunity as compared to some of the IT services and others. But has this a potential of becoming much bigger than what it was in the past from opportunity perspective?

Hitesh Oberoi: Yes, I'll tell you why. It will depend on how fast GCCs grow and how big they become. GCCs when they start, they start small. They don't use us. So when they set up shop in the country for the first couple of years most GCCs start small. They may start with 50- 100 people and then over time scale up to 200- 300. Till then, they don't really depend on us for hiring. It's when they start scaling up is when they start using platforms like Naukri a lot more. In the beginning, it's most of the hiring is done through headhunting firms and the likes. Now the biggest GCCs in the country maybe employ 50,000 people. And then there are a bunch of small GCCs in the country which have maybe 50, 100, 200, 300, 500 people. Now, if the market continues to grow rapidly and more importantly the existing GCCs start to grow rapidly. The ones who are at 100, if they want to go to 1000, the ones who are at 2000 decide to go to 10,000. Then that will really benefit our business. So the point I was making is not so much the number of GCCs. It's how much the existing GCCs are likely to scale going forward.

rd, which matters more in the short term for us. Secondly, what we have seen is and I did talk about this a little bit. We have revamped and relaunched our branding offerings, and, we are seeing good traction in the market. There are lots of companies who are setting up shop and they're not known in the Indian market. So give or take, a couple of hundred companies. I don't think people know what the other companies out there do. So, we believe that the new GCCs will want to invest in brand building. They will want to invest in creating awareness about who they are, what they do to attract good talent going forward. So, that is another opportunity which we see emerging in the medium term.

Sachin Salgaonkar, BoFA: Thank you, All the best.

Anand Bansal: Thanks, Sachin. The next question is from Vivek from Ambit Capital.

Vivekanand, Ambit: Hitesh, first question is on AI. I know you spoke about the good side of AI, but is there any tension that you get from AI or LLMs being disruptive to recruitment? Because your current model is on Rs. per resume monetization. It is solutions oriented. But there is still an element of card rate and you give discounts and people searching through the database. Now, what if the way technology evolves and doesn't require the number of searches that are currently needed, the number of CV views?

Hitesh Oberoi: You're absolutely right that AI is an opportunity. And of course, if we are not able to capitalize on the opportunity and somebody else does a better job, then existing business models could get disrupted. So far, we haven't seen anything. We worry more about the impact of AI on jobs, which could impact our business. But that again is a debatable topic. Some people think AI will result in more jobs getting created. Some people feel AI will result in jobs going away. So I don't have an answer to that question. But on the technology side, AI can be disruptive. We are investing aggressively to see how we can leverage it for our benefit. Business models could evolve over time.

Vivekanand, Ambit: Sanjeev, just on another thousand crore investment that is being planned in the AIFs. How much of your total Rs. 3400 crore investment committed by the Aifs has been deployed? How many startups have been incubated across the three AIFs and is there any thought around recycling capital from your prior successful investments or even the AIFs themselves some of which are quite mature?

Sanjeev Bikhchandani: The three AIFs would be about maybe 90 to 100 companies approximately. And then there are balance sheet investments. There are another 7 or 8 companies there. Then, there is RedStart, which has another 20 companies. Then, there are the strategic investments, which I'm not counting here. So I would say non-strategic investments total would be ever done from 2007 onwards, whether through AIF or balance sheet or subsidiaries would be in the region of 120 plus approximately. Do we look at recycling? Yes, we do. But the point is that it's as and when exits happen and early stage investing and we'd like to be first cheques in the companies. Early stage investing often takes 8-20-12 years to mature and give you a possibility of an exit. At the same time, we like to hold on as long as possible. As long as there's enough growth and momentum in the company, as is the case in Zomato and Policybazaar. Because, what we also believe fundamentally is that if you have an investment in a company, you possibly have a future if you exit and take out cash, you've only got cash, and cash has no future other than 6%. At the same time, you could lose money if you make the wrong investments. We are cognizant of that. We are aware. We are conscious. We continue to invest. The operating business generates money. Some of that goes into investments and much of it does not.

Typically, when we do an AIF, roughly about 40 to 50% of the investable capital, is earmarked for first c

heques

into companies. The remaining 50 or 60% is for follow-on investments in the same companies. When we run out of first cheque money, which is within 3 to 4 years of launching an AIF. That is when we launch a new AIF. So it's not as if the older funds don't have money. They have money, but that's earmarked for follow-ons in the old portfolio.

Vivekanand, Ambit: Did I get the timing right? The first cheques are typically deployed in 2 to 3 years of the AIF being launched and then subsequent funding happens as capital calls.

Sanjeev Bikhchandani: Maybe three years, some times four years, but within three years, typically.

Vivekanand, Ambit: That's helpful. Last question, Hitesh on the non-IT recruitment revenue opportunity from your vantage point. How big a revenue pool is there for you in the non-IT recruitment segment? I know you have mentioned in the past that there are discounts that you give which are perhaps necessary for you to penetrate that market and acquire more users. You also mentioned that there's a lot of self-serve activity happening that people are logging on to your portal and becoming customers of Naukri directly. So can you walk us through how big can non-IT recruitment be in dollar terms or in terms of size of revenue pool, five years, ten years from now on?

Hitesh Oberoi: Non-IT revenue is approximately 50-52% of our revenue in Naukri. In terms of number of customers it's much larger and ARPUs are lower. What we've seen in the past is that whenever the economy grows sustainably at 6-6.5% for a prolonged period, we are have been able to grow our revenue at 20% plus. Non-IT is more indexed to the domestic economy as opposed to IT which is more indexed to what happens globally. So that's what we've seen in the past. If the domestic economy continues to grow at 6-6.5% per annum, unless we get new competition, unless something changes, historically we've seen that business is able to grow at 20% plus. Partly like I said it's because of new customer additions and partly it is because we are able to get price increases in a hot market, and partly it is because from existing customers there's more volume. So that's what we've seen in the past. Now, this assumes that nothing much changes in the world outside and competitive situation remains the same and we don't launch new products and so on and so forth. So you can do the math. Five years from now, if the Indian economy continues to grow at 6-7% per annum, then this is what is likely to happen. Of course, with AI, we're trying to launch new features, new products. We're trying to make the platform more efficient. In the past, I've always said that our platform is not as efficient for non-IT hiring as it is for IT. There's an opportunity there if you can fix some of those things and we continue to work on those pieces.

Vivekanand, Ambit: Just one last doubt that I had on the Jobspeak disclosures. The Jobspeak data now captures the indexed searches as well by recruiters. And typically searches translate into resume views which then straight away is accounted for in the database revenue that you have. So ideally the disclosures now the jobspeak that we get now should correlate more to recruitment billing right? But what we see is that the recruitment billing tends to grow much faster or maybe is much less volatile than jobspeak. Why is that so? And what are the other variables here that Jobspeak isn't yet capturing?

Hitesh Oberoi: You're right, a lot of the recruitment activity on the core platform is getting captured in jobspeak a lot better than earlier. In addition to this, like I mentioned in the call, we have all these new products and services, adjacent businesses which have nothing to do with job speak. If we are growing in the Gulf or if the HIRIST platform grows faster in a particular quarter or if iimjobs does better or if the candidate services business grows faster or if our branding solutions

for example even on the core platform are growing faster

than the main business and that will not get reflected in job speak. In a hot market, it's easy to take pricing up.

On the other hand, the opposite can happen in a slow market so if job speak starts to move up and climb rapidly, then theoretically it should be possible for us to take price increases as well. The reverse may happen on the way down. I'm sure there is some correlation, but there are many other factors as well which impact billing in a particular quarter.

Vivekanand, Ambit: Understood, Thanks a lot for elaborate answers to my questions and all the very best.

Anand Bansal: Thanks, Vivek. Next question is from Ankur Rudra from JP Morgan.

Ankur Rudra, JPM: The first question is IT billings growth number of 16%. How much of this came from the GCCs versus the IT companies this time? Was there a particular trend on one side versus the other?

Hitesh Oberoi: Breaking it up like that because GCCs hiring also includes non-IT hiring. It's hard for us to figure out and we don't give that. We don't do that cut right now.

Ankur Rudra, JPM: I know but from a flavor perspective is one stronger than the other are you seeing one segment

Hitesh Oberoi: Anecdotally, what I can tell you is that GCCs are perhaps growing faster for us but we haven't looked at the numbers.

Ankur Rudra, JPM: Are these larger GCCs that have begun to hire now in a big way, or are these newer GCCs?

Hitesh Oberoi: Yes, a lot of the large GCCs had frozen hiring. Some of them have started hiring again.

Ankur Rudra, JPM: Thank you. If the growth momentum continues the way it is we haven't really had meaningful amount of price increases for the last couple of years. Is there a chance we might take a meaningful price increase in calendar 25?

Hitesh Oberoi: Only if we have a hot market for hiring. We are focused on customer acquisition in the core Naukri business and in growing our adjacent businesses faster and higher penetration for those products. If the job market becomes hotter than it is today and talent becomes hard to get, then that makes it easier for us to take price increases.

Ankur Rudra, JPM: Last question is on the new fund. Is there any change in the mandated focus versus the previous funds?

Sanjeev Bikhchandani: No, it's still early stage tech.

Ankur Rudra, JPM: Okay. No change in terms of what you'll go after with an early stage tech also?

Sanjeev Bikhchandani: Within early stage tech, will depend on the market is like. The way we do it is we don't do it top down. We do it bottom up. We meet a few hundred companies. We look at a few hundred companies a quarter and then decide to invest in 2 or 3. So we'll see what's bubbling up from underneath and then we'll take a call. But in general, a few trends are emerging. I think it's pretty clear that AI is going everywhere. So no matter which sector, which company you invest in there will be an element of AI in there.

Ankur Rudra, JPM: Appreciate it. Thank you so much.

Anand Bansal: Next question is from Nikhil Chaudhary.

Nikhil Chaudhary, Nuvama: Hitesh, first one on the recruitment side. We have seen some data point especially on JobSpeak, some slowdown, especially on the hiring data. Last two-three months had been quite muted compared to the acceleration we were seeing in earlier months. And second, on the non-IT side, while most of the companies are calling out some slowdown due to macro and other stuff, we have seen our non-IT remain very resilient. So just color on overall demand outlook, especially for Q4, which is one of the most important quarter for us. We had a favorable base for first nine months. While Q4 won't be the same, we saw acceleration in Q4 of the last year. So do you think demand continue to improve and we would be able to deliver, let's say, mid-teen double digit growth or even higher in coming quarters?

Hitesh Oberoi: So let me a

answer the second question first. Q4 is a seasonally strong quarter, but Q4 last year was weak as well. So it's not as if we have a high base. The base is high because of seasonality. Not because Q4 last year was a great quarter. So, as far as your question on hiring in non-IT, it's very sectoral. There are some sectors that are doing well and some sectors which are perhaps not growing as fast. On the whole business is okay. It's not like I was saying, it's not a great market, but it's not a bad market either. It's somewhere

in the middle. As far as it is concerned, you're right, we saw some recovery, and after that, things have stabilized. It's not as if things moved up have continued to move up month on month. Having said so, it's a very volatile world. It's very unpredictable. Things change very quickly. Especially, in some sectors. For example, for the first three weeks of this quarter, all hiring was slow. But, the last two weeks have been good. I'm looking at the number of jobs, etc. on the platform and commenting on how will it sustain going forward. So I don't know. I mean, it's a little unpredictable on the whole. It seems like the market is stable. It's not neither moving up nor moving nor going down from where it was three months back.

Nikhil Chaudhary, Nuvama: Second One, bit on medium term. We have seen IT companies for the first time this quarter talking about their efficiency is finally coming and they expect finally they will have disconnect between hiring and revenue growth, while for the last decade, it was broadly the same. For the first time, there is a comment. This will lead to change in the business model with revenue per employee going up compared to employee additions. Do you think we also need to reinvent or might need to change our business model, especially in light with AI efficiency coming in one of the biggest market for us?

Hitesh Oberoi: We have been investing in AI for a while now. And, the earlier it was classical machine learning and now it is more AI as well. We are also looking at Generative AI to see what we can do with it. So one is, of course, we are trying to make our processes more efficient. In some areas we are managing with fewer people. In other areas, we are trying to get people to deliver faster. What used to take six months, can it be done in two months or three months? In other areas, we are seeing opportunity and we are hiring people to benefit from those opportunities which AI has made possible which were perhaps not possible earlier. So, where will we end up as a result of all this? I don't know. I guess where Indian IT companies will also end up will be a function of where they see opportunity. How much they want to invest in those opportunities and there will be some areas where they will become more efficient as well.

Nikhil Chaudhary, Nuvama: Just last point in terms of while I agree what Sanjeev said that it's difficult to predict the margin of business like 99Acres. Thus want to understand, you as a management would like to keep margin of non-recruitment businesses at a breakeven level or internally you would like to focus on making it further more profitable?

Hitesh Oberoi: The way we operate is we look at where we can invest. We look for ideas, we look for opportunities, and then we try and make those ideas happen. For example, we are investing aggressively behind our blue collar business. We are investing more and more with every passing year. We started monetizing it a few months back. And we are losing a lot of money right now. But we see an opportunity, so we are likely to increase our investment going forward in the blue collar business knowing very well that it will not generate a lot of revenue in the short term. Similarly, in 99Acres, there are areas where we see opportunity. We are going to invest a lot more than we were earlier investing earlier. We will not be irrational. It's more idea driven. It's more insight driven.

And the margin that we will end up with is going to be a function of what revenue growth is going to be like after making these investments, which is harder to predict. So that's how we operate. Now whether we want to make money in the business. Of course you would want to make money. Would we want to make it and get higher margins? Of course you want to get higher margins, but not, if we think it is going to hurt the business in the long run.

Nikhil Chaudhary, Nuvama: Thanks a lot and good luck for the coming period.

Anand Bansal: Next question is from Abhisek Banerjee from ICICI securities.

Abhisek Banerjee, ICICI: Thanks for improving the quality of disclosures every single quarter. The new presentation is really helpful. Most of my questions have been answered. Just to add a couple of bookkeeping type questions. One is, if you, see the nine months of FY 25, what would you see the average realization improvement from per client? How much has come of addition of new clients, in terms of recruitment revenues?

Vineet Ranjan: We don't disclose it for the intermediate period. We normally do it for the full year. But like Hitesh has mentioned the previous calls as well. In the first nine months and in the earlier quarter, it was mostly driven by volume than by pricing growth.

Abhisek Banerjee, ICICI: Understood. But I was trying to understand last time he had actually called out that despite not taking price increases per se, there was a realization improvement which happened because companies are hiring more senior people. So is that trend still continuing? That is what I was actually trying to get to.

Sanjeev Bikhchandani: Let me clarify, we don't get more revenue because somebody hired a senior person versus a junior person. So that doesn't change.

Hitesh Oberoi: We have value conversations with customers and we have analytics around how much they potentially benefit from the platform. That helps us negotiate with them in our negotiations. It's not as if we price like that. But at a macro level this year we have grown the number of customers. Also we have seen volume growth also and pricing growth has been very very modest.

Abhisek Banerjee, ICICI: Understood and one more point is that we saw exceptional loss of about 60 crores which was mentioned on account of something moving from being a subsidiary to listing an investment instrument. So, why the loss was recognized. I mean, is there a down round which happened? If you just could explain that part better.

Chintan Thakkar: I think if I understood the question correctly, you are referring to the impairment that we have done and we have shown it as an exceptional item in this quarter. So that represents one of the subsidiary company, Coding Ninja. When we invested we had certain expectations. And at that point in time, the valuation of Edtech companies were very different than what it is now. Although the company is actually doing well in terms of narrowing the cash burn as well as they are growing 30% plus. So although they seem to be doing well, but as compared to the projections that we had at the time we invested versus what it is today, I think there is a gap in the value of the asset that we are carrying in our accounts. That's why in consultation with auditors and following the conservative prudence and principles of conservatism, we have chosen to impair to the extent we thought that the value looks more realistic to where it stands.

Vineet Ranjan: Abhisek, just to add regarding your point on reclassification of one company from a JV to a financial investment. That was not this quarter. That happened last quarter. We had an external investor come in and we got diluted. So it was for the previous quarter, not this quarter.

Abhisek Banerjee, ICICI: Got it. Thanks and in terms of the demand outlook in the recruitment business. If you look at the total number of headcounts in the top IT firms, about

out the top ten IT firms in FY 24. Probably that number has gone down about 4%. Right and there was a lot of stuff written there and in terms of improvements from AI. People have often quoted a number of about 20% improvement in efficiency. So do you really see there is more room for jobs to be cut?

Hitesh Oberoi: I can't comment on how different companies are going to navigate this. GCCs have been talking about their headcount growing because that's a very different ball game. Jobs are moving from overseas to India. AI is also creating opportunities so it depends on how much you want to leverage those opportunities. There are many big tech companies that may be cutting headcount in some areas. They're hiring in other areas. So that's also happening. Our revenue is a function of gross hiring not net hiring. So if attrition rates move up for some reason, that also benefits us. Even though the company stays at the same headcount, but the attrition rate starts to climb, for some reason, it could be that GCCs start hiring from IT services companies and IT services companies are forced to replace the people who are leaving. That also helps us because it's a function of gross hiring and not net hiring.

Abhisek Banerjee, ICICI: This is very helpful. Thank you so much.

Anand Bansal: Next question is from Amit Chandra from HDFC securities.

Amit Chandra, HDFC: My question is on the recruitment segment. You mentioned that you're investing in the platform which is a blue collar hiring platform with JobHai. As of now, in terms of the revenue contribution, what is the contribution of JobHai and AmbitionBox in terms of overall revenue and billings? Also we are seeing that the billings growth for iimjobs, NaukriGulf and Naukri Fast forward is much higher than what we are having at the consolidated level in the recruitment segment so if you can elaborate more in terms of what are the opportunities that we see in the medium term here? You mentioned about lot of AI being offered so in terms of the pricing impact. How we are seeing AI impacting from the pricing perspective? The increase in the realization that we're seeing is mostly AI?

Hitesh Oberoi: JobHai and AmbitionBox are very small today. We just started monetizing them this year. So this year, our revenue from JobHai plus AmbitionBox will be less than maybe Rs.20 -25 crores in total. These are very tiny platforms. But they're very strategic for us in the long run and we will continue to invest behind them. For JobHai, this is the first year of monetization and for AmbitionBox as well. We've started only a few months back. There's a core business and there are these adjacent verticals like iimjobs, Hirist, Fast Forward, etc. Together, I think they account for about 20% of our collections in that ballpark in the recruitment business. Some of these verticals have been growing faster than the core business because the core business was very slow for the first few quarters. And in some of these verticals not in all of them, for example, the fast forward business is more job seeker oriented. There is a penetration game also which is still playing out. So it's not as if we are like the naukri business where penetration levels are very high. Here in some of these verticals penetration levels are low. So we are trying to get more and more customers onto our platform as well. We will aspire to and want to grow these adjacent verticals at a faster clip than the core Naukri business. As far as

AI concerned, it is mostly being deployed on the core platform. If you do a good job then what should happen as a result of that deployment is that our platform should become more efficient and more effective. If companies were hiring maybe 40 out of 100 people through our platform earlier, we should be able to take this number from 40 to 45 or 50, number one. Number two, we should be able to help them save time as well and get them to hire people faster because they

should be able to find the right candidates faster. Now, this is a journey. It's not as if we change the algorithm and things start to work. We have to keep iterating, keep testing, keep deploying new stuff, see what's working and what's not working. We get feedback, we change things, etc. But we have been investing and we've seen some good results. So as pricing is concerned, we are not charging extra for AI. Right now we are offering it to everybody. And what I have said earlier, it's not easy. We've seen at least over time is that it's not easy to take prices up in a regular market. We can get a 3 or 4% increase. It's hard to get more than that in a regular market or in a slow market. Of course, you end up discounting less once the market starts to improve, then it's possible to take higher increases.

Amit Chandra, HDFC: My last question on the 99Acres platform. We are seeing improvement in terms of billing and profitability there. We are seeing the best phase of the real estate market. Despite that we have not been able to monetize on that. Billings from the new project listing is not up there as we would have intended to be, so what's not working out there?

Hitesh Oberoi: Let me break this up at a very high level. There is a new home market and there is a secondary market. Within secondary, I'm including the rental market. So the resale and rental market continues to do well for us and our business has been growing at a reasonably healthy rate. And, we are perhaps gaining share in that segment as well. But it's less than half our business. The new home market has been hot. Within the new home market, there is a new launch market, which is perhaps what you're referring to and then there is a regular sale of under-construction homes market (projects which were launched maybe a year ago, two years ago, three years ago). We don't really have a very big play in the new launch space. So that market is actually currently not with us. It's with Facebook, it's with Instagram, it's with Google. We have a very tiny share. Not just us but all real estate portals have a very tiny share of that market. We are working hard to see how we can increase our share in that market. Within that market also where we have seen a flurry of activity in premium housing. In fact, affordable housing has been slow right throughout the country. It's not as if the affordable housing market is very hot. It's actually perhaps easier to launch and sell five crore apartments than it is to sell an apartment for 70 lakhs, 80 lakhs, 1 crore right now. I know there's a lot of buzz around real estate and prices have moved up and so on in some markets. But it's not as if every segment of that market is doing well. We continue to do well in the secondary market. We continue to do well in under-construction homes. We still have a long way to go before we crack the new launch market which is where the big tech companies do really well.

Amit Chandra, HDFC: Yeah understood. Thank you thank you and all the best.

Anand Bansal: Next question is from Hulash Goyal.

Hulash Goyal: Just a quick question from me on the 99Acres business. If we see the pace of the quarterly run rate of the revenue or the billings, it's been pretty steady over quarter over quarter but profitability has improved substantially. So could you flesh out what has led to that improvement? Where have you pulled the levers?

Hitesh Oberoi: Our manpower costs have been under control. Big platform work is already done and now we are improving things. A lot of investments have already been made and similarly, on the operating side and on the sales side we're not adding a lot of headcount and I don't think we need to add a lot of headcount. If the platform can deliver better going forward we can keep getting revenue growth. So there's high operating leverage. Number two, our marketing has become a lot more efficient and of course early days and this we saw some

encouraging results in Q3. Now, we have to see whether that sustains going forward. But the platform is able to deliver a lot more inquiries and leads than earlier with the lower marketing spend today than was perhaps the case six months ago. So that's also helping.

Hulash Goyal: Sure thanks a lot.

Anand Bansal: Salil you can go ahead.

Salil Desai: My question is that you mentioned the impairment clarification was two things. The business itself is doing well but tech valuations are down and that is why there's an impairment. Now, just help me understand we do not have recognized this anywhere at market value. So where does the tech valuations changing?

Sanjeev Bikhchandani: When at an early stage, you go by potential promise and projections. Right now if it

becomes apparent that those projections are not going to be met in the near term at least and you had valued high and there has been a general correction in the Edtech market valuations. Then on a fair conservative basis and as discussed with your auditors. They tell you to impair it and then you impair it and that's how it is

Salil Desai: Okay, I've not 100% understood this, but I'll take it up separately.

Chintan Thakkar: I can add a little bit if that helps you. Whatever is the DCF valuation that we do, then there's certain multiple that is being used and certain comparable cases that are being used and those comparable cases when we made investment three years ago versus what the comparable cases and their respective valuations or what the new rounds of valuation happening in private and public market are. I think they are very different. So all that goes into the calculation or the judgment that helps us. Like Sanjeev said that on a very prudent basis and on a very conservative basis, we take the most conservative view of what is happening.

Salil Desai: Okay. Thank you.

Anand Bansal: Thanks, Salil. Hitesh, there are questions in the Q&A box. This is from Nish Jain from UTI AMC. The first question - any plans to enter into new lines of business?

Hitesh Oberoi: We see jobs, real estate, matrimony, dating and education. These are the lines of business we are currently in. It's very unlikely that we will add a new category in the next few months. But never say never. Who knows what is going to happen a year or two down the line.

Anand Bansal: And the other point he has made is between iimjobs and Hirist. What would your take be on them cannibalizing each other to some extent?

Hitesh Oberoi: Some of these like DoSelect are software platforms. They don't compete with Naukri at all. iimjobs is our play in the premium MBA space. The reason we acquired iimjobs is because some premium MBA hiring also happens through Naukri. But it is perhaps a stronger player in that segment. Very little cannibalization there in our view. The JobHai is a blue collar platform. Again, that's not a segment Naukri is very strong in. It's not as if a lot of blue collar hiring happens through Naukri which is why we are actually building a product in that space. Now at the edges there could be some overlap, who knows but they are actually different products and they're targeting very different segments. The positioning is different. The proposition is different. Often the customer base is different. The user base is different and that's how we are approaching them right now. Thanks.

Vineet Ranjan: That was it on the questions side. Thank you everyone for joining the call. We now conclude this conference call. You may now disconnect the lines.

Hitesh Oberoi: Thank you and have a great evening.

Anand Bansal: Thank you so much, everyone.

Call: Feb 2025

Date: February 11, 2025

1. The Manager- Listing
National Stock Exchange of India Limited
(Scrip Code: NAUKRI)

2. The Manager- Listing
BSE Limited
(Scrip Code: 532777)

Sub.: Transcript of Earnings Conference Call on financial results for the quarter and nine months ended December 31, 2024

Dear Sir/Madam,

In furtherance to our letter dated February 5, 2025 and pursuant to Regulation 30 of the SEBI (Listing Obligations & Disclosure Requirements) Regulations, 2015, we wish to inform that the transcript of Earnings Conference call on the Financial Results for the quarter and nine months ended December 31, 2024, held on Wednesday, February 5, 2025 at 5:00 pm (IST), post declaration of results, is enclosed herewith. The copy of the transcript is also available on the Company's website at https://www.infoedge.in/pdfs/financial_pdfs/f_Earnings/investor-concall-transcript-11feb2025.pdf

Request you to take the same on record.

Thanking you,

Yours faithfully,
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Jaya Bhatia
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"Info Edge (India) Limited Q3 FY '24-25
Results Conference Call"

February 5, 2025

MANAGEMENT :

Mr. Sanjeev Bikhchandani – Founder & Vice Chairman,
Mr. Hitesh Oberoi – Co Promoter & Managing Director,
Mr. Chintan Thakkar – Director & CFO.

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Vineet Ranjan: Good evening, everyone. Welcome to the Info Edge (India) Limited Q3FY25 Earnings Conference Call. Joining us today from the management, we have Mr. Sanjeev Bikhchandani, Founder and Vice Chairman; Mr. Hitesh Oberoi, Co-Promoter and Managing Director; and Mr. Chintan Thakkar, Director and CFO. Before we begin, we would like to draw your attention to the detailed disclaimer included in the presentation for good order sake. Please note that this conference call is being recorded. All participant lines will be in listen-only mode, and there will be an opportunity for questions and answers after the presentation concludes. Now, I'd like to hand over the call to Mr. Hitesh Oberoi for his opening remarks. Thank you, and over to you, Hitesh.

Hitesh Oberoi: Thank you, Vineet. Good evening, everyone. Welcome to Info Edge's earnings call for the third quarter of FY25. We will start with an update on standalone financial performance, then cover segment results in more detail along with the commentary on each business and finally, we'll have time for Q&A.

For the standalone business in Q3 of FY25, billings were Rs.688 crores, a Y-o-Y growth of 16% and revenue was Rs.672 crores, a YoY growth of 13%. Billings and revenue including Zwayam and DoSelect were Rs.690 crores and Rs.694 crores respectively, a YoY growth of 16% and 13%. Operating profits at the standalone level grew by 20% YoY to Rs. 263 crores and the operating margin expanded by 249 basis points to 39%. The standalone business generated cash from operations of Rs.346 crores in Q3FY25 a YoY growth of 27%. In Q3FY25, the cash generation from the recruitment business was Rs.333 crores, a YoY growth of 20%. The non-recruitment businesses at an aggregate level were also cash positive and generated cash of Rs.13 crores in Q3FY25 vs. the cash loss of Rs.3 crores in the same quarter of the previous year.

In the first nine months of FY25, the standalone business billings were Rs.1,898 crores, a YOY growth of 14% and revenue was Rs.1,967 crores, a YoY growth of 11%. Billings and revenue including Zwayam and DoSelect were Rs.1,957 crores and Rs.2,024 crores, a YoY

growth of 14% and 11% respectively. Operating profits grew by 15% YOY to Rs. 742 crores and the operating margin expanded by 126 basis points to 38%. The standalone business generated cash from operations of Rs.781 crores in the first nine months of FY25, a YoY growth of 17%. The recruitment business generated cash of Rs.812 crores in the first nine months, and the cash losses from the non-recruitment businesses were reduced by 75%, from a cash loss of Rs.79 crores in the first nine months of FY24 to Rs.20 crores in the first nine months of FY25. EPS before exceptional items, net of tax and deferred tax for Q3FY25 stood at Rs.20, a YoY growth of 21% and was Rs.58 in the first nine months of FY25, a YoY growth of 19%. The cash balance of InfoEdge, including wholly owned subsidiaries, at the end of December 2024, stood at Rs.4,290 crores. The headcount as of December 2024 end was 5,883.

The Board of Directors has approved entering into a contribution agreement to commit up to Rs.1,000 crores from Infoedge or through wholly owned subsidiaries to "IE Venture Investment Fund III". This fund will primarily focus on investing in early stage tech driven startups in India. Key investment areas include consumer internet platforms, software products, SaaS businesses, and AI-led and AI-enabled platforms and products, amongst others.

The Board of Directors has also approved the split of existing equity shares. Each equity share with a face value of Rs.10 will be subdivided into 5 equity shares, with a revised face value of Rs.2. The primary objective of this share split is to enhance liquidity in the market and to encourage greater retail investor participation. Both these proposals are, of course, subject to the approval of the company's shareholders.

Moving on to segment price performance. We'll start with the recruitment business. In Q3FY25, billings grew by 15% to Rs.494 crores, and revenue grew by 12% to Rs.505 crores. The operating profit improved by 15% YoY to Rs.298 crores and the operating profit margin was 59%. Cash generated from recruitment operations was Rs.333 crores, a YoY growth of 20%. In the first nine months of FY25, Recruitment billings grew by 13% to Rs.1417 crores and revenue grew by 9% to Rs.1471 crores. The operating profit improved by 6% a YoY to Rs.838 crores and the operating profit margin was 57%. Cash generated from the recruitment operation in the first nine months of FY25 was Rs.812 crores.

The key operational highlights of the business are as follows. The billings growth rate of 15% in Q3 was broad-based across all segments, with the IT segment growing by 16%, non-IT by 17%, and the recruitment consultant segment by 9%. Key non-IT sectors like BFSI, Healthcare, Manufacturing and Infrastructure grew at a double-digit growth rate. The GCC segment has also grown well and now contributes to about 12 to 13% of all Naukri billings. The Jobspeak index on a YoY basis has also consistently improved over the last four quarters, progressing from -10% to -4%, then to plus 5% and reaching 7% in the most recent quarter. This trend reflects a gradually improving hiring environment. Along with a better macro environment as reflected in the Jobspeak index, our niche and adjacent businesses have also continued to perform well. Our niche and adjacent businesses such as iimjobs, Naukri Gulf and Naukri Fast Forward have all shown good growth in Q3FY25 as well, with Y-o-Y billings growth of 29%, 21%, and 21% respectively. Zwayam and Do Select combined also registered a billings growth of 18% on a YoY basis. Ambition Box and JobHai, which began monetization in Q4FY24, continued to grow and showed improved performance in this quarter as well. Although still small,

these businesses hold great potential and could grow substantially over the next 4 to 5 years. Our employer branding solutions offered across platforms like Naukri, iimjobs, Hrist and AmbitionBox have been well received by our clients.

We are working on strengthening these offerings further and expanding our market penetration. On the job seeker side, our Naukri platform now hosts around 104 million resumes and has added an average of 19,500 resumes per day in Q3FY25. On the recruiter side, metrics like searches, CV views, and Nvites also continue to grow. In summary, our recruitment business continues to grow across all customer segments, complemented by strong performance in our niche and adjacent businesses. We remain optimistic that this positive momentum will carry forward into the upcoming quarters provided the economy stays buoyant.

Moving over to the real estate segment. In Q3FY25, billings growth improved by 16% to Rs.103 crores, and revenue grew by 17% to Rs. 104 crores. Operating losses were reduced by 67% to Rs.5 crores vs. Rs.15 crores in Q3FY24. This improvement was driven by revenue growth and controlled operating expense increases, resulting in enhanced operating leverage for the business. Cash losses from the operation were Rs.3 crores vs. Rs.7 crores in Q3FY24.

In the first nine months of this year, in the real estate business, billings growth improved by 15% to Rs.291 crores and revenue grew by 18% to Rs.305 crores. Operating losses reduced by 39% to Rs.33 crores vs. Rs.54 crores. In the first nine months of last year, cash losses from operations were Rs. 24 crores versus Rs. 43 crores. The key operational highlights of the 99Acres business are as follows. For 99Acres, billings growth in Q3 was driven by growth in both the number of billed customers and average billings per customer. Broker billings grew faster than developer billings. Live new project listings grew 9% in Q3, and live resale plus rental listings from brokers grew 20% YoY in Q3. In the upcoming quarters, 99Acres will continue to focus investments on growing its user and client base, and in delivering a superior platform experience to help the users make the right real estate buying decisions.

Moving over to the matrimony business. In Q3FY 25, the billings growth momentum continued. Billings grew 36% to Rs.28 crores and revenue grew by 24% to Rs.27 crores. Last year in Q3FY24, the business introduced shorter duration products, leading to more revenue being recognized in the same quarter and less carried forward to future quarters. As a result, the revenue growth rate in Q3FY25 was lower than the YoY billing growth rate. Marketing investments increased slightly in Q3 ahead of the post-Diwali wedding season in North India, and were supported by social and content marketing to enhance brand recall. While YoY marketing expenses remained flat, spending rose by Rs.5 crores sequentially. The operating losses on a YoY basis reduced by 51% to Rs.7 crores. The business generated cash from operations of Rs. 80 lakhs in Q3FY25 vs. the cash loss of Rs.11 crores in Q3FY24.

In the first nine months of this year, matrimony billings grew by 34% to Rs.79 crores and revenue grew by 30% to Rs. 80crores. Operating losses were reduced by 81% year on year to Rs.10 crores in the first nine months of FY25 versus Rs.49 crores in the first nine months of FY24. Cash loss for the first nine months was Rs.5 crores, a YoY improvement of 89%.

Key operating highlights for the business. In Q3, the business team continued to build on its momentum efforts to grow billings. The new paid plans introduced in the previous quarters continue to enhance value realization and drive sales conversions. Additionally, more pay walls are being tested to improve momentum realization while maintaining customer engagement. The team is actively working on developing new strategies to enhance platform momentum realization, while increasing efforts to drive traffic in core North Indian markets. Providing a high quality matching matchmaking experience on Jeevansathi remains a top priority we plan to make further investments in enhancing our matchmaking algorithms to deliver better outcomes for users.

rs. Key metrics such as acceptances and two way chats on the platform continue to grow and demonstrated a strong performance.

Moving on to the education business. In Q3FY25, billings were Rs.44 crores, a YoY growth of 12% and revenue grew by 3% to Rs.35 crores. Operating loss from the business was Rs.1 crore. The business generated cash from operations of Rs.15 crores in Q3FY25.

In the first nine months of FY25, billings were Rs.111 crores, a YoY growth of 13% and revenue grew by 11% to Rs.111 crores. The business achieved breakeven at the operating profit level in the first nine months and generated Rs.10 crores in cash from operations. Within the Shiksha business, in the first nine months of FY25, the domestic business grew by 26% YoY, and the study abroad business declined by 16% YoY, leading to an overall business growth of 13%.

Domestic private universities and colleges continue to expand their course offerings beyond engineering, with more choices available to students. The emergence of new private universities in India presents a n opportunity for Shiksha to further expand its footprint. We are investing in creating more comprehensive, student friendly content and building deep domain expertise in this segment. Stricter restrictions for study abroad students in Australia and Canada, higher visa rejection rates for those aspiring to study in the US, and a decline in job prospects for students abroad have reduced student interest in going overseas.

On the AI front, our current focus is on three key AI priorities, one, enhancing existing products using AI, two,

-using AI to develop new AI-powered features in existing products, and three, building future-ready products. In line with this, we continue to upgrade our database product with AI and machine learning, resulting in an 8 to 10% increase in recruiter productivity. Similarly, new AI models for job search and recommendations have driven a 10 to 20% year-on-year improvement in the job seeker in job seeker engagement. As shared on the previous call, AI-powered features like Mock Interview and Resume Maker continue to get traction with monthly active usage of 11 lakhs and 12 lakh users respectively. Our AI initiatives are increasingly becoming the foundation of our business, driving growth across all verticals, whether in recruitment, 99Acres, Jeevansathi and Shiksha. In summary, our sustained investment in AI-based innovation is strengthening our competitive edge while delivering greater value to our users and customers.

Moving on to the consolidated financial highlights. At the consolidated level, the net sales for the company stood at Rs.722 crores in Q3FY25 vs. Rs.627 crores in Q3 of last year. The total comprehensive income was at Rs.3182 crores in Q3FY25, compared to Rs.2624 crores in Q3FY 24. Profit before tax without exceptional items in Q3 was at Rs.417 crores compared to Rs.185 crores in Q3FY24.

To summarize and reiterate our mid to long term outlook, we are enthusiastic about the growth opportunities across all our verticals. Following several quarters of subdued demand, our recruitment business is now showing sustained growth with growth across all segments, IT and non-IT and consultants. To diversify and expand our client base, we are strengthening our go-to-market offerings and acquiring new clients and focusing on the GCC segment, non-IT sectors, and by increasing our presence in Tier two and Tier three cities. Our niche and adjacent businesses, iimjobs, Naukri fast forward, Zwayam, DoSelect, AmbitionBox are performing well and unlocking new growth opportunities. In 99Acres, we are focused on expanding our user base, enhancing the platform and providing valuable content to support informed real estate decisions. We are also developing new offerings aimed at strengthening our secondary business while enhancing our position in the primary new home segment. Jeevansathi shift to a freemium model has been successful, driving

topline growth and moving

the business closer to breakeven. Shiksha's domestic business remains on a steady growth trajectory and is already profitable. Across all the businesses we are advancing the deployment of AI and machine learning to enhance search and recommendation experience and for the development of new features and products. These efforts have improved user engagement, boosted productivity, and increased operational efficiency. Our robust cash generation and healthy cash reserves remain a significant strength, enabling us to navigate market cycles effectively. We continue to evaluate the best strategies to deploy this cash to maximize shareholder returns. We are confident that these efforts position us well for sustained growth and success in the coming years.

Thank you and we are now ready to take any questions that you may have.

Vineet Ranjan: Thank you, Hitesh. Anand, we can start with the questions.

Anand Bansal: Thank you so much, Hitesh and Vineet. The first question is from Vijit Jain from Citigroup.

Vijit Jain: I have two questions. One, thanks for disclosing those data points on billings between IT and non-IT recruitment firms. Just looking at that data and looking at the YoY growth there, it looks like, the recruitment firms appears to be trailing it since Q2FY24, six quarters in a row. This is despite non-IT being higher than IT so it seems like the IT part of recruitment consultants must be seeing a pretty sharp slowdown since these are pretty correlated with IT. Should we see this leg of the business to meaningfully recover from here? I don't know if that's very complicated, but it looks like, recruitment consultants is up 10%. IT services are up 17% and non-IT is up 17%. The recruitment should converge with the IT side, eventually.

Hitesh Oberoi: IT hiring continues to improve. If it gathers more momentum going forward, then, recruitment firms, which sort of work closely with IT companies, should also benefit. As and when that starts to happen, then our business from them should also start looking up.

Vijit Jain, Citigroup: So, generally, Hitesh, do you think, you know, the direction for the recruitment firm side, is up, or the direction for the IT side is down from here?

Hitesh Oberoi: I have no idea. I have said in the past that what had happened after Covid was that there was a wave of digitalization that led to massive growth in IT hiring, and then things slowed down suddenly. And a lot of companies, including ours, were caught napping. We had all overhired, and we had built a bench, and then over time, people got rid of their benches. They did not replace the people who were leaving. Now, at least all of us are at a point where if people leave, as long as we want to maintain the headcount we will need to replace them. So at least replacement hiring has started in all companies. In most companies, campus hiring is also picking up everywhere. Now, there are a lot of unknowns. There is a lot that will depend on how much business picks up for IT companies going forward. I don't know how this will play out. What we have seen over the last few quarters is that our Jobspeak index and our business has improved quarter on quarter. We were perhaps flat four quarters ago, and from there, we are now at plus 15 percent levels. Recruitment firms were negative perhaps four quarters back. Now, they're growing at least 9%. So if this momentum continues, then things will

look up from here on.

Vijit Jain, Citi: My second question is, just looking at the customer base, there's a double digit growth there for the first time again in a while. Is that partly benefiting from all those new cities you went into, new office openings? Is that playing a role into it? If you can talk a little bit about some of these newer customers that you've onboarded? If there's anything different about these?

Hitesh Oberoi: The economy is growing and there are more companies doing business than earlier.

We

continue to reach as many companies as we can. We've opened new offices, like you said. That's also helping. We are getting more inquiries online than earlier so we have a whole setup to convert all these inquiries into customers over time. So, in a growing market, in a growing economy, normally customer acquisition also grows, pricing also gets better, and existing customer customers also hire more. The market we are in right now is perhaps a moderate market. It's neither hot nor cold. It's a business as usual in most sectors.

Vijit Jain, Citi: Thank you so much. Those are my questions. Thank you Hitesh. Thank you everyone.

Anand Bansal: Thanks, Vijit. Next question is from Sachin Salgaonkar from Bank of America.

Sachin Salgaonkar, BoFA: Congrats on a great set of numbers. My first question is on 99Acres. Hitesh we consistently seen margin improvement out here. Looks like, competitive intensity is also not as intense the way it was in the past. Looking at the current trends and some of the new products that you're looking to launch. Is it fair to assume that going ahead this margin should be in a consistent positive territory? And again? Any general thoughts on what could be the steady state margin in this business?

Hitesh Oberoi: You hit the nail on the head that competition seems to be rational. That's true. That is the case at this point in time. The market is reasonable. We have also done a few things at our end which have resulted in margin improving. Marketing has become a lot more efficient than earlier. So we spent a lot less money on marketing this quarter compared to Q2. And we're able to get the same kind of growth and this should sustain going forward as well. I can't predict what competition will do going forward. Q4 is normally a very good quarter seasonally for us. Q3 is in fact a weak quarter. We continue to execute well. Competitive intensity remains similar. Then, Q4 should be good. There are two parts to our business. There is a new home business and there is a resale and rental business. On the resale rental side, we continue to execute well and that has been the case for now for about 7 or 8 quarters at least. We are very happy with the way we are doing in that segment. On the new home side, we are not very happy with our performance. Internally, we are working on a few things. But we have not seen the kind of success we would have wanted to see. Going forward, if the market remains reasonable and if competition competitive intensity remains reasonable, then this year, if all goes well, 99Acres on a cash basis will get close to breakeven. And, if we are able to grow our business in high-teens next year, then it should make some money. But it's very hard to say as to how things will play out. Like I said, a lot will depend on what competition does next year.

Sachin Salgaonkar, BoFA: Any general thoughts on steady state margin, looking at your peers in other countries?

Sanjeev Bikhchandani: Projected margins for a business like 99Acres, it's got roughly similar cost heads and cost structures as Naukri with marginal differences. You've got technology, you've got servers, you've got marketing, you've got a sales team and you've got head office costs. In Naukri variable cost is only sales commission. Therefore, it's 93% gross margin. Likewise in 99Acres. The question really is will it get similar margins as if it gets for the same resource deployment, for the same effort, and for the same cost. If it gets the same revenue increase, it will. So really the uncertainty which today is talking about is that we don't know how much revenue will get for this resource deployment and that is the unpredictable part. Therefore until we are clear on that we can't really predict margins.

Sachin Salgaonkar, BoFA: Thank you Sanjeev. Pretty clear out there. Moving on to my second question. This is about AI and, thanks for highlighting some of the ways you guys are

looking to use AI. Question out here is,

let's say from the next 12 to 18 months perspective, should we see more benefits on the revenue part with new products being launched or more benefits on the cost side with a bit more efficiency being utilized?

Hitesh Oberoi: What we've done successfully over the last few years on the AI front is we have basically improved our search and recommendation engines, our matching algorithms. As a result of which business like Jeevansathi, the number of acceptances on the platform have gone up. Similarly, the search experience on the Naukri platform is a lot better than earlier. The matching is a lot better now. All these things help in the long run. In the end, what happens as a result of all this is that more people get hired or more people find matches, through your platform and somewhere this is correlated to revenue. So one can't say, this is having

a direct impact on revenue because we don't charge on this basis and it's not a new offering. It's not a new product. But as your platforms become smarter, it becomes more efficient as more people get hired through you, or more houses get bought through you, or more people get married through you. Somewhere, it does reflect in revenue. So this is something which we have been doing for a while now and we've been very successful at. Now, of course we are also trying to develop new features and new products using AI and data. For example, some time back we launched, talent pulse offering in Naukri. Since then, we've expanded the suite of data products. We do get revenue some revenue from this suite of products we took to market a couple of years ago and we are working on building new products as well. But on new products, it's very hard to predict whether they will be successful or not when we take them to market. So efforts are on. But the other piece, which is, using AI to become more efficient, using AI to become faster, using AI to enhance existing offerings, that agenda will continue.

Sachin Salgaonkar, BoFA: Okay. So your standalone margins should continue to move up because of the AI led initiatives going ahead.

Hitesh Oberoi: Standalone margins in existing offerings? Yes, as long as we're able to get revenue growth it is also a function of the market, competition and many other things. Are we getting more efficient at delivering the same stuff? Yes.

Sachin Salgaonkar, BoFA: My last question is on GCCs. On the ground checks do indicate that in last 6 to 9 months, we are seeing some good hiring happening around GCCs. By the looks of it, the trend does indicate that the hiring out here is picking up. Directly, I know this was a relatively a smaller opportunity as compared to some of the IT services and others. But has this a potential of becoming much bigger than what it was in the past from opportunity perspective?

Hitesh Oberoi: Yes, I'll tell you why. It will depend on how fast GCCs grow and how big they become. GCCs when they start, they start small. They don't use us. So when they set up shop in the country for the first couple of years most GCCs start small. They may start with 50- 100 people and then over time scale up to 200- 300. Till then, they don't really depend on us for hiring. It's when they start scaling up is when they start using platforms like Naukri a lot more. In the beginning, it's most of the hiring is done through headhunting firms and the likes. Now the biggest GCCs in the country maybe employ 50,000 people. And then there are a bunch of small GCCs in the country which have maybe 50, 100, 200, 300, 500 people. Now, if the market continues to grow rapidly and more importantly the existing GCCs start to grow rapidly. The ones who are at 100, if they want to go to 1000, the ones who are at 2000 decide to go to 10,000. Then that will really benefit our business. So the point I was making is not so much the number of GCCs. It's how much the existing GCCs are likely to scale going forward.

rd, which matters more in the short term for us. Secondly, what we have seen is and I did talk about this a little bit. We have revamped and relaunched our branding offerings, and, we are seeing good traction in the market. There are lots of companies who are setting up shop and they're not known in the Indian market. So give or take, a couple of hundred companies. I don't think people know what the other companies out there do. So, we believe that the new GCCs will want to invest in brand building. They will want to invest in creating awareness about who they are, what they do to attract good talent going forward. So, that is another opportunity which we see emerging in the medium term.

Sachin Salgaonkar, BoFA: Thank you, All the best.

Anand Bansal: Thanks, Sachin. The next question is from Vivek from Ambit Capital.

Vivekanand, Ambit: Hitesh, first question is on AI. I know you spoke about the good side of AI, but is there any tension that you get from AI or LLMs being disruptive to recruitment? Because your current model is on Rs. per resume monetization. It is solutions oriented. But there is still an element of card rate and you give discounts and people searching through the database. Now, what if the way technology evolves and doesn't require the number of searches that are currently needed, the number of CV views?

Hitesh Oberoi: You're absolutely right that AI is an opportunity. And of course, if we are not able to capitalize on the opportunity and somebody else does a better job, then existing business models could get disrupted. So far, we haven't seen anything. We worry more about the impact of AI on jobs, which could impact our business. But that again is a debatable topic. Some people think AI will result in more jobs getting created. Some people feel AI will result in jobs going away. So I don't have an answer to that question. But on the technology side, AI can be disruptive. We are investing aggressively to see how we can leverage it for our benefit. Business models could evolve over time.

Vivekanand, Ambit: Sanjeev, just on another thousand crore investment that is being planned in the AIFs. How much of your total Rs. 3400 crore investment committed by the Aifs has been deployed? How many startups have been incubated across the three AIFs and is there any thought around recycling capital from your prior successful investments or even the AIFs themselves some of which are quite mature?

Sanjeev Bikhchandani: The three AIFs would be about maybe 90 to 100 companies approximately. And then there are balance sheet investments. There are another 7 or 8 companies there. Then, there is RedStart, which has another 20 companies. Then, there are the strategic investments, which I'm not counting here. So I would say non-strategic investments total would be ever done from 2007 onwards, whether through AIF or balance sheet or subsidiaries would be in the region of 120 plus approximately. Do we look at recycling? Yes, we do. But the point is that it's as and when exits happen and early stage investing and we'd like to be first cheques in the companies. Early stage investing often takes 8-20-12 years to mature and give you a possibility of an exit. At the same time, we like to hold on as long as possible. As long as there's enough growth and momentum in the company, as is the case in Zomato and Policybazaar. Because, what we also believe fundamentally is that if you have an investment in a company, you possibly have a future if you exit and take out cash, you've only got cash, and cash has no future other than 6%. At the same time, you could lose money if you make the wrong investments. We are cognizant of that. We are aware. We are conscious. We continue to invest. The operating business generates money. Some of that goes into investments and much of it does not.

Typically, when we do an AIF, roughly about 40 to 50% of the investable capital, is earmarked for first c

heques

into companies. The remaining 50 or 60% is for follow-on investments in the same companies. When we run out of first cheque money, which is within 3 to 4 years of launching an AIF. That is when we launch a new AIF. So it's not as if the older funds don't have money. They have money, but that's earmarked for follow-ons in the old portfolio.

Vivekanand, Ambit: Did I get the timing right? The first cheques are typically deployed in 2 to 3 years of the AIF being launched and then subsequent funding happens as capital calls.

Sanjeev Bikhchandani: Maybe three years, some times four years, but within three years, typically.

Vivekanand, Ambit: That's helpful. Last question, Hitesh on the non-IT recruitment revenue opportunity from your vantage point. How big a revenue pool is there for you in the non-IT recruitment segment? I know you have mentioned in the past that there are discounts that you give which are perhaps necessary for you to penetrate that market and acquire more users. You also mentioned that there's a lot of self-serve activity happening that people are logging on to your portal and becoming customers of Naukri directly. So can you walk us through how big can non-IT recruitment be in dollar terms or in terms of size of revenue pool, five years, ten years from now on?

Hitesh Oberoi: Non-IT revenue is approximately 50-52% of our revenue in Naukri. In terms of number of customers it's much larger and ARPUs are lower. What we've seen in the past is that whenever the economy grows sustainably at 6-6.5% for a prolonged period, we are have been able to grow our revenue at 20% plus. Non-IT is more indexed to the domestic economy as opposed to IT which is more indexed to what happens globally. So that's what we've seen in the past. If the domestic economy continues to grow at 6-6.5% per annum, unless we get new competition, unless something changes, historically we've seen that business is able to grow at 20% plus. Partly like I said it's because of new customer additions and partly it is because we are able to get price increases in a hot market, and partly it is because from existing customers there's more volume. So that's what we've seen in the past. Now, this assumes that nothing much changes in the world outside and competitive situation remains the same and we don't launch new products and so on and so forth. So you can do the math. Five years from now, if the Indian economy continues to grow at 6-7% per annum, then this is what is likely to happen. Of course, with AI, we're trying to launch new features, new products. We're trying to make the platform more efficient. In the past, I've always said that our platform is not as efficient for non-IT hiring as it is for IT. There's an opportunity there if you can fix some of those things and we continue to work on those pieces.

Vivekanand, Ambit: Just one last doubt that I had on the Jobspeak disclosures. The Jobspeak data now captures the indexed searches as well by recruiters. And typically searches translate into resume views which then straight away is accounted for in the database revenue that you have. So ideally the disclosures now the jobspeak that we get now should correlate more to recruitment billing right? But what we see is that the recruitment billing tends to grow much faster or maybe is much less volatile than jobspeak. Why is that so? And what are the other variables here that Jobspeak isn't yet capturing?

Hitesh Oberoi: You're right, a lot of the recruitment activity on the core platform is getting captured in jobspeak a lot better than earlier. In addition to this, like I mentioned in the call, we have all these new products and services, adjacent businesses which have nothing to do with job speak. If we are growing in the Gulf or if the HIRIST platform grows faster in a particular quarter or if iimjobs does better or if the candidate services business grows faster or if our branding solutions

for example even on the core platform are growing faster

than the main business and that will not get reflected in job speak. In a hot market, it's easy to take pricing up.

On the other hand, the opposite can happen in a slow market so if job speak starts to move up and climb rapidly, then theoretically it should be possible for us to take price increases as well. The reverse may happen on the way down. I'm sure there is some correlation, but there are many other factors as well which impact billing in a particular quarter.

Vivekanand, Ambit: Understood, Thanks a lot for elaborate answers to my questions and all the very best.

Anand Bansal: Thanks, Vivek. Next question is from Ankur Rudra from JP Morgan.

Ankur Rudra, JPM: The first question is IT billings growth number of 16%. How much of this came from the GCCs versus the IT companies this time? Was there a particular trend on one side versus the other?

Hitesh Oberoi: Breaking it up like that because GCCs hiring also includes non-IT hiring. It's hard for us to figure out and we don't give that. We don't do that cut right now.

Ankur Rudra, JPM: I know but from a flavor perspective is one stronger than the other are you seeing one segment

Hitesh Oberoi: Anecdotally, what I can tell you is that GCCs are perhaps growing faster for us but we haven't looked at the numbers.

Ankur Rudra, JPM: Are these larger GCCs that have begun to hire now in a big way, or are these newer GCCs?

Hitesh Oberoi: Yes, a lot of the large GCCs had frozen hiring. Some of them have started hiring again.

Ankur Rudra, JPM: Thank you. If the growth momentum continues the way it is we haven't really had meaningful amount of price increases for the last couple of years. Is there a chance we might take a meaningful price increase in calendar 25?

Hitesh Oberoi: Only if we have a hot market for hiring. We are focused on customer acquisition in the core Naukri business and in growing our adjacent businesses faster and higher penetration for those products. If the job market becomes hotter than it is today and talent becomes hard to get, then that makes it easier for us to take price increases.

Ankur Rudra, JPM: Last question is on the new fund. Is there any change in the mandated focus versus the previous funds?

Sanjeev Bikhchandani: No, it's still early stage tech.

Ankur Rudra, JPM: Okay. No change in terms of what you'll go after with an early stage tech also?

Sanjeev Bikhchandani: Within early stage tech, will depend on the market is like. The way we do it is we don't do it top down. We do it bottom up. We meet a few hundred companies. We look at a few hundred companies a quarter and then decide to invest in 2 or 3. So we'll see what's bubbling up from underneath and then we'll take a call. But in general, a few trends are emerging. I think it's pretty clear that AI is going everywhere. So no matter which sector, which company you invest in there will be an element of AI in there.

Ankur Rudra, JPM: Appreciate it. Thank you so much.

Anand Bansal: Next question is from Nikhil Chaudhary.

Nikhil Chaudhary, Nuvama: Hitesh, first one on the recruitment side. We have seen some data point especially on JobSpeak, some slowdown, especially on the hiring data. Last two-three months had been quite muted compared to the acceleration we were seeing in earlier months. And second, on the non-IT side, while most of the companies are calling out some slowdown due to macro and other stuff, we have seen our non-IT remain very resilient. So just color on overall demand outlook, especially for Q4, which is one of the most important quarter for us. We had a favorable base for first nine months. While Q4 won't be the same, we saw acceleration in Q4 of the last year. So do you think demand continue to improve and we would be able to deliver, let's say, mid-teen double digit growth or even higher in coming quarters?

Hitesh Oberoi: So let me a

answer the second question first. Q4 is a seasonally strong quarter, but Q4 last year was weak as well. So it's not as if we have a high base. The base is high because of seasonality. Not because Q4 last year was a great quarter. So, as far as your question on hiring in non-IT, it's very sectoral. There are some sectors that are doing well and some sectors which are perhaps not growing as fast. On the whole business is okay. It's not like I was saying, it's not a great market, but it's not a bad market either. It's somewhere

in the middle. As far as it is concerned, you're right, we saw some recovery, and after that, things have stabilized. It's not as if things moved up have continued to move up month on month. Having said so, it's a very volatile world. It's very unpredictable. Things change very quickly. Especially, in some sectors. For example, for the first three weeks of this quarter, all hiring was slow. But, the last two weeks have been good. I'm looking at the number of jobs, etc. on the platform and commenting on how will it sustain going forward. So I don't know. I mean, it's a little unpredictable on the whole. It seems like the market is stable. It's not neither moving up nor moving nor going down from where it was three months back.

Nikhil Chaudhary, Nuvama: Second One, bit on medium term. We have seen IT companies for the first time this quarter talking about their efficiency is finally coming and they expect finally they will have disconnect between hiring and revenue growth, while for the last decade, it was broadly the same. For the first time, there is a comment. This will lead to change in the business model with revenue per employee going up compared to employee additions. Do you think we also need to reinvent or might need to change our business model, especially in light with AI efficiency coming in one of the biggest market for us?

Hitesh Oberoi: We have been investing in AI for a while now. And, the earlier it was classical machine learning and now it is more AI as well. We are also looking at Generative AI to see what we can do with it. So one is, of course, we are trying to make our processes more efficient. In some areas we are managing with fewer people. In other areas, we are trying to get people to deliver faster. What used to take six months, can it be done in two months or three months? In other areas, we are seeing opportunity and we are hiring people to benefit from those opportunities which AI has made possible which were perhaps not possible earlier. So, where will we end up as a result of all this? I don't know. I guess where Indian IT companies will also end up will be a function of where they see opportunity. How much they want to invest in those opportunities and there will be some areas where they will become more efficient as well.

Nikhil Chaudhary, Nuvama: Just last point in terms of while I agree what Sanjeev said that it's difficult to predict the margin of business like 99Acres. Thus want to understand, you as a management would like to keep margin of non-recruitment businesses at a breakeven level or internally you would like to focus on making it further more profitable?

Hitesh Oberoi: The way we operate is we look at where we can invest. We look for ideas, we look for opportunities, and then we try and make those ideas happen. For example, we are investing aggressively behind our blue collar business. We are investing more and more with every passing year. We started monetizing it a few months back. And we are losing a lot of money right now. But we see an opportunity, so we are likely to increase our investment going forward in the blue collar business knowing very well that it will not generate a lot of revenue in the short term. Similarly, in 99Acres, there are areas where we see opportunity. We are going to invest a lot more than we were earlier investing earlier. We will not be irrational. It's more idea driven. It's more insight driven.

And the margin that we will end up with is going to be a function of what revenue growth is going to be like after making these investments, which is harder to predict. So that's how we operate. Now whether we want to make money in the business. Of course you would want to make money. Would we want to make it and get higher margins? Of course you want to get higher margins, but not, if we think it is going to hurt the business in the long run.

Nikhil Chaudhary, Nuvama: Thanks a lot and good luck for the coming period.

Anand Bansal: Next question is from Abhisek Banerjee from ICICI securities.

Abhisek Banerjee, ICICI: Thanks for improving the quality of disclosures every single quarter. The new presentation is really helpful. Most of my questions have been answered. Just to add a couple of bookkeeping type questions. One is, if you, see the nine months of FY 25, what would you see the average realization improvement from per client? How much has come of addition of new clients, in terms of recruitment revenues?

Vineet Ranjan: We don't disclose it for the intermediate period. We normally do it for the full year. But like Hitesh has mentioned the previous calls as well. In the first nine months and in the earlier quarter, it was mostly driven by volume than by pricing growth.

Abhisek Banerjee, ICICI: Understood. But I was trying to understand last time he had actually called out that despite not taking price increases per se, there was a realization improvement which happened because companies are hiring more senior people. So is that trend still continuing? That is what I was actually trying to get to.

Sanjeev Bikhchandani: Let me clarify, we don't get more revenue because somebody hired a senior person versus a junior person. So that doesn't change.

Hitesh Oberoi: We have value conversations with customers and we have analytics around how much they potentially benefit from the platform. That helps us negotiate with them in our negotiations. It's not as if we price like that. But at a macro level this year we have grown the number of customers. Also we have seen volume growth also and pricing growth has been very very modest.

Abhisek Banerjee, ICICI: Understood and one more point is that we saw exceptional loss of about 60 crores which was mentioned on account of something moving from being a subsidiary to listing an investment instrument. So, why the loss was recognized. I mean, is there a down round which happened? If you just could explain that part better.

Chintan Thakkar: I think if I understood the question correctly, you are referring to the impairment that we have done and we have shown it as an exceptional item in this quarter. So that represents one of the subsidiary company, Coding Ninja. When we invested we had certain expectations. And at that point in time, the valuation of Edtech companies were very different than what it is now. Although the company is actually doing well in terms of narrowing the cash burn as well as they are growing 30% plus. So although they seem to be doing well, but as compared to the projections that we had at the time we invested versus what it is today, I think there is a gap in the value of the asset that we are carrying in our accounts. That's why in consultation with auditors and following the conservative prudence and principles of conservatism, we have chosen to impair to the extent we thought that the value looks more realistic to where it stands.

Vineet Ranjan: Abhisek, just to add regarding your point on reclassification of one company from a JV to a financial investment. That was not this quarter. That happened last quarter. We had an external investor come in and we got diluted. So it was for the previous quarter, not this quarter.

Abhisek Banerjee, ICICI: Got it. Thanks and in terms of the demand outlook in the recruitment business. If you look at the total number of headcounts in the top IT firms, about

out the top ten IT firms in FY 24. Probably that number has gone down about 4%. Right and there was a lot of stuff written there and in terms of improvements from AI. People have often quoted a number of about 20% improvement in efficiency. So do you really see there is more room for jobs to be cut?

Hitesh Oberoi: I can't comment on how different companies are going to navigate this. GCCs have been talking about their headcount growing because that's a very different ball game. Jobs are moving from overseas to India. AI is also creating opportunities so it depends on how much you want to leverage those opportunities. There are many big tech companies that may be cutting headcount in some areas. They're hiring in other areas. So that's also happening. Our revenue is a function of gross hiring not net hiring. So if attrition rates move up for some reason, that also benefits us. Even though the company stays at the same headcount, but the attrition rate starts to climb, for some reason, it could be that GCCs start hiring from IT services companies and IT services companies are forced to replace the people who are leaving. That also helps us because it's a function of gross hiring and not net hiring.

Abhisek Banerjee, ICICI: This is very helpful. Thank you so much.

Anand Bansal: Next question is from Amit Chandra from HDFC securities.

Amit Chandra, HDFC: My question is on the recruitment segment. You mentioned that you're investing in the platform which is a blue collar hiring platform with JobHai. As of now, in terms of the revenue contribution, what is the contribution of JobHai and AmbitionBox in terms of overall revenue and billings? Also we are seeing that the billings growth for iimjobs, NaukriGulf and Naukri Fast forward is much higher than what we are having at the consolidated level in the recruitment segment so if you can elaborate more in terms of what are the opportunities that we see in the medium term here? You mentioned about lot of AI being offered so in terms of the pricing impact. How we are seeing AI impacting from the pricing perspective? The increase in the realization that we're seeing is mostly AI?

Hitesh Oberoi: JobHai and AmbitionBox are very small today. We just started monetizing them this year. So this year, our revenue from JobHai plus AmbitionBox will be less than maybe Rs.20 -25 crores in total. These are very tiny platforms. But they're very strategic for us in the long run and we will continue to invest behind them. For JobHai, this is the first year of monetization and for AmbitionBox as well. We've started only a few months back. There's a core business and there are these adjacent verticals like iimjobs, Hirist, Fast Forward, etc. Together, I think they account for about 20% of our collections in that ballpark in the recruitment business. Some of these verticals have been growing faster than the core business because the core business was very slow for the first few quarters. And in some of these verticals not in all of them, for example, the fast forward business is more job seeker oriented. There is a penetration game also which is still playing out. So it's not as if we are like the naukri business where penetration levels are very high. Here in some of these verticals penetration levels are low. So we are trying to get more and more customers onto our platform as well. We will aspire to and want to grow these adjacent verticals at a faster clip than the core Naukri business. As far as

AI concerned, it is mostly being deployed on the core platform. If you do a good job then what should happen as a result of that deployment is that our platform should become more efficient and more effective. If companies were hiring maybe 40 out of 100 people through our platform earlier, we should be able to take this number from 40 to 45 or 50, number one. Number two, we should be able to help them save time as well and get them to hire people faster because they

should be able to find the right candidates faster. Now, this is a journey. It's not as if we change the algorithm and things start to work. We have to keep iterating, keep testing, keep deploying new stuff, see what's working and what's not working. We get feedback, we change things, etc. But we have been investing and we've seen some good results. So as pricing is concerned, we are not charging extra for AI. Right now we are offering it to everybody. And what I have said earlier, it's not easy. We've seen at least over time is that it's not easy to take prices up in a regular market. We can get a 3 or 4% increase. It's hard to get more than that in a regular market or in a slow market. Of course, you end up discounting less once the market starts to improve, then it's possible to take higher increases.

Amit Chandra, HDFC: My last question on the 99Acres platform. We are seeing improvement in terms of billing and profitability there. We are seeing the best phase of the real estate market. Despite that we have not been able to monetize on that. Billings from the new project listing is not up there as we would have intended to be, so what's not working out there?

Hitesh Oberoi: Let me break this up at a very high level. There is a new home market and there is a secondary market. Within secondary, I'm including the rental market. So the resale and rental market continues to do well for us and our business has been growing at a reasonably healthy rate. And, we are perhaps gaining share in that segment as well. But it's less than half our business. The new home market has been hot. Within the new home market, there is a new launch market, which is perhaps what you're referring to and then there is a regular sale of under-construction homes market (projects which were launched maybe a year ago, two years ago, three years ago). We don't really have a very big play in the new launch space. So that market is actually currently not with us. It's with Facebook, it's with Instagram, it's with Google. We have a very tiny share. Not just us but all real estate portals have a very tiny share of that market. We are working hard to see how we can increase our share in that market. Within that market also where we have seen a flurry of activity in premium housing. In fact, affordable housing has been slow right throughout the country. It's not as if the affordable housing market is very hot. It's actually perhaps easier to launch and sell five crore apartments than it is to sell an apartment for 70 lakhs, 80 lakhs, 1 crore right now. I know there's a lot of buzz around real estate and prices have moved up and so on in some markets. But it's not as if every segment of that market is doing well. We continue to do well in the secondary market. We continue to do well in under-construction homes. We still have a long way to go before we crack the new launch market which is where the big tech companies do really well.

Amit Chandra, HDFC: Yeah understood. Thank you thank you and all the best.

Anand Bansal: Next question is from Hulash Goyal.

Hulash Goyal: Just a quick question from me on the 99Acres business. If we see the pace of the quarterly run rate of the revenue or the billings, it's been pretty steady over quarter over quarter but profitability has improved substantially. So could you flesh out what has led to that improvement? Where have you pulled the levers?

Hitesh Oberoi: Our manpower costs have been under control. Big platform work is already done and now we are improving things. A lot of investments have already been made and similarly, on the operating side and on the sales side we're not adding a lot of headcount and I don't think we need to add a lot of headcount. If the platform can deliver better going forward we can keep getting revenue growth. So there's high operating leverage. Number two, our marketing has become a lot more efficient and of course early days and this we saw some

encouraging results in Q3. Now, we have to see whether that sustains going forward. But the platform is able to deliver a lot more inquiries and leads than earlier with the lower marketing spend today than was perhaps the case six months ago. So that's also helping.

Hulash Goyal: Sure thanks a lot.

Anand Bansal: Salil you can go ahead.

Salil Desai: My question is that you mentioned the impairment clarification was two things. The business itself is doing well but tech valuations are down and that is why there's an impairment. Now, just help me understand we do not have recognized this anywhere at market value. So where does the tech valuations changing?

Sanjeev Bikhchandani: When at an early stage, you go by potential promise and projections. Right now if it

becomes apparent that those projections are not going to be met in the near term at least and you had valued high and there has been a general correction in the Edtech market valuations. Then on a fair conservative basis and as discussed with your auditors. They tell you to impair it and then you impair it and that's how it is

Salil Desai: Okay, I've not 100% understood this, but I'll take it up separately.

Chintan Thakkar: I can add a little bit if that helps you. Whatever is the DCF valuation that we do, then there's certain multiple that is being used and certain comparable cases that are being used and those comparable cases when we made investment three years ago versus what the comparable cases and their respective valuations or what the new rounds of valuation happening in private and public market are. I think they are very different. So all that goes into the calculation or the judgment that helps us. Like Sanjeev said that on a very prudent basis and on a very conservative basis, we take the most conservative view of what is happening.

Salil Desai: Okay. Thank you.

Anand Bansal: Thanks, Salil. Hitesh, there are questions in the Q&A box. This is from Nish Jain from UTI AMC. The first question - any plans to enter into new lines of business?

Hitesh Oberoi: We see jobs, real estate, matrimony, dating and education. These are the lines of business we are currently in. It's very unlikely that we will add a new category in the next few months. But never say never. Who knows what is going to happen a year or two down the line.

Anand Bansal: And the other point he has made is between iimjobs and Hirist. What would your take be on them cannibalizing each other to some extent?

Hitesh Oberoi: Some of these like DoSelect are software platforms. They don't compete with Naukri at all. iimjobs is our play in the premium MBA space. The reason we acquired iimjobs is because some premium MBA hiring also happens through Naukri. But it is perhaps a stronger player in that segment. Very little cannibalization there in our view. The JobHai is a blue collar platform. Again, that's not a segment Naukri is very strong in. It's not as if a lot of blue collar hiring happens through Naukri which is why we are actually building a product in that space. Now at the edges there could be some overlap, who knows but they are actually different products and they're targeting very different segments. The positioning is different. The proposition is different. Often the customer base is different. The user base is different and that's how we are approaching them right now. Thanks.

Vineet Ranjan: That was it on the questions side. Thank you everyone for joining the call. We now conclude this conference call. You may now disconnect the lines.

Hitesh Oberoi: Thank you and have a great evening.

Anand Bansal: Thank you so much, everyone.

Call: Jun 2025

Date: June 3, 2025

1. The Manager- Listing
National Stock Exchange of India Limited
(Scrip Symbol: NAUKRI)

2. The Manager- Listing
BSE Limited
(Scrip Code: 532777)

Dear Sir/Madam ,

Subject: Transcript of Earnings Conference Call on financial results for the Quarter and Year ended March 31, 2025

In furtherance to our letter dated May 27, 2025 and pursuant to Regulation 30 of the SEBI (Listing Obligations & Disclosure Requirements) Regulations, 2015, we wish to inform that the transcript of Earnings Conference call on the Financial Results for the Quarter and Year ended March 31, 2025, held on Tuesday, May 27, 2025 at 5:30 pm (IST), post declaration of results, is enclosed herewith. The copy of the transcript is also available on the Company's website at

https://www.infoedge.in/pdfs/financial_pdfs/f_Earnings/investor-concall-transcript-03Jun2025.pdf

Request you to take the same on record.

Thanking you,

Yours faithfully,

For Info Edge (India) Limited

Jaya Bhatia
Company Secretary & Compliance Officer

Encl: as above

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"Info Edge (India) Limited
Q4 FY2025 Results Conference Call"

May 27, 2025

MANAGEMENT:

Mr. Sanjeev Bikhchandani – Founder & Vice Chairman
Mr. Hitesh Oberoi – Co-Promoter & Managing Director
Mr. Chintan Thakkar – Director & CFO

INVESTOR RELATIONS:

Mr. Vineet Ranjan - Head, Investor Relations
infoedge

Anand Bansal: Good evening, everyone. I am Anand Bansal and I am joined today by my colleague, Mr. Vineet Ranjan. Thank you for joining us. We will wait for a couple of minutes to allow more participants to log in.

Vineet, we currently have over 100 participants on the call. Over to you to get us started.

Vineet Ranjan: Thank you, Anand. Good evening, everyone. Welcome to Info Edge (India) Limited Q4FY25 earnings conference call.

Joining us today from the management, we have Mr. Sanjeev Bhikchandani, Founder and Vice-Chairman, Mr. Hitesh Oberoi, Co-Promoter and Managing Director, Mr. Chintan Thakkar, Director and CFO. Before we begin, I would like to draw your attention towards the detailed disclaimer included in the presentation for good order's sake. Kindly note that this conference call is being recorded. All participant lines will be in listen-only mode and there'll be an opportunity for Q&A after the presentation concludes. Now, I'll hand over the call to Mr. Hitesh Oberoi for his opening remarks. Thank you and over to you, Hitesh.

Hitesh Oberoi: Thank you, Vineet. And very good evening, everyone. Welcome to Info Edge's earnings call for the fourth quarter of FY25. We will start with an update on standalone financial performance, then cover segment-wise performance along with the commentary on each business. And then, we'll have time for Q&A. For the standalone business in Q4 of FY25, billings were Rs. 984 crores, a YOY growth of 19% and revenue was Rs. 687 crores, a YOY growth of 13%. Billings and revenue including Zwayam and DoSelect were Rs. 1,015 crores and Rs. 718 crores respectively, a YOY growth of 19% and 13%. Operating profits at a standalone level grew by 3% YOY to Rs. 231 crores and the operating margins stood at 34%. The standalone business generated cash from operations of Rs. 536 crores in Q4 of FY25, a YOY growth of 15%. In Q4 of FY25, the cash generation from the recruitment business was Rs. 532 crores, a YOY growth of 16%. The non-recruitment businesses at an aggregate level were also cash positive and generated Rs. 40 crores of cash in Q4 of FY25.

For the full year FY25, in the standalone business, billing

s were Rs. 2,882 crores, a YOY growth of 15% and revenue was Rs. 2,654 crores, a YOY growth of 11%. Billings and revenue including Zwayam and DoSelect were Rs. 2,972 crores and Rs. 2,743 crores, a YOY growth of 16% and 12% respectively. Operating profits at a standalone level grew by 12% year-on-year to Rs. 973 crores and the operating margin expanded to 37%.

The standalone business generated cash from operations of Rs. 1,318 crores in FY25, a YOY growth of 16%. The recruitment business generated cash of Rs. 1,344 crores in FY25 and the non-recruitment businesses combined also generated a cash of Rs. 21 crores in FY25 vis-à-vis a cash loss of Rs. 44 crores in FY24.

EPS before exceptional items (net of tax and deferred tax) for FY25 stood at Rs. 77 pre-split of shares and Rs. 15 post-split of shares, a YOY growth of 17%.

The company has received shareholders' approval to split the existing equity shares from a face value of Rs. 10 to a revised face value of Rs. 2.

The cash balance of Infoedge including wholly owned subsidiaries at the end of March 2025 stood at Rs. 4,786 crores. The board has proposed a final dividend of Rs. 18 per share pre-split or Rs. 3.6 per share post-split. Along with the interim dividend, the total dividend of FY25 is Rs. 30 per share pre-split or Rs. 6 per share post-split, a 36% year-on-year increase in dividend payout.

The headcount of the company as of March 2025 was 6,065 people.

Moving on to segment-wise performance, starting with the recruitment business. In Q4 of FY25, billings grew by 18% to Rs. 740 crores and revenue grew by 13% to Rs. 511 crores.

The operating profit improved by 8% YOY to Rs. 278 crores and the operating profit margin was 54%. Cash generated from the recruitment operation was Rs. 532 crores, a YOY growth of 16%.

For FY25 as a whole, in the recruitment business, billings grew by 15% to Rs. 2,158 crores and revenue grew by 10% to Rs. 1,983 crores. The operating profit stood at Rs. 1,116 crores and the operating profit margin was 56%. Cash generated from the recruitment operation in FY25 full year was Rs. 1,344 crores, a YOY growth of 11%.

The key operating highlights of the recruitment business is that the billing growth rate in Q4 was broad-based across all segments. Tech, IT services and BPM combined grew by 17%, GCCs by 19%, Other Sectors by 19% and the Recruitment Consultant segment by 15%. GCCs contributed around 16-17% of recruitment India B2B billings in FY25. Key sectors like BFSI, healthcare, manufacturing and infrastructure grew at double digits.

The JobSpeak index showed muted movement in Q4 FY25, reflecting a moderate hiring environment. Despite this, our billings improved, driven by growth across both our core business and niche and adjacent segments. Our niche and adjacent businesses such as IIM Jobs, Naukri Gulf and Naukri Fast Forward have all continued a good growth trajectory in Q4 FY25 as well, with year-on-year billings up by 43%, 26% and 18% respectively.

Our employer branding solutions offered across platforms like Naukri, IIM Jobs, Hirist and AmbitionBox, have also been well received by our clients. We are working on strengthening these offerings further and expanding and penetrating the market a little more. FY25 was also the first full year of monetization of JobHai. This business has been growing well in terms of traffic. Although still small, it holds great potential and could become a sizeable business in the medium to long term. On the job seeker side, our Naukri platform now hosts around 106 million resumes and added an average of 22,000 resumes daily in Q4 of FY25.

On the recruiter side, the Naukri business served over 128,000 corporate customers in FY25. We continue to invest aggressively in marketing activities in areas of B2C, B2B, branding and job seeker engagement. Activities including IPL advertising which started in March this year, led to some impact in Q4 margin. In sum

mary, our recruitment business continues to grow across all customer segments, complemented by strong performance in our niche and adjacent businesses. We remain optimistic that this positive momentum will carry forward into the quarters if the hiring environment continues to be modest.

Moving over to the real estate segment, in Q4 of FY25, billing growth improved by 22% to Rs. 160 crore and revenue grew by 14% to Rs. 106 crores. Operating losses were Rs. 15 crores and the business generated Rs. 27 crore of cash from operations in Q4 of FY25. For the full year, billing growth was 17% at Rs. 451 crore and revenue grew by 17% to Rs. 411 crores. Operating losses reduced by 31% to Rs. 48 crores in FY25 vs Rs. 69 crores in FY24. The 99Acres business was cash profitable for the full year with cash generation of Rs. 2 crores from operations in FY25 vs cash losses of Rs. 13 crores in FY24.

For 99Acres, growth in Q4 was driven by growth in both the number of billed customers and in the average billing per customer. The broker and channel partner segment grew faster than developers. The number of live new project listings on the platform grew 11% in Q4 and the live resale plus rental listings from brokers grew by 27% in Q4. Listings from owners grew 14% year-on-year. We believe we gained a significant market share in Q4 and in H2 of last year. In upcoming quarters, 99Acres will continue to focus its investment on growing its user and client base and aim to deliver a superior platform experience to help users make the right real estate decisions.

Moving over to the matrimony business, in Q4 of FY25, billings grew by 24% to Rs. 32 crores and revenue grew by 25% to Rs. 30 crores. Operating losses reduced on a year-on-year basis by 76% to Rs. 2 crores. Cash losses from operations also reduced by 73% to Rs. 2 crores at Q4 of FY25 vs Rs. 9 crores in Q4 of FY24. In full year FY25, billings grew by 31% to Rs. 111 crores and revenue grew by 29% to Rs. 110 crores. Operating losses reduced by 80% year-on-year to Rs. 12 crores in FY25 vs Rs. 59 crores in FY24. Cash loss from operations was Rs. 8 crores in FY25 vs Rs. 55 crores in FY24. In Q4, the Jeevansathi business team continued to build on its monetization efforts, capitalizing on the strongest marriage season of the year to grow billings. Enhancements to the recommendation system were also introduced to improve relevance, engagement and user retention. New monetization levers were rolled out early in the quarter, some of which are already showing positive impact on user conversion and

revenue generation.

Marketing investments are increasingly made sharper to drive better efficiencies. The quarter also saw continued innovation in launching new content pieces, which were well received in our target markets. These initiatives helped the business build a salient brand amongst both prospects and their parents. The team remains focused on enhancing the platform experience through new feature development and by leveraging machine learning and generative AI tools. Key engagement metrics such as profile acceptances and the frequency of two-way chats continue to perform strongly.

Moving on to the education business, in Q4 of FY25, billing was Rs. 52 crores, a YOY growth of 16% and revenue grew by 2% to Rs. 40 crores. The business was at a break-even level in terms of operating profit and generated cash from operations of Rs. 16 crores in Q4 of FY25. In the full year, billing in Shiksha was Rs. 162 crores, a YOY growth of 14% and revenue grew by 8% to Rs. 150 crores. Operating profits were at a break-even level for the full year and the Shiksha business generated cash from operations of Rs. 26 crores in FY25.

Within the Shiksha business, the domestic education business grew by 26% year-on-year and the study abroad business declined by 16% year-on-year, leading to an overall billing growth of 14%. The domestic private universities and college

s continue to expand their course offerings beyond engineering with more choices available to students. The emergence of new private universities in India presents an opportunity for Shiksha to further expand its footprint.

We are investing in creating more comprehensive student-friendly content and building deep domain expertise in this segment. Higher visa rejection rates for those aspiring to study in the US and a decline in job prospects for students abroad have reduced student interest. Students are now opting to study more in the UK and continental Europe.

On the AI front, our current focus is on three key AI-driven priorities enhancing existing products using AI, developing new AI-powered features in existing products, and building brand new products which leverage AI. In line with this, we continue to upgrade our database product with AI and machine learning, resulting in improvements in recruiter productivity. Similarly, new AI models for job search and recommendations have driven a 15-20% year-on-year improvement in job seeker engagement. Our AI initiatives continue to drive growth across all our verticals, recruitment, real estate, matrimony, and education.

Moving on to the consolidated financial highlights. At the consolidated level, the net sales for the companies stood at Rs 750 crores in Q4 of FY25 versus Rs 657 crores for Q4 of FY24.

The total comprehensive loss was Rs 9,710 crores in Q4 of FY25 compared to a comprehensive income of Rs 7,959 crores in Q4 of FY24. Profit before tax without exceptional items in Q4 of FY25 was Rs 716 crores compared to Rs 324 crores in Q4 of FY24. To summarize, we continue to be enthusiastic about the growth opportunities across all our businesses.

The recruitment business has shown a sustained growth trajectory in FY25, with growth rebounding across all segments. To diversify and expand our client base, we are enhancing our go-to-market strategies and acquiring new customers. We have increased our focus on adding more GCCs and on acquiring new customers in the SMB segment and on expanding our presence in tier-2 and tier-3 cities and on penetrating deeper into non-IT and other sectors.

Our niche and adjacent businesses, IIM Jobs, Hrist, Naukri Gulf, Naukri Fast Forward, DoSelect, Ambitionbox, and JobHai are performing well and unlocking new long-term growth opportunities. Our non-recruitment businesses continue to grow steadily and generated cash from their operations in FY25. In 99Acres, we are focused on expanding our user base, enhancing the platform, gaining market share, and providing valuable content to support informed real estate decisions.

We are also developing new offerings to strengthen the secondary business further while enhancing our position in the primary new launch segment. Jeevansathi's shift to the freemium model improved matching algorithms powered by AI, and our continued efforts to monetization have driven top-line growth and have succeeded in bringing the business closer to breakeven. Shiksha's domestic business remains on a steady growth trajectory and has been profitable for a while.

Across all our businesses, we are advancing the deployment of AI and machine learning to enhance search and recommendation experiences and to develop new features and increasingly new products. Our robust cash generation and healthy cash reserves remain a significant strength in enabling us to navigate market cycles effectively. We continue to evaluate the best strategies to deploy this cash to maximize shareholder returns.

We are confident that these actions lay a strong foundation for the next financial year and position us well for continued progress and sustained growth in the years to come. Thank you all. We are now happy to take any questions.

Vineet Ranjan: Thank you, Hitesh. We can now start the question and answer session. Anand, over to you.

Anand Bansal : Thank you, Vineet. The first question is from Sachin from Bank of America.

Sachin Salgaonkar: Thank you for the opportunity. I have three questions. First question, wanted to understand the marketing expense specifically in this quarter. We do see a massive amount of QOQ increment as well as YOY improvement in marketing expense. Any color in terms of where this was spent and the general thought process on how do you intend to spend marketing in the near term?

Hitesh Oberoi: So, this higher expenditure is on account of higher expenditure both in Naukri and in 99Acres. We upped our spend in both the recruitment business and in the real estate business in Q4. We normally take marketing calls quarter-on-quarter basis- one, competitor activity, two, our own goals for our businesses. In 99Acres, like I highlighted, we seem to have gained several points of share in the last few quarters and that's why we've upped our spend a little more to see if we can gain even more share going forward. In Naukri, we are on IPL which had some impact on what we spent last quarter and will also have an impact on how much we end up spending on marketing in Q1.

And in general, we've just upped the marketing a little bit to get more users on the platform and it's been working well for us. However, we'll take decisions on marketing quarter-on-quarter going forward. We can't say how it will play out for the rest of the year.

Sachin Salgaonkar: Thanks Hitesh. And just to clarify, this is not led by increased competitive intensity but more to drive market share and growth, right?

Hitesh Oberoi: In 99Acres, like I said, our marketing campaigns have been working well and we're delivering well for the platform and therefore we've upped our spend. It's not a result of higher competitive activity. In Naukri, the team just felt that we've been out of the market. We've not been spending enough on marketing for a long time and we're doing so many new things and we need to just be a little more visible for some more time and that's why we are spending a little more than earlier.

Sachin Salgaonkar: And 99Acres appeared to be closer to break-even and there was a thought process that in this fiscal it should be breaking even. Does it change from that perspective given the fact that you guys are spending a bit more on marketing now?

Hitesh Oberoi: We did generate some cash last year. I mean, just Rs. 2 crores but we did generate some cash from operations in 99Acres last year. Growth in 99Acres also actually accelerated in Q4, so, full year growth of 17 percent, Q4 growth of 22 percent. If we get good response from our marketing efforts, then we will aim to grow the business faster. But where we end up at the end of the year will ultimately depend on how much revenue growth we are able to get. We are sensing that we are gaining share. Our supply is looking up, we are acquiring new customers. Our response on the platform is growing at very high rates, at rates we have not seen in the past. So we are a little bullish and we are investing more at the moment. Let's see how this plays out.

Sachin Salgaonkar: Got it. Second question, just following up to one of the opening remarks statement. You mentioned that you are optimistic on the growth. So, I'm trying to understand, where is the growth coming and where is that optimism in Naukri? And clearly there are four buckets which you guys have mentioned, which is the Tech, IT, Recruitment consultants, GCCs or Other Sectors. Any specific area which is predominantly driving a large part of the growth?

Hitesh Oberoi: So, you're right. See, the growth was very slow. In FY23-24, we hardly grew. And we started the year on a very slow note. We grew by, I think, 7-8% in Q1. We've closed the year with 18% billing growth in the recruitment business. Now, it's not as if it's a very hot hiring market. It's a modest hiring market, and you can see that in our JobSpeak numbers.

One, it's a better hiring market

than it was perhaps a year ago, but it's not a very hot market.

Two, like I did say in my comments, some of our adjacent verticals are also doing well. So, we've launched some new products, new offerings. Our Naukri Gulf business continues to grow at a healthy rate. The Fast Forward business continues to grow at a healthy rate. IIM jobs and Hrist have also been doing well. Data products and some of the branding solutions that we've launched also received a decent response from our customers. As a result of all these efforts and our investing in AI, while we have not launched many new products, at least our algorithms are a lot better than earlier.

Internally our metrics tell us that everything is 15-20% better than it used to be. So, I don't know if that's having an impact as well. But so as far as the optimism for next year, we are assuming that market will continue to be reasonable. If the economy continues to grow at 6-6.5% per annum, if there are no major changes in the way companies hire, then hopefully this growth will sustain. But let's see.

Sachin Salgaonkar: Got it. And last question, I just wanted to understand, how should one think about steady state billings growth for the current fiscal? I'm coming from a point of view that in the last 7-8 quarters, we saw good growth on a quarter-on-quarter basis in billings. Last quarter, as you said, it ended at 18%. Should the mid-20s be something which is very much achievable and that is what we could see in the next few quarters?

Hitesh Oberoi: It will depend on the hiring environment. It will depend on whether hiring picks up or not. There is a lot of uncertainty, as we all know, in the world around us. It's very hard to predict what's going to happen even next week, forget about what's going to happen, in the full year. We are taking it quarter by quarter. All I can say at this point in time is, if the economy continues to grow at 6-6.5% and if there's no major sort of incident or episode, then we will try and sustain this kind of growth rate at least.

Sachin Salgaonkar: Thank you and all the best.

Hitesh Oberoi: Yeah.

Anand Bansal: Thanks, Sachin. Next question is from Ankur Rudra from JP Morgan. Ankur, go ahead and ask your question.

Ankur Rudra: Hi, good evening. Thank you. So the first question, just again, on the recruitment segment, it's been very strong and surprisingly strong. And thank you for the color in terms of breakup of the segments, very helpful. Now, what I did notice is that there was a sharp increase in number of build customers, especially in the quarter vs prior years. Also, it seems to have gone up quite a bit.

I also noticed that you've done extremely well in your Tech, IT services, BPM segment, which seems a bit surprising given the uncertainty in the market that you also refer to. And the fact that the listed IT services companies are barely hiring. So what drives this difference? Are you gaining market share? Are you doing something different? Is there any change in go-to-market or any pricing changes that explains your much stronger billing rate, growth performance, and also the metrics, right? And your customers also going up quite a bit.

Hitesh Oberoi: Like I did say in my comments earlier, what we've done over the last couple of years is, or maybe 18 months is, one, we've grown the number of offices we have. We have increased our focus on acquiring small and medium enterprises as customers. We have these adjacent businesses and we are trying to penetrate the market more with those offerings, whether it's DoSelect or data products or the premium offerings we have, and so on and so forth.

So I think it's a combination of three, four things. As far as IT services companies go, I've been saying this. What happened post COVID was that many of them ended up over hiring, and they built up a big bench. And therefore, they stopped hiring for a while. And they got rid of their benche

s. And at least now, even if they're not growing headcount, they have to replace the people who are leaving. Our hiring and our revenue is a function of attrition.

So gross hiring, not necessarily net hiring. So it's also a function of what happens to attrition rates and also to headcount. So my sense is that at least IT service company, most of them are at a point where their attrition rates have stabilized, they are replacing the people who are leaving, they may not be adding a lot of headcount. It is a modest sort of environment. And of course, we have the cheapest way to hire.

And in a modest environment, companies have some time to hire. So they would ideally not want to spend on recruitment firms, which are a lot more expensive way of hiring. So perhaps we are gaining some share also, hard for me to say.

Ankur Rudra: Thank you. And in terms of the current quarter, a lot of things have changed from the outlook of IT services companies given tariffs and whatnot. What has been the conversations in the quarter? How do you see current trends going in the last couple of months, whatever you can share? And again, across the various segments across the GCCs and the Tech, IT services, BPM segments that you see?

Hitesh Oberoi: Unfortunately, what happens in our case is a lot of the renewals are at quarter end. There's a lot of discussion and negotiation, and companies tend to negotiate hard. But in real, I would really only get to know in the last week of June as to how the quarter is going. What I can say for sure is that it's a lot of it is very company specific. So there are some companies that are doing better than other companies. And there, we don't have a problem there. We still continue, in many cases, still getting a 30-40% jump on what we billed the client last year. But it's very company specific.

Ankur Rudra: Okay, appreciate it. Maybe switching gears a bit on blue collar, if you can talk a bit about JobHai, how is that doing? If I just look at the headline traffic that JobHai gets vs the market leader, let's say like Apna or somebody else, it seems to be a very significant gap. So what is missing? What's the challenge in terms of getting the right product market fit here? And how will you pick the engagement up?

Hitesh Oberoi: In our view, there is not that much of a gap anymore, given the entries, the numbers we track. Our approach in JobHai has been that, this is a long term play. This is not a market, which is going to happen in one or two years. And we've been investing in building the product. We continue to follow a freemium model. And we believe we've been rapidly gaining share in terms of traffic, at least over the last few months.

Our focus and approach is a little different from the others. We are sort of right now focusing more on NCR and we want to make the model work in the NCR market. In the NCR market, at least our team believes that we are already up there, almost as big as the number one player, which is not Apna, which according to our team is is Work India. So, if the model succeeds in NCR, then we will take it to other cities a little more aggressively. So that's the approach we're following in JobHai. We started monetizing last year, small sums, but we did about a crore in March. For the year we did Rs. 6 crores. So, baby steps, but we're focusing more on getting the unit economics right, getting the model right, and then we'll scale.

Ankur Rudra: If it does not work properly, will you be open to consolidation in this segment?

Hitesh Oberoi : We haven't really thought about it right now. It looks like it's working. So we'll at least give it some more time before we start thinking of consolidation.

Ankur Rudra: This last question is on AMP. You mentioned it went up because of IPL in the last quarter.

Hitesh Oberoi: Not just IPL. We only accounted for some IPL spend this quarter, because IPL is, I think, March, April. In general our

team feels that we should be doing a little more marketing at this stage. So that's why the cost went up. IPL was one part.

Ankur Rudra: Sure. I mean, I'm guessing that continues for one more quarter, but how are you thinking about it going forward and why and who are you marketing towards? Is it mainly for candidates? And why do you think you need to have this when the brand presence is already there?

Hitesh Oberoi: Yeah, so it's mostly marketing to job seekers. Our team feels that there are

certain segments where we need to make more inroads, and that will help us in the long run. Certain geographies, where we need to do more, which will help us again in the long run. Certain segments, where we perhaps were missing for some time. There are a lot of new job seekers who hit the market every year. So we need to be seen. So I think that's really the reason. And we are experimenting with different sort of platforms and different sort of ways and means of marketing. This is an expense you can control anytime. So it's a tap which can be turned off at any point in time. We are getting decent response to the marketing efforts we are putting in. So let's see, we'll continue with this for some more time and then take a call.

Ankur Rudra: I appreciate it. Thank you and best of luck.

Anand Bansal: Thank you, Ankur. Next question is from Nikhil from Nuvama. Nikhil, go ahead and ask your question.

Nikhil Choudhary: Thanks for the opportunity and congratulations on very strong numbers. Hitesh, I'll start with margin first. This quarter, the margin was obviously quite a bit lower than last quarter. And we have seen promotional expense, at least in FY25, was limited to Q1. This time it is now happening in Q4 as well as extending to Q1. Was there some right shifting of expense, I mean, a fronting of expense to Q4. So let's say the impact in Q1 would be lower than last year or is it fair to assume that at least for now, the marketing expense will be higher even going ahead?

Hitesh Oberoi: Like I said, here in marketing, we decide quarter by quarter. In 99Acres, for example, we reduced marketing expenses over some time and then we ramped it up again, because we changed our marketing strategy. The new marketing strategy started working for us and because it started working for us, and the ROI was very positive, we ramped up our marketing spend. And I think that will continue.

So in 99Acres, we will continue to invest aggressively in marketing. And I think we've gained significant share in the last six months. I hope that sustains going forward. So in Naukri, like I said, again, we'll decide quarter on quarter, there were some goals we were chasing. We felt that we didn't have enough CVs in some geographies. In some segments, we wanted to go after a certain type of audience. So there were some things which our team felt were important, and strategic from a long term standpoint, and we wanted to sort of invest behind those efforts. And it seems to be working.

I mean, of course, the results from marketing will show only in subsequent quarters, you don't get the results immediately, the returns will not be immediate. But it's helping us meet a strategic long term objectives and it will continue for some time.

Nikhil Choudhary: Sure, Hitesh. Second one on employee cost. Even employee cost for this quarter, went up by 250 basis points. Generally, we haven't seen this kind of seasonality in Q4, even there was a decent increase in employee count as well. So I mean, is it more to do with the kind of demand we are anticipating or is it more like a disconnect we generally see between the billing growth and cost increase?

Hitesh Oberoi: Q4 is our biggest quarter. And normally, we set aggressive targets and the variable payout is linked to billing growth, not to revenue growth, right. So part of the bump you see is because we met our targets in all our businesses. And therefore, the variab

le payout

was a little higher than expected, because that's more linked to billing growth than revenue growth. Number two, we are investing aggressively in AI and machine learning and generative AI. And on that investments we are a little ahead of the curve and it's not cheap. Because of AI investments, we need to buy more servers, we need to hire more people and these people are not cheap, they're expensive. But I think these investments are strategic and very important from a long term standpoint. And hopefully, if we execute well, we will see their returns in the quarters to come.

Nikhil Choudhary: Got it.

Hitesh Oberoi: And most of these investments are being made in Naukri.

Nikhil Choudhary: Yeah. Hitesh, for last 2-3 quarters, you have talked about AI and gen AI in particular. Two part to it.

First one, are we seeing some new start-ups coming and trying to enter, let's say, the job market? We have seen some of it getting funded recently. So are we seeing at least some niche area where we are seeing higher competition? This area is obviously going faster than overall industry. And second part of the question is, you have mentioned, I think, two quarters back that you're investing in AI, but the monetization of this AI investment will be much faster. So any quantifiable data you can tell us, maybe the product you launch or where we are in this monetization journey?

Hitesh Oberoi: See, AI continues to surprise us. AI is evolving rapidly. It's a horizontal technology, there could be AI in everything. You can have AI in HR, you can have AI in finance, you can have AI in product offerings, you can have AI in whatever, right? It's that kind of technology. So as far as AI hiring start-ups go, we are not seeing any impact as yet. At least on our business, there's nothing which has come to us which is bubbling up and which our sales team has pointed out to us, as yet. I'm sure there's a lot of action and I'm sure there are lots of startups getting funded, but there's nothing that we are seeing on the horizon as yet, which is impacting our business. As far as our AI investments go, there are multiple types of investments we are making in AI.

One is leveraging basic, classic machine learning. So let's call it AI 1.0. Classic machine learning to improve our recommendation engines, to improve our search engines, to improve our matching engines. This is not the stuff that you will see on the outside, but I can tell you that in Jeevansathi and in Naukri, wherever we've applied the latest sort of models, we've seen a 15-20% kicker in terms of all the metrics we track. So whether it's the number of acceptances in Jeevansathi, whether it's the number of job applications on Naukri, wherever we've applied some of these models, the latest models, we've seen a 15-20% kicker in our metrics and hopefully it will result in some revenue at some point in time and maybe it's already helping.

Second is generative AI, call it AI 2.0. We are trying to use generative AI to launch new features. So I'll give you an example. We have launched an AI listing in 99Acres. Basically what happens is that you record the broker's voice and you have the listing and you can actually hear the listing in the broker's voice. So it's a sample that you record and you can sort of hear the listing in the broker's voice. A lot of people, a lot of clients are upgrading to this type of listing. We have lots of use cases where we are using generative AI. For example, if there are lots of reviews on the platform, you want to give us summary. Generative AI can help people post jobs faster. You can give us summary of a resume, all kinds of things that are possible with generative AI, which we are doing. So new features with generative AI is another area where we're investing.

Third is brand new products. I mentioned data products. We have a whole suite of products that we offer to companies to help them do their tale

nt and salary planning. So a lot of companies have started paying us for these offerings. Again, very early days, but this is using our proprietary data. We are piloting right now this agentic AI offering, which I'll call AI 3.0, which is basically, a recruiter agent that we have built for companies, which can help them do what they used to do in 10 days earlier, in 10 hours. And this is being beta tested in about 10 or 12 companies. Now we are moving to the commercial testing phase. Enough companies are sort of saying that we'll help, we are happy to pay you. We have to figure out the pricing. We'll have to figure out how it sorts of ties up with our overall strategy. But these are examples of brand new products. Now we are investing in these products. As a result, our AI team has grown substantially over the last few years. We are not monetizing very aggressively, but hopefully the benefits will accrue to us over a period of time.

Lastly, of course, is AI for our own internal productivity to help us save costs. Right there, we've taken baby steps. It's not been a very big focus area for us, but slowly we are now encouraging everybody in the company also to see how they can leverage AI to become more productive and more importantly, to just to do stuff faster and more innovative.

Nikhil Choudhary: Sure. Any comment on competition in this area?

Hitesh Oberoi: See the regular competitors we have I'm sure they're trying to do things as well using AI, but I can tell you, it's not that easy. It's not easy to attract the right kind of talent. It's not easy to retain them. It's not easy to make AI work for you. A lot of people may claim to be doing AI, but to make AI really work for you from a business standpoint is not easy.

Nikhil Choudhary: Thanks, Hitesh and thanks for sharing additional data on segments. Appreciate it.

Thanks Sanjeev and his team for sharing data regarding the kind of return you have generated since 2019. Obviously, we knew about Zomato and Policy Bazaar, but especially returns since 2019 and other investments, we really appreciate it. Thank you.

Anand Bansal : Thank you, Nikhil. The next question is from Swapnil from JM Financial. Swapnil, go ahead and ask your question.

Swapnil Potdukhe: Hi, everyone. Thanks for the opportunity. My first question is on the breakup of your recruitment segment billings.

You did allude that Naukri Gulf, Fast Forward and IIM jobs are doing well for you. But could you put it into context as to how much contribution does these businesses actually do? I remember you guys used to report Naukri India separately and the other businesses separately. Used to give that kind of a share at one point of time. How has that moved could help us understand the potential in the new businesses.

Hitesh Oberoi: Did we give out these numbers?

Vineet Ranjan: So Hitesh, we used to give product basically how much Resdex is contributing, job posting is contributing. We have stopped that because we sell all these services as a package deal now. So they're very difficult to attribute. Therefore, we have stopped doing that.

Especially for these segments like Naukri Fast Forward or IIM Jobs or Hirist, we don't give that separately. But obviously, Swapnil, from Hitesh's commentary, you can refer to the growth rates these businesses are doing, but we have not been disclosing the size of the business.

Swapnil Potdukhe: I mean, the only point I'm trying to make here is that it will help us better understand the TAM or the opportunity which is there to conquer and get a sense as to how the core business is doing vs the other business. That's why I'm coming with that question. If you can give some color going ahead, I mean, would be helpful. That's the limited point there.

Vineet Ranjan: Absolutely yeah, Thank you.

Swapnil Potdukhe: The second question is with respect to your corporate cost. I think your corporate cost on a quarterly basis

is used to be around Rs. 14 to 15 crores till a couple of quarters back. If you just go back a few quarters, they have now seemed to double close to around Rs. 30 crores. Any particular reason there has been a substantial jump over the last couple of quarters, especially?

Hitesh Oberoi: Chintan, you want to take that?

Chintan Thakkar: Yeah. So I think it's mostly, like earlier Hitesh said that in Q4, we have booked a lot of management bonuses. And so it relates to either because of the improved performance in our businesses, including the investments that we have done. I think it relates to some of those type of expenses and many of them would be one time.

Swapnil Potdukhe: Okay. Got it. And the third question is with respect to your cash allocation policy, because we have a substantial bit on our balance sheet, roughly around Rs. 4,800 crores. I understand you have increased your dividend decently this time around. But still, if I were to just take out your deferred sales and the payout that you would be making this year, you will still be having a substantially large amount of cash sitting on your balance sheet. I mean, could our payout increase materially from what you are doing right now given that, unless and until we have any specific requirement of it. I mean, you are also generating every year a decent amount of cash.

So triangulating those things, I am just trying to understand, do we really need so much cash on the balance sheet and would it be rather distributed to the shareholders?

Chintan Thakkar: No, so look, you are right. The way we look at cash is that cash is very central part of our overall strategic thinking. And we look at the deferred revenue, which is advance from customers, we look at what the contingency and reserves that we require in operating businesses. We also continue to look at what the other opportunities of investment, it could be anything in the operating businesses like AI or JobHai, where we are continuing to invest.

We also evaluate if there are any opportunity for any inorganic activity, which need not necessarily be a 100% acquisition, but we have made some strategic investments and it could be a significant minority to a 51% type of holding also in some of these companies. So those type of opportunities we continue to evaluate.

As you would have seen that recently, we got the shareholders' approval for another fund for about Rs. 1,000 crore rupees. So we look at that as well. We are keeping some reserves for the investment activities as well. We have come out with the returns that we have been generating on the investment side as well. So that part of the business also would require some funds. So we continue to keep an eye on that.

So having said that, every quarter we look at what the cash balances are, and we evaluate what the opportunities that looks in front of us. Keeping that in view, I think we have increased the dividend as of now, we might continue even more as we go ahead. Again, it depends on the business and how we evaluate the opportunities that are in front of us.

Swapnil Potdukhe: Got it, Chintan. And just the last one on your guidance for profitability in 99Acres and Jeevansathi. I mean, you did allude in some calls that you're looking to make them profitable next 12 months or something. Obviously, you also mentioned now that there has been some rework on the marketing strategy, especially 99Acres. So any rethought as to that guidance, are we sticking to that irrespective of the changes in our decision with regards to market share and other things? I'm just trying to get a sense as like, will we stick to it or are we revising anything?

Hitesh Oberoi: See, two years ago, we were losing maybe Rs. 200-220 crores a year in our non-recruitment businesses. We worked very hard over the last two years to get that to. This year we generated about I think Rs. 20-30 crores in terms of cash from operations from all

the non-recruitment businesses put together. 99Acres, Rs. 2 crores positive, Shiksha about Rs. 26 crores, Jeevansathi Rs. 8 crores negative.

Now, see, it's not as if we want to lose money, if we would ideally want to make money in all these verticals. But if we see an opportunity to gain share, and improve our long-term competitive position, then we go for it, right? So in 99Acres, we've gained some share in the last six months, and we are continuing on that path. Now if revenue growth is solid, then it's not as if we will lose money, we would want to make money. But if revenue growth lags by a couple of quarters, we'll still go for share. In Jeevansathi we'll try to break even this year as well. But at the same time, we would want to continue to grow at 20-25%. The industry will be growing at 8-10%, but we would want to continue to gain share, even in Jeevansathi. So that's our philosophy, we don't want to lose a lot of money. But if we sense an opportunity to gain share, we'll go for it.

Swapnil Potdukhe: Any chance that there could be a possible M&A. Any thoughts around that? I mean, it's a long pending question. But still.

Hitesh Oberoi: For that, we have to go to AstroTalk.

Swapnil Potdukhe: Got it. All the best, guys. Thanks a lot for the opportunity.

Anand Bansal : Thanks, Swapnil. Next question is from Damodaran from Equitas Capital. Damodaran, go ahead and ask your question.

Damodaran N: Thank you for the opportunity. Just one question. I mean, follow up on Jeevansathi.

Jeevansathi has regained its Rs. 100 crore plus top line, and you're almost on the verge of breaking even. And all this was achieved in the backdrop of the industry leader declining. So the question is, do you think the industry is saturated, and incrementally all the players will continue to fight for the same market? And if that is the case, what change do you think you will be making to your capital allocation strategy there?

Hitesh Oberoi: Yes. As far as the matchmaking market is concerned, see, the category is growing at 10% per annum. We are a small player in the category. We are a number three player. Maybe it's a thousand crore category. We do about Rs. 100 crores or maybe its a Rs. 900 crores category and we do about Rs. 100 crores. We've done a bunch of things over the last few years to improve our sort of standing in this industry. We've worked very hard, we

changed our model. We've improved, worked very hard on the AI. We've cut costs. We've focused on a few markets. So, we've done a host of things to get the business to where it is today. It's not been easy for us. And we are growing well now.

And I think we are gaining share. And we would want to continue on this path for the next couple of years and see where it takes us. The industry is what it is. I mean, it's a three-player market. And till the time it continues to be a three-player market, it's going to be very, very hard for any one player to make high margins or to grow very rapidly.

Damodaran N: Okay. So, you don't think that it's reached some saturation point or is it in structural decline or something like that, given the leader, declining last year?

Hitesh Oberoi: No, I think the leader may be declining because the leader is losing share.

Damodaran N: Okay Right.

Hitesh Oberoi: I mean, that's what I suspect is could be happening. I don't know, because we really don't operate much in the South and the leader is a very strong player in the South. So I suspect if the leader is declining, it could be that, it could be that they're losing share.

Damodaran N: And they are unlikely to be losing share to us, right, Hitesh?

Hitesh Oberoi: Yeah. So, they may have lost share to us in the North, because we are very strong in the North. But for them, the North is not a very big part of their business, or was never a very big part of their business.

Damodaran N: Sure. Okay. That's it. Thanks.

Anand Bans

al: Thanks, Damodaran. Next question is from Vijit Jain from Citi. Vijit, go ahead and ask your question.

Vijit Jain: Thank you for the opportunity and congratulations on the results. My first question was actually on Resdex, and I think you've answered part of it. In general, I wanted to better understand the comment you made on how your packages have changed and so separating your revenue mix from Resdex and others does not make sense anymore. If you could elaborate on that. Because in general, I would have thought that with all these commentaries, the share of Resdex would start to meaningfully decline from here.

Hitesh Oberoi: I think the real challenge there is that when we sell to customers, we have a rate card, let's say, for data products, for AIRex, for branding, for a bunch of other offerings, IIM Jobs, Hirist, etc. And when we sell to them, it's often like a package. And then we have to allocate to different products, but is the customer really paying for all those offerings or is it paying for the bundle? And for the value it's deriving from in the bundle is, so it's very hard to see what's really happening. And for that reason, we have stopped sort of giving out this data. Is that correct, Vineet?

Vineet Ranjan: Yeah

Vijit Jain: And Hitesh, also, because I mean, obviously, on the recruiter, on the candidate side, the site attracts a lot of traffic, and there is branding opportunity there as well. So are there low hanging fruits there in terms of how you can improve your overall monetization outside of Resdex, just simply the share, monetization of the traffic that you get, people uploading updating resumes and whatnot? Is that something that has meaningfully changed?

Hitesh Oberoi: Yeah, so it's not as if we go after regular general advertising, but we focus on recruitment advertising. And so last year, we grew our recruitment advertising business, which is what we call internally, "branding", which is different from listings and Resdex, substantially on a small base. So we are working on some of these initiatives.

And we saw good traction last year, perhaps because the reality of life is that everybody wants to attract good talent. And now there are so many GCCs, there are so many companies fighting for this talent. Outside the top 1,500 companies, nobody really knows what the rest are all about. So everybody wants to showcase themselves and tell the world how they're different. So it's an opportunity we see and some of the offerings we rolled out last year, seem to have been received well by customers. So let's see how if you're able to sustain this growth

momentum going forward.

Vijit Jain: Thanks, Hitesh. And my second question is to Sanjeev on the investments portfolio. So first off, thanks again to the entire team for the disclosures. And I'm very mindful that, Zomato, PB Fintech type outcomes cannot be guided. On a long enough timescale, what is the kind of IRR you would classify as, success or base expectation?

Sanjeev Bhikchandani: See, the post-carry, post-expense IRR for the 2019-20 vintage fund, anything above 18-19% would be decent, above 25% would be excellent. Now, where you end up will depend on how many outliers you end up getting from that portfolio, if any.

See, IRR is tracking where it is, but you've got to understand the way IRR is measured. Until you actually get exits or a company lists, where you can have a mark-to-market, the proxy variable is if the company raise money from another investor at a higher valuation. If yes, then you mark it up and you work out the IRR. Now, given the private market valuations, they go up, they go down, companies do well ostensibly at valuation, but operationally they get in trouble sometimes, sometimes they blow up. We've seen that. IRRs can go up or down. IRRs also have this time decay element, as no doubt you guys are well aware, perhaps more than me. So, the current IRR can go down tomorrow

, even though the company is doing equally

well because it didn't go up, and it took two more years. The IRRs are indicative, and they should be taken somewhat with a pinch of salt. And until the companies get listed, or sold, or we get exits, we don't really know, what will be the IRR or what was the IRR.

Vijit Jain: Fair enough. No, no, that's helpful Sanjeev, always good to have color on how you're thinking about this. Thank you. Those were my questions.

Sanjeev Bhikchandani: We report IRR because it's industry practice and we use this method because that's industry practice. But essentially, till you get exits. I saw a good tweet the other day, somewhere saying you can't eat IRR, you can only eat MOIC. So IRR doesn't feed the stomach.

Vijit Jain: Thank you, Sanjeev.

Vineet Ranjan: Hitesh, there is a question in the chat box from Anand. What kind of investments has the company made on AI so far? And do you see it going up?

Hitesh Oberoi: Yeah, so AI has become, like I said, there's AI in everything. So there's a central team. Now that central team itself is very large, and has grown maybe 5 or 6X in terms of headcount over the last four or five years. We've added servers and lots of other sort of things to go with it. But now increasingly in every part of the business, we are encouraging everyone to either use AI tools, or use generative AI. It's not as if we have to make everything ourselves, we can also buy AI. So we are encouraging everyone to sort of do their own thing. So even marketing teams are using AI tools, you have design teams using AI tools, soon you'll have engineers use sort of AI tools. So overall, I would suspect that today, at least 60-70% of what we do has some element of AI in it, in terms of innovation and product development. So the central team, which is the specialized team, that may be let's say 100 people, plus minus. But there is every part of the business also now trying to figure out how to use AI in their department, which is separate. And we don't even count that anywhere.

Anand Bansal: Thanks, Hitesh. So Vineet, that was the last live question from Vijit, from Citi bank. The chat box questions are also answered.

Vineet Ranjan: Thank you, everyone. I guess on behalf of Infoedge, we can conclude this call. Thank you for joining.

Hitesh Oberoi: Thank you, everyone. And have a great evening.

Anand Bansal: Thank you, everyone.

Sanjeev Bhikchandani: Thank you and bye-bye.

Call: Aug 2025

Date: August 14, 2025

1. The Manager- Listing
National Stock Exchange of India Limited
(Scrip Symbol: NAUKRI)

2. The Manager- Listing
BSE Limited
(Scrip Code: 532777)

Dear Sir/Madam ,

Subject: Transcript of Earnings Conference Call on financial results for the Quarter ended June 30, 2025

In furtherance to our letter dated August 8, 2025 and pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing Obligations & Disclosure Requirements) Regulations, 2015, we wish to inform that the transcript of Earnings Conference Call on the Financial Results for the Quarter ended June 30, 2025, held on Friday, August 8, 2025 at 4:00 pm (IST), post declaration of results, is enclosed herewith. The copy of the transcript is also available on the Company's website at

https://www.infoedge.in/pdfs/financial_pdfs/f_Earnings/investor-concall-transcript-14aug25.pdf

Request you to take the same on record.

Thanking you,

Yours faithfully,

For Info Edge (India) Limited

Jaya Bhatia

Company Secretary & Compliance Officer Encl.: as above

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Regd. Office: Ground Floor, 12A, 94, Meghdoot, Nehru Place, New Delhi-110019

"Info Edge (India) Limited

Q1 FY2026 Results Conference Call"

August 8, 2025

MANAGEMENT:

Mr. Sanjeev Bikhchandani – Founder & Vice Chairman

Mr. Hitesh Oberoi – Co-Promoter & Managing Director

Mr. Chintan Thakkar – Director & CFO

INVESTOR RELATIONS:

Mr. Vineet Ranjan - Head, Investor Relations

Anand Bansal : Good evening, everyone. I'm Anand Bansal. I'm joined today by my colleague, Vineet Ranjan. Thank you for joining us.

Vineet Ranjan : Thank you, Anand. Good evening, everyone. Welcome to InfoEdge India Ltd Q1 FY26 Earnings Conference call. Joining us today from management we have Mr. Sanjeev Bikhchandani, Founder and Vice Chairman, Mr. Hitesh Oberoi, Co-Promoter and Managing Director, and Mr. Chintan Thakkar, Director and CFO. Before we begin, I would like to draw your attention to the detailed disclaimer included in the presentation for good order sake. Kindly note that this conference is being recorded and all the participant lines will be in the listen-only mode and there'll be an opportunity

for Q&A after the presentation concludes. I'll hand over the call to Mr. Hitesh Oberoi for his opening remarks. Thank you and over to you, Hitesh.

Hitesh Oberoi : Thank you, Anand and Vineet. A very good evening, everyone and welcome to all of you to Info Edge's earnings call for the first quarter of FY26. We will begin with an update on the standalone financial performance, then cover the performance of each segment, along with the commentary on each business. We'll have Q&A towards the end.

For the standalone businesses in Q1 of FY26, billings were Rs.644 crores, a YOY growth of 11% and revenue was Rs.736 crores, a YOY growth of 15%. Billings and revenue, including Zwayam and DoSelect, were at Rs.665 crores and Rs.757 crores, a YOY growth of 12% and 16% respectively. Operating profits at a standalone level grew by 10% year-on-year to Rs.250 crores and the operating margins stood at 34%. The standalone business generated cash from operations before taxes of Rs.180 crores in Q1 of FY26. The cash generation from the recruitment business was Rs.196 crores. The non-recruitment businesses at an aggregate level were cash negative at Rs.11 crores in Q1 of FY26. EPS before exceptional items, net of tax and deferred tax for Q1 of FY26 stood at Rs.4, post split of shares, a YOY growth of 11%. The cash balance of InfoEdge, including wholly owned subsidiaries at the end of June 2025 stood at Rs.4,828 crores. The headcount as of June 2025 was 6,174.

Moving on to segment-wise performance and starting with the recruitment business. In Q1 of FY26, Billings grew by 9% to Rs.470 crores and revenue grew by 15% to Rs.542 crores. The operating profit improved by 12% year-on-year to Rs.284 crores and the operating profit margin was 53%. Cash generated from the recruitment operation was Rs.196 crores. Billings growth in Q1 moderated compared to the mid-to-high-teens growth witnessed in the previous few quarters. This was primarily due to multiple macro events during the quarter and a general demand slowdown across certain sectors which impacted investment decisions relating to people amongst companies. We observed a trend of contract deferrals by some clients towards the end of the quarter, which is usually the peak period for closures. As a result, renewal activity was impacted, leading to a moderation in overall Billings growth. Several segments and sectors such as GCCs, technology companies, retail, healthcare, and manufacturing, continued to post double-digit growth. On the other hand, segments like recruitment consultants, IT services, BPM, BFSI, and infrastructure experienced a moderation with growth tapering to low single digits in Q1. Despite this, the job speak index and recruiter engagement metrics, including CV searches and views, remained resilient, indicating steady hiring during the quarter. Niche and adjacent businesses like IIMJobs and Hirst, Naukri

Gulf, and Naukri Fast Forward, the candidate services business, sustained their growth trajectory in Q1 of FY26, with year-on-year Billings growth of 41%, 18%, and 15% respectively. Our employer branding solutions offered across various platforms such as Naukri, IIMJobs, Hirst, and Ambition-box also continued to grow well. We are focusing on strengthening these offerings and deepening our market penetration. The Job Hai business, while currently operating primarily as a premium model, focus on select markets, maintains strong platform metrics, and continues to grow revenue at a rapid rate, on a small base. On the job seeker front, the Naukri platform now hosts approximately 108 million resumes and added an average of 26,000 new resumes daily during Q1 of FY26. Marketing expenses were elevated in Q1 and can be broadly classified into the following buckets. IPL-related branding campaigns, which are once-a-year activities; focus efforts to further strengthen our job seeker database, especially in emerging cities and non-IT segments; and some increased investments in smaller businesses such as IM Jobs, Naukri Gulf, and Job Hai as they gain scale. These expenses are partly seasonal, and we expect full-year marketing expenses to remain at around the same level, plus/minus a few percentage points, compared to last year. Therefore, the operating PBT margin, with some moderation in Q1, could improve sequentially in the coming quarters, subject to top-line growth returning to healthy levels. Hard to predict what's going to happen in this uncertain environment going forward. In summary, despite the recent moderation in recruitment billings, we remain cautiously optimistic about growth momentum in the quarters ahead. Subject to improvement in growth trajectory, we remain confident of delivering improved and sustainable margins going forward.

Moving over to the real estate segment. In Q1 of FY26, billings growth was 17% at Rs. 94 crores, and revenue grew by 12% to Rs. 111 crores. Operating losses were Rs. 19 crores, and cash losses from operations were Rs. 20 crores in Q1 of FY26. Q1 is typically the smallest quarter of the year from a billing standpoint for 99acres and saw decent growth. This was driven by an increase in both the number of billed customers and the average billing per customer. Billings from brokers and channel partners grew at a faster pace than billings from developers. Live new project listings on the platform grew 17% year-on-year, while live resale and rental listings from brokers grew 29% year-on-year in Q1. App and web traffic continued to grow, leading to an increase in inquiries across all categories. We believe that we continue to gain market share in this vertical and continue to build on the momentum of last year. Marketing expenses were higher this quarter as well. These are in line with the returns we have seen from such investments over the past few quarters. We continue to experiment with our marketing approach and will adjust our strategy depending on results. Our focus remains on driving quality traffic onto our platform. In the coming quarters, 99acres will

continue to invest in expanding both its user base on the buyer side and its client base amongst brokers and developers while enhancing the platform experience to help users make informed real estate decisions across both the primary and secondary market segments. \

Moving over to the matrimony business. In Q1 of FY26, billings grew by 36% to Rs.35 crores and revenue grew by 29% to Rs.34 crores. The business achieved break-even at the operating level and generated cash from operations of Rs.6 crores in Q1 of FY26. In Q1 of FY26, the Jeevansathi business maintained its growth momentum driven by monetization initiatives undertaken over the past 12 to 18 months. The focus remains on Hindi-speaking markets where we continue to have a strong presence and see significant long-term potential. Investments in these ma

rkets are delivering

encouraging results, particularly in terms of user acquisition growth. AI is being leveraged to drive efficiencies in creative development and other related processes as well as to enhance the product experience and improve pricing yield on the platform. Marketing expenses have increased year-on-year but have remained within the 12 to 15 crore range over the past few quarters. The business intends to stay within this range while continuing to operate at or near break-even levels subject to changes in comparative intensity.

Moving on to the Shiksha business. In Q1 of FY26, billing was Rs.45 crores, a YOY growth of 8% and revenue grew by 19% to Rs.50 crores. The business delivered an operating profit of Rs.6 crores and generated cash from operations of Rs.2 crores in Q1 of FY26. Domestic private universities and colleges continue to expand their course offerings beyond engineering with more choices now available to students. The emergence of new private universities in India presents an opportunity for Shiksha to further expand its footprint. We are investing in creating more comprehensive student-friendly content and are trying to build deep domain expertise in this segment. Higher visa rejection rates for those aspiring to study in the US and a decline in job prospects for students abroad have reduced student interest in going overseas to some extent, especially to the US. Students are opting now to study more in the UK and in continental Europe. The Shiksha business is also facing some headwinds from the new AI bots and the new AI mode introduced by Google in the market.

Moving on to the AI front, our current focus on leveraging AI is centred around the following key priorities. One, enhancing search quality, user personalization, and productivity across existing platforms. Two, building new AI-powered features that improve user experience and engagement. Three, creating entirely new products and monetization levers powered by AI and four, leveraging AI internally to improve operational efficiency and speed in execution. In line with this, we continue to upgrade our database product in Naukri with AI and machine learning, resulting in improvements in recruiter productivity. Similarly, new AI models for job search and recommendations have driven a 15 to 20% year-on-year improvement on the job seeker side. Across our businesses, we are now using GenAI tools to create content and a lot of our recent marketing campaigns are generated in-house and driven by AI. Overall, our AI initiatives are driving growth across all verticals inside Info Edge. Moving on to the consolidated financial highlights. At the consolidated level, the net sales for the company stood at Rs. 791 crores in Q1 of FY26 versus Rs. 677 crores for Q1 of FY25. The total comprehensive income was Rs. 7,918 crores in Q1 of FY26 versus Rs. 3,583 crores in Q1 of FY25. Profit before tax, without exceptional items in Q1 of FY26 was 436 crores compared to Rs. 329 crores in Q1 of FY25.

To summarize, the recruitment business remains resilient even as billings were moderated in Q1 of FY26 due to macroeconomic factors and some sectoral softness. Engagement on the platform remains healthy and we continue to deepen our presence across GCCs, Small and Medium enterprises, Tier 2, Tier 3 cities and other non-IT sectors to broaden our customer base. Our niche and adjacent platforms like IIM Jobs, Hirist, Naukri Gulf, Naukri Fast Forward, DoSelect, AmbitionBox and Job Hai sustain their growth momentum and hopefully will unlock new growth opportunities in the years to come. The non-recruitment businesses continue to grow steadily and reduce cash losses during the quarter reflecting consistent execution and improving efficiency. In 99acres, we witnessed steady growth despite it being a seasonally soft quarter. We also continue to gain market share supported by sustained investments in marketing, platform improvement an

d content quality. Our

efforts remain focused on further strengthening our leadership in the secondary real estate segment while improving our offerings in the primary new launch and under construction space. In Jeevansathi, topline growth was supported by the continued success of the freemium model, enhancements to the matching algorithms using AI and ongoing efforts to drive monetization. The business achieved breakeven in the quarter. Shiksha's domestic business remained on a steady healthy trajectory and continues to operate profitably. However, it's facing some headwinds and may need to pivot in the quarters to come. Across all our platforms, we are progressing well on the deployment of AI and machine learning to improve recruiter experiences through smarter search recommendations, pricing, creative development and new feature rollouts. Our healthy cash flows and strong reserves remain a core strength. These enable us to invest in long-term growth initiatives, respond to competitive dynamics and evaluate opportunities that create sustainable shareholder value from time to time. Thank you all for joining the call. We are happy to take any questions.

Vineet Ranjan : Thank you, Hitesh. Anand, we can start with the questions now.

Anand Bansal : Thanks, Vineet. Anyone who wishes to ask questions may raise their hand on the screen. We'll take your name and announce your turn in the question queue. And we already have a question queue lined up. So, the first question goes from Vivekanand from Ambit Capital.

Vivekanand : Hitesh, I'll start with the question that everyone is asking. So, you guessed it right, AI and its impact on your business. I want you to also elaborate on the conversations you're having with your tech clients, both IT services as well as GCC clients to help unpack this and its impact. I also know that you did a very big survey recently. So, perhaps you can showcase that as well.

Hitesh Oberoi : What we are doing for with AI internally, I walked you through it. How AI is impacting demand, how AI is impacting our customers, hard for us to sort of say at this point in time. We were growing at 17-18% in Q4. Before that also for a few quarters, we grew at 14-15%. Growth was coming back to normal. Till mid-May, we were confident of Q1. But then, a lot of events happened in the second half of the quarter. As a result, towards the end of the quarter a lot of our clients deferred purchases and reopened contracts and collections were weak. So, hard to say whether this was because of AI or whether this was because of what happened between Iran and Israel or between India and Pakistan, or generally, if there's softness because of demand from the US slowing down. Certain sectors are impacted more than others. Certain sectors continue to grow reasonably well, like GCCs did well for us. Sectors like healthcare, retail, travel, they continue to do well. Banking and financial services and infrastructure, on the other hand, slowed down considerably compared to Q4. If it's because of AI, I think still early days, but there's generally a sense of softness in hiring demand, both in the non-IT side in certain sectors, and also with IT services companies and BPMs. Whether this is temporary or, and whether growth will come back, hard for me to say. Now, July started off on a better note. Some of those pending collections, we were able to collect. Some of those contracts which got deferred, we were able to collect that money in the first 10-12 days of July. So, July collections growth were actually pretty solid, 19% collection and 13% billing. But whether we will be able to sustain this going forward, hard for me to say at this point of time. From a customer standpoint, different things with different companies. In some companies, we are still seeing very strong billing growth even amongst IT services companies. Some companies are soft. Some companies seem to be doing better than others. Th

ey're hiring more people. We are still billing a lot more than we were billing earlier from them. In some companies, there is a little more softness on the hiring side. So, it's company by company. The consultant business also slowed down a little bit. Consultant growth was low single digits last quarter.

Vivekanand : All right, this is helpful. Just one follow-up and maybe a bit more philosophical question. Today, when you look at AI, and perhaps its impact on tech jobs, and maybe white collar hiring in general. So, one school of thought is that there will be many more jobs, but there will be job losses also. And net effect, perhaps not too many people know about it yet. But one thing which is quite clear is the high value jobs, perhaps if you were heavily reliant on a job listings model, maybe for job listings of high value openings, you could charge a meaningful tariff or premium versus say the mass market roles. And perhaps you would not be that badly impacted. What I'm trying to understand is your current model is more a database model where you are charging clients based on usage of the database, and not making that much differentiation in pricing by the kind of job that a recruiter is hiring for versus a platform say which would primarily have job postings where it would be easier to charge a premium or a non-linear tariff from those who are hiring very high value targets. So, which is why if you talk about this, and perhaps the implications on revenue trajectory, I think that is what investors are quizzing us on when we discuss with them.

Hitesh Oberoi : What we are sensing right now is that there seems to be more demand for premium talent than regular sort of job seekers. At the same time, I think there is also more demand for perhaps but early days for us, because where the Job Hai businesses, we are new to that business, but even on Naukri for the less skilled, less experienced, lower sort of wage talent. But the point you make on whether we can up the prices. What we've also seen over the last five years is that the average CTC of a CV being viewed on Naukri has gone up substantially, which basically means that we can up the prices over time if required. Because if companies save more money by hiring through Naukri, because they're hiring more premium talent, then we should be able to charge more. So, we could do that. And nothing prevents us from even moving to a credit model where we say, if you view CVs that are above a certain CTC, then we charge you one credit. On the other hand, if you view CVs, where salary levels are low, we'll charge you half a credit. We haven't taken that call as yet. But it's not as if this can only be done on the job listing side. The point I'm making is you can do it on the resume side as well and the database side as well. We are yet to take that call and let's see how things evolve. Very early days, like I said, these are very different times, hard to predict what's going to happen. You get taken by surprise. We don't want to take decisions in a hurry, we would rather wait for things to settle down. And then understand the trends are long term and then take our calls on pricing.

Vivekanand : My second question is on ad spends. Your P&L almost appears like that of an FMCG company, because you have consistently been spending 12% of your revenue on advertising. And it seems that you are consistently supersizing your brand. So, I just want to get your thoughts on

whether this is a phase or this is a business that needs continuous brand investments with this level of FMCG like intensity? Just your thoughts here. Thank you.

Hitesh Oberoi : We've got like these four businesses, and the level of spending is different for different businesses. In Naukri, just some time back, we were spending 3-4% of our revenue on marketing. We've upped it for the last few quarters to maybe 8-9-10% of our revenue. But it's not as if we need to spend this money

on Naukri. So, we can even spend 4%, and we'll be fine for some time. Now, what we're also doing is spending a little more on the new businesses that we are building, like Hrist, businesses that are doing better than earlier, like Naukri Gulf, where we are not a reasonably strong player, but it's not as if we dominate the market. We're spending more on JobHai, which is a new business we are building. Some of these investments need to be made upfront. We don't capitalize them, but they're important to build brands in the long run. Naukri, we spent a little more this quarter, because we were on IPL. We can moderate that spend going forward. In 99acres and Jeevansathi, these businesses require substantial investment in marketing even for the foreseeable future because we are trying to gain share in these segments. We're trying to grow these businesses faster than the market and than our competitors. So, we have upped our ad spending in 99acres over the last few quarters. We have upped our ad spend in Jeevansathi also. We expect these businesses to grow fast going forward and we want to gain market share. It's very important for the long run. Because in the end, it's market share, which matters the most, that's what gives you pricing power in the market. Marketing investments in these two verticals will continue. In these verticals, we may be spending a lot more than 10-12% of our revenue in marketing. Shiksha is a tiny business and we don't spend a lot of money on marketing. There are some headwinds there because it's a content business. And content businesses globally, if you study what's happening after these chatbots are getting impacted. Because a lot of the searches and queries are getting answered on ChatGPT and Gemini itself. We are experimenting to figure out how we can build different funnels to get more users on the platform. Shiksha is okay right now but we are trying to figure out how we can de-risk it from whatever we are seeing happen to the publishing industry globally. And therefore, we are experimenting with building a marketing funnel there. Right now, the marketing spend in Shiksha is tiny; it could go up going forward. So, it's a different strategy and different approach in different businesses, depending on market dynamics, competitive intensity, and realities.

Vivekanand : Thanks, Hitesh for the elaborate answers.

Anand Bansal : Thanks, Vivek. Next question is from Sachin Salgaonkar from Bank of America. Sachin, go ahead and ask your question.

Sachin Salgaonkar : First question, Hitesh, wanted a bit more color in terms of slowing billing growth and Naukri. I understand it was on the back of a soft macro and a demand slowdown. But any more color you could give in terms of is it GCCs, ITs, or non-ITs? Where you're seeing slowdown and where things are fine? In particular, I saw GCC being a strong contributor in the past. So, generally, I wanted to get a bit more color in terms of how billing's growth is holding up for GCCs.

Hitesh Oberoi : We saw moderation in growth with segments like with recruitment consultants and with IT services companies, BPM, BFSI, and infrastructure in these sectors. On the other hand, we saw reasonably good growth with technology companies, retail, healthcare, manufacturing, and GCCs. I think GCC growth even last quarter was 17% or so for us.

Sachin Salgaonkar : Is this the same billing's growth or this is the revenue growth you're talking about?

Hitesh Oberoi : Billing's growth.

Sachin Salgaonkar : Question two, a follow-up to the question which was earlier asked by Vivek. This is largely trying to understand how should one think in terms of spending towards advertisement? So one way to think is if a growth slows down, then would the company spend more on marketing and vice-versa, if growth picks up, then what's perhaps the need to spend on marketing? Is that a factor also to be considered, apart from some of the factors what you

mentioned as answer to the earlier question?

Hitesh Oberoi : So, in the core Naukri business, if growth slows down, because of softness in demand, we don't need to spend more on marketing. Because there's no shortage of job seekers there. But where we are spending more within the Naukri, we were generally off media for a while. We were spending and the growth was looking up so we were okay. We continue to spend on the blue-collar business, for example, that's a business we're building from scratch that requires investment so that marketing spend will continue to grow. We are spending a little more than we used to on the Naukri Gulf business, because we've been seeing good growth there for the last seven-eight quarters, we are gaining share. We are beginning to spend a little bit on our Hrist business, which is a tech premium tech hiring platform that we're building. Both IIM jobs and Hrist have been doing really well for us. They're growing 40% year on year. These are some investments and in some small cities, like we now are in 80 cities, we've opened new offices, we need to support these offices with some local marketing. So we continue to spend a little bit in on that. But it's not as if we have to spend this money to grow our business. If growth slows down, we can moderate our spend, especially if there's

not much competition. In 99acres and Jeevansathi, it's a different story. We are gaining share, we are executing well, we are growing our businesses reasonably, solidly, our metrics are looking very good. All the platform metrics we track are looking really solid. Jeevansathi is the fastest growing matrimony business, it's gaining share. 99acres has been growing much faster than its competitors for the last few quarters and it's been gaining share. We are encouraged by the return that we are seeing on our investment in marketing in both these platforms. We are doing a lot of other stuff as well and it's not just marketing. So I think these investments will continue and I think the other thing we need to understand is that we are cash rich. In times when even markets are slow, maybe sometimes competition sort of slows down the spending, but we can afford to spend and if you spend in a market where others are not spending, it helps you gain share. So, because there's just less competition for users. And so I think these spend will continue.

Sachin Salgaonkar : Got it. And final question, trying to understand the impact of AI on businesses. Now, you did call out impact on Shiksha. But are we seeing something similar as an impact, let's say on 99acres on Naukri, or is it largely restricted towards a business like Shiksha?

Hitesh Oberoi : You mean the AI that's happening outside the bots? Or how we are leveraging AI? That I took you through.

Sachin Salgaonkar : Not how you guys are leveraging AI, but the impact per se, on the competition on AI in terms of the business getting impacted, per se, because of the bots and what's happening in tech companies, and so on, so forth.

Hitesh Oberoi : So far, we have not seen any significant impact on the Naukri and the 99acres business because of these AI models like ChatGPT and Gemini and others, in traffic. On a content platform like Shiksha, and AmbitionBox to some extent have been impacted. So, we're trying to figure out how to do a better job there. But so far, we have not seen an material impact in Jeevansathi, in Naukri and 99acres.

Sachin Salgaonkar : Perfect. Thank you.

Anand Bansal : Thanks, Sachin. Next question from Vijit Jain from Citi. Vijit, go ahead and ask your question.

Vijit Jain: I have two questions. One Hitesh, I just wanted to double click on the initial remark you made on you said a lot happened in the second half of last quarter and some clients deferred purchases, reopened contracts, etc. Now, I mean, was this specific to certain categories of clients or were you also, were you kind of referring to IT serv

es clients here?

Hitesh Oberoi : IT services, some consultants, mostly large customers.

Vijit Jain: Got it. In general, do you think your ability to take pricing action will continue to be a bit difficult here? Do you have pricing action levers left in any particular segments as you look forward into FY26? And I think I'll just add another question on it. If I look at this other segment that you're now disclosing in your billings, where I think last year, every quarter you had 18 to 20% growth. Now, I know you've called out certain sectors slowing this quarter, but were there any temporary impacts as well? Because it went from 18 to 7.

Hitesh Oberoi : Which segment are you talking about?

Vijit Jain: So, you have those four buckets within your billing's growth, right?

Vineet Ranjan : That's basically non-IT where we have BFSI and all which slowed down in the quarter.

Vijit Jain: This was 17-18-19% odd every quarter last year, and this quarter is about 7%. So, I'm just wondering if there was any one-offs there? Or is that how you should think about it going forward, at least near term?

Hitesh Oberoi : Q3 and Q4 last year was very good for us. And domestic economy is doing well, even IT services companies have started hiring. And growth in almost every segment was in double digits, including consultants have started hitting 10-12%. Now, things slowed down in Q1 because of whatever happened, and especially towards the second half of Q1. Till first half, we were hoping to grow in the teens once again, but growth did moderate substantially in towards the second half of the quarter. And it moderated for across segments. So, consultants were hit, IT services companies were hit. Some domestic economy depend sectors were also hit like BFSI, and infrastructure, and maybe for different reasons. I don't know the reasons. I can't comment on them beyond a point. And some sectors like healthcare, manufacturing and others like retail, etc, continue to do well on the domestic side. Going forward, a lot will depend on global demand which determines what happens to IT services companies, and which determines their hiring, and domestic demand, which determines what happens to the non-IT companies, mostly in the Indian market. The third thing is all the new stuff that we are doing. Some of our businesses continue to grow at 20-30-40%, but they are like 20% of the total business so in Naukri. We get our pricing as we believe that we are still the cheapest way to hire, the fastest way to hire, the easier way to hire. But normally it's easier to take price increases, when there's a reasonably decent market for hiring. It's harder to push through price increases when demand is soft. So we'll wait and see how things play out in the next one or two quarters.

Vijit Jain: Got it. Thank you.

Anand Bansal : Next question from Deep Shah from B&K Securities. Deep, go ahead and ask your question.

Deep Shah : Thanks for the opportunity. Some of the questions were answered, but I had a follow up on the marketing front. Over the last two years, let's say if we take the same quarter, we've seen like a 20-25% CAGR kind of increase in marketing. And I think you made it very clear that a lot of it is going towards Naukri. So, what is happening? Are we expanding the audience that we're reaching out to? Or is the advertising market become a lot more expensive? Say when you spend on IPL, is that become a lot more expensive? We're reaching out to more markets, if we could actually help us understand? Or is it that the new initiatives that needs a slightly different advertising, say funnel, which you are looking to tap into?

Hitesh Oberoi : Within Naukri you're talking about?

Deep Shah : Yes.

Hitesh Oberoi : Let's look at the spend in three different buckets. One is brand marketing like the kind of stuff you do on IPL. Then there is regular performance marketing, the kind of marketing we do to get more CVs, and

so on and so forth. And third is marketing spend on some of the newer initiatives like IIMJobs, Hrist, Naukri Gulf, etc. or JobHai. Now the bucket number one, IPL our team felt that we had been out of media for a while so they wanted to go back and make some noise. Now, that's not what you need to do every quarter to grow your business. We can live without it for a while if you want to. Regular performance marketing spend will continue. Now, performance marketing spends are a function of the cost of acquiring a CV which is a function of competition. And of course, how actively job seekers are looking. We get 26,000 new CVs a day. Now, if it becomes 25,000, will it make a difference for business? No. Can we push marketing, make it 30,000? Very hard. A lot of them come organically anyway. And performance marketing spends are not very high. We can live with a performance marketing spend of even 30-40 crores a year, that should be enough for a Naukri. Now, how much do we want to spend on JobHai is a function of how fast we think JobHai can grow and how fast you want to expand. We are making those investments right now, we are getting some results. If we get even better results, we make even more investments. But this is a new business that we're building for the future. The marketing spend gets clubbed and it's going towards building a brand-new business, IIMJobs and Hrist, because they're growing at 40%. We are spending a little bit not too much on them. Because, again we would like business to actually get organic traction. And we supplement and complement that traction with marketing. It's not as if we force marketing to down people's business to grow business. In Naukri Gulf we've been growing at 20% for the last three years now, become a solid business for us, it's profitable. We see an opportunity there, we are doing a little more marketing than earlier, that's all. So, these are the three buckets in which within in which we spend. Now the branding bucket, you can do without for a long time it's not necessary. The other two buckets are perhaps we would want to sort of continue with.

Deep Shah : Okay, understood. This is this is useful. Thanks, and all the best.

Anand Bansal : Thanks, Deep. Next question from Nikhil Chaudhary from Nuvama. Nikhil, go ahead and ask your question.

Nikhil Chaudhary : Hitesh, just want more color on non-IT and non-GCC business. While IT services obviously had tariff-related uncertainty but on the non-IT part, be it industrial, be it BFSI, we have been growing in double digits for quite some time, despite the underlying economy had its own problems. And we have discussed in part that Naukri has been defying the gravity, despite of slowdown, we are only accelerating. So, what changed this quarter? Is it like, finally, the investment or marketing is not generating enough ROI, or slowdown is much more pronounced and maybe impacted us with a delay.

Hitesh Oberoi : So, it's got nothing to do with marketing. See, like I mentioned, towards the second half of the quarter, I think there was just some uncertainty because of maybe the geopolitical situation or some other reason. People wanted to wait and watch. I think it was more like - we don't know where it's going and can we just hang on for some more time. Do we really need to hire people right away or can we wait? Perhaps it was a bit of that, and that uncertainty to some extent continues, even with all these tariffs and other stuff. So, it could be impacting some industries, could be impacting hiring. BFSI, for sure got impacted. Infrastructure, I think, was also, hiring was also slow for a couple of months. Certain non-IT sectors continue to do well, but certain sectors were impacted. Now, all this was all okay till Q4 and in fact, growth was accelerating from Q2 to Q3 to Q4. It went up and up. But suddenly, people pressed the brakes. So, companies have slowed down towards the quarter end. Now, will th

is growth come back going forward? I don't know. Hard for me to say. July was good, we're not complaining. It was good for 99acres also. It was good for Naukri also. But given what happened last quarter, I don't want to say anything about what will happen going forward. It's just, there's too much uncertainty right now in the environment.

Nikhil Chaudhary : Got it, Hitesh. I think more importantly why we were so surprised because Q4 was so strong. We don't see such a stark difference in two quarters. And the two, the point you are making that second half was weak. But I mean, if you look in terms of news and headlines, first half you had tariff-related news, even the war situation was over by 15th of May between India and Pakistan. And I don't think Israel or Iran would have an impact especially on the domestic side of the

business. That's where it's a bigger surprise and something which we are unable to digest in terms of. Hitesh Oberoi : But what happens in our business is, M1 plus M2 is only 50% of the quarter. Because it's a renewal business, month 3 is equal to month 1 plus month 2 in any quarter on the average. And within month 3, the last five days of the month are half the month. That's how it works.

Nikhil Chaudhary : Got it, Hitesh, so basically surprise came little late.

Hitesh Oberoi : Yeah.

Sanjeev Bikhchandani : Hitesh, you want to talk a little about July or not right now?

Hitesh Oberoi : July, I've already said but it's very hard. It's been good.

Sanjeev Bikhchandani : My understanding, and I could be wrong. Hitesh is closer to the operating business than I am. My understanding is that some sort of collections got deferred into July, and then they came in the first week of July. So, it simply because people may have been a little uncertain, a little uneasy where's the world is heading. Where are tariffs going to go? What is happening in geopolitics? What's happening on more than the wars, it was a tariff also, I think that might have impacted into what's going to happen to the economy. So, because it was volatile, it's possible that some people got to see, but I'm not saying that there will be a recovery in Q2, definitely. But July gave us some reason to feel slightly encouraged. Am I right, Hitesh?

Hitesh Oberoi : I did mention that the July collection growth in Naukri was 19%. Billing growth was about 13 and a half, 14%. 99acres was also much better than the previous quarter. But given the uncertainty, I don't know where this is going to.

Sanjeev Bikhchandani : We don't know. But there was some encouraging signs in July.

Hitesh Oberoi : Yeah.

Nikhil Chaudhary : Got it. Thanks, Hitesh. Thanks, Sanjeev. Good luck for coming period.

Anand Bansal : Thanks, Nikhil. Next question is from Swapnil from JM Financial. Swapnil, go ahead and ask your question.

Swapnil: I would like to take forward the July discussion. You did mention that July billings for around 13-14%. Now, at the same time, you were saying that there was a spillover impact also there, and benefit in a way. If I were to ex of that, the spillover benefit, the underlying growth then for the month of July would have been much lower. Will that be a fair statement to say? And that is why the concern that if the underlying growth was not as much, then extrapolating that gives us, keeps us below 10% growth for the entire quarter.

Hitesh Oberoi : I don't know. Like I said, month one is only 20% of the quarter. So, we don't know how things will pan out going forward. I don't want to make any forecast here.

Swapnil: But, but will it be fair, the 13%, 19% growth that you mentioned, that is looking good only because of these. I mean the other way to look at it.

Hitesh Oberoi : On 15th May, last quarter, I would have told you that it looks like we'll grow at 15% but we ended up with whatever we ended up with. Now, if you ask me today if I go by what people are saying, maybe an X number is possible, but I do

n't know what's going to happen now with all this

uncertainty around us. So, it's hard. 99acres and Jeevansathi are more predictable. These are consumer businesses. It's not as if it gets impacted by what happens around us so much. In 99acres, our metrics are very solid. The number of inquiries on our platform, etc. We are gaining share. All that is looking very good. Will it translate into revenue growth? This quarter? I don't know. July was very good. Actually, very solid for 99acres. But will it continue? Hard to say. Naukri is the hardest to predict. Because it depends on the domestic economy also. It also depends what happens in the US.

Swapnil: Let me take this conversation forward and ask you this question. Now, if we were to maintain the margins, at 56% that you did last year on a PBT level in the Naukri business, what would be the billing growth that you would need for this full year to get to those margins on a y-o-y basis to maintain flat, because at 9% from what I remember from previous calls commentary, you said there could be some dilution on the margin side. So, that is where I'm trying to.

Hitesh Oberoi : I don't know. Have you done the math, Vineet?

Vineet Ranjan : If billings growth continues to be in like single digits, while the billings growth of last two-three quarters was still mid-teens to high-teens. So, from revenue, it will still continue to have a spillover benefits in terms of revenue growth. So, it should not hit the margin immediately in FY26. But yeah, if this slow growth continues for like long time, then maybe FY27 can get impacted in terms of margins.

Hitesh Oberoi : We don't want to slow down investments in AI. We don't want to slow down our investment in building the blue-collar job platform. We don't want to slow down our investments in 99acres and in Jeevansathi as we are gaining share. And in markets like these, as we are cash rich, we should be able to utilize that to our benefit. A core Naukri growth is where we have a bit of a challenge. The adjacent businesses are also growing - fast forward business, the Gulf business, the IIMJobs business, the Hirist business. So, let's see.

Swapnil: So, just a corollary question to that. So, let's just say you happen to grow 8-9% only in the near-term next couple of quarters, will you start focusing on margin cut down on some spends?

Hitesh Oberoi : What we may cut down on is branding spend, we may not do IPL type of advertising for the next few quarters. We'll say, we can manage marketing costs. We'll try and remain at the same level as last year in Naukri. But still, we would want to continue to invest in blue collar Job Hai.

We want to invest in the businesses that are growing fast, like IIMJobs and Hrist is growing at 40%. We'll continue to do more there, we'll continue to invest in the Gulf. We can still manage with the same marketing expenses as last year. We will continue to invest in AI and when I say AI, one is, the people, two is the servers, and the GPUs and some of those things which we need to invest in for the long term. Now we may not want to delay those investments. I think they are important and strategic for the long run.

Swapnil: Thanks a lot for taking my questions. Very clear answers. Thank you.

Anand Bansal : Thanks, Swapnil.

Vineet Ranjan : There is a question in the chat box as well. Hitesh, I'll read it out. On an absolute terms, what is the range of marketing spend? Are we internally comfortable spending for the remainder of the year on a quarterly basis?

Hitesh Oberoi : In 99acres and in Jeevansathi, there's no limit. We can go to any extent. If you get good returns and if you think we are gaining share and it will help us in the long run. We look at marketing as an investment in these verticals. In Naukri we could, if growth slows down, we may stay at the same level as last year.

Anand Bansal : Thanks, Hitesh. So, there is a follow up question from Vivekanand from

Ambit Capital.

Vivek, go ahead and ask your question.

Vivekanand : Thanks for the follow up. On investments, Sanjeev, I have one question for you. Now that Ant Financial has fully exited Eternal. Is there any thought process that some of the long-term investors yourself included also would want to recycle capital and perhaps come up with a schedule for monetization? Because that business no longer requires capital perhaps, which is why secondaries are happening.

Sanjeev Bikhchandani : People are selling not because the Zomato business does not require capital. They are selling for whatever reason they haven't told us. It may be because they've achieved a profit objective or they've got some other use for the money. I think our willingness to sell in any of those two businesses is going to be indexed to our perception and belief about growth in the future. So, will we maximize shareholder value more by selling now or more by holding? And that is how we'll do it. We discuss this constantly in board meetings and among ourselves. And as of now, we have no announcements to make over there.

Vivekanand : All right. Thank you.

Anand Bansal : Thank you so much, Vivek. That was the last question on that.

Hitesh Oberoi : Thank you, everyone, for being on the call. Have a great evening.

Sanjeev Bikhchandani : Thanks. Bye.

Anand Bansal : Thank you, everyone. Thank you so much for joining us.

Call: Nov 2025

INFO EDGE (INDIA) LIMITED

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Date: November 18, 2025

1.The Manager- Listing

National Stock Exchange of India Limited

(Scrip Symbol: NAUKRI)

2.The Manager- Listing

BSE Limited

(Scrip Code: 532777)

Dear Sir/Madam ,

Subject: Transcript of Earnings Conference Call on financial results for the quarter and half year ended September 30, 2025

In furtherance to our letter dated November 12, 2025 and pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing Obligations & Disclosure Requirements) Regulations, 2015, we wish to inform that the transcript of Earnings Conference call on the Financial Results for the quarter and half year ended September 30, 2025, held on Wednesday, November 12, 2025 at 04:00 PM (IST), post declaration of results, is enclosed herewith. The copy of the transcript is also available on the Company's website at https://www.infoedge.in/pdfs/financial_pdfs/f_Earnings/investor-concall-transcript-Nov2025.pdf. Request you to take the same on record.

Thanking you,

Yours faithfully,

For Info Edge (India) Limited

Jaya Bhatia

Company Secretary & Compliance Officer

Encl.: as above

"Info Edge (India) Limited

Q2 FY2026 Results Conference Call"

November 12, 2025

MANAGEMENT:

Mr. Sanjeev Bikhchandani - Founder & Vice Chairman

Mr. Hitesh Oberoi - Co-Promoter & Managing Director

Mr. Chintan Thakkar - Director & CFO

Mr. Ambarish Raghuvanshi - Interim CFO

INVESTOR RELATIONS:

Mr. Vineet Ranjan - Head, Investor Relations

Anand Bansal: Good evening, everyone. I am Anand Bansal, joined by my colleague Vineet Ranjan. Thank you for joining us. We'll wait for a couple of minutes so that more people can participate and log in. Vineet, currently, we have 80 people. Over to you to get us started. Thank you so much.

Vineet Ranjan: Thank you, Anand. Good evening, everyone. Thank you for joining the call. Welcome to InfoEdge India Limited Earnings Conference call for quarter two of FY26. Joining us today from management, we have Mr. Sanjeev Bhikchandani, Founder and Vice Chairman, Mr. Hitesh Oberoi, Co-promoter and Managing Director, and Mr. Chintan Thakkar, Director

and CFO. Before we begin, I would like to draw your attention to the detailed disclaimer for good order sake. Kindly note that this call is being recorded and all participant lines will be on mute and there'll be an opportunity for question and answer towards the end of the call. I will now hand over the call to Hitesh for his opening remarks. Over to you, Hitesh.

Hitesh: Thank you .

Good evening to everyone and welcome to InfoEdge's earnings call for the second quarter of FY26. As always, we'll begin with an update on the standalone financial performance, then cover the performance of each segment along with our commentary on each business. And of course, we'll have time for Q&A in the end.

For the standalone business in Q2 FY26, billings were Rs.729 crores, a YOY growth of 12%, and revenue was Rs.746 crores, a YOY growth of 14%. Billings and revenue, including Zwayam and DoSelect were Rs.752 crores and Rs.769 crores, a YOY growth of 12% and 14% respectively. Operating profits at a standalone level grew by 7% YOY to Rs.268 crores and the operating margins stood at 36%. Operating profits including Zwayam and DoSelect grew by 11% YOY to Rs.270 crores and the operating margin was 35%. The standalone business generated cash from operations before taxes of Rs.293 crores in Q2 FY26, a YOY growth of 12%. Cash from operations including Zwayam and DoSelect was Rs.302 crores, a YOY growth of 14%. The cash generation from the recruitment business was Rs.325 crore

es. The non-recruitment businesses

at an aggregate level incurred cash losses of Rs.6 crores in Q2FY26, a YOY cash loss reduction of 62%.

For the standalone business in H1 FY26, billings were Rs.1,373 crores, a YOY growth of 12%, and revenue was Rs.1,482 crores, a YOY growth of 14%. Billings and revenue including Zwayam and DoSelect were Rs.1,416 crores and Rs.1,526 crores, a YOY growth of 12% and 15%, respectively. Operating profits at a standalone level grew by 8% YOY to Rs.518 crores and the operating margin stood at 35%. Operating profits including Zwayam and DoSelect grew by 12% to Rs.521 crores and the operating margin was 34% in H1 FY26. The standalone business generated cash from operations before taxes of Rs.472 crores in H1 FY26, a YOY growth of 8% and cash from operations including Zwayam and DoSelect was Rs.485 crores, a YOY growth of 11%. The cash balance of InfoEdge including wholly owned subsidiaries at the end of September 2025 stood at Rs.4,823 crores.

The board has proposed an interim dividend of Rs.2.4 per share. Headcount of the company as of September 2025 end was 6,238. There is an exceptional gain of Rs.5,200 crores in Q2FY26 related to InfoEdge's holding in PB Fintech. Following NCLT approval for the amalgamation of Make sense Technologies with PB Fintech, InfoEdge's 6.5% stake (held through Make sense) will now be directly held by InfoEdge in the mother company. From an accounting perspective, the difference between the investment cost and fair value on the order date has been recorded as an exceptional gain in the P&L. Subsequent market changes in PB Fintech's value will be reflected in Other Comprehensive Income similar to the treatment for Eternal.

Now moving on to the segmental performance and starting with the recruitment business.

In Q2 FY26, standalone recruitment billings grew by 11% to Rs.545 crores and revenue grew by 13% to Rs. 558 crores. The operating profit for the standalone recruitment segment improved by 9% YOY to Rs.312 crores and the operating profit margin was 56%. Zwayam and DoSelect combined were also profitable in Q2 FY26 vis-a-vis loss making in Q2 of FY25.

The operating profit for the recruitment segment including Zwayam and DoSelect improved by 13% YOY and the operating profit margin was 54%, a 20-basis point improvement year-on-year. Cash generated from the recruitment operation was Rs.325 crores, a YOY improvement of 13%. In H1 FY26, the standalone recruitment billings grew by 10% to Rs.1,015 crores and revenue grew by 14% to Rs.1,100 crores. The operating profit for the standalone recruitment segment improved by 10% YOY to Rs.596 crores and the operating profit margin was 54%. The operating profit for the recruitment segment including Zwayam and DoSelect improved by 13% YOY and the operating profit margin was 52%. Cash generated from recruitment operations was Rs.521 crores, a YOY growth of 9%.

Key operating highlights, YOY billings growth of 11% in Q2 was slightly better than YOY growth of 9% witnessed in Q1. Billing for Tech, IT and BPM segments combined grew by 7% YOY. Other Sectors combined grew at 11%, GCCs grew at 18% and Recruitment Consultants grew

at 9%.

The recruiter and job seeker engagement metrics such as CV searches, CV views, CV additions, modifications, traffic etc. continued to grow well during the quarter. Iimjobs, Hrist and Naukri Fast Forward witnessed some moderation in billings growth in Q2 as we are experimenting with different go-to-market strategies in these businesses.

Naukri Gulf's billings continue to grow well at 22% year-on-year. JobHai which is currently operating primarily on a freemium model and is focused on select markets, maintains strong platform metrics and continued to generate revenue. On the job seeker front, the Naukri platform now hosts approximately 111 million resumes and added an average of 26,000 resumes

daily during Q2 FY26.

Marketing expenses in Naukri were significantly lower in Q2 compared to Q1 and were flat on a YOY basis in Naukri. We continue to make investments in JobHai as it scales up its monetization efforts and therefore the operating profit margins which saw some moderation in Q1 to 53% improved by 330 basis points to 56% in Q2. Excluding JobHai investments, the recruitment margins were over 58% in the second quarter.

In summary though, the hiring environment remains uncertain as is evident from the JobSpeak index as well. Despite this, we were able to achieve some improvement in recruitment billings. We remain cautiously optimistic about growth in the quarters ahead. Very hard to predict how the market will evolve.

Moving on to the real estate segment, in Q2 FY26, billings grew by 14% to Rs.122 crores and revenue grew by 13% to Rs.115 crores. Operating losses were Rs.23 crores whereas the business generated cash from operations of Rs.2 crores in Q2 FY26.

In H1 FY26, billings grew by 15% to Rs.217 crores and revenue grew by 12% to Rs.226 crores. Operating losses were Rs.42 crores and cash losses for operations were Rs.17 crores in H1FY26.

Moving on, key operating highlights of 99acres. In Q2, billings growth remained at a mid-teen level. The secondary business grew well, whereas growth in the primary business was very modest. We continue to invest in this business, and we continue to see massive gains in traffic share in Q2 as well.

We've been expanding our traffic share by almost 0.5% to 1% each month for the last almost 12 months now. Our traffic share for the last three months has averaged between 47% to 50% while the other two players are in the mid-20s range. We believe traffic share gains will ultimately translate into billing growth but with some lag. Customers need to experience increased responses and inquiries over a period of time for them to shift more spending to the platform.

Q2 billings were primarily driven by customer count growth and broker billings continue to grow faster than developer billings. Live new project listings of the platforms grew 23% YOY while live resale and rental listings from brokers grew 37% YOY in Q2.

App and web traffic continued to grow leading to an increase in inquiries across all categories. In fact, a very healthy increase in queries across all categories. With healthy traffic share, time share gain and mid-teen billings growth in Q2, we believe we grew faster than our competitors and continue to gain market share for almost three or four quarters now.

Moving over to the matrimony business, in Q2 FY26, billings grew by 29% to Rs.34 crores and revenue also grew by 29% to Rs.34 crores. The business maintained breakeven at both the operating level and cash from operations in Q2 FY26. In H1 FY26, billings grew by 33% to Rs.68 crores and revenue also grew by 29% to Rs.68 crores. The business generated an operating profit of Rs.60 lakhs and cash from operations of Rs.6 crores in H1 FY26. In Q2, the Jeevan sathi business maintained its growth momentum driven by monetization initiatives undertaken over the past 12 to 18 months. The focus remains on Hindi-speaking markets where we continue to have a strong presence and see significant growth potential. Investments in these markets are delivering encouraging results particularly in terms of user acquisition growth. AI is being leveraged to drive efficiencies in creative development and other related business processes as well as to enhance both product experience and improve pricing yield. Marketing expenses have increased year-on-year over the past few quarters. The business intends to

stay within this range while continuing to operate at or near breakeven levels subject to changes in competitive intensity.

Moving on to the education vertical, Shiksha. In Q2 FY26, billing was Rs.28 crores, a Y OY growth of 13% and revenue grew

by 18% to Rs.39 crores. The business delivered an operating profit of Rs.2 crores and cash losses from operations were Rs.8 crores in Q2 FY26 versus Rs.11 crores in Q2 FY25. In H1 FY26, Shiksha billings were Rs.73 crores, a Y OY growth of 10% and revenue grew by 18% to Rs.89 crores. The business delivered an operating profit of Rs.8 crores and cash losses from operations were Rs.6 crores in H1 FY26. The 13% billing growth in Shiksha was across both the domestic and study abroad business. Domestic private universities and colleges continue to grow and expand their course offerings. This presents an opportunity for Shiksha to further expand its footprint. Shiksha enables students to explore colleges and courses aligned with their preferences. This growing shift from Google search to AI chatbots along with Google's rollout of AI summaries has however led to a decline in traffic in Shiksha over the last couple of quarters and this is something we continue to monitor, and we are working on strategies to mitigate this. We continue to invest more in creating comprehensive student-friendly content and building deep domain expertise in this segment. The business is strengthening its domestic counselling capabilities, driving higher conversions from client responses to student applications to help mitigate the potential impact of AI on traffic.

On the AI front, our current focus on leveraging AI is centered around the following key priorities. One, enhancing search quality, user personalization, and productivity across existing platforms. Two, building new AI-powered features that improve user experience and engagement. Three, creating entirely new products and monetization levers powered by AI. And four, leveraging AI internally to improve operating efficiency, the speed of decision making, and execution agility. In line with this, we continue to upgrade our database product in Naukri with AI and machine learning, resulting in improvements in recruiter productivity. Similarly, new AI models for job search and recommendations have driven a 15 to 20% year-on-year improvement in job seeker engagement. Across our businesses, we are now using GenAI tools to create content and some of our recent marketing campaigns are generated in-house and AI-driven. We've been investing in machine learning for a long time. Early days in terms of leveraging generative AI and agentic AI, but we continue to invest in the same.

Moving to consolidated financial highlights. At the consolidated level, the net sales for the company stood at Rs. 805 crores in Q2 FY26 versus Rs. 701 crores for Q2 FY25. The total comprehensive income was Rs. 6,070 crores in Q2 FY26 versus Rs. 8,170 crores in Q2 FY25. Profit before tax without exceptional items in Q2 FY26 was Rs. 404 crores compared to Rs. 335 crores in Q2 FY25.

To summarize, the recruitment business remains resilient as billing's growth improves slightly in Q2. Engagement on the platform remained healthy and we continue to deepen our presence across GCCs, SMEs, Tier 2 - Tier 3 cities, and other non-IT sectors to broaden our customer base.

Our niche and adjacent platforms including iimjobs, Hrist, Naukri Gulf, Naukri Fast Forward, DoSelect, AmbitionBox, and JobH ai are growing well and will hopefully unlock new opportunities, growth opportunities in years to come. The non-recruitment businesses continue to grow steadily and reduce cash losses during the quarter, reflecting consistent execution and improving efficiency. In 99 acres, we continue to gain market share supported by sustained investments in marketing and platform improvements, content quality, and customer acquisition.

Our efforts remain focused on further strengthening our leadership in the resale and rental and commercial and new home segments while improving our offerings in the new launch space. In Jeevansathi, top-line growth was supported by the continued success

of the freemium model, enhancements to our matching algorithms, and ongoing efforts to drive monetization. The business continued to break even in this quarter as well. Shiksha business maintained a steady growth trajectory and continues to operate profitably.

Across all our platforms, we are progressing well on the deployment of AI and machine learning to improve customer experience through smart search, smarter recommendations, smarter pricing, superior creative development, and new feature rollouts. Our healthy cash flows and strong results remain our core strength. These enable us to invest in long-term

growth, initially respond to competitive dynamics, and evaluate opportunities that create sustainable shareholder value. Thank you all for joining the call, and now we are happy to take any questions.

Vineet: Thank you, Hitesh. We can start with the Q&A session. Anand, over to you. We already have a few questions in the queue. We can start.

Anand Bansal: Thank you, Vineet. So, anybody who wishes to ask a question, may raise your hand, and we'll take one by one. We already have a few questions, so I'm going to take. So, first question is from Vivekanand from Ambit. Vivek, go ahead and ask your question.

Vivekanand: Hi, thank you very much for the opportunity. My first set of questions are on recruitment. So, Hitesh, last time when you had outlined your commentary in the conference call, you said that there was some spillover of demand from 1Q into 2Q. Yet, if I look at the first half billing growth, it has moderated to around 10%, down from 15 in FY25. I know you mentioned about being cautiously optimistic. Could you elaborate on this outlook and the drivers here? That's question one. I'll ask more after this answer.

Hitesh : Yeah, right. It's a very modest hiring market. And things continue to be unpredictable. It's very hard and uncertain, very hard to say how things will evolve going forward. Clearly, it's not a hot market and it's not a market where companies are hiring like they used to hire maybe three years ago, two years ago. And our sense of the situation on the ground right now is that we have to fight for all our renewals, we have to fight for upgrades, we have to fight for sales. We're trying very hard to acquire new customers, but new customers start small. We have a diversified portfolio now, we are trying to get customers to sample new products, which we've launched over the last few years. So, it's not easy to take prices up in this market. So, if the market continues to be tough, recruitment consultants are, of course, impacted the most, because they're the first ones to get hit in a tough market. IT companies continue to remain cautious about hiring. The non -IT market has been growing, most non -IT sectors have been growing at between 10 and 15% for us. So, it's very hard to say what will happen going forward. Of course, if GDP growth starts to look up or if the world economy starts to do better, or if things settle down between the US and India, if things start to stabilize a little more, and they become more predictable, then it's easier for companies to make investment plans. So, I hope that happens going forward.

Vivekanand: Okay, thanks. The second question is on your diversification efforts in recruitment. You were providing some data on the Naukri India contribution to total recruitment billings. Any broad colour that you can provide and how to think about it over the next three years. And related point is the recent recruitment organizational changes that you did. How do you think this will impact the diversification thrust that you've been leading?

Hitesh: Let me give you a sense of how we are thinking about the market going forward. Like you said, there's a core Naukri India B2B hiring business, which is the bulk of our revenue. I don't have the exact number on me right now. But maybe let's say

it's 80% of our revenue, or 75% of our revenue. Now, that is really the mass hiring market. And that is the one which is, under pressure right now. Because, this is the IT hiring market, this is the call center market, this is the market for hiring people between two to 10, 12 years of experience. So, this market is slow right now. We're seeing a few trends emerging, and we believe that going forward, at least there's a lot of talk about companies wanting to use AI as a co-pilot for hiring. A lot of companies want real-time intelligence and data to make better decisions on salaries and hiring and for talent planning. We're also seeing a slight increase in demand for premium professionals, meaning people who are paid well, they seem to be more qualified and have the right skills, seem to be more in demand than earlier. In fact, the average salary of a person whose CV is viewed on Naukri has almost doubled over the last five or six years.

So, we think premium talent will be in more demand going forward. At the same time, we also see demand for blue collar and gray collar workers growing over time. That's why the investments in iimjobs and Hrist, which are our premium tech and premium MBA hiring platforms, and the investment in JobHathi, which is our blue collar and gray collar hiring platform. The international business is a small business for us. Naukri iGulf continues to grow at 20%. It's been growing at 20% for two, three years now and is now very profitable. The candidate service business has also been growing at 15, 17, 18% for the last few years now and continues to be very profitable. So, this is how we are thinking about the market and where it's going to go in the years to come. And this is why we have also restructured because we think increasingly the growth in core Naukri, the mass hiring, the bulk hiring platform, will

be AI-led. Our chief AI officer has also taken over as chief product officer for Naukri for that reason. Similarly, at JobHai, we started investing in a few years ago. We've now started monetizing it.

We think the blue-collar market is a few years away, but it can become a large market over the next 5, 7, 8 years if we execute well. Demand at this end for people is also growing and they're all becoming net savvy, they're all on online platforms and so on. So, it doesn't run like a separate unit, business unit. We also see demand for premium talent growing over time. So, while we are doing whatever we can in Naukri to attract premium talent, but we are also investing in our iimjobs and Hiris platforms, and these platforms have really grown over the last 2-3 years and we've moved our Naukri product head to run these platforms. So, both iimjobs and Hiris will now be run by Nimish going forward, along with Naukri Gulf. We see Naukri Gulf also continuing to grow. Since, product development in Naukri core is today led by AI, we have combined the responsibility of product development and AI and given to current AI head to make it easier. iimjobs and Hiris needs more focus because premium hiring will look up going forward and we need to put a senior person in charge. JobHai, blue-collar platform will continue to grow, run like a separate business. We are investing in it. And of course, a consumer business. So, we also see an opportunity in the consumer business. That business has grown to become Rs. 150-170 crores for us over time and has been growing at 18-20%, makes up 50% margin. So, perhaps that can grow faster if you focus on it. We haven't really focused on it much till now. And so, we've put Shail in charge of that business as well, in addition to running Naukri 360 and marketing for us. So, that's been the thinking behind the restructuring.

Vivekanand: Okay, this is very helpful. My last question is your quick comments on the non-recruitment businesses and the roadmap to profitability there a

t an aggregate level. What are the timelines?

Hitesh: Let's go business by business. See, in 99acres, we are very happy with the progress we've made in terms of growing supply on the platform, in terms of growing our traffic share. Our traffic share a year ago was maybe 36-37%, we now think it's around 48-49%. In the month of September, we touched 50% as well. So, we've not seen this kind of traffic share gain, in our real estate business in a long time. Now, hopefully, revenue gains, revenue growth will follow, maybe with a lag of two, three, four quarters, but it should happen, it should follow. And we've seen growth in all segments. We've seen growth in the new home business, in terms of traffic, we're seeing growth in resale, we're seeing growth in rental, we're seeing growth in commercial, our inquiries on the platform are up substantially year on year. We are not able to monetize our growth right now. And that's why you still see some burn, but we've gained substantial traffic share and the number of responses, the number of inquiries generated, the supply on the platform, everything is up substantially year on year.

When will 99acres get to profitability? A lot will depend on, of course, how much we want to keep investing to gain share, number one, and number two, a lot will also depend on when revenue growth actually moves up. We've been in the mid-teens for a while now, we need to get to the 20-25% level and we need to stay there for several years. If we are able to do that, then we have high operating leverage in these platform businesses. Jeevan sathi continues to execute really well. I don't think the market is growing more than 10-11% and we are growing at 30%. We are breaking even; we are gaining share. We are hoping that we can continue to maintain this growth going forward as well. Let's see how this plays out. Again, we are not focused on profitability, we want to grow and gain share in Jeevan sathi. Shiksha has been a profitable operation, but Shiksha is a business I'm worried about a little because of the changes. A lot of the traffic on Shiksha is SEO traffic. And because of the changes you're seeing in search, platforms like Google, etc., have started answering questions directly. And there's an AI overview, and so many other things are changing in search. Traffic on Shiksha has actually fallen. So, we are seeing a degrowth in terms of people ultimately ending up on Shiksha, right from Google and other platforms. Now we're working on strategies to mitigate this decline in traffic, but it could take a few quarters before we figure things out. On the other hand, pricing is looking up in this segment, because most clients get their responses from inquiries from Google. So, let's see how this plays out overall. So, in Shiksha it is very hard to predict what's going to happen. But maybe we'll have a better answer for you three quarters from now in that business.

In JobHai, we continue to invest. JobHai business is burning about maybe Rs.40 crores a year, if I'm not mistaken. But we've started monetizing now. So last year, I think we did about Rs.5 crores, this year, we'll do at least, we'll be trying to grow this business between Rs.15-17

crores . Let's see where we end up and then let's see where we go from there.

Vivekanand: Right, this is great. Last follow up is on 99 acres and the point you made on traffic. Is the traffic only genuine? Or is there also the AI led, Gen AI led crawling traffic also? Is traffic a very reliable indicator of revenue market share going forward in this business?

Hitesh: Just traffic is not a very reliable indicator, because you can get all kinds of traffic, like you said. So, you need to invest in getting quality traffic . You need to invest in getting traffic which converts into inquiries , into leads, ultimately into transactions for clients. Ultimately, your revenue is g

oing to be a function of the number of successful transactions you enable through your platform. And which is why I also mentioned that the inquiries we generate for our customers through 99 acres are substantial year on year. But it takes time to monetize. But as long as long as our relevant traffic share is growing , as long as our inquiries are growing, as long as we are enabling more transactions with the platform, hopefully we will get rewarded for it at some point in time.

Vivekanand: Great. Thanks, Hitesh for the detailed answers.

Anand Bansal: Thanks, Vivek. The next question from Vijit Jain from Citi. Vijit , go ahead and ask your question. Vijit, you're there ? So we'll take the next question . So next question is from Sachin , from Bank of America. Sachin, go ahead and ask your question.

Sachin: Thank you for the opportunity. I have three questions. First question, I know, Hitesh, it's early days. But this entire H1B issue, on the back of it, we are seeing media articles that certain GCCs are looking to expand their presence in India. Based on your interactions with most GCCs, do you see this as an opportunity where they could look to hire a bit more in India? And in that process, platforms like yours benefit in the back of it?

Hitesh : Well, I hope that happens. The GCC business has been growing at 17 -18% for us for the last couple of quarters. There are a lot of GCCs in India , the bigger ones , a lot of companies that have 30% of their global workforce operating out of India. So there are lot of GCCs who already operate at that level where they have 30% of all the global workforce operating out of India, with maybe 60% tech, maybe 25% other functions, but that's how big they are. And there are some 1,700 odd GCCs, I'm sure not all of them are operating at 30% of their workforce level . So, there's substantial room for growth there. Both with existing GCCs and hopefully new GCCs will also set up shop over time. So that continues to be a big opportunity for India. I think the GCCs today employ around 1.7 million people or so. The jobs also tend to be slightly higher quality and they have also over time moved up the value chain. So, you're seeing, a lot of high -end jobs also move to India now, which was perhaps not the case earlier . Most GCCs or back offices used to be about just hiring IT workers and call center employees. That's not the case anymore. So now, will this H1B issue lead to more hiring in GCCs? I don't know, because things keep changing every few weeks . So, a lot of clarifications have been issued by the US government. So, I don't know whether this will have an impact on more jobs getting created in India. If you ask anybody outside, they'll tell you India is the only country outside the US and China where you can get high quality talent at scale. That's really our advantage. Any company which wants to hire high quality, cost arbitrage is just one part of the story. But if you want to hire a lot of high -quality people, especially in high end roles, the only place other than the US and China where you can get them in large numbers and for cheap is India.

Sachin: Got it. Very clear. Second question is, how does management look at marketing spends ? And this question is because in the past, you guys had mentioned that if the billing's growth continues to be a bit soft, and given the fact that you guys are competitively better positioned as compared to peers, why not take this as an opportunity to spend a bit more in terms of pushing for market share growth? Should that how we be looking at the company directionall y- that if growth on billings is a bit soft, you guys could spend a bit more on marketing , how to think about it?

Hitesh : Spend money on marketing because billing's growth is soft. In some verticals, we're spending a lot more than we were spending earlier, like I mentioned 99 acres , I mentioned Jeev

an sathi, JobHai , because we see an opportunity to gain market share.

Sachin: So more on those lines, opportunity to gain market share.

Hitesh : Yes. Of course, the marketing has to work for us . We have some models, which we use internally to understand whether the marketing is working for us or not. As long as the marketing investments continue to work for us, and we continue to gain share, it just makes sense to keep investing in marketing and we will continue to do that. We are perhaps spending more on marketing than our competitors now in 99 cities . In Jeevan sathi, we're only in the northern part of the country , so in that geography, we are spending enough. Even in JobHai now, we've upped our marketing spend s. In Naukri we are spending a little more, for example, in Naukri Gulf, we are spending a little more on Hrist , because these are growing businesses. Core Naukri, we are not spending as much, we don't think we need to spend a lot, because we're getting the CVs we need anyway, it's a tight market . It's not easy to get jobs. So on the other hand, if the market starts to change, or if competition starts investing a lot more, then perhaps we'll be forced to respond. But till then, I think we are fine.

Sachin: And last question, I just wanted to understand that actually, how should we look at realizations in context of you guys looking to penetrate a bit deeper into Tier 2, Tier 3, because it's very evident that as you go into Tier 2, Tier 3 , there's a bit of a pressure on average realization. Is that something we need to be mindful about as you expand more into Tier 2, Tier 3 ?

Hitesh : Yes, see new business development requires investment and most companies who start fresh with us , start small. We have CV s already; we are already in many of these cities. So, we've already opened offices in 70 -80-90 cities . We've already hired people. It's not as if we are going to be hiring more people . We are investing a lot more than we were investing earlier in Tier 2, Tier 3 cities now, because we made those investments in marketing to get CVs, we opened these offices already, we've already hired the salespeople on the ground. But yes, the customer ARPU in Tier 2, Tier 3 will be much lower than the ARPUs you get in Bangalore , Bombay and Delhi.

Sachin: Got it. Very clear. Thank you and all the best.

Anand Bansal: Thank you, Sachin. Next question is from Vijit from City Bank . Vijit, go ahead and ask your question.

Vijit: Hi, can you hear me now?

Anand Bansal: Yeah, Vijit, go ahead.

Vijit: Yeah, thank you and apologies for earlier. My first question, Hitesh - so you talked a little bit about AI led approaches in Naukri . I wanted to double click on that. So first is that referring to how the Res dex database will be used in the future? It will be more qualitative queries and search prompts that people will enter , that's what you're looking at? Or is there more in terms of how you're rethinking the product on the Naukri side? That's my first question when you talk about, AI led approaches.

Hitesh : There are many types of AI, and we've been investing in machine learning for several years now. And most of the gains we've seen till now have been on account of the investments we made in machine learning, which we started investing in maybe seven, eight years ago . So whether it's search quality, whether it's quality of recommendations, whether it's personalization, all this is data science plus machine learning , feedback loop led. These gains have mostly materialized already in Jeevan sathi and in Naukri . Now, of course, we are also trying to reimagine experiences and using generative AI and other tools which have now become available to us, right over the last few years. Just because we're investing more, we're thinking about how more we can sort of use AI to improve and enhance the experience. So, one of the th

ings, for example, we are working on is, Resdex . So earlier how it worked, is that companies , recruiters would log into Resdex and they would search based on some query and/ or some data they had in mind. They would contact shortlist ed candidates, and then they would call them on the phone, one by one. If calls are not answered, they will call again, and so on and so forth. So, one of the things we are trying to be experimenting with is like a recruitment co -pilot, where you actually get AI to do all this for you . So, the AI understands what you're looking for. It shows you a few profiles, and you tell the AI whether those profiles are the type of profiles you're looking for. Then the AI takes over, it searches the database, it contacts job seekers, it phones them, it asks them a few questions if you want a few questions to be asked, and then finally gives you a list of candidates, which you can maybe interview. These are pilots, with some in commercial beta, with some customers. You get feedback from

customers, you iterate, you go back to them. So early days, but we are already in commercial beta with some customers, and of course, then the revenue model also has to be figured out. So many things to be done still. Then you have some generative AI enabled features, like, if you're posting a job on the platform, generative AI can help you post better and help you do it faster. If there are reviews in AmbitionBox or Shiksha, you can use generative AI to summarize those reviews for the user. So, a lot of experience enhancements using generative AI are possible. People want to write, we are helping people prepare for interviews using generative AI, mock interviews, regenerate, all these things have become possible, which were not possible earlier. So, we are experimenting with a bunch of such things. And then of course, there are lots of AI tools that are available to us. So, let's take marketing, for example. We run ads, on Instagram, on Facebook, and on Google. Previously, we would experiment with a few creatives and take them live. It used to take a lot of effort and time to make new creatives. Now you can use gen AI tools to create new creatives on the fly. You can create houses for them very quickly and experiment with them. So, we're also trying to use these AI tools. Coders are experimenting with AI tools to see if they can code faster and become more efficient at coding. That's a separate suite, using external AI tools to become more efficient and smarter at what we do across all functions, not just in product or engineering.

Vijit: Got it. Thanks, Hitesh. So, Hitesh, it's safe to say that in those product changes and those product pilots that you're running, the monetization or how customers would pay for it has to be different from what is the norm now. Right? You would have to charge differently, charge possibly higher.

Hitesh: Yeah, it has to be figured out. So we're experimenting with something right now as we speak, but it could change going forward, based on the feedback we get.

Vijit: Understood. My second question was on the property segment. Obviously you're seeing a lot of market share gains here. Do you think this is moving into that direction where some kind of consolidation move is likely? We've seen some of that in the industry, in other spaces in the industry, recently. From your point of view, if you assess some kind of opportunity; obviously a consolidation move has an impact on the category as well - in terms of pricing, in terms of many other things, would that be a part of how you would assess an opportunity should that arise of a consolidation?

Hitesh: We are open to consolidation in both matrimony and real estate and we've said that for a while. So, if the right opportunity arises at the right price, for the right kind of a company, we'd be more than happy to acquire.

Vijit: I guess my

question was also, because it can help improve the profitability of the entire segment. Would that, would that have a role to play in your fair value assessment?

Hitesh: No, yes, of course, you're right. If acquisition leads to higher market share, higher traffic share, and ultimately better pricing, we'll keep that in mind while valuing whichever company we look to acquire.

Vijit: Got it. My last question, I think you covered some bit of, in the previous question from Sachin, but just this GCCs bit. We've had a few announcements from US recently, and I've seen a few news articles suggesting that after the H1B announcements, there's been another push, at least in some pockets, on shifting some work to India. Have you seen that in your client base? Is GCC seeing another leg up, just simply because of all these developments?

Hitesh: See hard to say, because there are already 1,700 GCCs. So maybe a few get added, few new ones open every month. Has that number changed over the last three months? I don't know, actually. We don't track that. Our GCC business has been growing at 17-18% over the last two, three quarters. Now, the bigger ones think differently from the smaller ones. If a GCC already has 20,000 people on the ground, it's unlikely that they will add a lot of new people in a hurry. If 30% of their work is already in India, what happens to their global business impacts the India business or India operation also. On the other hand, most GCCs when they start in India, they start small. They don't start with 20,000 people or 10,000 people, they start with a few hundred people or tens of people, and they scale up over time. So, I think that will continue because GCCs which have set up shop in India over the last two, three years, where their India headcount is still maybe two, three, four, five, 7% of their global headcount, I think there's going to be room for them to grow for several years. I think that that will continue. Will we start seeing new GCCs in India or many more companies setting up shop

because of this H1B issue, I don't know. Hard for me to say.

Vijit: Thank you. I appreciate your comment. Those were my questions.

Anand Bansal: Thanks, Vijit. Next question is from Deep Shah from B & K Securities. Deep, go ahead and ask your question.

Deep Shah: Thanks for the opportunity. Hi, team. So, the first question is on Shiksha. So, you did mention that because the search is shifting to say AI or even Gemini, the number of hits on the websites are coming down. Now, Hitesh, what is your take on this? I mean, we had ideally believed that verticals would largely remain immune to this because of the granularity of information that is available on these websites. So maybe search lists will start on ChatGPT or any such AI platform will eventually move to a vertical for the detailed information available. So, is there some error in that understanding? Are you seeing maybe people who are coming on the website spending more time than before, something like that? Because otherwise, this has the potential to disrupt any vertical. So, your comments on that will be useful.

Hitesh : I think there's a bigger problem where the content is static and not very dynamic. For example, on 99acres, Naukri, the content is very dynamic, the listings change every day, the jobs change every day, etc. All the details are there and people want to go to the details they can only apply on our platform. But Shiksha is a little different, because it's a content led platform. A lot of the content is static, does not change every day. A lot of the people and a lot of publishers, globally have seen traffic fall, the traffic they were getting from Google, fall. Now, the people who want to go, who are very serious users who want to go into more detail, etc., there they of course still put in the effort. You must have seen your own behavior. I

f you

want to answer to a question very quickly, previously, maybe you would have visited, let's take health platforms, you would have gone to a Mayo Clinic website or some other website. But today, if you get an answer from the AI engine, or from the AI overview, you don't necessarily sort of always end up visiting these platforms. I think that's what Shiksha is seeing. Of course, we are working on strategies to mitigate this. But it is something which has happened in the last few quarters and it's impacting, every platform in education, all the other sort of players in this space as well. I'm sure this has impacted all other publishers too, of content. It's a real change in behavior.

Deep Shah: You're right, in the sense even our behavior has changed. So that's fair. And Hitesh, so say, for example, if the nature of search changes the way we interact with horizontal search platforms, how difficult it is to have an internal system within Shiksha that instead of me searching for colleges, the traditional way, I can simply enter my query, and then the results pop up the way it pops up for say, a ChatGPT kind of platform. How easy or difficult is that to create? Again, this would be applicable for all verticals.

Hitesh : See, the problem is the top of the funnel. Once a person lands on Shiksha, there's no problem, we can engage in even more than you were engaging him earlier. But if fewer people end up on your platform, because a lot of our traffic comes from the people who are searching on Google. Previously, what used to happen is that when you would search on Google, Google would show you a few links basis your query, you would end up on Shiksha or on some other platform. Google would not answer the question for you. Now, that has changed. So, the number of people who end up on a content platform like Shiksha, have fallen. There are still many who are coming and there are many who come directly as well. At the top of the funnel, you're getting fewer people, of course, the ones you're getting are perhaps more serious and you can engage them a lot more than earlier. But there is a problem at the top of the funnel, which has to be fixed.

Deep Shah: Understood. No, this is this is very helpful to understand this vertical - horizontal fight. Second is more straightforward. We have not seen any change in the composition of revenue of 99 acres of builders, brokers, etc. and we are seeing a number of paid listings grow very rapidly in last two quarters. I hear your comments on delayed monetization, but is there some change in pricing as such because number of paid listings have grown rapidly in last two quarters, billings have not. If you just help us understand and it's not that as if owner profiles are more versus brokers and therefore maybe are poor listing or whatever that metric coming down. So just help us understand this.

Hitesh : We've made a lot of changes to our marketing mix. We've changed pricing in a few markets; we have increased our focus on user/customer acquisition. We have changed our

marketing mix with the overall objective of growing our traffic share and our market share and delivering more value to our customers. So, the listings have grown because one, maybe they're cheaper in some markets than they were earlier. Two, because we've acquired a lot of new customers on the ground, and they are posting listings. Three, there's generally more competition amongst brokers to get more responses. So sometimes that also impacts. It's a good market, so I think it's a combination of various things which have led to what you're seeing.

Anand Bansal: Thanks, Deep. Next question from Nikhil from Nuvama. Nikhil, go ahead and ask your question.

Nikhil: Thanks for the opportunity. It is a very strong growth in GCC, but partially it looks like the base was also relatively softer. So sequentially, GCC actually grew lower than the comp any growth. Was there any seasonality because you only recently started disclosing this particular segment or you actually saw some slowdown on sequential basis?

Hitesh: No, so see, not much has changed on the ground. I would not read too much into these quarterly numbers. Growth can change basis, a couple of customers renewing or not renewing or upgrading or not upgrading. I think perhaps we should look at all these segment wise numbers on an annual basis more than on a quarterly basis. That may be a better indicator of what's happening than just quarterly numbers.

Nikhil: Got it, Hitesh. Second on AI, multiple sub-questions here. So first on how prepared are we for the new set of products. You must have recently heard Mercury AI raising big bank funding. They are launching more products. So, do you think our product pipeline capability and investment is completely on track, or do you think we need to accelerate especially competing this AI first company? Second, you did highlight it earlier that, AI investment monetization will happen much quicker. Some of the products we have launched recently. So where are we in this monetization journey? Last one, globally, we are seeing this phenomenon, Hitesh, which you also called out, that senior hiring is increasing in the AI first world while juniors' is actually going down. So, do you plan to at least pilot new product, new capability where you can monetize this opportunity? Because I mean, it's not one to one. When the salary double, ultimately, you are contributing more to your clients. So, any plan? So, three questions within AI.

Hitesh: Like I mentioned, we are making different types of AI investments. Core machine learning investments we've been making for several years now. I think we are maybe as good as anybody else out there. We have a very large team, and we've done a lot of good work over the years, we have data nobody else has. Our algorithms have improved substantially, whether it's our search engine, or our recommendation engines, or our alerts, or our personalization on the platform. We've seen gains, we track these numbers. We've seen a 15 to 20% kicker over time in Jeevan sathi and in Naukri both. So, on machine learning, I think we are as good as perhaps anybody else out there. We have the advantage of having data nobody else has, which is an important ingredient for these algorithms to work. As far as the generative AI is concerned, Agentic AI, we are experimenting with a bunch of things, and it's early days there. I can't say, listen, we are very successful and we've understood it fully, and we've cracked the market. We've launched some database offerings; they have been received well in the market. We've launched AI Rex, which is like an AI copilot. Early days, we are experimenting, we are piloting it with a few customers, some commercial beta, getting feedback, making changes, going back to them. Everyone talks about it, but it's not an easy sale, because companies also need to be ready to implement it, right at their end. They also need to change their business processes, if they want to use some of these tools. So, early days on that front, and whether I say that we are the best in the world or we are doing as well as others, I don't know, because it's a new space. There are other products also out there in the market, they're also experimenting and they're also piloting a lot of new features every day. Then lastly to become better at what we do across all functions, we have to become more efficient in AI for improving our pricing realization. In Jeevan sathi, for example, AI have to offer to improve our ROI marketing. We are doing whatever we can, to just become efficient and faster at what we do. I think we are perhaps as good as almost anybody else, at least in some areas, we've done a lot of good work in marketing and content, using AI for tele calling, t

o qualify leads in some businesses, and it's working out well. So, are we the best in the world, are we as good as others? I don't know. But are we in a much better place than we were five years ago? Definitely. Have we managed to put a good team together? Absolutely.

Have we been able to roll out new features and functionalities? Yes. Have we launched new products? Yes. Have we improved algorithms ? Substantially . Are we using AI in all parts of the company or in many parts of the company? Yes. So, I would say at least in India, we're doing better than most companies. I don't know what's happening in the US. So that that maybe answers your first question. What was the second question? Sorry.

Nikhil: On AI monetization.

Hitesh : Monetization, like the algorithmic changes, we're not monetizing them directly. But if more matches happen through us, ultimately, we can charge higher prices, we get higher renewals, all that happens. So, we don't charge for it directly. But because it impacts the user experience, and it impacts customer experience, somewhere, it'll show up in our pricing , at some point in time. So, we are able to monetize indirectly. A lot of the features we give, we've launched using AI , are free. They're just again, to improve the user experience on our platform. The new products we have launched, the data products, for example, we are monetizing. The AI offerings, which we have launched as co -pilots and testing them out, there is a commercial beta going on with some customers, but early days.

Nikhil: Last one was on senior hire.

Hitesh : Yeah, so see, two things. One, like I said, on Naukri, the average CTC of a CV being viewed on Naukri has doubled over the last five, six years . Now, somewhere, this should show up in pricing . We did increase our prices substantially, post COVID, when there was a surge in hiring . But with pricing, the way it works is that it's easier to take prices up in a good market, hard to take them up in a lukewarm market, and the market right now is lukewarm. So , we haven't seen any pricing growth.

Anand Bansal: We are checking , Hitesh got offline. We'll come back to you, stay put. Hitesh will be back soon.

Hitesh : Yeah, I'm sorry, my computer restarted for some reason. So , I'm now logged into my phone. So, am I audible, Vineet?

Vineet : Yeah. You were talking about premiumization .

Hitesh : Yeah, premium. One is the CV 's CTC have increased in offering, and we should be able to realize higher value from our customers through pricing at some point in time. Easier to take up pricing in a hot market, difficult to take it up in a lukewarm market. So that's one. Second, we are pushing our premium hiring platforms like iimjobs and Hirst . Iimjobs is the premium MBA hiring platform and Hirst is being developed as a premium tech hiring platform. We are seeing jobs are increasing on these platforms, we are adding more customers. So, it's a twin strategy on this front for us.

Nikhil: Got it. But , that's one point here. While I agree that there is a strategy to Hirst , let's say for senior hires, but also some of the job or candidate just come on Naukri rather than going to Hirst . So, it's also having to do with the fact that where the candidates are coming. While at overall level, I agree with you, the hiring is slow, but there are micro segment s where hiring is like phenomenal . Why don't we want to monetize that? And that's what looks like that will continue. That's why I'm emphasizing on this question.

Hitesh : No, no, we are monetizing. So, premium hiring on the Naukri platform is also growing . There are enough companies who hire senior talent and mid management talent and premium tech talent and premium MBA talent for Naukri. All I'm saying is that traditionally, our share has been low, vis-à-vis LinkedIn. So, in addition to Naukri, we are also developing iimjobs on H

irst as premium hiring platform s so that we can increase our share in this segment

Sanjeev: . The other thing to remember is that on the base on which Naukri is, if you get a couple of extra niches, the revenue you get does not move the needle in the short run. So therefore , it doesn't show much higher growth in short run.

Nikhil: Got it Sanjeev. So last question, Sanjeev for you. I have noticed you, I think there are a few investment s on AI first company by InfoEdge. So , are we seeing enough opportunity as the ecosystem is large enough and are we seeing the similar chase, money is chasing few startups in the AI ecosystem, the way we are seeing globally?

Sanjeev: Almost every startup now that we meet has got an element of AI in it. Some are AI first, but all of them are AI enabled and they've got an element of AI. So, it's very difficult to find a startup in the tech space that does not have some AI in it. And even if they don't, at least they claim it. Okay. You've got to be discerning and figure out what's going to work, not going to work and what is a false claim, what's a true claim and then go behind it. So, the opportunities are tremendous. I mean, the number of startups that you're seeing right now is only increasing and we've got a team of 18 people that is just seeing lots of startups.

Nikhil: Got it Sanjeev. Thanks a lot Hitesh, Sanjeev and good luck for coming quarter. Thank you.

Anand Bansal: Thanks Nikhil. Next question from Swapnil from JM Financial. Swapnil, go ahead and ask your question.

Swapnil: Hi, thanks for the opportunity. The first question is for Hitesh. So, Hitesh, we are already halfway through the quarter and our JobSpeak Index numbers were not that great in October at least. How should we see this quarter panning out in terms of billings growth? Because again, December is generally a holiday season and that's where hiring stops. So, I mean, any sense on that side?

Hitesh: Yeah, see, October and November, I normally don't go by that because the festival season shifts every year. So, this year Diwali was earlier. Last year Diwali was around October end. This year it was maybe 10 days earlier. So, in this quarter and in general our sales are lumpy. So, we get most of our sales in the last month of the quarter. So, very hard for me to see how this quarter is going to pan out and what the numbers will look like. Has anything changed on the ground between September and October or November? We are not seeing any major change on the ground. It's like it was. But I can't really go by what we are seeing in October and November because of the change in the festival season every year.

Swapnil: Okay, go to it. The second question is with respect to the breakup that you used to give in terms of growth rates for iimjobs, Naukri Fast Forward and Naukri Gulf. You mentioned about Naukri Gulf growing, if I'm not wrong, 22% this quarter. But what about the other businesses? What were the growth rates in that?

Hitesh: Yeah, see, we saw a moderation growth rate because we are experimenting with different go-to-market strategies. So whether we should be bundling iimjobs and Hirist with Naukri or selling standalone, stuff like that we are experimenting with. So, this quarter, we saw growth slowing down in iimjobs and Hirist vis-à-vis the growth reported earlier. But that was perhaps because of the experiments we're doing more than anything else.

Swapnil: The third one is with respect to the simplification that you've done in the PB Fintech ownership. Now, generally, such kind of changes are a precursor to something next happening. So, is there anything that we could or we can foresee towards the stake sale in the company or like or anything of that sort?

Sanjeev: No, you should not read anything into it. This was a merger that's been planned for several years now. It does take time to do a merger.

It was actually planned three, four years before the IPO. It didn't happen for various reasons. Then the IPO happened, then we reapplied. So, it's just procedural and it happened now and not earlier.

Chintan: Yeah. I think they got more than four to five years to kind of complete this in the course. So, it's nothing planned. You should not read too much into it.

Swapnil: Got it. Thanks a lot for taking it. Thanks, guys. Those were my questions.

Anand Bansal: Next question from Prateek from HSBC Securities. Prateek, go ahead and ask your question.

Prateek: Hi, team. Thank you for the opportunity. So, Hitesh, I just have one question, that is relating to the comments that you made earlier on the org restructuring that you've done in recruitment. I just wanted to check on if there has been any change in your view of the mid-term and long-term growth prospects of the core Naukri that you said, apart from the premium talent and local hiring. So, core Naukri, has there been any changes in your view, which has led this org restructuring?

Hitesh : We continue to believe that core Naukri growth is going to be a function of one, Indian economic growth and the resultant job creation . Two, because a lot of our revenue comes from IT hiring , it's going to be a function of what happens to IT companies and their hiring, which now depends on global GDP growth , it depends on what happens because of AI . What we are doing as far as at our end is to see if we can expand growth time for ourselves . So far Core Naukri has been used mostly for sourcing candidates. Now, if you can also help recruiters do their job more efficiently and do their jobs faster and if you can help them hire more candidates through Naukri than they were hiring earlier because of our better matching engine, better algorithms, etc ., then one, it helps us grow our market share in the hiring that happens already and two, it helps expand our TAM as well. Of course, lastly, there's pricing growth, which like I said often happens when the market is hot. It's easier to take a price on a hot market, let me put it this way, and then they stay there for a while. So, if the velocity of hiring grows, then, it's easier to command a higher price. So, that has not changed. Now, if growth, GDP growth slows down or if something happens to IT companies , of course, growth would slow down. On the other hand, if we are able to successfully roll out new products, if we are able to get more hiring to happen through Naukri because of our superior algorithms, then of course, growth would look up.

Prateek: Thanks, Hitesh. Also, just to check on, the CTO involvement in the business, the products that you're talking about, you think that there could be a case where the recruiters could also with the evolving nature of the tech that's coming about , do you see any kind of risks also that the recruiters are able to better utilize your platform, the LinkedIn platform ? Can that also hinder your proposition to take up pricing?

Hitesh : Yes, of course. See, there's actually enough startups trying to do new things and we've been through this before also. Right now, as things stand today, my understanding of the market is that, most companies end up hiring through online platforms like ours and LinkedIn and through referrals . A very small percentage of the hiring happens through their private databases as well. That's not changed significantly in the last couple of years, at least. Now, could there be new players, could new technologies emerge, which change the way companies today go about hiring talent? I'm sure enough people are trying, but we have not seen anything material on the ground as yet, is what I can say. Of course, we are also trying, we are also doing a whole bunch of things to see how we can help our clients do their job better. In the end, technology has to be used to solve a business problem. Techno

logy in itself

is not enough. So, the reality is that, whenever there's a new technology, it opens up new opportunities for incumbents . It also creates new opportunities for startups and we are going to see that with the advent of AI. Two things we have going for us is that we have distribution, which new players lack. Two, we have data, which, again, new players lack. And that's something which is slightly different about this technology than earlier technologies, which is why you see Google still dominating the market, which is why you see Meta also doing a good job because they have cash, which they're able to invest in AI. Two, they have data, which nobody else has and three, they have distribution . So, I think we still have these advantages over new players. But yes, we will have to continue to execute well, we should be able to attract good talent, we should be able to launch new products . We will have to do all that also, we can't just assume that we're going to succeed.

Prateek: Great. Thanks. Those are my questions. Thanks so much.

Anand Bansal: Thanks, Prateek. There's a follow -up question from Vivek from Ambit Capital. Vivek, go ahead and ask your question.

Vivekanand: Thanks for the follow -up opportunity. As far as the products that you acquired four, five years back, Z wayam and DoSelect are concerned. Now that Naukri team members are selling these products and taking these products to more and more customers, I believe you had filed for a merger of these two companies with your core operations . When is that likely to be effective? What are the timelines there and when do you see more scalability of these two businesses? I think they've done quite well, I think DoSelect better than Zwayam . If you could just discuss about some of the scalability factors for these businesses. Thank you.

Hitesh: Chintan , do you want to answer that question on the merger first?

Chintan: Yeah, on the timeline front, like you rightly said, Vivek, that we have already filed the papers. I think different NCLT in different states have different lines and pendency rates. Some takes years, some takes two years. So , it's really difficult to predict. Like I said in one of

the earlier question is that for Makesense, actually, it happened in two phases. But overall, it took almost five years. So, it could be a very long drawn process. But in this case, I would expect that maybe it will take another year or maybe maximum half year. And that's my expectation. But it really depends on the pendency.

Hitesh : To answer your second question, see, we've acquired a bunch of startups over the last few years. Makesense was actually a company we acquired many years ago. They were doing semantic search 10 years ago, which actually today is like AI in that sense. AmbitionBox, DoSelect, Zwayam, iimjobs, Hirist. We are very happy with what we got from Makesense. We were able to prove ourselves substantially because of Make sense. It did not generate direct revenue for us, but the acquisition really worked out for us. AmbitionBox, again, has scaled up substantially over the last few years and now we are generating branding revenue from AmbitionBox. Iimjobs and Hirist, like I've spoken about them, we scaled up. Hirist was very, very tiny. It was a very small platform when we acquired it. We've grown the platform over time. Iimjobs also, we've taken it to more customers through the Naukri sales team. And these two acquisitions, also worked out. DoSelect and Zwayam, like you rightly said, we are happy with the progress we're making in DoSelect. We think we can do a lot better in Zwayam than we've done till now. In Zwayam, we will take a lot more effort than what we have put in till now to scale.

Vivekanand: Okay, and you are currently facing scalability challenges primarily because of the sluggishness in the market, or is there any product or go-to-market

challenge also that you have identified?

Hitesh : I think the core issue right now is that the overall hiring market is very modest. Actually we were very confident till Q4 of last year, the Naukri business grew by some 16 - 17%, therefore, when we budgeted for this year, we assumed that we would grow at least 15-17%. We gave generous increments, we hired people, we invested like we were going to grow at 15 -17%. And then suddenly, we saw a dip in Q1. Now, was it because of the tariff wars, was it because of Iran-Israel war, was it because of the India -Pakistan skirmish, or was it because of the noise around AI. I don't know. But we saw a sudden dip. Q2 was a little better but not much has changed on the ground. The real challenge right now is that a lot of our big customers are not hiring as much as they were hiring till some time back. So, whether it's IT services companies, or whether it's recruitment firms who hire through us, they're not hiring as many people as they were hiring earlier. That's impacted Naukri growth more than anything else, core Naukri growth.

Vivekanand: Okay, great. Thank you and all the very best.

Anand Bansal: Thanks, Vivek. So, Vineet, that was the last question for the day we had.

Vineet: Yeah. Thank you, everyone. On behalf of Info Edge, we conclude this call. You may disconnect.

Hitesh : Thank you. Thank you, everyone and have a good evening.

Sanjeev: Thank you, everyone. Bye -bye. And before you all go, this is Chintan's last analyst call. He's moving on, so, I'd like to express our appreciation for all that he's done. And I'd like to welcome Ambrish, who's coming back into the company as the interim CFO. He's on this call as well. So, Chintan moves on, Ambrish comes back, but Chintan remains a friend and supporter and is always available to us. Thanks, Chintan, for everything.

Chintan: Thank you so much. And thanks to all the analysts. I think there's always been great support coming from them. So, thank you, everyone. Bye-bye.

Anand Bansal: Thank you, everyone. Good evening.

Call: Feb 2026

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Date: February 19, 2026

1. The Manager- Listing

National Stock Exchange of India Limited

(Scrip Symbol: NAUKRI)

2. The Manager- Listing

BSE Limited

(Scrip Code: 532777)

Dear Sir/Madam ,

Subject: Transcript of Earnings Conference Call on financial results for the quarter and nine months ended December 31, 2025

In furtherance to our letter dated February 13, 2026 and pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing Obligations & Disclosure Requirements) Regulations, 2015, we wish to inform that the transcript of Earnings Conference call on the Financial Results for the quarter and nine months ended December 31, 2025, held on Friday, February 13, 2026 at 4:00 pm (IST), post declaration of results, is enclosed herewith. The copy of the transcript is also available on the Company's website at https://www.infoedge.in/pdfs/financial_pdfs/f_Earnings/investor-concall-transcript-19feb2026.pdf

Request you to take the same on record.

Thanking you,

Yours faithfully,

For Info Edge (India) Limited

Jaya Bhatia

Company Secretary & Compliance Officer

Encl.: as above

"Info Edge (India) Limited

Q3 FY2026 Results Conference Call"

February 13, 2026

MANAGEMENT:

Mr. Sanjeev Bikhchandani - Founder & Vice Chairman

Mr. Hitesh Oberoi - Co-Promoter & Managing Director

Mr. Ambarish Raghuvanshi - Interim CFO

INVESTOR RELATIONS:

Mr. Vineet Ranjan - Head, Investor Relations

Anand Bansal: Good evening, everyone . I, Anand Bansal, am joined today by my colleague Vineet Ranjan . Thank you for joining us .

Vineet Ranjan: Thank you, Anand . Good evening, everyone . Welcome to InfoEdge India Limited Q3 FY26 Earnings Conference call . Joining us today from management, we have Mr . Sanjeev B ikhchandani, Founder and Vice -Chairman, Mr . Hitesh Oberoi, Co -Promoter and Managing Director, and Mr . Ambarish Raghuvanshi, Chief Financial Officer . Before we begin, I would like to draw your attention to the detailed disclaimer included in the presentation, for

good order's sake . Kindly note that this conference is being recorded . All the participant lines will be in listen -only mode, and there will be an opportunity for Q&A after the presentation concludes . I will now hand over the call to Mr . Hitesh Oberoi for his opening remarks . Thank you, and over to you, Hitesh .

Hitesh Oberoi: Thank you, Vineet, and very good evening, everyone, and welcome to InfoEdge's earnings call for Q3 of FY26 . As always, we will begin with an overview of our standalone financial performance, followed by business highlights for each segment, and followed by our commentary on the strategy for each business, and we will then take questions .

For the standalone business in Q3 FY26, billings were Rs. 747 crores, a YOY growth of 12%, and revenue was Rs. 765 crores, a YOY growth of 14% . Operating profits at a standalone level grew by 13% YOY to Rs. 297 crores, and the operating margins stood at 39% . The standalone business generated cash from operations before taxes of Rs. 376 crores in Q3 FY26 . The cash generation from the recruitment business was Rs. 373 crores . The non -recruitment businesses at an aggregate level generated cash of Rs. 11 crores in Q 3FY26 . For the standalone business in the first nine months of FY26, billings were Rs. 2,120 crores, a YOY growth of 12%, and revenue was Rs. 2,247 crores, a YOY growth of 14% . Operating profits grew by 10% YOY to Rs. 815 crores, and the operating margin was 36% . The standalone business generated cash from operations before taxes of Rs. 848 crores in the first nine months of FY26 . The cash balance of InfoEdge, including wholly owned subsidiaries, at the end of December 2025 stood at Rs. 4,825 crores .

Given our inherent financial strength, consistent cash generation, and a well -capitalized balance sheet, the Board has approved an increase in the dividend payout to enhance shareholder returns while retaining adequate capital to support business operation s, investments, and potential strategic acquisitions . The dividend payout ratio has been revised to up to 65% of PAT, continuing our track record of progressively improving shareholder distributions, with last year's payout at 39% . The Board has also appro ved a second interim dividend of Rs. 2.40 per share for the year .

Moving on to segmental performance and starting with the recruitment business, standalone recruitment billings grew by 11% to Rs. 548 crores, and revenue grew by 14% to Rs. 575 crores . Recruitment billings, including Zwayam and Do Select , grew by 9% to Rs . 565 crores, and revenue grew by 12% to Rs. 592 crores . The operating profit for the standalone recruitment segment grew by 15% YOY to Rs. 341 crores, and the operating profit margin was 59% . Cash generated from recruitment operations was Rs. 373 crores .

In the first nine months of FY25 -26, the standalone recruitment billings grew by 10% to Rs. 1,564 crores, and revenue grew by 14% to Rs. 1,675 crores . Recruitment billings, including Zwayam and DoSelect , grew by 10% to Rs. 1,623 crores, and revenue grew by 13% to Rs. 1,735 crores . The operating profit for the standalone recruitment segment improved by 12% YOY to Rs. 937 crores, and the operating profit margin was 56% . Cash generated from recruitment operations was Rs. 894 crores . The hiring environment remains uncertain, as evident from our Job speak index as well . Despite this backdrop , the business delivered close to 11% YOY growth in billings in Q3, similar to the growth seen in Q2 . Billing for the Technology , IT, and BPM segment combined grew at 14% YOY, GCCs grew at 13%, Recruitment Consultants grew at 5%, and all the Other Sectors combined grew at 2% . BFSI , Retail , Infrastructure and Consultant segments witnessed softness and growth, whereas Healthcare and Manufacturing continued to grow in double digits .

Naukri Jobseeker Services Business reported Rs. 39 crores in billing, a Y OY growth of 17%, with a 59% operating profit margin in Q3 FY26 . Naukri Gulf's billing grew to Rs. 34 crores, a YOY growth of 19%, with a 33% operating margin in Q3 FY26 . JobHai , which is currently operating primarily on a freemium model and is focused on select markets, maintains strong platform metrics and continues to grow revenue . On the Jobseeker front, the Naukri platform now hosts approximately 113 million resumes and added an average of around 20,000 resumes daily during Q 3FY26 . Marketing expenses were significantly lower in Q3 compared to Q1 and Q2 and were flat on a Y OY basis in Naukri . We continued to invest in JobHai and other smaller businesses as a scale -up monetization effort . Therefore, the operating margins, which saw some moderation in Q1 to 53%, improved by 330 basis points to 56% in Q2 and further improved by 350 basis points to over 59% in Q3 . Excluding JobHai , the recruitment margins were around 62% in the third quarter .

Moving over to the real estate segment, in Q3 FY26, billings grew by 14% to Rs. 117 crores and

revenue also grew 14% to Rs. 119 crores . Operating losses were Rs. 20 crores whereas cash losses from operations were Rs. 10 crores in Q3 FY26 . In the first 9 months of this year, billings grew by 15% to Rs. 334 crores and revenue grew by 13% to Rs. 344 crores . Operating losses were Rs. 63 crore and cash losses for operations were Rs. 27 crores in the first 9 months of FY26 .

The secondary business performed well in real estate , while the primary segment remained relatively slower . We continued to gain fresh supply share across categories, including residential, resale and rental, as well as commercial, spanning both the owner and broker segments, further strengthening our supply leadership . Live resale cum rental listings from brokers grew 41% YOY, while live new project listings increased 27% YOY during the quarter . Our investments in the platform supported additional gains in traffic share with the quarterly average at 46% up from 44% in Q2 . With consistent traffic share gains and accelerating response growth and mid -teens billing growth in recent quarters, we believe we have outpaced the market and continued to expand not just our traffic but our revenue share as well.

Moving on to the matchmaking business, in Q3 FY26, Jeevan sathi billings grew by 29% to Rs . 36 crores and revenue also grew by 28% to Rs. 35 crores . The business incurred an operating loss of Rs . 2 crores and generated cash from operations of Rs. 5 crores in Q3 FY26 . We acquired Aisle a few years ago and the business has since made good progress . We now own 100% of Aisle and are reporting its performance alongside Jeevan sathi as part of our matchmaking portfolio . Jeevan sathi plus Aisle reported Rs. 46 crores in billing, a YOY growth of 31% and the combined operating losses reduced by 60% to Rs . 4 crores in Q3 . Both businesses are operating near break -even now .

In the first 9 months of FY26, Jeevan sathi billings gr

ew by 32% to Rs . 104 crores and revenue also grew by 29% to Rs. 102 crores . The business incurred an operating loss of Rs . 1 crore and generated cash from operations of Rs. 11 crores in the first 9 months . Jeevan sathi plus Aisle reported Rs . 132 crores in billing, a YOY growth of 31% and the combined operating losses reduced by 64% to Rs. 8 crores in the first 9 months of FY26 .

Jeevan sathi remained focused on improving sales conversions and ARPUs during the quarter . The market continues to be competitive with leading matrimony platforms investing in marketing and offering higher than usual discounts . Aisle grew at 35% YOY during the quarter . Arike, the Kerala app, Malayalam focused app grew at an even faster pace .

Moving on to our education business, in Q3 FY26, billing was Rs. 46 crores, a YOY growth of 4% and revenue grew by 3% to Rs. 36 crores . The business incurred an operating loss of Rs. 1 crore and generated cash from operations of Rs. 17 crores in Q3 FY26 . In the first 9 months of FY26, billing was Rs. 119 crores, a YOY growth of 7% and revenue grew by 14% to Rs. 126 crores . The business delivered an operating profit of Rs. 8 crores and generated cash from operations of Rs. 11 crores in the first 9 months of FY26 .

The domestic Shiksha business continued to grow in billings, whereas the study abroad business witnessed softness in Q3 . The AI related impact is now very visible in the Shiksha domestic business and has led to a sharp drop in traffic . This will also impact billing growth over time . The business is strengthening its domestic counselling capabilities to drive higher conversions from client responses to student applications to mitigate the AI impact . It is pivoting its business model, but time will tell how this pans out .

I would like to now take a few minutes to talk about how we are thinking about our growth strategy across our businesses, starting with recruitment . We believe Naukri's growth is driven by 3 variables, overall hiring volume, our share of hiring and revenue per hire . Hiring on the platform can be broadly classified into 3 different segments, premium hiring, CTC of greater than Rs. 30 lakhs per annum, mid -level hiring, CTC between Rs. 5 and Rs. 30 lakhs per annum and the value segment of CTC less than Rs. 5 lakhs per annum . Across these segments, we are working on increasing our hiring share and increasing our revenue per hire .

In the premium segment, the overall market size is small but growing rapidly . Our hiring share in this segment is growing faster . We are working on this through targeted premium offerings such as Naukri Top Tier alongside verticalized premium job boards like iimjobs for management roles for management hiring and hirist for specialized technology hiring . Revenue per hire is structurally higher in this segment and we see further headroom for improvement , as long as we are able to strengthen our value proposition and if we keep

gaining share. Beyond talent sourcing, the increasing demand for employer branding solutions on our platform is also supporting better monetization. In the mid-segment, volume growth is currently moderate. We are a clear leader in this segment and continue to gain share. We expect to further increase our hiring share through AI-led capabilities that enhance recruiter productivity and enable workflow automation with AI-Rex remaining a key driver. Our focus here is also on improving revenue per hire through focus on job marketing, data products, and scaling assistive services through AI plus human-led assistance.

In the value segment, volumes are growing rapidly. However, digital penetration remains low and monetization is structurally challenging. Our hiring share is currently limited with Job Hai expected to play an increasing role over the long term. In this segment, ARPUs are lower, churn is high, employers hire urgently, not periodically, and

workers don't maintain resumes

and look for jobs locally. Therefore, success here depends on building a platform that enables real-time labour matching while creating simple workflow solutions for the informal economy. Similar models have scaled effectively in markets such as China, where platforms build strong SME density and unlock meaningful growth. We view this as a medium-term opportunity that can potentially contribute meaningfully to recruitment revenue over time, grow faster than the core business, and benefit from the broader formalization of the economy.

Beyond the core B2B business, our B2C offering is scaling well, delivering a CAGR of ~20% over the last few years while improving profitability from 30% to 59% over the last couple of years. This primarily comprises of two consumer offerings, Naukri 360 that offers AI-powered profile, resume, interview prep, and job discovery solutions, and Naukri Minis, a high-quality short-form content feed that drives strong engagement by providing career insights. Driven by these initiatives, monthly active users have grown at a CAGR of ~12% over the last couple of years, and paid users as a percentage of MAU have risen from around 1.2% to 1.6% over the past year, with significant room for further growth. The revenue growth has been driven by the launch and rapid scale-up of Naukri 360 that has left to two shifts, the first being transforming from an offline lead calling-based sales model to a largely self-serve online-first model. Our online revenue mix has moved from 27% to 45% over the last 12 months. The second shift is the embedding of candidate service delivery within product, leveraging AI, and delinking scale from ops bandwidth. With improving engagement, expanding monetization levers, and continued product innovation, we believe this business is well positioned to sustain healthy growth going forward.

On the international side, our Naukri Gulf business has delivered billing growth of ~20% over the last few years, alongside a meaningful improvement in profitability, progressing from break-even to an operating margin of now 33%. The platform extends the Naukri playbook to the Middle East, with localized solutions tailoring to regional hiring needs, while building a strong on-ground presence and solid brand recall amongst both job seekers and recruiters. With healthy hiring momentum across these markets and a strengthened operating foundation, we believe Naukri Gulf is well positioned to sustain strong, profitable growth going forward.

Moving on to the real estate business, the real estate business spans multiple segments, new homes, resale, and rental within residential, along with commercial, with new homes and resale comprising the majority of the market opportunity. Over the past 12 to 18 months, we have consistently expanded our traffic share by approximately 0.5 to 1% each month, reflecting steady execution and strengthening platform relevance. In the residential resale segment, daily fresh supply has grown by ~40% over the last 24 months, taking our supply share to ~50% in Q3. Response growth has nearly doubled over the last couple of years and grew by around 60% in Q3. In the new project segment, this is a large market estimate at about Rs.5,000 crores, including both digital and non-digital advertising spends. Our current share remains relatively modest, with a meaningful portion being captured by horizontal platforms such as Meta and Google. This presents a significant headroom opportunity for us. We are seeing some green shoots here, response growth in this segment, which was flat but is now growing at 30% YOY on our platform. We are strengthening our penetration and offerings in this segment, including the recent rollout of 99Shorts in the NCR market, an Instagram-style short video feed featuring project insights, resident reviews, and curated content to drive deeper

user engagement. The rental and commercial segments, while small today, are also seeing faster response growth on our platform. Sustained gains in supply, traffic, and response are positioned as well for continued growth. These operating

improvements translate into billing growth with a lag as customers increase spending after experiencing a better response and better quality of response over time, which in turn will drive operating leverage and cash flow generation .

Moving on to the matchmaking business, Jeevan sathi, the business has delivered consistent momentum with 30% YOY billing growth over the last 7 -8 quarters and has progressed from operating losses of Rs . 120 crores a few years ago to now reach break even . We have emerged as a leader in the Hindi -speaking markets with a 45% profile share and we continue to expand our presence . Our focus remains on building a more dominant position in these markets, which should help drive higher monetization over time . We are also developing new products leveraging GenAI and data science to enhance user experience and make the partner search process simpler, faster, and more relevant . In the first 9 months, the Aisle business, which is an acquisition, also recorded Rs. 28 crores in billings, reflecting 30% YOY growth, alongside a meaningful reduction in operating losses . In Aisle, our near -term focus is on product improvements to drive engagement . Making the platform free for women has already contributed to a stronger participation and improved marketplace dynamics . In the Malayali market, we believe Aisle is a leader in the dating space and has now been consistently growing at 40% YOY. It contributes substantially to overall Aisle revenues . This positions our matchmaking portfolio to sustain higher revenue growth while also contributing to overall cash flow generation in the future .

Lastly, in the education business, to mitigate the AI impact and to grow the business, we are pivoting towards counselling and marketing services to diversify the model and build more resilient revenue streams . The study abroad segment is experiencing softness in select markets, particularly the US and Canada . We are actively diversifying our offerings toward destinations such as the UK, UAE, and continental Europe, while strengthening our presence in these markets to align with evolving student preferences and to support future growth .

A couple of minutes on AI . There are multiple schools of thought on how AI may reshape hiring, but global trends may not fully translate to the Indian market given its unique hiring dynamics . Global recruitment models are primarily driven by job listings, but these have not historically seen success in the Indian market . Most of our revenue, comes from our database offering . While AI can enhance workforce productivity and lower costs from a global context, its economic viability in India is still unknown . If horizontal AI platforms were to expand into the hiring space, it could result in higher noise levels, including auto -generated resumes, spam applications, and low -signal candidates, potentially increasing the relevance of specialized curated platforms like Naukri . We continue to leverage AI to our advantage in recruitment . Our position is supported by structural strengths such as large volumes of proprietary data, millions of daily interactions, and deep AI and ML capabilities . This is not just the profile data which is easy to get , but all the behavioral data - the millions of interaction that happen on our platform every day , which other platforms may not have . These capabilities power our matching and recommendation engines, allowing us to deliver outcomes beyond a simple listings model . Therefore, Naukri is not a typical SaaS business . We are seeing encouraging traction in AI-Rex, our agentic AI -led workflow automation platform . It is already serving 100 + clients

and has closed 20,000 job mandates, significantly reducing candidate sourcing time . At Jeevan sathi, recommendations, matching, and pricing are now fully AI -driven, leading to improved two -way matches and stronger platform outcomes . We are also increasingly deploying AI and ML in 99acres to enhance matching and recommendations .

Our key AI priorities are enhancing search quality, personalization, and productivity for users and customers, launching AI -powered features to improve experience and engagement, building AI -first products to unlock new revenue streams, and embedding AI in to internal processes to improve efficiency and execution . Lastly, across all our businesses, AI is enabling faster feature rollouts, scalable content creation, and more efficient marketing, with several recent campaigns developed in -house using AI -led tools . Overall, our AI initiatives are delivering tangible operating outcomes and positioning us well to support growth across all our verticals, including recruitment, 99acres, Jeevan sathi, and Shiksha, while reinforcing our competitive strengths . Thank you all for joining the call, and now we are happy to take any questions .

Vineet Ranjan: Thank you, Hitesh . Anand, we can now begin with question -and-answer session . We already have some questions in the queue .

Anand Bansal: Thanks, Vineet. We already have two questions . Anybody who wants to ask a question may raise their hand . We'll take your name and announce your turn in question

queue . The first question is from Sachin from Bank of America . Sachin, go ahead and ask your question .

Sachin: Thanks, Anand and Vinod. I have three questions . First question, Hitesh, just want to double check and get a little bit more clarity in terms of the hiring segments, what you mentioned, premium, mid-level . Wanted to understand, basis your interactions with all the companies , how are you actually seeing the hiring trends out here ? Obviously, there are a couple of pointers . One is how the macro is going and industry-specific issue . Second is an AI-led impact, where clearly there's a bit more uncertainty and most corporates are not as sure in terms of how they should think about hiring . So, what are you guys picking up and how should we generally expect trends in the premium and mid-segment going ahead ?

Hitesh Oberoi: Our overall sense of the market right now is that the volume growth continues to be robust in the premium and in the value segments . By value segments, we mean people who are paid less than Rs. 5 lakhs per annum and by premium, we mean people who are paid more than Rs. 30 lakhs per annum . There's a reasonable demand for senior professionals , there's really a demand for professionals with new age skills . There continues to be a lot of demand for professionals in roles like warehousing, logistics, manufacturing, delivery boys, counter sales folks and so on . That's the value segment . The mid-segment volume growth has moderated actually over the last few years is what we sense . We used to see 7-8% volume growth in this segment every year, maybe four or five years ago . Since then, that has moderated to 4% volume growth . That's what we are sensing right now . This segment, which is the Rs. 5 to Rs. 30 lakh segments , seems to be under pressure on volume .

Sachin: Okay, got it . Second question is how things are picking up in AI-Rex and also a bit on Neo. Would love to actually understand how the adoption of agentic AI has been for you guys . Any feedback you're hearing out here . In fact, globally, we've found agentic AI, which is being launched is typically deflationary in nature . So wanted to understand, is it allowing you to charge more or there could be an impact from a deflationary perspective also from a pricing point of view .

Hitesh Oberoi: It's still early days and close to 100 of our clients are now experimenting with AI-

Rex. Over 20,000 mandates have been sort of used AI-Rex over the last few months . We are also fine-tuning our go-to-market . We are also iterating a bit as we go along . We're also trying to figure out how we can take it faster to more customers so that they can at least try it, play with it . That also gives us feedback and helps us improve the offering . So early days still. Our clients are learning , we are also learning . Will it be deflationary or inflationary ? I don't know . Our short-term goal will be to get more and more clients to use it first . So we'll focus on adoption and usage . We think if we are able to enable more hiring through AI-Rex, and if you're able to enable faster hiring through AI-Rex over time and help recruiters become more productive, revenue will follow .

Sachin: Got it. Are you seeing any of your competitors launch it ? Because globally, we're seeing Indeed and Seek also launch their own agentic AI peers .

Hitesh Oberoi: I'm sure others are also experimenting . But, it's still early days in this market .

Sachin: Got it . Third question is on the point that you mentioned about the unique nature in India from a hiring dynamics perspective . Can you help us explain a bit more in terms of how India is and Naukri is different as compared to global peers ? Because globally, the concerns right now are the growth and margins being under pressure but completely understand that India hiring is different . Would love to understand where Naukri is unique and why those global pressures are not there in India .

Hitesh Oberoi: India is different . I'll tell you how India is different . Globally , job listings is what works in most of the markets . Companies post jobs on platforms, they get applications and they hire from the applications they get . Now, that's not a very effective way of hiring in India because what tends to happen in India, at least in the mid-market and premium segments, is that there are lots of applicants . As a company, let's say you want to hire two people and you post a job and if you get 2,000 applications, you get overwhelmed . Which is why what has happened over time in a market like India is that companies have moved to hiring through the Naukri database . What happens when you use the database is that you search the database , you look for the kind of people you are interested in, and then you contact them . You only reach out to the people who you think are relevant . When you post a job, a lot of irrelevant applications come your way . This whole talk of disintermediation fundamentally

means that some AI agent will start applying on behalf of job seekers and this may actually mean, in a market like India, even more spam . Overseas, job seekers are selective . I remember when I went for a conference to Switzerland many years ago, I was told that the number of one job site in Switzerland gets six applicants per job . While in India, that number can be a few hundred, and in some cases, go into a few thousand s. Overseas, job seekers are more selective and therefore, there is less spam and therefore, it is easier to hire through job postings . India is the other way around . Job seekers are not selective , you get inundated, overwhelmed with applications and applicants . Therefore, a lot of companies don't want to post jobs . They would rather hire through the database or through consultants, because consultants do go even one step further . That's how the Indian market is different . If these AI agents lead to more spam, more job seeker spam, I think the value of databases like Naukri may actually go up .

Sachin: Pretty clear . Thanks

Hitesh Oberoi: That's what I meant .

Sachin: Yeah, that's it for me . Thanks .

Anand Bansal: Okay . Thanks, Sachin . Next question is from Vivek anand from Ambit Capital . Vivek, go ahead and ask your question .

Vivek anand : Thank you very much

for the opportunity . My questions , the first one is on recruitment . Thanks for the colour on the kind of growth you're seeing across hiring buckets . But coming back to your traditional breakup, which is Tech, GCCs and Non-Tech, it seems that your monetization from Non-IT customers, especially in BFSI , Retail , Infrastructure has been weak since May and there has been no recovery there . Why is it that you're struggling with Non-IT customers ? Are they delaying their decisions to renew or are they taking up very less hiring quotas ? What is the challenge here ? What do you hear from your sales team ? That is the first question . I will ask the second one after you answer this .

Hitesh Oberoi: Our YTD sales growth in the non -hiring segment is close to seven percent . We've seen a sharp slowdown compared to the last year . There have been one or two cases where clients have not renewed for their internal reasons . Maybe if they will come back and renew three months from now, six months from now, who knows ? But even if I were to take that into account, it's low growth, seven, eight percent in that ballpark for the year . Some sectors are still growing like healthcare, but others have been slow . I suspect this is cyclical . I suspect this has to do with the economy . If the economy turns and, growth, hiring will come back to these segments . That's my sense . I could be wrong . I don't think this is because of AI or anything, because it's not as if a lot of non-IT companies have started adopting AI in a large, big way . I think this is perhaps cyclical and has to do with the economy . As and when the economy comes back, this growth should come back .

Vivek anand : Okay . Hitesh, just a follow up on this, connecting it to the volume growth you are seeing in the under Rs. 5 lakhs CTC segment . My understanding was that a large number of hiring mandates among the Non-IT customers would be these kinds of mandates ?

Hitesh Oberoi: Some certain proportion, of course .

Vivek anand : Okay . I thought retail and then staffing, all of them would be in this category, which is why it is a bit surprising that you said the value segment from a CTC standpoint is seeing healthy volume growth .

Hitesh Oberoi: What I meant was that the value segment, and I was also looking at data on JobHai . In that I'm including blue collar workers, grey collar workers and white collar workers who get paid Rs. 30,000 -40,000 a month . Our sense is that job growth in this segment is higher than the job growth in the mid-market segment, in the pure white collar Rs. 5 to Rs. 30 lakh category segment . Similarly, job growth in the premium segment, which is the above Rs. 30 lakh jobs, is higher than in the mid-market segment . That's what we are sensing . But on the value side, this includes blue collar, includes jobs in warehouses, logistics jobs, jobs in delivery companies, taxi driver jobs, manufacturing jobs, counter sales, retail sales, all these kind of jobs, healthcare workers, at the lower end, all kinds of such jobs .

Vivek anand : Okay, that's great . I'm clear on this . The second one is on the Tech, IT and BPM segments . You saw growth accelerate, but the narrative that the IT companies are driving

towards is quite different . How did you manage to accelerate billing growth from this category of customers ?

Hitesh Oberoi: I will not read too much into the quarterly billing growth . YTD growth in this segment is also about 9% or so . Sometimes in a quarter, if somebody pays in advance, you see higher billing growth . Sometimes renewals get deferred , so you see lower billing growth . We're not seeing a sharp acceleration . I would still say that we're in that 8 -9% range for the year, even in the IT and BPM and Tech segments .

Vivek anand : Okay , that's quite clear . My second question is on the ad spends . You did allude to ad spending moderate and that is somethi

ng you've delivered in this quarter . Just to understand better, we've seen the standalone ad spend s to sales percentage remain very FMCG -like. In fact, even FMCG companies are spending much less now, from an ad spend to sales perspective . How should we think about the intensity of advertising, considering that a significant portion of the advertising for you is discretionary and towards branding rather than specifically to attract traffic ?

Hitesh Oberoi: Our ad spends have been sort of flattish, in Naukri, in the recruitment space, but our ad spend s has actually grown this year in both the matrimony business and in the real estate business . While a lot of this spend is performance advertising, some of it is brand advertising . Only the brand spend is discretionary, the performance spend is not so discretionary . You can maybe still moderate by 10 -20%, but it's not as we can stop it totally . In 99acres , we are investing for growth, we have been gaining traffic share, and our marketing spend is helping . We figured out a way to make the marketing work for us . It's helping us grow traffic share, supply, revenue share, and we'll continue to do that . In matrimony, also, the ad spend is not discretionary, because it's an integral part of our acquisition strategy . It's grown over time, because we've been gaining share, and we now want to accelerate share growth in matrimony as well . I don't understand the F MCG space, so I don't know how they think about advertising, but in all our verticals, a large part of the ad spends , is performance based, so you have to do it . Some of it is brand, so that's more discretionary, and some of it is investing in the future to gain share and to accelerate growth .

Vivek anand : Okay, is it possible for you to give a broad direction in terms of the ad spend s across divisions, like how much would Naukri be, and the other businesses ? Is it possible to give colour on that ?

Hitesh Oberoi: Do we do that, Vineet ?

Vineet Ranjan: No, Hitesh, we generally do not .

Hitesh Oberoi: For competitive reasons, I think we don't want to get these numbers out .

Vineet Ranjan: But just for your reference, these numbers as a percentage of revenue across businesses are very different . This would be much higher in 99 acres and Jeevan sathi, and it will be much lower than what you are referring to from a FMCG point of view .

Vivek anand : Okay, understood and just to clarify again, the performance marketing ad spends are largely in 99 acres and Jeevan sathi, while brand spends will be more in Naukri . Is that how it is ?

Hitesh Oberoi: No, see, there is some performance marketing everywhere, and there is some branding everywhere . Then there is something we call inside as quasi branding . It's like half performance and half branding . Across all our verticals, we have all kinds of spends . But like Vineet said, as a percentage of sales, ad spends are highest in Jeevan sathi, followed by 99acres, followed by Naukri .

Vivek anand : Okay, thanks . My last question is on AI . You did describe about the AI journey that you had in your core businesses . Could you help us understand how some of your investee companies are leveraging on AI ? How are they using it ? You gave the example of AI-Rex for Naukri and say in some of the other businesses as well . But is it possible for you to give us some case studies or some colour on the investments that you have, the VC investments and how they are using AI ?

Sanjeev Bhikchandani: How the VC investment s are using AI , depends . It varies from company to company . Some companies in fact are AI first and some companies are about AI .

Others, may or may not be using AI to the extent that Naukri is doing . Naukri, I think, is very advanced . What I gather from other companies and what I see is among Indian companies, Naukri is perhaps one of the most, if not the most advance

d company in adopt ing the usage

of AI . The kind of team we have put up in Naukri of more than 130 -150 people, doing AI and ML, there aren't too many other companies with that kind of capability . Having said that, there are companies that are AI first and many other startups have, five or 10 engineers, Naukri's got 130 to 150 . It varies from company to company . Nowadays the business plans we see of fresh startups, almost all of them have an AI element to it .

Hitesh Oberoi: If I may just add to what Sanjeev said, I think one of the differences between us and a lot of other startups is that we are deploying and using AI at scale . The kind of data we have, the kind of usage we have, not many startups have . So, while enough companies are AI native or AI first, they're operating at a very small scale . I think it requires a different skill set to use AI at scale , at the kind of scale we are using it at .

Vivek anand : All right . That's great . Thank you and all the very best .

Anand Bansal: Thanks Vivek . Next question is from Nikhil from Nuv ama. Nikhil, go ahead and ask your question .

Nikhil: Yeah, thanks for the opportunity . First question Hitesh on profitability . Staff cost was down meaningfully this quarter that led to better EBITDA margin . Generally, we don't see such dip in Q3 . Was it due to internal efficiency measure and is it sustainable ?

Hitesh Oberoi: I would urge you to not read too much into quarterly numbe rs. Look at the YTD number . YTD margins in Naukri are more like 56 -57%, Q3 was 59 %, Q1 was 53%. Sometimes numbers could be different because of incentive payouts, set bonuses and so on and so forth . Sometimes targets are met, sometimes they're not met . Normally, for example, a lot of our hiring when we hire from campus, join in around Q3 end or Q4 end . Then over time there's attrition . I would not read too much into quarterly numbers . Go by the YTD number .

Nikhil: Got it . Second one on AI-Rex, how we are monetizing it, how we are pricing it in general ?

Hitesh Oberoi: We are still experimenting . We were trying to monetize, but I think it's too early . My view is that we should take it more aggressively to market, let companies play with it, let them use it, benefit from it . Revenue will follow . We will figure out how to Monetize it .

Nikhil: Got it . Within the subsegments of recruitment, one segment that remain under pressure is third party recruiter . Theoretically, it also makes sense given how repetitive tasks are, how inefficient, I mean, lower ROI you generate compared to platforms like Naukri . Hypothetically, can that segment, which is 25% of revenue, remain under pressure given a company will look for more efficiency, especially from hiring and the tools such as AI-Rex, where you' ve done 2 0,000 mandates . Can that scale keep impacting this segment where on alternate scenario, you might benefit or get better monetization while that segment can remain under pressure, hypothetically ?

Hitesh Oberoi: We normally see for the last 25 years, our revenue from consultants has been in the 25 -27-28% mark, for some reason, this doesn't change much . In good markets , if the hiring market is hot, then of course, companies tend to use consulting firms a lot more, their fee also goes up . In a lukewarm market, companies would take their own sweet time to hire, they're not in a hurry . They first use platforms like Naukri, etc . Only if they're not able to get success, they go to consultants . They also drive down consultant fees . The other thing, it also depends on who is able to adopt these new technologies faster . Consultants are also smart and our AI-Rex will, I'm sure we'll offer it to consultants also . It's not as if we'll offer it to only companies . So if they are faster off the block, they are promoter run firms, sometimes many of them tend to be nimble and agile, and they move quickly .

So, if they adopt these tools

faster, they may become more efficient over time as well . Companies will, of course, also adopt these tools and try and become more efficient . But I've seen over time is for some reason, consultants are considered to be 25% of our revenue .

Nikhil: Sure Hitesh . Just last one on pricing . I think for two years, we haven't increased at a

blended level pricing meaningfully . Can that pricing increase , going ahead with initiatives such as AI-Rex, with initiatives where we are pushing Naukri Top Tier at a blended level, can pricing grow at par with the mid to high single digit type, which we were doing earlier ?

Hitesh Oberoi: It can , but it's easier to do it if you offer more value adds to companies . It's easier to do it in a hotter market , in a hot recruitment market . It's harder to push pricing when companies are not hiring a lot of people because they take their time , they can wait, they negotiate . We have quarterly targets to meet, salespeople are incentivized on quarterly quotas and so on . So, they end up giving discounts sometimes . So, what we've seen in the past is that in hot markets, we are able to take prices up faster . But, over a period of time, if you take a longer period, then price increases tend to be in the range of 5-6% per annum .

Nikhil: Yeah, completely agree Hitesh . But more in short to medium term, because I don't think we are seeing hot market anytime soon, at least that is what it looks like . That's why , can at a blended level using, even last time I asked the same question, can the premium hiring be monetized in a different way where you can maybe charge it in a different way . So, at a blended level, we can increase pricing despite of market, it is where it is .

Hitesh Oberoi: Yeah . So if more premium hiring starts to happen through our platform, then even for the same volume, we'll be able to get higher value . But it has to materialize .

Nikhil: Got it Hitesh . That's it from my side . Thank you so much . Good luck .

Anand Bansal:

Thanks Nikhil . Next question is from Vijit Jain from Citi . Vijit, go ahead and ask your question .

Vijit Jain: Hi, thank you for the opportunity . The first question, so is Naukri 360 Pro targeted more towards the mid segment or the premium segment of the market ? Any colour you can give on adoption there . In general, the job market, I think, as to what you mentioned in the mid segment is challenging . LinkedIn premium seems to be similar product . Is that product seeing more adoption and, any other colour you can give on that ? That's my first question .

Hitesh Oberoi: Sorry, I don't have segmental numbers for 360. But in general , at least in the past, I don't have the latest numbers, there used to be higher adoption amongst more experienced professionals . But I don't have the latest numbers on me .

Vijit Jain: Fair enough . The second question was kind of related . So, assuming that this trend where you have more growth momentum in the premium segment and say in the value segment and, there's this whole debate on whether IT, whether AI pushes people up the pyramid curve . So, in general, do you need to rethink product, beyond, say the agentic , just to kind of cater to the mid and premium segment a little bit better from a recruiter point of view ? LinkedIn is obviously a very different form factor of what they provide to recruiters than what you do . If the job market is shifting that way, do you shift more towards LinkedIn model or is there a third approach ?

Hitesh Oberoi: So, good question . See, we've just launched Naukri Top Tier. Within Naukri, we've launched a Naukri Top Tier that's meant for premium job seekers, and it's meant for recruiters who are looking to have premium job seekers . We're trying to provide a differentiated experience to both job seekers and recruiters in this segment on Naukri . We're doing

ing it a little differently from LinkedIn . Early days, but what I can tell you is that CV views, which is one of the metrics we track, on our platform, CV view s growth in Naukri Top Tier is higher than CV view s growth for the platform as a whole . We are also working hard on improving our vertical offerings like iimjobs and hirist. We built hirist over the last couple of years. It targets premium tech talent and we've got iimjobs which targets premium MBA talent . So, we are also building and trying to improve these vertical offerings . Of course, there are some people who are on both iimjobs and Naukri, but there are enough who are only on iimjobs and not on Naukri . There are enough who are only on hirist and not on Naukri . We're taking these offerings to recruiters . In the premium segment, we have headroom to grow our share, because we're not as dominant as we are in the middle segment . So, there's an opportunity here . We're working hard on it . Let's see where we end up in the next 12 to 18 months . Did you have a second question ? Sorry .

Vijit Jain: Yeah . I think I was just trying to get a sense of , so you mentioned iimjobs, hirist, Naukri Top Tier. Do they kind of get clubbed together into a single offering ? Either perhaps you already have a single offering to recruiters, and these are different platforms for

candidates . I'm just trying to get a sense of whether, the whole product here needs some kind of a rethink or retweak to address go -to-market better .

Hitesh Oberoi: There's stuff you're experimenting with . So, they are separate platforms and there are some people who use only hirist and only iimjobs that don't use Naukri and vice versa . But we are also trying to develop this whole concept of a Naukri Talent Cloud where if you are a recruiter on Naukri, you also get to see the other platforms and use them . But early days there . So, we are experimenting with it for early days .

Vijit Jain: Got it . One related question . You said premium hiring is doing well . I know GCC s are doing well . It would be safe to assume that it's kind of an overlap there ? To a certain extent ?

Hitesh Oberoi: Yeah, there'll be some overlap for sure .

Vijit Jain: The last bit on this front . In the presentation, you've said that IT, direct IT exposure for you now is 25% and including consultants is now 30 -35% . If I'm right, the including consultants' part has come off because it used to be 50% of consultant business was IT and now it looks like it's more or less a third . Is there a shift happening there ?

Hitesh Oberoi: My sense is, it's the case right now, but let's say if IT hiring were to come back , then consultants will again go back to IT companies and start hiring for them . So, consultants are nimble, they're agile, they sort of move where the hiring moves to . So, if there's a lot of IT hiring, they put more people onto IT hiring . If there's, on the other hand, they don't see action on the IT front, they move into other segments .

Vineet Ranjan: Hitesh, just to add to it, Vijit, so we have also moved from three segments to four segments . We are now calling out GCC separate ly as a segment . GCC hiring is not only IT, there's a large part of GCC who hire non -IT talent as well . Therefore, just because the reporting structure has changed , the shift from that 50% to , 35%, that's another reason for that.

Vijit Jain: Okay . Got it . Understood . One last question for me, Hitesh . So, in terms of M&A, what would be areas you would prefer to go into ? Are we talking about other classifieds businesses ? I think there may be a few up for grabs, even in categories where you're not present . Or could it be just technology or enterprise SaaS ? Are there any preferred areas where you think you would like to go ?

Hitesh Oberoi: See if you look at our track record, the successful M&A's that we pulled off have been very small

ones . We acquired a company called Make sense Technology . It was a technology company, Semantic Search, many years ago, it worked out really well for us . It was perhaps AI, it was not called AI in those days, but it was early AI . Then we acquired Ambition Box. It was a small company when we acquired it a few years ago . It's turned out, it's now bigger than Glassdoor in India . So, that's worked out well for us . Then a few years back, we acquired iimjobs and hirist . iimjobs, hirist was tiny at that time . That's also worked out well for us . Then, a couple of years ago, we acquired Zwayam and DoSelect . These are, again, small acquisitions more on SaaS and assessment platforms, still WIP, for us . So, I think we'll continue to be open to the idea of acqui -hires, acquiring for technology, acquiring products, acquiring small businesses, which we think we can scale , given our distribution, given our sales reach, given our established customer base . So, these are acquisitions we'll be open to, or if something takes us into a slightly different segment, like iimjobs and hirist, we were weaker on the premium side . We sort of bought these companies, we are doing JobHai internally . That's a blue -collar play. So, let's see how that plays out . If tomorrow there's something interesting on the gig side, if there are other areas that you think are likely to grow faster, then we'll be more than open to acquisitions in those . That's in jobs . Similarly, in real estate , and in matrimony, we acquired Aisle . So, Jeevan sathi is more about matrimonial , but Aisle is more dating for matrimony . So, it's a little different , while Arike is a regional dating platform . In the businesses, in the verticals we operate, we will continue to do these small acquisitions in adjacent areas , especially if they help us build a technology moat or if they help us take a new product, they give us a new product, which we think we can scale 10x by taking it to market through our sales system, or if they help us acquire a new capability, which will be useful over time . So, these are the kind we are constantly on the lookout for . The big M&A is different, opportunistic, we haven't done any big M&A till now . In some sectors, consolidation makes sense, but there aren't too many companies . We are unlikely to do a major diversification . It's not ruled out ever, but unlikely in the near future .

Vijit Jain: Got it . Thank you, Hitesh . Those are my questions . Thank you, everyone .

Anand Bansal: Thanks, Vijit . Next question is from Ankur, from JP Morgan . Ankur, go ahead and ask your question . Ankur, you are there ? So, he's not there . So, next question is from Swapnil from JM Financial . Swapnil, go ahead and ask your question .

Swapnil: Hi, thanks for the opportunity . My first question is to Hitesh . Hitesh, if I look at your historical revenue breakup, you used to mention revenue by product type . That revenue used to contribute roughly around two-third s of our B2B revenue in the Naukri business . Now, the question out here is assuming, and I'm presuming that the revenue was so high because people used to download the CVs a lot more, given they used to do it in volumes . Assuming tomorrow, because of AI, the access required by the companies reduces meaningfully . Is there a possibility that the companies will also want to renegotiate on the pricing of the subscriptions that they pay for ? Just to give you an example, if I were paying X amount for 100 resumes, and tomorrow I need just 80 resumes, will the companies come back to you and say that on a per resume basis, I don't need to pay the same way that I used to pay in the past . So, I'm just coming from a risk perspective . Can you just tell us ?

Hitesh Oberoi: Per resume pricing may not change . But yeah, if companies , if consumption, if X number of resumes were being accessed, let's say last year, a

nd that number starts to fall,
then of course, volume will go down . But not pricing, necessarily .

Swapnil: Any discussion that you had with your clients on this off late ?

Hitesh Oberoi: This happens every time, every year . There are some clients who buy more, some clients may, if they anticipate lower hiring, they downgrade . This happens all the time . This has been happening for several years . In a good market, most clients tend to consume more, conversion rates also fall . You may see 100 resumes and make two offers, and you will not be able to hire anybody because the market is so hard . In a lukewarm market, you may make offers and people join . So, conversion rates are also better . This is something which happens all the time there . Of course, a lot depends on how the company is doing as well . There are companies who shut down every year, there are companies which downsize sometimes, so they know that they will need to hire fewer people . There are companies that are growing rapidly, let's say new GCC sets up shop, they know they want to expand rapidly, so they buy more . This is something we encounter every year . On the whole, our volumes have been holding and like I mentioned earlier, we are seeing modest growth in the middle segment, and higher growth in premium and the lower segments . Company by company, things vary . Of course, every year .

Swapnil: Got it . Any thoughts on the hiring budgets that these companies would have right now ? I'm talking about the near to medium term, and I'm not talking about long term . But any colour on that side, like what feedback you're getting from the clients ?

Hitesh Oberoi: See, my sense is that the non -IT market, I think, has been slow, because the economy has been slow, at least in the sectors where we get a lot of revenue from . if things were to turn there, we should see an uptick going forward . IT, I don't know, the jury's still out . There is so much noise, there's so much confusion . A lot will depend on IT companies and how they're thinking about and the kind of demand that they're seeing at their end . GCCs , the big ones may come under pressure for some time if these companies like the big ones start laying off in the US, for a time, they may not want to hire in India . But the small ones, which have just set up shop in the last two, three, four years, where their India headcount is maybe still less than 20% or 15% of their global headcount, will want to continue to scale to get to that number . That's the way I see it .

Swapnil: Got it . Just one question on your unique clients builds , that number seems to be growing QOQ . Exactly where these new clients are coming from, which sectors ? Because it seems that these guys are helping you offset some of the impact from the traditional sectors .

Hitesh Oberoi: We've expanded our sales operation to more cities . We have launched some freemium offerings on Naukri . Most of these new clients, they start small . There's also a lot of churns in this segment . ARPUs are low when they start now, over time, some of them up their game, and they start hiring more people, they start using us more . But yes, we put a little more effort over the last 12 months to get more new customers into the system . One way we've done it is by having a freemium offering on Naukri . That encourages a lot of small SMEs to try Naukri, and then we try and upsell to some of them .

Swapnil: Just the last one on the margin side . So, in the past, you said that if your billing stays around low teens, margin expansion in the Naukri business will be a difficult task . Any revised thoughts on that side ? Would you take any efficiency efforts to at least optimize on the margin side, if billing stays where it is today ? Thanks .

Hitesh Oberoi: There are some investments which we need to make, like we are losing approximately Rs. 50 crores a year in our JobHai b

usiness, which is our blue -collar business .

That's a business we are building for the future . We will continue to invest in this business for the next few years . This is not something we want to cut down on . Similarly, we will continue to make AI investments . There are capabilities we need to build, there is stuff we need to do . There could be a temporary slowdown in hiring, but, it's important that we are ready when hiring comes back, and we are able to grab the opportunities which AI is sort of bringing our way. We will continue to make these investments . Marketing investments we can play with a little bit here and there, they don't really matter in the short term . Our headcount will not go up too much . Right . If we continue, if we can grow in the teens, we will be able to maintain and improve our margins . If we grow in single digits, then we might lose some margin, let's see.

Swapnil: Got it Hitesh . Thanks a lot for answering those questions and all the best .

Anand Bansal: Thanks, Swapnil . Vivek is back with a follow up question from Ambit . Vivek, go ahead and ask your question .

Vivek anand : Yes. Thanks, Anand, for the follow up opportunity . Two questions . So, one is Zwayam and DoSelect, they don't seem to be growing quite fast . What's the challenge there ? In fact, your billing there is growing at a slower pace than the core business, which has 'n' number of pressures . What's going on ?

Hitesh Oberoi: I'll tell you what's happening . See, we have been experimenting over the last few quarters with different go to market and, bundling strategies . For our newer offerings , it'll take a while, maybe a quarter or two for the dust to settle down on that front till we get it right . That's what is perhaps creating this issue that you're seeing . You've rightly identified it. We're trying to figure it out , so sometimes to get a higher billing, we push these offerings on to customers, we want to see whether customers really want them . In some cases, when we do that, we don't see a lot of adoption . We are trying to dial back a little bit . So, we are sort of playing around with all this to see what is the best way to take some of these new offerings to market and that is resulting in this moment . Things will settle down maybe in a couple of quarters .

Vivek anand : Okay, excellent . The second one is on JobHai . You said that you're spending some Rs. 50-60 crore s there on an annual basis . How has been the offtake ? How many cities have you gone to ? Have you been able to do any detailed, perhaps pilots or monetization with some of your associate companies also ? Zomato, for example, or Eternal, for example, has a lot of feet on street as far as the rider fleet is concerned, where you might be able to experiment with JobHai . If you can detail some progress, sector wise, and also market wise to help us understand the scalability of JobHai , say from a three, five-year perspective, that would be great .

Hitesh Oberoi: Excellent question . How we have approached JobHai is, we've been working, we worked very hard on the product, we wanted to get the product market fit, right . I think we are past that point . Then we wanted to get the playbook right, the playbook of taking it to market and the scaling playbook . So what we did over the last 18 months was to double down in one city, so we chose Delhi NCR, because that's where we are based and said, let's try and see if we can make JobHai big in Delhi NCR . Now the good news is that we believe that JobHai is now the biggest sort of player in this segment, in NCR . So we are bigger than any other player . We have started monetizing also in Delhi NCR . Now on monetization , monetization normally follows with the lag of a year . We are not the largest still, but we are growing month on month . So our marketing efforts, our sales efforts, a lot of our, all our efforts are focused

on NCR for the last 12 -18 months . Not that we don't have presence elsewhere, we have presence in many cities, but we were more of focused on becoming like a leader in NCR . Now that we are more confident, we will over the next 12 months, take this playbook to other cities . We may not go to 60 cities or 80 cities in the next 12 months, but we will perhaps take

this model to Bombay and Bangalore and a few other cities and see if we can become a leader in those markets . Then over time, we'll take it to other cities . That's the way we are approaching it . This is a market where there's a lot of volume, but ARPUs are low . It's not easy to make money . But it's important for the long run . Strategically, it's important because it keeps other players out in the short term as well . Because once people get in, then they may move to other segments . Long term, it should be possible to make money in this space . But like is the case with any internet business, you need to be number one, or number two player to make any money . So that logic will hold for this segment as well . So now, what will success look like , if in five years or six years, this becomes 10 -15% of Naukri India, then I think that is what success will look like in JobHai .

Vivek anand : Okay, that's very helpful . My last question is to Sanjeev . Sanjeev, how is the operating environment like for startup funding ? What are the kind of ideas you're getting ? Also, some of the investees of Info Edge Venture Fund One, you had updated us about a couple of years back that these companies are securing funding from external investors as well, in later stages . Is that improving at the margins or getting worse ? Please help us understand the overall funding landscape, not just at seed stage, but maybe series B , C as well . Thank you .

Sanjeev Bhikchandani: Without sort of taking specific names in the portfolio, because we'd rather announce that in a planned manner . The winners are being sorted out and the winners are moving ahead and getting further funding , both in Fund One, Fund Two, and one or two even in Fund Three, pretty soon, actually . A few were hit by the tariffs, by the US tariffs, because they did cross -border business . But they adjusted, adapted, went to other markets, sometimes raised prices and sort of found that the demand was still sticky . So actually, they've come out of it fairly well . Now hopefully, with tariffs going down, they should be back in business . I would say maybe out of 27, 10 or 15 have got serious follow -on rounds and some of them are doing fairly well. But what we actually need is four or five big winners out of the first fund to really return the fund and make a good multiple on it . We had a total of 28 or 29 companies in Fund One .

Vivek anand : Okay, that's, that's very helpful . Thank you so much .

Anand Bansal: Thanks, Vivek . Vineet , this was the last question we had for the evening .

Vineet Ranjan: Yeah . Thank you everyone for joining . On behalf of InfoEdge, we now conclude this conference call .

Hitesh Oberoi: Everyone have a great evening and go ahead .

Anand Bansal: Thank you so much, everyone .

Call: May 2026

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Date: May 28, 2026

1. The Manager- Listing

National Stock Exchange of India Limited

(Scrip Symbol: NAUKRI)

2. The Manager- Listing

BSE Limited

(Scrip Code: 532777)

Dear Sir/Madam ,

Subject: Transcript of Earnings Conference Call on financial results for the quarter and year ended March 31, 2026

In furtherance to our letter dated May 22, 2026 and pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing Obligations & Disclosure Requirements) Regulations, 2015, we wish to inform that the transcript of Earnings Conference call on the Financial Results for the quarter and year ended March 31, 2026, held on Friday, May 22, 2026 at 4:30 pm (IST), post declaration of results, is enclosed herewith. The copy of the transcript is also available on the Company's website at https://www.infoedge.in/pdfs/financial_pdfs/f_Earnings/investor-concall-transcript-28May2026.pdf

Request you to take the same on record.

Thanking you,

Yours faithfully, For Info Edge (India) Limited
Jaya Bhatia Company Secretary & Compliance Officer
Encl.: as above

"Info Edge (India) Limited

Q4 FY2026 Results Conference Call"

May 22, 2026

MANAGEMENT:

Mr. Sanjeev Bikhchandani - Founder & Vice Chairman

Mr. Hitesh Oberoi - Co-Promoter & Managing Director

Mr. Ambarish Raghuvanshi - Interim CFO

INVESTOR RELATIONS:

Mr. Vineet Ranjan - Head, Investor Relations

Anand Bansal: Good evening, everyone. I, Anand Bansal, am joined today by my colleague, Vineet Ranjan. Thank you for joining us.

Vineet Ranjan: Thank you, Anand. Good evening, everyone. Welcome to InfoEdge India Ltd. Q4 FY26 Earning Conference Call. Joining us today from the management, we have Mr. Sanjeev Bikhchandani, Founder and Vice Chairman, Mr. Hitesh Oberoi, Co -Promoter and Managing Director, and Mr. Ambarish Raghuvanshi, Chief Financial Officer. Before we begin, I would like to draw your attention to the detailed disclaimer included in this presentation for good order's sake. Kindly note that the conference is being recorded. All the participant line will remain on mute, and there'll be an opportunity for Q&A after the presentation concludes. Now, I would like to hand over the call to Mr. Hitesh Oberoi for his opening remarks. Thank you, and over to you, Hitesh.

Hitesh Oberoi: Thank you, Vineet . A very good evening, everyone. Welcome to InfoEdge's earnings calls for the fourth quarter of FY26. We will begin with an overview of our standalone financial performance, followed by business highlights for each segment, along with our

commentary on the strategy for each business. We will then take questions.

For the standalone business in Q4 FY26, billings were Rs.1,057 crores, a YOY growth of 7%, and revenue was Rs.805 crores, a YOY growth of 17%. Operating profits at a standalone level grew by 39% YOY to Rs.323 crores, and the operating margins stood at 40%. The standalone business generated cash from operations before taxes of Rs.621 crores in Q4 FY26, a YOY growth of 16%. The cash generation from the recruitment business was Rs.619 crores. The non-recruitment businesses at an aggregate level generated cash of Rs.37 crores in Q4 FY26. For the standalone business in FY26, billings were Rs.3,178 crores, a YOY growth of 10%, and revenue was Rs.3,052 crores, a YOY growth of 15%. Operating profits grew by 17% YOY to Rs.1,138 crores, and the operating margin was 37%. The standalone business generated cash from operations before taxes of Rs.1,469 crores in FY26, a YOY growth of 12%. The cash balance of InfoEdge, including wholly owned subsidiaries, at the end of March 2026 stood at Rs.4,963 crores. Continuing the track record of progressively improving shareholder distributions, the board has also approved a final dividend of Rs.3.6 per share for the year. This adds to the total dividend payout of Rs.8.4 per share for FY26, a 40% increased dividend payout versus last year.

Moving on to the segmental performance and starting with the recruitment business. In Q4 FY26, the standalone recruitment billings grew by 10% to Rs.811 crores, and revenue grew by 14% to Rs.581 crores. Recruitment billings, including Zwayam and DoSelect, grew by 9% to Rs.838 crores, and revenue grew by 12% to Rs.608 crores. The operating profit for the standalone recruitment segment improved by 22% YOY to Rs.340 crores, and the operating profit margin was 58%. Cash generated from recruitment operations was Rs.619 crores, a YOY growth of 16%. In full year FY26, the standalone recruitment billings grew by 10% to Rs.2,374 crores, and revenue grew by 14% to Rs.2,256 crores. Recruitment billings, including Zwayam and DoSelect, grew by 9% to Rs.2,461 crores, and revenue grew by 13% to Rs.2,343 crores. The operating profit for the standalone recruitment segment improved by 14% YOY to Rs.1,277 crores, and the operating profit margin was 57%. Cash generated from the recruitment operations was Rs.1,513 crores, a YOY growth of 13%.

The key oper

ating highlights for the year, FY26 was a year of moderate growth for the recruitment business after a strong second half of FY25, with Q4 FY25 billings growing at 18% YOY. Growth slowed down to 9% in Q1 FY26 and remained in the 9-11% range across all quarters of FY26. The year was impacted by geopolitical headwinds, tariffs related to uncertainty, and a generally cautious hiring stance amongst corporates both in global demand linked sectors such as IT, as well as domestically oriented ones. The softer hiring environment was also reflected in the JobSpeak Index, which grew at 7-8% YOY for the full year. At a segment level, in Q4, billings for Tech, IT, and BPM segments combined grew at 6% YOY, GCCs de-grew by 1%, Recruitment Consultants grew at 8%, and Other Sectors combined grew at 14%. Quarterly numbers can sometimes be influenced by renewal timing for large accounts. Full-year figures are a more reliable representation of underlying trends. For the full year, FY26, Tech, IT, and BPM combined grew by 8% YOY, GCCs grew by 10%, Recruitment Consultants grew by 6%, and Other Sectors grew by 8%. IT services directly, 19% of billings grew 10% YOY in FY26 versus 8% in FY25. Other sectors which directly account for 29% of all billings grew relatively slower at 8% in FY26 versus 14% in FY25. The moderation largely reflecting broader economic conditions and sector-specific factors.

The Naukri Job seeker Services business reported Rs. 53 crores in billings, a YOY growth of 33% with 60% operating profit margin in Q4 FY26. For FY26, it reported Rs. 176 crores in billings, a YOY growth of 19% with an operating profit of Rs.98 crores and a 57% operating profit margin. NaukriGulf Billings in Q4 FY26 were Rs.41 crores, growing 9% YOY, a step down from the 20% growth this business had been delivering before regional disturbances in the Middle East. Operating PBT margins were 42% in Q4. For FY26, it reported Rs.126 crores in billings, a YOY growth of 16% with Rs.41 crores operating profit and a 35% operating profit margin. JobHai continued to operate on a freemium model with a focus on select markets. Platform metrics remained healthy and revenues continued to grow. The business remains in an investment phase and we are making good progress on monetization. On the jobseeker front, the Naukri platform now hosts approximately 115 million resumes and added an average of around 21,000 resumes per day during Q4 FY26. Marketing expenses were lowered by 13% YOY in Q4, despite continued investments in JobHai and other smaller businesses as they scale up their monetization efforts. As a result, the operating profit margin improved by 400 basis points to over 58% in Q4. Excluding JobHai, the recruitment margin was around 61% in the quarter. For the full year, FY26, the operating margins slightly improved to 57% at a standalone level and to 59% excluding JobHai.

Moving over to the real estate segment, in Q4 FY26, billings grew by 2% to Rs. 163 crores whereas revenue grew by 36% to Rs. 144 crores. During the quarter, we have rationalized the warranty provision related assumptions linked to certain products in the 99acres business where we endeavoured to charge based on delivered leads as opposed to the tenure -based subscriptions. The trend over the last few quarters during which these lead -based products were formalized has now provided us with a more credible basis for the estimation of such a warranty. Accordingly, a portion of the accumulated provision over the last 8 quarters has been reversed and revenue for the quarter as well as for the year stands increased by Rs. 20.5 crores as a result. This is not material under applicable accounting standards and hence has not been separately disclosed in the financials. This is a one -time reversal and is not expected to recur in the future at this point in time. Operating profits in Q4 were Rs. 3 crores whereas the cash generated

from operations in 99acres was Rs. 22 crores in Q4 FY26. In FY26, billings in 99acres grew by 10% to Rs. 497 crores and revenue grew by 19% to Rs. 488 crores. Operating losses were Rs. 59 crores and cash losses from operations were Rs. 5 crores in FY26. During Q4, we undertook changes in the 99acres sales organization and tightened certain key processes and the adherence to these processes to set up the business for sustained long - term growth. This had a one -time transitional impact on Q4 billings. We expect billings growth to recover in Q1 once again. 99acres continues to strengthen its traffic leadership with its web traffic share growing to 49% in Q4 FY26 from 46% in the prior quarter . On the app, we command 54% of overall app traffic share and 67% share now of iOS app traffic timeshare. The overall market share of 99acres in March was 51% and in April 52% traffic timeshare. Supply momentum remains strong across categories. Live resale cum rental listings from brokers grew 35% YOY and live new project listings grew 28% YOY during the quarter. We continue to gain fresh supply share across residential, resale, rental and commercial segments in both the owner and broker channels. Taken together, consistent traffic share gains and improving response growth over the past several quarters now reflect continued market share expansion in both traffic and revenue terms. Q4 was a reset. The underlying business trajectory remains intact and we expect growth to recover going forward.

Moving over to the matchmaking business, in Q4 FY26, Jeevansathi billings grew by 21% to Rs.39 crores and revenue grew by 19% to Rs.36 crores. The business incurred an operating loss of Rs.3 crores and generated cash from operations of Rs.4 crores in Q4 FY26. Our matchmaking portfolio, including Jeevansathi and Aisle combined, reported Rs.49 crores billings, a YOY growth of 23% and combined operating losses were Rs.7 crores in Q4. In full year FY26, Jeevansathi billings grew by 28% to Rs.142 crores and revenue grew by 26% to Rs.138 crores. The business incurred an operating loss of Rs.4 crores and generated cash from operations of Rs.15 crores in FY26. The Jeevansathi and Aisle business combined reported Rs.182 crores in billings, a YOY growth of 29% and combined operating losses reduced by 50% to Rs.15 crores in FY26. Jeevansathi remained focused on improving sales conversions and ARPUs during the year. The market continues to be comparative with leading matrimony platforms investing in marketing and offering higher than usual discounts. This has led to some pressure on pricing. However, our ability to withstand such an environment has improved substantially, particularly in the Hindi -speaking markets. The business is now the market leader in terms of users logged in every day in these markets. Aisle grew at 30% + YOY during the quarter. The dating market has been relatively less comparative in the last couple of years, which presents an opportunity for apps under the Aisle umbrella to grow even faster. Arike, the Malayalam -focused app, is now growing at an even higher pace.

Moving on to the education business, in Q4 of FY26, billing was Rs.45 crores, a YOY decline of 13% and revenue grew by 11% to Rs.44 crores. The business delivered an operating profit of Rs.6 crores and generated cash flow operations of Rs.11 crores in Q4 FY26. In the full year of FY26, billing was Rs.164 crores, a YOY growth of 1% and revenue grew by 13% to Rs.170 crores. The business delivered an operating profit of Rs.13 crores and generated cash flow from operations of Rs.22 crores in FY26. AI -driven changes in search behaviour have been affecting Shiksha's traffic for several quarters. In Q4, this translated into a more direct billing impact as reduced referred search traffic from Google affected client deliveries. We expect this headwind to persist over the near term. To navigate this and sustain growth,

Shiksha is

investing in domestic counselling capabilities and AI -driven voicebots to scale and complement these efforts. As adoption and monetisation of these services improve, we expect them to progressively offset the AI -led impact. The study abroad segment in the education business saw softness in certain markets, particularly the US and Canada, driven by evolving student preferences and broader macro factors in these geographies. We are actively

broadening our destination coverage with increased focus on the UK, UAE and Continental Europe to better align with where student demand is moving.

Let me talk you through our business strategy and our key focus areas for FY27 now. In the recruitment business, the core strategy is centred around three variables - hiring volume, our share of hiring and revenue per hire. We are focused on improving all three. In the premium segment, we are deepening focus through targeted offerings including Naukri Top Tier, iimjobs and hirist, while growing employer branding solutions to improve monetisation. In the mid-level segment where we are the clear leader, AI-led capabilities are enhancing recruiter productivity and workflow automation, while job marketing, data products and assistive services are improving revenue per hire. In the value segment, JobHai is expected to play an increasingly important role over time. The success there depends on building real-time labour matching and simple workforce solutions suited to the informal economy. Naukri's B2B growth drivers are broadening as a result, while organic volume and pricing remains the foundation. Newer offerings like AI-Rex, our agentic AI offering for recruiters, Talent Pulse, our data offerings for our customers, branding solutions and premium products are expected to contribute meaningfully in the near term. Job Hai adds a further growth layer over the medium to long term. Beyond the core B2B business, our Jobseeker Services segment has seen meaningful revenue acceleration and improved profitability following the transition to Naukri 360. The shift to a self-serve online-first model has driven the online revenue mix from 27% to 53% in the last 15 months, while monthly active users have been growing. Paid users as a percentage of the monthly active user base have also risen from 1.2% to 2.2% over the last 15 months, with meaningful headroom ahead. NaukriGulf has delivered 20% + billing growth over recent years and progressed from a breakeven to a 35% operating margin business. The structural opportunity in the Middle East remains intact and we see a strong runway for continued profitable growth.

Moving on to the real estate business, 99acres has consistently expanded traffic share by approximately 0.5 to 1 percentage point per month over the last 12 to 18 months. In residential resale, daily fresh supply is up 40% over the last two years, our supply share has crossed 50% and response growth has nearly doubled. In new projects, market estimated at approximately Rs.5,000 to 5,500 crores, we are seeing early momentum with responses now growing 30% YOY after being flat last year. The recent rollout of 99Shorts in NCR aims to drive deeper engagement in this segment with expansion to other major cities planned in for FY27. Rental and commercial are also seeing faster growth in response. Operating gains in supply, traffic and responses typically translate into billings with a lag. In FY26, we cautiously made forward investments in 99acres to strengthen its competitive position and become a clear market leader. With the heavy lifting now behind us, we expect growth to accelerate, operating leverage to play out and the business to turn cash-generative in FY27, if all goes well.

In the matchmaking business, Jeevan sathi has now delivered 20-30% YOY billings growth over the past couple of years and is nearing break-even after operating losses of ~Rs.120 crores a few

years ago. With a close to 45% + profile share in Hindi-speaking markets and AI-driven recommendations, matching and pricing are focused on building a more dominant position and driving higher monetization. The Aisle business recorded Rs.39 crores in billings in FY26 with 30% YOY growth and reduced operating losses. Aisle within the Malayali market is now growing at 40% YOY and is a meaningful contributor to Aisle revenues. The matchmaking portfolio is positioned to sustain healthy growth while contributing to overall cash flow.

The Shiksha business continues to face headwinds from AI-driven changes in search behaviour which have affected traffic and billings. To navigate this, we are pivoting towards counselling and marketing services, including AI-driven voicebots to complement domestic counselling efforts, and diversifying destination coverage and study abroad towards markets like the UK, UAE, and continental Europe. We expect these initiatives to progressively offset such headwinds as monetization matures.

Across our businesses, whether matching jobseekers with employers, home buyers with properties, or individuals seeking life and education decisions, we have proprietary data, track millions of daily interactions, and apply deep AI / ML capabilities to improve recommendation quality, reduce friction, and deliver outcomes that go beyond what a typical listings or SaaS model can provide. We do not view AI as a disintermediation risk. If anything, it strengthens the case for platforms like ours with our proprietary datasets, two-sided network effects, and deep domain context to deliver better matching, automated workflows, and make the experience meaningfully more productive for both sides. Done well, this translates into higher

engagement, stronger outcomes, and a greater share of customer wallet over time. Accordingly, we have been consistently increasing our investments in AI over the last few years across infrastructure, people, and tools. In Naukri, what makes our approach distinctive is that we build intelligence on both sides of the marketplace, not just what a jobseeker wants, but what an employer needs and how urgently they need it. This two-sided data depth is a foundation of effective matching and it is a capability that has been built over the years and cannot be replicated quickly. Our key AI priorities for FY27 are - one, enhancing matching personalization and productivity. We are continuously improving our ML models to deliver better outcomes for jobseekers and recruiters alike. On the employer side, we are getting better at identifying hiring intent, such as distinguishing urgent, hard-to-fill roles from routine ones so the platform can match accordingly. On the jobseeker side, we are progressing from search to recommendation-led discovery where relevant opportunities are surfaced proactively. These efforts have already delivered 15-30% efficiency gains across various parts of our businesses. We are also constantly scaling up AI-powered features. Generative AI has unlocked a new class of features that were not previously possible. Several features launched over the last one year are already gaining healthy traction. AI-powered mock interviews are used by 1.5 million users monthly. AI-generated resumes are now powering 3 million profiles monthly and AI-generated job descriptions are widely used by recruiters, among others. Our focus is on quality of outcomes, our volume of activity, making candidates more hireable and recruiters more effective. This year, we will deepen engagement and expand the breadth of these features. We are also continuously working hard to produce AI-first products so that we can unlock new revenue streams. We are building products that go beyond feature additions. AI-Rex, our agentic recruitment platform, automates end-to-end hiring workflows for enterprises, from job mandate intake to candidate

shortlisting, meaningfully reducing the time to hire. With over 1,000 clients onboarded and 30,000 job mandates already on AI-Rex, early adoption is encouraging. Enterprise sales cycles for AI tools tend to be longer and we are pacing accordingly, focused on deepening outcomes within existing large accounts, key accounts before scaling them further. AI-Rex is both a product innovation and a nascent revenue stream at this point in time. We also continue to embed AI in our internal processes. Generative AI is enabling faster product rollouts, scalable content creation, and more efficient marketing, with several recent campaigns built entirely in-house using AI-led tools. Across our business, the logic is consistent. Better AI-driven outcomes drive higher adoption and higher translates into higher spending from customers. That is the foundation of our monetization approach. The focus for FY27 is on converting what we've already built into adoption and revenue. AI-Rex has been rolled out to 1,000 clients and we have now 30,000 job mandates on AI-Rex, significantly reducing candidate sourcing time. Scaling its client base and deepening usage within existing accounts is a near-term priority. The ultimate measure of success, however, is how meaningfully we can reduce the end-to-end hiring cycle time for enterprise clients and we continue to track this as a key metric. PremiumX, our dedicated database for premium candidates and data products such as Executive Intelligence and Talent Pulse represent additional monetization opportunities as we expand their reach amongst enterprise clients.

In 99acres, our AI recommendation engine is driving 10-15% improvement in unique interests, with monetization expected to follow as platform engagement strengthens. At Jeevansathi, AI Powers recommendation matching the pricing end-to-end. Monetization benefits are already flowing through and will continue to build over time. The priority for FY27 is accelerating adoption and converting product progress into meaningful revenue quantities. Thank you and now we are happy to take questions.

Vineet Ranjan: Thank you, Hitesh. Anand, we already have a few questions. Maybe we can start.

Anand Bansal: Yeah, thank you, Vineet. First question is from Sachin Salgaonkar from Bank of America. Sachin, go ahead and ask your question.

Sachin Salgaonkar: This is Sachin Salgaonkar from Bank of America. I have three questions. First question, want to understand a little bit more on the color on sentiment in hiring. When you talk to corporates, what kind of comments are we hearing in terms of how they're thinking on hiring, given what's happening in AI. Would be great to get color across GCC, IT sector, and non-IT sector. Second question, let me actually go through all the three questions and then I'll pause to take answers from you. Second is obviously on 99acres. Clearly, we're seeing good execution, good margins. Wanted to understand anything specific which happened in this quarter, like competition was down or low marketing. Directionally, how should we think about the sustainability of operating profits from these levels? Third, would

love to understand how are you guys thinking from a InfoEdge Ventures point of view, if there are any incremental opportunities we are seeing in India to invest from AI perspective. Thank you.

Hitesh Oberoi: See the overall job market, I think the sentiment continues to be subdued. It's not a hot market. It's a lukewarm market. Of course, there is hiring happening in pockets. But, for example, you mentioned GCCs, the smaller GCCs continue to hire, but the larger ones, their headcount has shrunk over the last few quarters, in some cases. The non -IT market has also slowed down a bit for us over the last few quarters. We've of course expanded our coverage. We are now in more cities than earlier, we have many more clients, but our ARPUs are

still low. The overall hiring environment is not a hot market. It's not as if companies are sort of under pressure to hire quickly. They are taking their time. They are hiring for certain positions, positions like in machine learning and AI, there we've seen massive growth. A lot of companies want to hire this kind of talent. Amongst the GCCs, at least, there is pressure on the larger ones to sort of become, for people to become more productive. But let's see how this plays out over the next few quarters. I think a lot of this is also linked to the economy and to what's happening globally, and not just AI. If the Indian economy picks up, we expect the non-IT sectors to start hiring once again, and to start hiring a lot more people than earlier, and attrition rates will pick up, but that'll depend on how the economy plays out over the next few quarters. Once the uncertainty around the geopolitics gets better on that front, that should also help in the medium term.

As far as 99acres is concerned, I think the team has done an incredible job of growing traffic share over the last few quarters. We've added at least 13, 14 points to our traffic share over the last few months. We are now a clear leader in almost every city. Our latest number for traffic share for April is 52% timeshare. The responses we deliver, ultimately, our revenue is a function of the response we deliver to our clients. In the resale and rental segments, the responses have almost doubled over the last few quarters. In the new home segment, which is where we were a little slow, which is almost half our revenue, traffic responses started growing. Response grew by 22% in the new home segment last year. In Q4, it grew by 33%. We are confident that we'll do a good job in 99acres this year. Monetization follows the lag. Once you get to 50 -52% share, it's not easy for others to catch up and that's where we are right now. If we add a few more percentage points to share this year, I think we'll become a very, very strong leader in this market. Sanjeev, you want to take the question on Info Edge Ventures?

Sanjeev Bikhchandani: We did an enumeration just last week. Out of our 130 + companies that we've done since 2007, which are non -strategic investments, today, a little over 50, maybe 50 -51 are deep tech or AI first. Increasingly, almost all the companies that we see now have one element of AI, and many of them are AI first. We're not going out and looking for AI companies. This is what we are finding, the bubbling up from underneath. Clearly, the AI space is very, very active. The government on deep tech is putting a lot of effort and investment. There's a Rs.100,000 crore s RDI fund. There is a Rs.20,000 crore s fund for startups. There's Rs.10,000 crore s AI fund the government has put. There's a lot of government effort, a lot of private capital coming in. A lot of young entrepreneurs are trying. There's a lot of action in AI. Our difficult task is to figure out who will succeed, who will fail, behind whom is there a moat, what can be replicated. You're not finding too many foundational models there. It's not as if you're investing behind LLMs. But it's the app layer. And there, you've got to ensure that there's a moat, and you have a barrier to entry, and you can actually succeed and not be disrupted two years later. That's the long and short of AI.

Sachin Salgaonkar: Got it very clear. Just one small follow -up to Hitesh. Hitesh, this follow -up is more on competition on 99acres. Are we seeing anything change from a competitive perspective, which is allowing us to move to 52% traffic share and continue to increase? Or is it purely driven by strong execution?

Hitesh Oberoi: At least our team would like to believe that it's our execution. We've done a lot of things right over the last few quarters. We've been very focused on a few things, and we've done a fantastic job of execution

. I don't want to get into the details here, but I think a lot of the credit should go to the team for having done a really good job. As far as our competitors go, they're in the broker business, and we compete with Magic Bricks and Housing. In the new home business, we compete with Meta and Google. In the owner

business, we actually end up competing with MagicBricks, Housing , and NoBroker to some extent. My sense is Meta and Google continue to be very, very strong players. The new home market is a large market and we are only now beginning to sort of make serious investment into that market. It's a very big opportunity in the medium term for us. It's like a Rs. 5,000 crore s TAM and we do only about maybe Rs.240, 250 crores in this segment. But our response has started to grow. We're beginning to get a few things right. Like I said, 20 -22% response growth last year, but 33% growth in Q4. Hopefully, we'll be able to monetize better as we go forward. In the secondary market, re sale and rental, we've managed to grow our customer count substantially over the last few quarters. We have managed to grow our supply share substantially over the last few quarters. In every city now, earlier we used to be leaders in two or three of the big cities, but now in Delhi, Mumbai, Bangalore, Chennai, Hyderabad, in almost every big city now we are traffic leaders and supply leaders and leaders in terms of number of customers and increasingly on revenue as well. There have been a few issues with competition. There have been leadership changes at both Housing and MagicBricks. Housing gives out the numbers publicly. I think their burn is now close to Rs.250 crores a year. They've lost a lot of ground in my view, in India. So maybe it's no longer as exciting for them as it was a few years ago. In the owner segment also, we have made substantial progress over the last few quarters. 99acres is free for owners to list. We monetize only a small percentage of owners who list their properties in 99acres. So there's substantial headroom for growth there as well. Our supply share on the owner segment has also increased substantially over the last few quarters.

Sanjeev Bikhchandani : I'd like to add something to that. 99acres does not report to me, the operating businesses don't report to me, they report to Hitesh. But what I've observed sitting on the side of the operating businesses is that I think a fantastic team, a huge clarity of thought in granular detail, and therefore execution on what the market wants, what the customer needs, what competition is not doing, where the gaps are, and then executing relentlessly. I think exceptional team and talent, and a fantastic leadership by Hitesh. Hitesh has probably been spending the bulk of his time last couple of years on 99acres, leading from the front in the trenches. That has made the difference.

Anand Bansal: Thanks, Sachin . Next question from Vivek from Ambit Capital. Vivek, go ahead and ask your question.

Vivekanand Subbaraman : On recruitment, we hear of high value jobs being generated, especially related to AI. Does this indicate a shift in the market to perhaps more premium but lower volume hiring? Hitesh, in this segment, is LinkedIn really a threat? That's the first one. The second one is on the non -IT segment. You did touch upon this in your answer to Sachin. There doesn't seem to be a very meaningful competitor to you here. Is it just a macro weakness or is there something that you believe you can do more to accelerate growth? You've been putting in a lot of effort recently. You've tried to improve the quality of search, increase presence in tier two and three cities. You're also offering free trials to SMEs. So just wanted your thoughts on the non -IT segment and what you can really do to accelerate growth. The last one is on JobHai. What are the key metrics of success that you're tracking there? Where do you rat

e the progress in regard to those metrics? When do you see this becoming meaningful for your recruitment segment? Thank you.

Hitesh Oberoi: The premium segment and when I say premium, I mean, people who earn more than, let's say, Rs.25-30 lakhs a year. That segment has been growing faster than the mid-level segment for the last few quarters. A lot of new jobs are being created in AI and machine learning, data engineering and so on. But these are not like leadership level jobs. These are not like jobs which pay crores , one crore, two crore, three crores. There are some of those as well. But the bulk of the hiring is in the Rs.20- 40 lakh s, 50 lakh s segment. There Naukri is reasonably strong. So Naukri has significant market share in this segment. Both iimjobs and hir ist are also reasonably strong in this segment. Of course, we are also doing a lot of work to improve our share in this segment. Yes, Linked In is a competitor. But LinkedIn is even stronger when you want to do very senior level hiring, when you want to hire people who are not looking for a job, people who are passive. We've also done a lot to improve our experience for these users and these customers. We've launched Naukri Top Tier on the jobseeker side. We've launched Premium X on the recruiter side. We've got hirist , iimjobs a premium MBA offering and they're very strong. We've grown hirist well over the last couple of years. Hir ist has now significant share in the premium tech hiring market. We've been working hard to improve our offerings in this segment. We are confident that we will continue to grow our share even in this segment , going forward . I agree with you that this segment is going to grow faster than the mid -tier segment , but our share in this segment will continue

to grow over time, is what I feel right now. In the non-IT segments, the market has slowed down a bit. That's our sense. We are doing, of course, a lot more than earlier. Not only have we expanded our coverage and our reach by opening more offices, setting up shop in more cities, we've launched a premium model to attract SMEs on the platform. We are using machine learning to improve our AI models for matching for the non-IT segments we operate in. That's an ongoing thing. But slowly and steadily, we're making progress on that front as well. There, I think the real issue is volume. I think the volume of hiring is not picking up as yet. Maybe it will in the next couple of quarters, who knows. But right now, I think there is stress there. In the value segment or in the JobHai market, we are making very good progress. We were trying to get our model right and we focused on Delhi NCR for some time. Today, of course, there are competitors in this market that are smaller in size, but we are leaders in traffic in Delhi NCR. We've started monetizing now in Delhi NCR. Now we're taking this template to other cities. So this year, we will become a little more aggressive in Mumbai and Bangalore markets as well. The metrics we track are similar to what we track in Naukri - traffic, time spent on the platform, number of jobs, number of customers, number of applications per job, stuff like that. On all these metrics, we are making good progress. Now we've started monetizing. It's a small business right now, but it's a startup. We would like to grow it 100% year on year for the next few years. It will take some time to become a meaningful contributor to our revenue, because the base is very small. I think it's strategically very important for us. It'll help us tap into a brand new market, which can grow at a very high rate for several years. One of the companies in China, I don't know if you're familiar with Kanzhun, they work with more than 6 million customers. Most of them are SMEs, about more than 40 or 50% of the revenue comes from SMEs and they are very profitable. They've grown and they do over a billion dollars, in

revenue. It will take a few years. India is not that large, the Indian market is not that large. I think that's the right model to follow for this segment. There are several things which make the segment and this market different from the Naukri sort of market. That's what Job Hai is trying to solve.

Vivekanand Subbaraman : Okay, thank you for the explanation. Just one clarification related to the opening comments, you said something about one of Rs.20 crore s accrual in, was it in 99acres? Does this impact your billing or revenue? Could you repeat that? I just couldn't understand.

Hitesh Oberoi: Yes, that was 99acres. Basically, we wrote back some earlier provision. That did not impact billings, but it impacted revenue and also profit for this quarter. Vineet, do you want to elaborate on that?

Vineet R anjan: Sure. Vivek, basically in 99 acres, we have a small part of the business, which is cost per lead model. In that model, we were creating roughly around 20% as warranty provision, considering that for 20% of the leads, we will have to issue refunds to our customers in case the leads are not satisfactory. Over the last eight quarters, we studied those trends and came to the conclusion that actual refunds that we have to issue is significantly lower than what we were building provision for. As a result, we have made two changes. One, we reversed the extra provision, which was not used as of December, in the last quarter. That led to some one-time gain. Second, going forward, instead of creating this 20% provision, we'll be now provisioning it at 5%. These are the two changes. This led to around Rs.20 crore s of higher revenue in this quarter, which obviously has flowed down to profitability as well. But that was more like one-off in this quarter, in 99acres.

Vivekanand Subbaraman : Okay, understood. This quarter's billings performance is not impacted by that, it's only revenue and segmental PBT.

Vineet R anjan: Billings have already been accounted for. It is already a part of billings. Think of it this way that you collect Rs.10 from a customer for this kind of business. But for recognizing revenue, you were taking 20%, which is Rs.2 as provision and Rs.8 are going to revenue. That over the last few quarters, combined value of that equivalent of Rs.2 we have reversed it back in this quarter.

Vivekanand Subbaraman : Okay, that's great. This performance of 1.9% billings growth, you mentioned that there is some change in the way you are carrying out the business, which is why it was lower, right?

Hitesh Oberoi: Yes, we undertook some changes in our sales organization, and we tightened some processes around. Basically, billings is invoicing. We tightened controls around invoicing into the future and stuff like that. Customers are willing to pay us in advance, and we've sort

of clamped down on some of those things. I think this is a good thing to do and it'll help us in the future. We'll have a one-time transitional impact on Q4 billings.

Vivekanand Subbaraman : Okay. This is not likely to repeat in the next coming quarters, is it? The one-time impact that you mentioned about. Because logically, last year's base will have, let's say, those advanced collections, but now perhaps you're not going to collect money in advance, even if a customer wants to pay, is that?

Hitesh Oberoi: Yeah . We basically tightened the controls around all this a bit.

Vivekanand Subbaraman : Okay, great. Thank you very much.

Anand Bansal: Thanks, Vivek. Next question from Kunal from Banyan Tree. Kunal, go ahead and ask your question.

Kunal Thanvi: Hi, thank you so much for the opportunity. My first question was on JobHai. Can you talk about the competition there? We've looked at Apna and couple of other places. What is their business model? Is it similar to us? I understand there has been monetizing as well. If you can throw some light

on how we are thinking to monetize ? That was on JobHai.

Second was on 99acres . When you say this one-time adjustment that happened in this quarter about the write back. Then from a sustainable point of view, how should one look at the profitability? What is the impact on the profitability because of that? Is it that the profit number that we're seeing may not be sustainable in Q1? That is the second. Third, we've been talking about job seeker as a product being growing at a fast pace. Can you talk more about which are the sectors in which the relevance has increased? Any more nuance on which kind of jobseekers are finding the product more beneficial, or it is across broad base for all these sectors? These are the two questions.

Hitesh Oberoi: Our business model in JobHai is not very different from Apna and WorkIndia except that perhaps we are more freemium than they are. We allow you to list for free and then we charge only in some markets and in some categories. Like I said, our focus right now has been for at least for the last few quarters has been to get our product market fit right and to become a clear leader in traffic in NCR. Now that we've achieved that objective, we are monetizing aggressively or we're trying to monetize more aggressively in NCR and we're taking this template to other markets. But the model is not very different from WorkIndia for sure, overall model. 99 acres, because the provision has been reversed, it's resulted in Rs.20 crores of extra revenue in Q4 and that has flowed to the bottom line as well. It's one-time and it's not expected to occur again. As far as jobseeker offerings go, we've launched, the 360 offerings on Naukri for all segments and for all categories and for all kinds of jobseekers and we've seen growth across the board. It's broad based. We've seen higher growth across all segments, across all categories.

Kunal Thanvi: Okay, sure. Thank you.

Anand Bansal: Thanks, Kunal. Next question from Swapnil from JM Financial. Swapnil, go ahead and ask your question.

Swapnil Potdukhe : Thanks for the opportunity. My first question is with respect to your deferred sales growth numbers. It seems that there has been a significant deceleration in those streams across all your segments. Does that mean that your revenue for the next year, right across all the segments would see a significant dip because the deferred sales number itself is down? When we look at from a growth perspective, last year it was 18% in Naukri, for example, and now down to 12%.

Hitesh Oberoi: Sorry, Vineet , you want to take that?

Vineet Ranjan : Swapnil, see deferred sales revenue is a function of billings growth. Last year, when you looked at the higher deferred sales number, because last year in H2, the growth rate of Naukri business billings was actually higher. In Q3, Naukri grew at 15%, Q4, it grew at 18%. Therefore, the deferred sales buildup was also higher , the flow through to revenue was higher. Therefore, this year, you see higher revenue growth. Some part of it, what you mentioned is right, that this year, because billings relatively slowed down vis-à-vis last year's second half. That effect will flow through to revenue of FY27. Basically, the way to account billings into revenue is, it is amortized over 365 days. That flow through will happen. Other thing to note is that, like Hitesh mentioned, our candidate services business, B2C business,

that's growing faster. There, the tenure of product is shorter. Like in Naukri, typically, you sell for 12 months, revenue gets recognized over 12 months. In B2C business, and that business is growing faster, there, generally, the plans are three months, six months, one month. So, the recognition is quicker. There, the flow through of billings to revenue is immediate. So, that also plays a part. It's a mix of both. That's how one should look at it.

Swapnil Potdukhe : G

ot it. The second question is with respect to B2C revenue growth only.

This particular item has grown at around 33%, a significant number. Any particular reason that this growth is visible right now, and it was not earlier? Any changes that you would have done in your proposition for the candidates?

Hitesh Oberoi: We've done a whole bunch of things. We've launched a lot of new offerings. Some of them are AI-led. I spoke about AI resume makers, AI mock interviews, AI agents for jobseekers. Two, we made the model more self-serve. Earlier, there was a lot of selling involved, as in, telecalling. Now there's a lot of self-serve, and that's also helped us sort of grow our revenue faster.

Swapnil Potdukhe : Any forward-looking guidance on this particular piece? Can you, if you can, how do you expect this business to grow?

Hitesh Oberoi: To be honest, I've also been surprised myself. This business used to grow at 18-20% per year, but after making these changes, it's now started growing at 30%, but it's only been one quarter. Now, of course, the team is very bullish, but let's see if this sustains.

Swapnil Potdukhe : Got it. Just the last thing on the employee cost side. For the last couple of quarters, there has been some dip in your employee count, and that has led to a bit of margins also. Are there any specific measures that you have taken to drive some efficiency gain over there ?

Hitesh Oberoi: Everybody wants to use more AI inside InfoEdge also. Every time they ask for an AI budget, we also tell them just like, our customers, we've also been telling them, listen, hopefully you'll become more efficient and more productive, since you're using AI now. We've implemented a lot of, there are hundreds of AI projects going on in the company right now, as we speak. I'm sure we're getting some efficiency because of what we're doing inside the company, because we're using these tools, because we're doing things, in a much more efficient manner than earlier. We don't expect a major reduction in headcount going forward. People are becoming more productive than earlier because of these tools. We have not laid off anyone or anything of that sort, we are just encouraging everyone to sort of do a little more than what they were doing earlier.

Ambarish Raghuvanshi : If I can just comment . There's generally, an efficiency drive within the company to just look at virtually every new hire or a rehired very, very closely. There's a strong emphasis to just ensure that every hire is adding value. Your other point about the jobseeker business growing strongly, to some extent, this might be a function of just counter cyclical to what's happening in the economy. Generally, with a slowing job hiring market, you're bound to see a little bit more inbound interest in the services which we offer for jobseeker, the paid services. I think, that's a function of what's happening broadly in the hiring trends in the economy.

Swapnil Potdukhe : Just a quick clarification. What would be the contribution from this jobseeker services to the overall billings ?

Hitesh Oberoi: The jobseeker business, I think revenue last year was about Rs.176 crores.

Vineet Ranjan: 6 - 7% of the business.

Swapnil Potdukhe : 67%, okay.

Sanjeev Bikhchandani : Not 67%, 6 to 7% .

Hitesh Oberoi: Full year growth even in the jobseeker business was only 19%. It's only in Q4 that it grew by 33%.

Swapnil Potdukhe : Understood. Very helpful. Thanks a lot.

Vineet R anjan : Anand, there's a question in chat box. Should we take that?

Anand Bansal: We can take that, yeah. Go ahead

Vineet R anjan : Sanjeev , this is for you. There's a question from Avn i shah, What is the aim behind starting two new funds, Karka rdooma Trust and B8? You'd like to take that one?

Sanjeev Bikhchandani : See, one is to a fund which we are investing in growth stage. We felt that there was an opportuni

ty there. We had the capital. We had the team to utilize the capital and the opportunity. One is to continue to invest in deep tech. We had earlier invested in deep tech through our subsidiary of InfoEdge called RedStart. Then through a fund called Capital2B. When that fund ran out of first check money, we decided to allocate a fresh pool of capital. That's how we're doing these two funds.

Anand Bansal: Next question is from Prateek from HSBC. Prateek, go ahead and ask your question.

Prateek Maheshwari : Hi, thank you for the opportunity. My question was to Hitesh on the hiring sentiment. Thank you for the color earlier. Just wanted to follow up on that. How are you seeing the sentiment over let's say, six months? Is it improving? Is it worse? In the IT business, what are we looking at? If you look at the LTM attrition trends , probably in the last two quarters, it has fallen a bit . This is trailing 12 -month attrition that we get from IT companies. Probably from the fall, it's actually a higher fall . Even we are hearing at GCC companies, you also mentioned that this is a phenomenon called job -hugging . Because of how everything is happening around AI. First, I wanted to understand, how are you looking at sentiment? Is it improving, stable, or has deteriorated from last six months? I have a follow - up question after that.

Hitesh Oberoi: I would say it's been stable . If you look at JobSpeak also, I think it's been in that four, five, six percent range. I would say it's been stable. In some markets, in some sectors, maybe there's more hiring happening than earlier, but on the whole, there's not much improvement.

Prateek Maheshwari : Hitesh, I think earlier you used to mention about the margins . The way the business would grow for Naukri and the way you think about the margins . Obviously, the growth has slowed a bit . How should we think about margins? Have you guys probably changed the thoughts there and probably margins would sustain as they were in 3Q and 4Q? It should be that kind of margin should we look at or probably some changes?

Hitesh Oberoi: There are two big areas where we are still investing in our recruitment business. One is JobHai, and the other is AI. We don't want to starve these two areas of investment. We'll continue to invest in both JobHai and AI, important for us for the long term. Now, my sense is that if we are able to grow our topline in double digits, margins should remain the same. If you're able to grow at 10% or more, you should be able to maintain margin in Naukri. If we grow faster than that, then margins could get better going forward. If we, on the other hand, if the economy slows down further and Naukri grows at 7 -8%, then we may sort of lose a little bit of margin in the short term.

Prateek Maheshwari : Hitesh, also on your 99acres business . I understand 4Q was one of aberration . However, before that you guys were growing at somewhere around mid-15% billing s growth. Also, now you have a higher market share. Commentary is a lot more bullish. Should we start building in higher than 15% growth? Do you think that would be a right estimate for next year? Should we start seeing that from the first quarter itself?

Hitesh Oberoi: It's easier to make projections about what could happen over the next 3 -4-5 years than about what will happen next quarter . Our goal in 99acres should be, if you ask me, given where we are today, because we made substantial gains in share over the last few quarters, we should now be aiming to get to 60% share. That should be our first goal. Revenue, will follow with the lag. We've been gaining share for a few quarters. I think the business should now . Our billing s last year was about Rs. 497 crores. We should aim to at least double our business, if you ask me, over the next 3 years. If we are able to do that, then we should be able to generate at least a 25 -30% EBITDA margin a

s well. That should be our medium -term goal in 99acres. We have an opportunity. It's a large market. We are, after a

long time, clear leaders, our competition is struggling and we have momentum. We've had a hiccup in Q4. Hopefully, things will get back on track in Q1. In the short term, it could be some, the market may slow down a little bit, something else may happen, God knows. But over the 3-4 year period, I think we have now laid the foundation of building a solid second vertical inside InfoEdge. The team is also confident that they can deliver. In these kinds of businesses, once you get this kind of lead over your competitors, it's not easy for them to catch up. In medium-term, this should be our goal, at least in my view.

Prateek Maheshwari : Last one. I know you guys are a little conservative on M&A, but in this area of 99acres, would you guys also be open to kind of consider if there is any M&A opportunities. Just to kind of put the industry structure where Naukri's business environment is. Would you be okay doing that?

Hitesh Oberoi: Yeah, I mean, at the right price for the right asset, why not?

Prateek Maheshwari : Okay. Thank you so much.

Anand Bansal: Thanks, Prateek. Vivek from Ambit Capital has a follow-up question. Vivek, go ahead and ask your question.

Vivekanand Subbaraman : Thanks for the opportunity. Two questions. Number one is on AI-Rex. Hitesh, last time you had spoken about some of the mandates that you got on AI-Rex and how you are now taking it to more and more customers. Just wanted to understand better in terms of client adoption and willingness to pay. Have you initiated those conversations yet? Anything that you would like to share on this one? That's number one. The second one is, appreciate the rich color you gave on 99acres. Just wanted to understand whether the traffic share gains also help you in the new home segment or is it primarily lead gen for brokers which get stronger and stronger? Further to this question, if you can answer what else are you doing in the new home segment which can help you gain share from the horizontal media portals, global media portals? Thank you.

Hitesh Oberoi: AI-Rex. We've been working on our agentic offerings for a while and we were sort of figuring out the go-to market. Initially we did a pilot with a few customers and we tried to sell these offerings to a few recruits. But that was creating a lot of friction and it was taking a lot of time. B2B adoption is harder, B2C is easier. We've changed our approach and now, what we've done is we've made AI-Rex available for free to a lot of recruiters on our platform and we are encouraging them to try it out, to sample, to see the difference. Our whole pitch is, listen, AI-Rex is going to turn recruiters into super recruiters. That's the positioning of the agentic AI offering. It can help make recruiters become more productive and do their job faster and better. That's the approach we're taking right now and we are seeing it's a new offering. Like any new offering, there are some early adopters and we are seeing that on the platform now. A few hundred customers have already, lots of hundreds of recruiters have been experimenting with it and some are using it, of course, a lot more than others and close to 30,000 mandates have now gone through AI-Rex. The product also is under constant development. We're trying to prove as we get feedback from clients. This is something which we're very excited about, again, early days, it's a new offering. We don't know whether it'll succeed, but if it succeeds, then again, it increases TAM for us. Like we've said this in the past, in our heads, we targeted take rate of 1% from our clients, but if we are able to make recruiters more productive, then this take rate can actually go up over time. Even if hiring volumes won't grow our revenue can still grow. But it's early days, we're very

excited about

this offering and fingers crossed on this one. Similarly, we've launched Talent Pulse. The offering is a little older because we launched it a while back. As we get more and more data and as you get better in modelling, our offering is improving. In Talent Pulse, what we're doing now is we're making it, we're monetizing it, and we have a lot of revenue from Talent Pulse. We did about Rs.30-35 crores last year from our Talent Pulse offering. We are making it available to more customers, so that they can try it out. We've launched new variants and again, this is a business we think we can grow much faster than the overall Naukri business. It increases the TAM for us. So these two offerings we're very excited about. Additionally, we also have launched PremiumX, premium search inside Naukri. Early days, that's free right now. We're not charging for it, but the idea there is to grow our share of the premium hiring market because that market, like I mentioned, is probably growing faster than the mid-level, mid-tier hiring market right now. Again, very difficult to say what's going to happen in the short term, but over a three-year period, it'd be great if we can make a few hundred crores of incremental revenue from these offerings. That would be our aim. In the 99acres business, new home business, yes, when you grow your share of the secondary market, the new home

market revenue also grows because a small percentage of users, of buyers on the platform are open to both . When they come to the platform, they're not sure whether they want to buy the new home or a ready -to-move -in sort of apartment. Therefore, a percentage of them end up sort of becoming leads for our new home clients as well. As you gain a higher share, and then, of course, also the new home advertisers, because as you gain more market share, they see you as a platform which they need to be on . Because that's where all the traffic is. So, it helps. Of course, you need to keep working on your new home offerings . To answer your question around what extra are we doing on that front, see, one of the things we're excited about is our 99 Shorts offering. We rolled it out in NCR. We worked very hard last year to launch this offering in NCR. Think of it as an Instagram of real estate projects. You can see apartments, get details of projects, walkthroughs, it's all video . It's almost like getting a test drive of a new car , sitting in your home, you can see projects, and you can see apartments, you can hear residents talk about, you can view resident reviews and stuff like that. Early days . But I like the content, you can try it out yourself, we are going to take it to more cities this year. If this product takes off, then this could dramatically change the experience for new homes on 99acres for our users. If that happens, and if you become a destination site for new homes, and if we become the place where people start their new home search, like we are for ready to move in apartments, then this business could grow much faster than it has grown over the last few years. Separately, we're also working on using, we have a large database of both owners and buyers on our platform. We are working on; we're trying to leverage AI to sort of do a better job of reaching out to these people on our platform for new launches. But that's early days on that one. But I think even that will sort of work out in the medium term for us. We are working on a bunch of offerings in new homes. Our response, like I said, in Q4 for new homes was up 33% YOY.

Vivekanand Subbaraman : Thank you, Hitesh, for those detailed answers. All the very best.

Anand Bansal: Thank you, Vivek. And Vineet, that was the last question for the evening .

Vineet R anjan : Great. Thank you, everyone. On behalf of InfoEdge, we now conclude this conference call. You may disconnect the lines. Thank you for joining.

Hitesh Oberoi: T

Thank you. Have a great evening. Bye.

Anand Bansal: Thank you so much, everyone. See you next time.